LL.B. (3 Year) Degree Programme – Year I, Semester I

LAW OF CONTRACTS I

Course Code: 26LLB101

Complete Academic Notes

Indian Contract Act, 1872 and Specific Relief Act, 1963

Units I – V • Every syllabus topic explained in detail

With definitions, explanations, examples, flowcharts, tables and landmark case laws

Statutory references are to the Indian Contract Act, 1872 (ICA) and the Specific Relief Act, 1963 (SRA) as amended in 2018

Syllabus Checklist (Unit-wise Topic List)

The table below lists every topic of the prescribed syllabus (Course Code 26LLB101) in the exact syllabus order. Each topic is explained separately, on a fresh page, in the unit that follows. The status column shows coverage in this document.

Unit	No.	Topic (as in the syllabus)	Status
UNIT I	1.1	History and nature of contractual obligations	Covered
	1.2	Moral basis of contractual obligations	Covered
	1.3	Subjective and objective theories	Covered
	1.4	Sanctity of contracts	Covered
	1.5	Agreement and Contract – Meaning and Definitions	Covered
	1.6	Types of Contracts	Covered
	1.7	Proposal and Acceptance	Covered
	1.8	Essential elements of a valid offer and acceptance	Covered
	1.9	Communication and Revocation of Offer and Acceptance	Covered
	1.10	Invitation to Offer	Covered
	1.11	Standing, Floating and Cross Offers; Tenders	Covered
UNIT II	2.1	Consideration (Nudum Pactum) – Meaning, Need and Kinds	Covered
	2.2	Essential Elements of Consideration	Covered
	2.3	Privity of Contract and Exceptions	Covered
	2.4	Privity of Consideration	Covered
	2.5	Adequacy of Consideration	Covered
	2.6	Present, Past and Future Consideration	Covered
	2.7	Unlawful Consideration and its Effect	Covered
	2.8	Capacity to Contract	Covered
	2.9	Minor's Agreements	Covered
	2.10	Restitution and Affirmation	Covered
	2.11	Ratification by Minor	Covered
	2.12	Estoppel	Covered
	2.13	Free Consent	Covered
	2.14	Coercion	Covered
	2.15	Undue Influence	Covered
	2.16	Fraud	Covered
	2.17	Misrepresentation	Covered
	2.18	Mistake	Covered
UNIT III	3.1	Lawful and Unlawful Consideration and Objects	Covered
	3.2	Void, Voidable, Illegal and Unlawful Agreements	Covered
	3.3	Agreements Forbidden by Law	Covered
	3.4	Agreements Defeating the Provisions of Law	Covered
	3.5	Fraudulent Agreements	Covered

Unit	No.	Topic (as in the syllabus)	Status
	3.6	Agreements Injurious to Person or Property	Covered
	3.7	Immoral Agreements	Covered
	3.8	Agreements Opposed to Public Policy	Covered
	3.9	Void Agreements	Covered
	3.10	Agreements without Consideration	Covered
	3.11	Agreements in Restraint of Marriage	Covered
	3.12	Agreements in Restraint of Trade and Exceptions	Covered
	3.13	Agreements in Restraint of Legal Proceedings	Covered
	3.14	Uncertain Agreements	Covered
	3.15	Wagering Agreements and Exceptions	Covered
UNIT IV	4.1	Discharge by Performance	Covered
	4.2	Valid Tender of Performance	Covered
	4.3	Reciprocal Promises	Covered
	4.4	Time as the Essence of Contract	Covered
	4.5	Discharge by Breach (Actual and Anticipatory)	Covered
	4.6	Impossibility of Performance and Frustration	Covered
	4.7	Effect of Frustration and Restitution	Covered
	4.8	Discharge by Agreement	Covered
	4.9	Rescission, Alteration, Remission, Waiver	Covered
	4.10	Accord and Satisfaction	Covered
	4.11	Limitation	Covered
	4.12	Quasi-Contracts	Covered
	4.13	Damages for Breach of Contract	Covered
	4.14	Remoteness and Assessment of Damages	Covered
	4.15	Injunction	Covered
	4.16	Refund and Restitution	Covered
	4.17	Specific Performance as a Remedy	Covered
UNIT V	5.1	Nature, Scope and Object of the Specific Relief Act	Covered
	5.2	Recovery of Possession of Property	Covered
	5.3	Specific Performance of Contracts	Covered
	5.4	Rectification of Instruments	Covered
	5.5	Rescission of Contracts	Covered
	5.6	Cancellation of Instruments	Covered
	5.7	Declaratory Decrees	Covered
	5.8	Preventive Relief (Temporary and Perpetual Injunctions)	Covered

Table of Contents

Syllabus Checklist (Unit-wise Topic List) **2**

UNIT I: General Principles of Contract and Formation of Contract **6**

1.1 History and nature of contractual obligations 7
1.2 Moral basis of contractual obligations 11
1.3 Subjective and objective theories 14
1.4 Sanctity of contracts 18
1.5 Agreement and Contract – Meaning and Definitions 22
1.6 Types of Contracts 26
1.7 Proposal and Acceptance 30
1.8 Essential elements of a valid offer and acceptance 34
1.9 Communication and Revocation of Offer and Acceptance 38
1.10 Invitation to Offer 42
1.11 Standing, Floating and Cross Offers; Tenders 46

UNIT II: Essential Elements of a Valid Contract **51**

2.1 Consideration (Nudum Pactum) – Meaning, Need and Kinds 52
2.2 Essential Elements of Consideration 56
2.3 Privity of Contract and Exceptions 60
2.4 Privity of Consideration 64
2.5 Adequacy of Consideration 67
2.6 Present, Past and Future Consideration 70
2.7 Unlawful Consideration and its Effect 73
2.8 Capacity to Contract 76
2.9 Minor's Agreements 79
2.10 Restitution and Affirmation 83
2.11 Ratification by Minor 87
2.12 Estoppel 90
2.13 Free Consent 94
2.14 Coercion 97
2.15 Undue Influence 101
2.16 Fraud 104
2.17 Misrepresentation 108
2.18 Mistake 111

UNIT III: Legality of Objects and Void Agreements **115**

3.1 Lawful and Unlawful Consideration and Objects 116
3.2 Void, Voidable, Illegal and Unlawful Agreements 119
3.3 Agreements Forbidden by Law 122
3.4 Agreements Defeating the Provisions of Law 125
3.5 Fraudulent Agreements 128
3.6 Agreements Injurious to Person or Property 131
3.7 Immoral Agreements 133
3.8 Agreements Opposed to Public Policy 136
3.9 Void Agreements 140
3.10 Agreements without Consideration 143
3.11 Agreements in Restraint of Marriage 147
3.12 Agreements in Restraint of Trade and Exceptions 150
3.13 Agreements in Restraint of Legal Proceedings 154

3.14 Uncertain Agreements 157
3.15 Wagering Agreements and Exceptions 160

UNIT IV: Discharge of Contract, Quasi-Contracts and Remedies for Breach 164
4.1 Discharge by Performance 165
4.2 Valid Tender of Performance 169
4.3 Reciprocal Promises 172
4.4 Time as the Essence of Contract 175
4.5 Discharge by Breach (Actual and Anticipatory) 178
4.6 Impossibility of Performance and Frustration 181
4.7 Effect of Frustration and Restitution 185
4.8 Discharge by Agreement 188
4.9 Rescission, Alteration, Remission, Waiver 191
4.10 Accord and Satisfaction 195
4.11 Limitation 198
4.12 Quasi-Contracts 201
4.13 Damages for Breach of Contract 205
4.14 Remoteness and Assessment of Damages 209
4.15 Injunction 213
4.16 Refund and Restitution 216
4.17 Specific Performance as a Remedy 219

UNIT V: Specific Relief Act, 1963 223
5.1 Nature, Scope and Object of the Specific Relief Act 224
5.2 Recovery of Possession of Property 228
5.3 Specific Performance of Contracts 232
5.4 Rectification of Instruments 236
5.5 Rescission of Contracts 239
5.6 Cancellation of Instruments 242
5.7 Declaratory Decrees 245
5.8 Preventive Relief (Temporary and Perpetual Injunctions) 248

References / Bibliography 252

UNIT I

General Principles of Contract and Formation of Contract

Topics in this Unit

1.1 History and nature of contractual obligations

1.2 Moral basis of contractual obligations

1.3 Subjective and objective theories

1.4 Sanctity of contracts

1.5 Agreement and Contract – Meaning and Definitions

1.6 Types of Contracts

1.7 Proposal and Acceptance

1.8 Essential elements of a valid offer and acceptance

1.9 Communication and Revocation of Offer and Acceptance

1.10 Invitation to Offer

1.11 Standing, Floating and Cross Offers; Tenders

Topic 1.1: History and Nature of Contractual Obligations

Introduction

Every day, people make promises and enter into arrangements with each other: buying vegetables, booking a bus ticket, taking a job, renting a house or borrowing money. Most of these arrangements are contracts. The law of contract is the branch of law that decides which promises the law will enforce, how they are made, what happens when they are broken, and what remedies the injured party can claim. To understand the modern Indian Contract Act, 1872, a student must first understand how the idea of a binding promise developed over time and what kind of obligation a contract creates.

Definition

A **contractual obligation** is a legal duty that a person voluntarily takes upon himself by making an agreement that the law recognises and enforces. Sir William Anson described a contract as "a legally binding agreement made between two or more parties, by which rights are acquired by one or more to acts or forbearances on the part of the other or others". Section 2(h) of the Indian Contract Act, 1872 (ICA) defines a contract simply as "an agreement enforceable by law".

> **Contractual obligation:** a duty that arises because the parties have agreed to it (a voluntarily assumed duty), as distinguished from duties imposed by law irrespective of agreement (for example, the duty not to commit a tort or a crime).

Detailed Explanation

1. Roman Law Origins

The Roman jurists were the first to build a systematic law of obligations. They divided obligations into those arising from contract (*ex contractu*), from wrongs (*ex delicto*), and from other sources. Early Roman law did not enforce every agreement; a bare agreement (*nudum pactum*) gave no action. An agreement became binding only if it was made in a recognised form, for example the *stipulatio*, a formal question-and-answer ("Do you promise to pay 100?" "I promise."). Later, Roman law recognised consensual contracts such as sale, hire, partnership and mandate, which were binding by mere agreement. The maxim *pacta sunt servanda* ("agreements must be kept") comes from this tradition and still expresses the basic idea of contract law.

2. Development in English Common Law

English law, which strongly influenced the Indian Act, developed contract law slowly through "forms of action":

1. **Action of covenant:** available only for promises made under seal (a formal deed).

2. **Action of debt:** to recover a fixed sum of money owed, for example the price of goods delivered.
3. **Action of assumpsit:** originally an action in tort for harm caused by careless performance of an undertaking. It gradually expanded to cover non-performance of informal promises. In **Slade's Case (1602)** the courts allowed assumpsit to be used in place of debt, which made informal promises generally enforceable.
4. **Doctrine of consideration:** to decide which informal promises to enforce, English courts required something given in return for the promise (consideration). This remains a central requirement.
5. **Nineteenth century and freedom of contract:** during the industrial revolution, judges emphasised freedom of contract and the sanctity of agreements. Most of the classical rules on offer, acceptance, consideration and damages were settled in this period, for example *Hadley v Baxendale* (1854) on remoteness of damages.

3. Contract Law in Ancient and Medieval India

Contractual ideas are very old in India. The Dharmashastras (Manu, Yajnavalkya, Narada and Brihaspati) discussed debts, deposits, sale, partnership, wages and the rule of **Damdupat** (interest could never exceed the principal). They also said that agreements made by minors, intoxicated persons, or under fraud or force were not binding, which is similar to the modern rules on capacity and free consent. Under Muslim rule, Islamic law governed contracts between Muslims, including the prohibition of *riba* (interest) and of uncertain or gambling transactions (*gharar*).

4. The British Period and Codification

1. In the Presidency towns (Calcutta, Madras and Bombay), English law was applied by the Crown courts under the Charter of 1726 and later charters.
2. The Act of Settlement, 1781 and later regulations directed that in matters of contract and succession between Hindus or Muslims, their own personal law should apply, and where parties belonged to different communities, the law of the defendant applied.
3. This produced uncertainty. The **Third Indian Law Commission** (1861) drafted a contract code based mainly on English law, modified to suit Indian conditions.
4. The **Indian Contract Act, 1872** was passed on 25 April 1872 and came into force on **1 September 1872**. It extends to the whole of India.
5. Some chapters were later removed and enacted as separate statutes: sale of goods (Sale of Goods Act, 1930) and partnership (Indian Partnership Act, 1932).

5. Scheme of the Indian Contract Act, 1872

Part of the Act	Sections	Subject
Preliminary	1–2	Title, extent, interpretation clause (definitions)

Part of the Act	Sections	Subject
General principles	3–75	Communication, essentials of a valid contract, void agreements, contingent contracts, performance, quasi-contracts, breach and damages
Special contracts	124–238	Indemnity, guarantee, bailment, pledge and agency (studied in Contracts II)

6. The ICA is Not an Exhaustive Code

The Preamble says the Act is intended "to define and amend **certain parts** of the law relating to contracts". So the Act does not cover every question. Where it is silent, Indian courts apply principles of justice, equity and good conscience, often drawing on English decisions, provided they are consistent with the Act.

7. Nature of Contractual Obligations

1. **Voluntarily assumed:** unlike tort or criminal liability, a contractual duty arises because the parties chose to be bound.
2. **Right in personam:** a contract creates rights against a particular person (the other party), not against the whole world. The owner of land has a right *in rem*; a buyer under an agreement to sell has only a right *in personam* against the seller.
3. **Based on agreement:** there must be a meeting of minds, i.e. an offer and its acceptance.
4. **Enforceable by law:** only agreements that satisfy the conditions in section 10 (free consent, competent parties, lawful consideration and object, not expressly declared void) become contracts.
5. **Remedial:** the law gives remedies on breach, such as damages, specific performance and injunction.
6. **Commercial foundation:** contract law gives the certainty and predictability that trade, banking, employment and business need.

8. Contract Distinguished from Other Obligations

Basis	Contract	Tort	Quasi-contract
Source of duty	Agreement of the parties	Imposed by law on everyone	Imposed by law to prevent unjust enrichment
Consent	Essential	Not required	Not required
Right	In personam	In rem	In personam
Remedy	Mainly damages measured by the bargain (liquidated or unliquidated)	Unliquidated damages	Restitution of the benefit (ss. 68–72)

Examples

- A agrees to sell his car to B for Rs. 3,00,000. Both are adults, they consent freely and the object is lawful. This is a contract: B can sue A if A refuses to deliver.
- A promises his friend B that he will come to B's birthday party. This is a social promise with no intention to create legal relations; it is not a contract.
- X carelessly drives and injures Y. X is liable in tort, even though there was no agreement between them.

Case Laws

Case Law: Irrawaddy Flotilla Co. v Bugwandas

Year: 1891 **Court:** Privy Council (on appeal from the Recorder of Rangoon)

Facts / Background: Goods were carried by a river carrier (the Irrawaddy Flotilla Company) and were lost. The question arose whether the liability of a common carrier was governed by the Indian Contract Act (which treats carriers like bailees) or by the special law relating to common carriers.

Legal Issue: Is the Indian Contract Act, 1872 an exhaustive code covering all contractual relations, so that the liability of a common carrier must be found only in the Act?

Court's Decision / What the Court Held: The Privy Council held that the Indian Contract Act is not a complete code. It deals only with "certain parts" of the law of contract, as its Preamble states. The liability of common carriers continued to be governed by the special law (the Carriers Act and the common law), not by the provisions on bailment.

Relevance to the Topic: The case establishes that the Indian Contract Act is not exhaustive. Where the Act is silent, courts may apply other statutes, English principles and justice, equity and good conscience.

Important Points

- The Indian Contract Act, 1872 came into force on 1 September 1872 and applies to the whole of India.
- Section 2(h): a contract is "an agreement enforceable by law".
- The Act is not an exhaustive code (*Irrawaddy Flotilla Co. v Bugwandas*, 1891).
- The law of contract developed from Roman law (*pacta sunt servanda*) and English common law (covenant, debt and assumpsit; consideration).
- Sale of goods and partnership were separated from the Act in 1930 and 1932 respectively.
- A contract creates a right in personam, voluntarily assumed, and enforceable by legal remedies.

Remember: A contractual obligation arises from agreement; a tortious obligation is imposed by law. This distinction is often asked in examinations.

Topic 1.2: Moral Basis of Contractual Obligations

Introduction

Why should the law enforce promises at all? Before learning the technical rules, it helps to understand the reasons that philosophers and judges give for treating promises as legally binding. These reasons are called the "moral basis" or "theoretical foundations" of contract law. They also explain why the law enforces some promises and not others.

Definition

The **moral basis of contractual obligation** refers to the ethical and philosophical justification for making a person legally responsible for keeping a promise that he has freely made.

> Charles Fried, in his book *Contract as Promise* (1981), argued that a person who makes a promise intentionally invokes a convention of trust, and therefore has a moral duty to keep it. The law of contract, in this view, enforces this moral duty.

Detailed Explanation

1. The Promise Principle (Will Theory)

A promise is an act of the will by which a person binds himself to act in a certain way in the future. Since the promisor freely chose to bind himself, it is morally right to hold him to his word. Respecting a person's promise is also a way of respecting his autonomy (his freedom to decide for himself). Natural law thinkers such as Grotius and Pufendorf, and the maxim *pacta sunt servanda*, express this idea.

2. The Reliance Theory

According to this theory, a promise should be enforced because the promisee relies on it and changes his position, for example by spending money, refusing other offers or preparing for performance. Breaking the promise causes harm to the person who trusted it. The law protects this reliance. Doctrines such as promissory estoppel and reliance damages are based on this idea.

3. The Benefit (Bargain) Theory

A promise is enforced because the promisor has received something in return, whether a benefit to himself or a detriment to the promisee. This is the basis of the doctrine of consideration. A person who has taken the benefit of a bargain should not be allowed to escape his part of it.

4. Economic Efficiency Theory

Economists argue that contract law is justified because it encourages trade and the movement of resources to those who value them most. Enforceable promises allow planning, credit and investment. The theory also explains why the main remedy is usually damages rather than forced performance.

5. Social Utility and Trust

Society cannot function without trust. If promises could be broken freely, commerce, employment, banking and family arrangements would be uncertain. By enforcing contracts, the State supports a culture of honesty and fair dealing.

6. Limits of the Moral Basis: Why Not All Promises Are Enforced

Although promise-keeping is a moral duty, the law does not enforce every promise. The reasons are:

1. **No intention to create legal relations:** social and domestic promises are not enforced (*Balfour v Balfour*, 1919).
2. **Absence of consideration:** a bare promise (*nudum pactum*) is generally void under section 25 ICA, subject to exceptions.
3. **Incapacity:** promises by minors are void (*Mohori Bibee v Dharmodas Ghose*, 1903).
4. **Lack of free consent:** promises obtained by coercion, fraud and so on are voidable.
5. **Unlawful object:** an immoral or illegal promise is void (section 23).
6. **Practical reasons:** courts cannot supervise vague or trivial promises.

7. Moral Obligations Recognised by the Indian Act

The Indian Act gives more effect to moral obligations than English law does:

- **Section 25(1):** a written and registered promise made out of natural love and affection between near relatives is enforceable without consideration.
- **Section 25(2):** a promise to compensate a person who has voluntarily done something for the promisor is enforceable.
- **Section 25(3):** a written and signed promise to pay a time-barred debt is enforceable.
- **Quasi-contracts (ss. 68–72):** the law imposes an obligation to return benefits unjustly received, which is a moral principle against unjust enrichment.

Theory	Why promises are binding	Legal doctrine it supports
Will / promise theory	The promisor freely chose to be bound	Consent, intention, freedom of contract
Reliance theory	The promisee relied on the promise	Promissory estoppel, reliance damages
Bargain / benefit theory	Something was given in exchange	Doctrine of consideration
Efficiency theory	Enforcement promotes trade and wealth	Expectation damages, remoteness rules
Social utility	Trust is necessary for society	Sanctity of contracts, public policy

Examples

- A promises to pay B Rs. 10,000 if B leaves his current job and joins A's firm. B resigns and joins A. Both the bargain theory and the reliance theory justify enforcement.
- A promises his neighbour that he will water the neighbour's plants while he is away, and then forgets. Morally A has broken a promise, but the law will not enforce it because there was no intention to create legal relations and no consideration.

Case Laws

Case Law: Eastwood v Kenyon

Year: 1840 **Court:** Court of Queen's Bench, England

Facts / Background: The guardian of a young girl (Sarah) spent his own money on her upbringing and education, and borrowed money for the purpose. After she came of age and married, her husband (Kenyon) promised the guardian that he would repay the loan. He failed to pay, and the guardian sued him.

Legal Issue: Is a moral obligation, arising from a past benefit, sufficient consideration to make a later promise legally enforceable?

Court's Decision / What the Court Held: The court held that the promise was not enforceable. A mere moral obligation is not sufficient consideration; otherwise every promise would become binding. The benefit had been conferred in the past and not at the request of the promisor.

Relevance to the Topic: The case shows that English law did not enforce promises merely because there was a moral duty behind them. Indian law partly differs: section 25(2) ICA makes a promise to compensate a person who has voluntarily done something for the promisor enforceable.

Important Points

- Contractual obligation is based on the moral principle that promises must be kept (*pacta sunt servanda*).
- The main theories are will theory, reliance theory, bargain theory, efficiency theory and social utility.
- The law does not enforce every moral promise. It requires agreement, intention, consideration, capacity, free consent and lawful object.
- Indian law gives more scope to moral obligations through section 25 and quasi-contracts.

Remember: A moral obligation alone is not consideration (*Eastwood v Kenyon*, 1840), but section 25 ICA creates statutory exceptions.

Topic 1.3: Subjective and Objective Theories

Introduction

A contract is based on agreement, which means that the minds of the parties must meet. But how does a court decide whether the parties actually agreed? A judge cannot look into a person's mind. Two theories answer this question: the **subjective theory** (what the parties actually intended) and the **objective theory** (what a reasonable person would understand from their words and conduct).

Definition

> **Subjective theory:** a contract exists only when there is a real meeting of the minds of the parties (*consensus ad idem*) on the same thing in the same sense, judged by their actual inner intentions.

> **Objective theory:** a contract exists when the words and conduct of the parties, judged by the standard of a reasonable person, show an agreement, whatever their secret intentions may be.

Detailed Explanation

1. The Subjective Theory (Will Theory)

In the nineteenth century, many judges and writers (influenced by the French jurist Pothier and the "will theory") said that a contract was the union of two wills. If one party meant one thing and the other meant something different, there was no contract, because their minds never met.

Features:

1. It emphasises the actual, inner intention of each party.
2. A mistake by either party about the subject matter may prevent a contract from arising.
3. It protects a party from being bound by something he did not truly intend.

Criticism:

- It is uncertain, because the other party cannot know someone's secret thoughts.
- It makes commercial transactions unsafe: a party could escape a bargain by claiming he meant something else.
- Courts cannot prove inner intention except through outward evidence.

2. The Objective Theory

Under the objective theory, the law looks at what the parties said and did, and asks how a reasonable person in the position of the other party would have understood it. If a reasonable

person would understand that an agreement was made, the party is bound even if he secretly intended something else.

Features:

1. It focuses on outward expressions: words, writing and conduct.
2. It promotes certainty and protects the reasonable expectations of the other party.
3. It is the dominant approach in modern English and Indian law.

Criticism:

- It can sometimes bind a person to an agreement he never intended.
- Courts therefore make exceptions where the other party knew of the mistake.

3. Position under the Indian Contract Act

Section 13 ICA says: "Two or more persons are said to consent when they agree upon **the same thing in the same sense**." This language sounds subjective (consensus ad idem). However, Indian courts, like English courts, decide the question objectively, from the words and conduct of the parties. Sections 20 to 22 (mistake) show that a mutual mistake as to an essential fact makes the agreement void, while a unilateral mistake generally does not.

4. Comparison

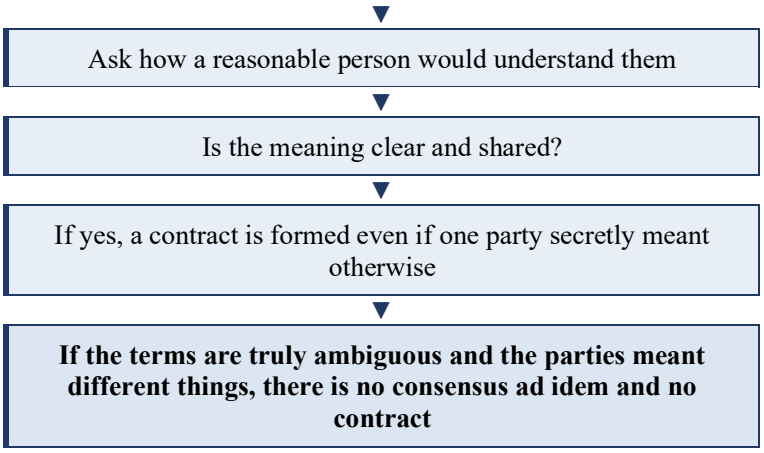
Point	Subjective theory	Objective theory
Test	Actual intention of the parties	Intention as it appears to a reasonable person
Basis	Meeting of minds (consensus ad idem)	Outward words and conduct
Advantage	Protects true intention	Certainty in commerce
Disadvantage	Uncertain; difficult to prove	May bind a person against his real will
Modern status	Limited role (e.g. mutual mistake)	Dominant approach

5. Application in Practice

1. **Interpretation of contracts:** courts give words their ordinary meaning in context, not the meaning a party privately had in mind.
2. **Intention to create legal relations:** decided objectively (commercial agreements are presumed binding; domestic ones are not).
3. **Mistake:** if both parties are at cross-purposes and a reasonable person cannot decide which meaning is correct, there is no contract.

Flowchart: How courts decide whether an agreement exists

Look at the words and conduct of the parties



The flowchart shows that courts begin with the objective test and fall back on the subjective idea of consensus only where the outward expressions are genuinely ambiguous.

Examples

- A offers to sell "my car" for Rs. 2 lakh. A owns two cars and privately means the older one; B reasonably understands it to mean the newer one that A always drives. Applying the objective test, the court may hold A bound to sell the car that a reasonable person would understand.
- A agrees to buy "cotton arriving by the ship Peerless". There are two ships with that name, and A means one while B means the other. No reasonable person can decide which was meant, so there is no contract.

Case Laws

Case Law: Smith v Hughes

Year: 1871 **Court:** Court of Queen's Bench, England

Facts / Background: The plaintiff (a farmer) showed a sample of oats to the defendant (a racehorse trainer), who bought them. The oats were new oats, but the defendant thought he was buying old oats, which are suitable for horses. When he found they were new, he refused to accept them. The seller had made no statement that the oats were old.

Legal Issue: Is the buyer bound when he was mistaken about the quality of the goods but the seller made no misrepresentation?

Court's Decision / What the Court Held: The court held that a mistake by the buyer about the quality of the goods did not prevent a contract. Blackburn J. laid down the objective test: if a man so conducts himself that a reasonable man would believe he was assenting to the terms proposed by the other party, and the other party contracts on that belief, he is bound as if he had intended to agree. A new trial was ordered to determine whether the seller knew the buyer believed the oats were being sold as old.

Relevance to the Topic: This is the leading authority for the objective theory of agreement.

Case Law: Raffles v Wichelhaus

Year: 1864 **Court:** Court of Exchequer, England

Facts / Background: The parties agreed on the sale of cotton "to arrive ex Peerless from Bombay". There were two ships named Peerless sailing from Bombay, one in October and one in December. The buyer meant the October ship and the seller meant the December ship.

Legal Issue: Is there a binding contract when the parties meant different things by an ambiguous term?

Court's Decision / What the Court Held: The court held that there was no binding contract, because there was no consensus ad idem; the parties meant different ships and nothing showed which meaning was correct.

Relevance to the Topic: The case shows the subjective element in contract law: where an expression is genuinely ambiguous and the parties mean different things, no contract arises.

Important Points

- Section 13 ICA defines consent as agreement on "the same thing in the same sense" (consensus ad idem).
- Modern law follows the objective theory: what a reasonable person would understand.
- *Smith v Hughes* (1871): objective test of agreement.
- *Raffles v Wichelhaus* (1864): no contract where a term is genuinely ambiguous and the parties mean different things.

Remember: The objective theory promotes certainty; the subjective theory explains why there is no contract in cases of genuine mutual misunderstanding.

Topic 1.4: Sanctity of Contracts

Introduction

Once parties have freely made a contract, they are expected to perform it. This idea is called the **sanctity of contracts**. It is closely connected with **freedom of contract**: the freedom of individuals to decide whether to contract, with whom, and on what terms. Together, these ideas form the backbone of commercial life. However, modern law also recognises that unlimited freedom can lead to injustice, so the principle is subject to important limits.

Definition

> **Sanctity of contracts** means that a valid contract must be respected and performed according to its terms, and courts will not lightly allow a party to escape from it or rewrite it (*pacta sunt servanda*: agreements must be kept).

Detailed Explanation

1. Meaning and Basis

1. Parties who have voluntarily entered into a contract are bound by it.
2. Courts enforce the terms the parties agreed to; they do not make a new contract for them.
3. A contract does not become unenforceable merely because it turns out to be hard, unprofitable or inconvenient for one party.

2. The Classical View: Freedom of Contract

In the nineteenth century, freedom of contract was regarded as almost absolute. Sir George Jessel M.R. in *Printing and Numerical Registering Co. v Sampson* (1875) said that men of full age and competent understanding should have the utmost liberty of contracting, and their contracts, when entered into freely and voluntarily, shall be held sacred and enforced by courts of justice.

3. Why Sanctity is Important

1. **Certainty and predictability:** businesses can plan on the basis of contracts.
2. **Trust in commerce:** parties can rely on each other's promises.
3. **Economic development:** investment, credit and trade depend on enforceable agreements.
4. **Respect for autonomy:** people are treated as responsible adults who make their own choices.

4. Limits on Sanctity and Freedom of Contract

Modern law recognises that parties are not always equal, and that some contracts are unfair or harmful to society. The main limits are:

Limitation	Legal basis	Explanation
Capacity	Sections 11–12 ICA	Minors and persons of unsound mind cannot make valid contracts
Free consent	Sections 14–22	Coercion, undue influence, fraud, misrepresentation and mistake affect validity
Lawful object	Section 23	Agreements forbidden by law, fraudulent, immoral or opposed to public policy are void
Void agreements	Sections 24–30, 56	Restraint of trade, marriage or legal proceedings, wagering, uncertainty, impossibility
Frustration	Section 56	Supervening impossibility discharges the contract
Standard form contracts	Section 23 and constitutional values	Unconscionable terms imposed by a stronger party may be struck down
Statutory regulation	Consumer Protection Act 2019, labour laws, rent control laws	The State regulates terms to protect weaker parties

5. Standard Form Contracts and Inequality of Bargaining Power

Today, many contracts are in standard printed forms prepared by one party (insurance policies, bank loan agreements, airline tickets, online terms and conditions). The weaker party has no real choice but to sign. The law protects such persons by:

1. Requiring reasonable notice of onerous terms (the "ticket cases").
2. Interpreting ambiguous terms against the party who drafted them (*contra proferentem*).
3. Striking down unconscionable terms as opposed to public policy.
4. Statutory protection, e.g. the Consumer Protection Act, 2019 recognises "unfair contracts" and "unfair trade practices".

6. Sanctity and Frustration

Sanctity also explains why courts apply the doctrine of frustration narrowly. A contract is not discharged merely because performance has become more expensive or difficult. It is discharged only if performance becomes impossible or radically different from what was agreed (see Unit IV).

Examples

- A agrees to supply 1,000 bags of cement to B at Rs. 350 per bag for six months. Prices rise to Rs. 450. A cannot refuse to perform simply because the contract has become unprofitable.

- A bank inserts a clause in its printed loan form allowing it to change the interest rate at any time without notice. Such a one-sided term may be challenged as unfair and opposed to public policy.

Case Laws

Case Law: Central Inland Water Transport Corporation Ltd. v Brojo Nath Ganguly

Year: 1986 **Court:** Supreme Court of India

Facts / Background: The Corporation, a government company, had a service rule (Rule 9(i)) allowing it to terminate the services of any permanent employee by giving three months' notice or pay in lieu, without any reason. The employees had no choice but to accept these terms in order to get the job. Their services were terminated under this rule.

Legal Issue: Is a term in a contract of employment, imposed by a party with superior bargaining power, valid if it is unfair and unreasonable?

Court's Decision / What the Court Held: The Supreme Court held that the rule was unconscionable, unfair and unreasonable, and was void under section 23 ICA as being opposed to public policy, as well as violating Article 14 of the Constitution. Courts will not enforce an unfair and unreasonable term in a contract entered into between parties who are not equal in bargaining power.

Relevance to the Topic: The case shows that the sanctity of contracts is not absolute. Freedom of contract assumes equality; where one party dictates terms, courts can refuse to enforce unconscionable clauses.

Case Law: Energy Watchdog v Central Electricity Regulatory Commission

Year: 2017 **Court:** Supreme Court of India

Facts / Background: Power generating companies had agreed to supply electricity at fixed tariffs, planning to use coal imported from Indonesia. Indonesia changed its law, and the price of coal increased sharply. The generators claimed that performance had become commercially impracticable and sought relief under the force majeure clause and section 56 ICA.

Legal Issue: Does a sharp increase in the cost of performance frustrate a contract or attract force majeure?

Court's Decision / What the Court Held: The Supreme Court held that a rise in price, making the contract more onerous, does not amount to frustration under section 56 or force majeure, especially where the contract did not make Indonesian coal the only source and the risk of price changes was foreseeable.

Relevance to the Topic: The case strongly upholds the sanctity of contracts: hardship or loss is not a ground for escaping a contract.

Important Points

- Sanctity of contracts means that valid agreements must be honoured (*pacta sunt servanda*).
- It is based on freedom of contract, certainty and respect for autonomy.
- It is limited by rules on capacity, free consent, lawful object, void agreements, frustration and statutory regulation.
- Unconscionable terms imposed by a stronger party may be void (*Brojo Nath Ganguly*, 1986).
- A mere rise in cost does not frustrate a contract (*Energy Watchdog*, 2017).

Remember: Freedom of contract assumes equal bargaining power; where it is absent, courts protect the weaker party.

Topic 1.5: Agreement and Contract – Meaning and Definitions

Introduction

The Indian Contract Act, 1872 builds the idea of a contract step by step through a chain of definitions in section 2. A student must understand each step: a proposal, its acceptance, a promise, consideration, an agreement and finally a contract. The well-known statement "all contracts are agreements, but all agreements are not contracts" is explained by these definitions.

Definition

> **Section 2(e):** "Every promise and every set of promises, forming the consideration for each other, is an agreement."

> **Section 2(h):** "An agreement enforceable by law is a contract."

Detailed Explanation

1. The Chain of Definitions in Section 2

Clause	Term	Definition (simplified)
2(a)	Proposal	When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other
2(b)	Acceptance and promise	When the person to whom the proposal is made signifies his assent, the proposal is accepted; a proposal when accepted becomes a promise
2(c)	Promisor and promisee	The person making the proposal is the promisor; the person accepting is the promisee
2(d)	Consideration	When, at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains, or promises to do or abstain, something, such act, abstinence or promise is called consideration
2(e)	Agreement	Every promise and every set of promises forming consideration for each other
2(f)	Reciprocal promises	Promises which form the consideration or part of the consideration for each other
2(g)	Void agreement	An agreement not enforceable by law
2(h)	Contract	An agreement enforceable by law
2(i)	Voidable contract	An agreement enforceable at the option of one or more parties but not at the option of the other

Clause	Term	Definition (simplified)
2(j)	Void contract	A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable

Flowchart: Formation of a contract under section 2



The flowchart shows that a contract is the final stage. Every contract passes through the stage of an agreement, but an agreement becomes a contract only if it is enforceable by law.

2. Meaning of Agreement

An agreement has two elements:

1. **Plurality of persons:** there must be at least two parties, since a person cannot contract with himself.
2. **Consensus ad idem:** the parties must agree on the same thing in the same sense (section 13).

An agreement may be a social, moral, domestic or legal agreement. Only legal agreements, i.e. those that satisfy section 10, are contracts.

3. Meaning of Contract: Section 10

Section 10 says that all agreements are contracts if they are made:

1. by the **free consent** of parties (sections 13–22);
2. by parties **competent** to contract (sections 11–12);
3. for a **lawful consideration** and with a **lawful object** (section 23);
4. and are **not expressly declared to be void** by the Act (sections 24–30, 56).

Section 10 also preserves any law requiring a contract to be in writing, attested or registered (for example, a sale of immovable property worth Rs. 100 or more must be registered).

4. Essentials of a Valid Contract

1. Offer and acceptance.
2. Intention to create legal relations.
3. Lawful consideration.
4. Capacity of parties.
5. Free consent.
6. Lawful object.
7. Agreement not declared void.
8. Certainty and possibility of performance (sections 29 and 56).
9. Legal formalities, where required (writing, registration, stamp).

5. Intention to Create Legal Relations

Although the ICA does not expressly mention it, courts require that the parties intended their agreement to have legal consequences:

- **Commercial agreements:** intention is presumed, unless expressly excluded (an "honour clause").
- **Social and domestic agreements:** there is a presumption against intention, unless the facts show otherwise.

6. "All Contracts are Agreements but All Agreements are not Contracts"

Every contract starts as an agreement, so all contracts are agreements. But an agreement becomes a contract only if it is enforceable. Social agreements, agreements by minors, wagering agreements and agreements with unlawful objects are agreements but not contracts.

Basis	Agreement	Contract
Definition	Section 2(e)	Section 2(h)
Scope	Wider; includes social and legal agreements	Narrower; only enforceable agreements
Enforceability	Not necessarily enforceable	Always enforceable
Legal obligation	May or may not create one	Always creates a legal obligation
Relation	Genus	Species

Examples

- A invites B to dinner and B accepts. This is an agreement but not a contract (no intention to create legal relations).

- A, aged 16, agrees to buy a mobile phone from B. This is an agreement but void, because A is a minor.
- A agrees to buy B's house for Rs. 50 lakh by a registered agreement. This is a contract.

Case Laws

Case Law: Balfour v Balfour

Year: 1919 **Court:** Court of Appeal, England

Facts / Background: Mr. Balfour, a civil servant working in Ceylon, came to England on leave with his wife. When he returned to Ceylon, his wife stayed back in England on medical advice. He promised to pay her £30 per month as maintenance. Later they separated, and he stopped paying. The wife sued to enforce the promise.

Legal Issue: Is a domestic arrangement between husband and wife a legally enforceable contract?

Court's Decision / What the Court Held: The Court of Appeal held that the agreement was not a contract. Atkin L.J. explained that arrangements between husband and wife in the ordinary course of married life are not intended to create legal relations, and the courts should not interfere in such domestic matters. Mutual promises made in the ordinary domestic relationship are not contracts.

Relevance to the Topic: The case shows that an agreement becomes a contract only when the parties intend legal consequences. It is a syllabus case on the distinction between agreement and contract.

Case Law: Rose and Frank Co. v J.R. Crompton and Bros. Ltd.

Year: 1925 **Court:** House of Lords (affirming the Court of Appeal), England

Facts / Background: Two companies entered into a commercial arrangement for the sale of paper. Their document contained an "honour clause" stating that it was not a formal or legal agreement and would not be subject to the jurisdiction of the courts.

Legal Issue: Can parties to a commercial agreement exclude the intention to create legal relations?

Court's Decision / What the Court Held: The courts held that the general arrangement was not legally binding because the parties had expressly excluded legal relations, although individual orders actually placed and accepted were binding contracts.

Relevance to the Topic: Commercial agreements are presumed to be binding, but the presumption can be rebutted by clear words.

Important Points

- Section 2(e) defines agreement; section 2(h) defines contract.
- Contract = Agreement + Enforceability (section 10).
- Intention to create legal relations is necessary (*Balfour v Balfour*, 1919).
- Commercial agreements are presumed to create legal relations unless excluded (*Rose and Frank v Crompton*, 1925).
- All contracts are agreements, but all agreements are not contracts.

Remember: Memorise the chain: proposal → acceptance → promise → consideration → agreement → contract.

Topic 1.6: Types of Contracts

Introduction

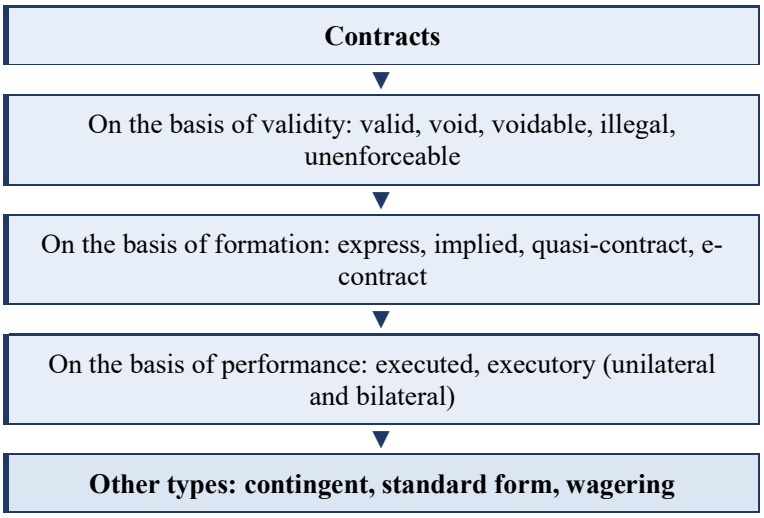
Contracts can be classified in many ways: according to their validity, the way they are formed, the stage of performance, or the obligations of the parties. Knowing these types helps a student understand what legal effect a particular agreement has and what remedies are available.

Definition

> **Classification of contracts** is the grouping of contracts on the basis of common features such as validity (valid, void, voidable), formation (express, implied, quasi) and performance (executed, executory), in order to understand their legal consequences.

Detailed Explanation

Flowchart: Classification of contracts



The flowchart shows the four main bases of classification. Each category is explained below.

A. On the Basis of Validity

1. **Valid contract:** an agreement that satisfies all the essentials in section 10. It is enforceable by both parties.
2. **Void agreement (section 2(g)):** an agreement not enforceable by law from the very beginning (void *ab initio*), for example an agreement with a minor or a wagering agreement.
3. **Void contract (section 2(j)):** a contract that was valid when made but later ceases to be enforceable, for example due to supervening impossibility (section 56).

4. **Voidable contract (section 2(i)):** enforceable at the option of one party but not the other, for example a contract induced by coercion, undue influence, fraud or misrepresentation (sections 19 and 19A). It is valid until the aggrieved party rescinds it.
5. **Illegal agreement:** an agreement whose object is forbidden by law or opposed to public policy. Every illegal agreement is void, but every void agreement is not illegal. Collateral agreements to an illegal agreement are also tainted.
6. **Unenforceable contract:** a contract that is valid in substance but cannot be enforced because of a technical defect, such as lack of required stamp duty or registration, or because it is barred by limitation.

B. On the Basis of Formation

1. **Express contract:** made by words, spoken or written (section 9).
2. **Implied contract:** inferred from conduct or circumstances (section 9). For example, boarding a bus implies a promise to pay the fare.
3. **Tacit contract:** a type of implied contract inferred from conduct, e.g. withdrawing cash from an ATM.
4. **Quasi-contract:** not a real contract, but an obligation imposed by law to prevent unjust enrichment (sections 68–72), for example the duty to pay for necessaries supplied to an incapable person, or to return money paid by mistake.
5. **E-contract:** a contract made through electronic means such as email, websites or click-wrap agreements, recognised by section 10A of the Information Technology Act, 2000.

C. On the Basis of Performance

1. **Executed contract:** both parties have performed their obligations, e.g. a cash sale completed.
2. **Executory contract:** obligations remain to be performed, wholly or partly, by one or both parties.
3. **Unilateral contract:** only one party has an obligation outstanding (e.g. the reward cases, where the promisor is bound only if the act is done).
4. **Bilateral contract:** both parties have obligations outstanding (promise for promise).

D. Other Important Types

1. **Contingent contract (section 31):** a contract to do or not to do something if some collateral event happens or does not happen, e.g. insurance contracts.
2. **Standard form contract:** pre-printed terms offered on a "take it or leave it" basis.
3. **Wagering agreement (section 30):** an agreement by way of bet; void.
4. **Formal contracts:** contracts requiring a particular form, e.g. contracts under seal in England, or registered documents in India.

Type	Enforceable?	Example
Valid	Yes, by both parties	Ordinary sale for a price
Void agreement	No, from the beginning	Agreement with a minor
Void contract	Was valid, later unenforceable	Contract to sing at a hall that is burnt down
Voidable	At the option of the aggrieved party	Contract signed at gunpoint
Illegal	No, and collateral agreements are also tainted	Agreement to smuggle goods
Unenforceable	No, due to a technical defect	Unstamped agreement

Examples

- A drops a coin in a weighing machine and gets a ticket. This is an implied contract.
- A agrees to pay B Rs. 5 lakh if B's ship returns safely. This is a contingent contract.
- A agrees to sell goods to B for cash, and both perform immediately. This is an executed contract.

Case Laws

Case Law: Upton-on-Severn Rural District Council v Powell

Year: 1942 **Court:** Court of Appeal, England

Facts / Background: A fire broke out at the defendant's farm. He telephoned the local police and asked for the fire brigade. The police called the Upton fire brigade, which put out the fire. The farm was in fact outside the Upton district, where the fire brigade's services were not free. Neither party knew this at the time. The Council claimed payment.

Legal Issue: Was there a contract between the farmer and the Council, even though no express agreement about payment was made?

Court's Decision / What the Court Held: The Court of Appeal held that there was an implied contract. The farmer had asked for the fire brigade's services, and they were provided in circumstances where payment was due, so he had to pay for them.

Relevance to the Topic: The case illustrates an implied contract arising from the conduct of the parties (section 9 ICA).

Case Law: Trimex International FZE Ltd. v Vedanta Aluminium Ltd.

Year: 2010 **Court:** Supreme Court of India

Facts / Background: The parties negotiated a contract for the supply of bauxite through an exchange of emails. The essential terms were agreed by email, but no formal signed contract was later executed. A dispute arose about whether there was a binding contract (including an arbitration agreement).

Legal Issue: Can a binding contract be concluded through emails even if a formal document is not signed later?

Court's Decision / What the Court Held: The Supreme Court held that once the essential terms were agreed through emails, a concluded contract came into existence. The absence of a formal signed document did not prevent the contract from being binding.

Relevance to the Topic: The case recognises contracts made through electronic communication, an important modern type of contract.

Important Points

- Section 2(g): void agreement; section 2(i): voidable contract; section 2(j): void contract.
- Section 9: express and implied promises.
- All illegal agreements are void, but all void agreements are not illegal.
- Quasi-contracts are not real contracts but obligations imposed by law (sections 68–72).
- E-contracts are valid (section 10A, IT Act 2000; *Trimex v Vedanta*, 2010).

Remember: Distinguish carefully between "void agreement" (void from the start) and "void contract" (becomes void later).

Topic 1.7: Proposal and Acceptance

Introduction

Every contract begins with a proposal (also called an offer) by one party and its acceptance by the other. The Indian Contract Act uses the word "proposal", while English law uses the word "offer"; both mean the same thing. Without a valid proposal and a valid acceptance, there is no agreement and therefore no contract.

Definition

> **Proposal – Section 2(a):** "When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal."

> **Acceptance – Section 2(b):** "When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise."

Detailed Explanation

1. Elements of a Proposal

1. **Signification of willingness:** the proposer must express his willingness by words or conduct.
2. **To do or abstain:** the proposal may be positive (to sell goods) or negative (not to file a suit).
3. **To another person:** it must be made to another person, either a definite person or the public at large.
4. **With a view to obtaining assent:** the purpose must be to get the other party's agreement. A mere statement of intention or a statement of price is not a proposal.

2. Kinds of Proposal

Kind	Meaning	Example
Express proposal	Made by words, spoken or written	A writes to B offering to sell his bike
Implied proposal	Made by conduct	A bus running on a route offers to carry passengers
Specific proposal	Made to a definite person or group	A offers his house to B

Kind	Meaning	Example
General proposal	Made to the public at large; anyone who performs the conditions may accept	A reward for finding a lost dog (*Carlill v Carbolic Smoke Ball Co.*)
Cross proposal	Identical offers made by two parties to each other without knowledge of each other's offer	Discussed in Topic 1.11
Counter proposal	A reply that changes the terms; it rejects the original proposal	*Hyde v Wrench* (1840)
Standing / continuing proposal	An offer open for acceptance over a period, e.g. a tender to supply as and when required	Discussed in Topic 1.11

3. Acceptance

Acceptance is the final expression of assent to the terms of a proposal. Once the proposal is accepted, it becomes a promise and the parties become bound (if the other essentials are present).

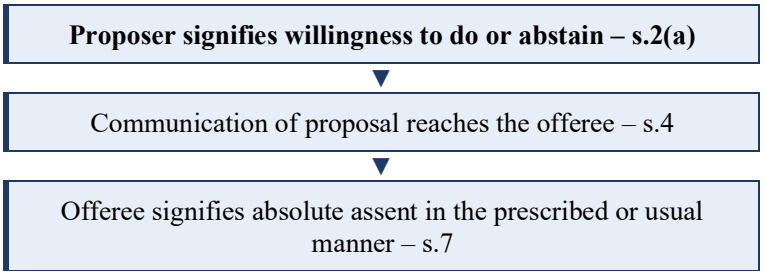
Modes of acceptance:

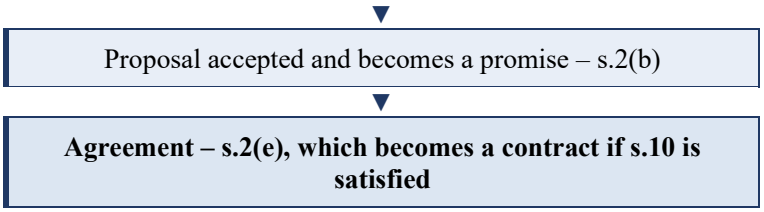
1. **Express acceptance:** by spoken or written words.
2. **Implied acceptance:** by conduct, e.g. performing the conditions of a general offer.
3. **Acceptance by performance (section 8):** "Performance of the conditions of a proposal, or the acceptance of any consideration for a reciprocal promise which may be offered with a proposal, is an acceptance of the proposal."

4. Who Can Accept?

1. A specific proposal can be accepted only by the person to whom it is made (*Boulton v Jones*, 1857).
2. A general proposal can be accepted by any person who performs the conditions with knowledge of the proposal.
3. Acceptance must be made with knowledge of the proposal. A person who performs the act without knowing of the offer cannot claim the reward (*Lalman Shukla v Gauri Dutt*, 1913).

Flowchart: From proposal to promise





Examples

- A says to B, "I will sell you my laptop for Rs. 30,000." This is a specific express proposal. If B says, "I accept," there is an agreement.
- A company announces that it will pay Rs. 10,000 to anyone who returns a lost laptop. This is a general proposal; anyone who returns it, knowing of the offer, accepts it by performance.

Case Laws

Case Law: Carlill v Carbolic Smoke Ball Co.

Year: 1893 **Court:** Court of Appeal, England

Facts / Background: The Carbolic Smoke Ball Company advertised in newspapers that it would pay £100 to any person who caught influenza after using its smoke ball three times daily for two weeks according to the directions. It added that it had deposited £1,000 with a bank to show its sincerity. Mrs. Carlill bought a smoke ball, used it as directed, and still caught influenza. She claimed £100. The company argued that it had made no contract with her.

Legal Issue: (i) Was the advertisement an offer or a mere puff? (ii) Can an offer be made to the whole world? (iii) Was communication of acceptance necessary?

Court's Decision / What the Court Held: The Court of Appeal held that the company was liable. (1) The advertisement was a definite offer, and the deposit of £1,000 showed an intention to be bound; it was not a mere puff. (2) An offer can be made to the world at large and becomes a contract with anyone who performs the conditions. (3) In such offers, notice of acceptance is not required; performance of the conditions is itself acceptance.

Relevance to the Topic: The leading case on general offers and acceptance by performance (section 8 ICA). It is a syllabus case.

Case Law: Lalman Shukla v Gauri Dutt

Year: 1913 **Court:** Allahabad High Court

Facts / Background: Gauri Dutt's nephew went missing. He sent his servant, Lalman Shukla, to search for him. After Lalman had left, Gauri Dutt announced a reward of Rs. 501

for anyone who found the boy. Lalman found the boy and brought him back without knowing of the reward. Later he learnt about it and claimed the reward.

Legal Issue: Can a person who performs the conditions of a general offer without knowing of the offer claim the reward?

Court's Decision / What the Court Held: The court held that Lalman was not entitled to the reward. There can be no acceptance without knowledge of the offer; acceptance requires assent to a proposal one knows of. Moreover, he was already under a duty to search for the boy as a servant.

Relevance to the Topic: The case establishes that knowledge of the proposal is essential for acceptance. It is a syllabus case.

Case Law: Hyde v Wrench

Year: 1840 **Court:** Court of Chancery, England

Facts / Background: Wrench offered to sell his farm to Hyde for £1,000. Hyde replied offering £950. Wrench refused. Hyde then said he accepted the original offer of £1,000. Wrench refused to sell.

Legal Issue: Can an offeree accept an offer after he has made a counter-offer?

Court's Decision / What the Court Held: The court held that there was no contract. Hyde's counter-offer of £950 was a rejection of the original offer, which therefore came to an end and could not be revived by a later acceptance.

Relevance to the Topic: Acceptance must be absolute and unqualified (section 7(1)); a counter-proposal destroys the original offer.

Important Points

- Proposal (offer): section 2(a). Acceptance: section 2(b).
- A proposal when accepted becomes a promise.
- An offer may be specific or general (*Carlill*, 1893).
- Performance of the conditions of a proposal is acceptance (section 8).
- Acceptance without knowledge of the offer is not acceptance (*Lalman Shukla*, 1913).
- A counter-offer rejects the original offer (*Hyde v Wrench*, 1840).

Remember: In general offers, the offeror waives communication of acceptance; performance itself is acceptance.

Topic 1.8: Essential Elements of a Valid Offer and Acceptance

Introduction

Not every statement or reply amounts to a valid offer or acceptance. The law lays down certain essential conditions. If an offer lacks these conditions, it is only an invitation, an inquiry or a statement of intention. If an acceptance lacks them, it is only a counter-offer or an ineffective reply. Understanding these essentials helps decide whether an agreement has actually been formed.

Definition

> A **valid offer** is a definite proposal, made with the intention of creating legal relations, communicated to the offeree, and capable of being accepted. A **valid acceptance** is an absolute and unqualified assent to the offer, communicated to the offeror in the prescribed or usual manner, while the offer is still in force.

Detailed Explanation

A. Essential Elements of a Valid Offer

1. **Intention to create legal relations:** an offer must be made with the intention of creating a legal obligation. Social invitations are not offers (*Balfour v Balfour*).
2. **Definite and certain terms:** the terms must be clear. An offer to pay "a reasonable bonus" or "more if the horse is lucky" is too vague (section 29).
3. **Communication to the offeree:** an offer is effective only when it comes to the knowledge of the offeree (section 4). An offer cannot be accepted without knowledge of it (*Lalman Shukla*).
4. **Distinguished from invitation to offer:** a price list, advertisement, display of goods or quotation is generally only an invitation (*Harvey v Facey*, 1893).
5. **May be general or specific:** an offer may be made to a particular person or to the public (*Carlill*).
6. **May be conditional:** the offeror may attach conditions, e.g. the time and mode of acceptance.
7. **Silence cannot be made acceptance:** the offeror cannot say that if no reply is received, the offer will be taken as accepted (*Felthouse v Bindley*, 1862).
8. **Not a mere statement of intention:** a statement that one intends to sell is not an offer.
9. **May be express or implied** (section 9).

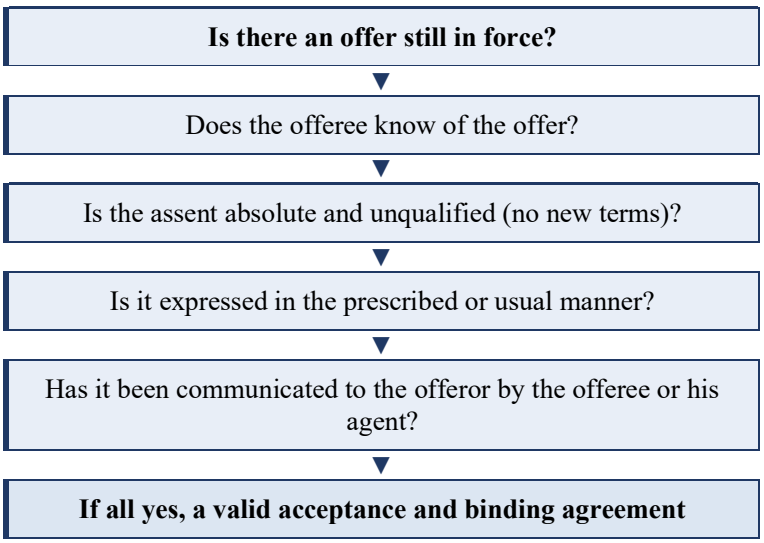
B. Essential Elements of a Valid Acceptance

1. **Absolute and unqualified (section 7(1)):** acceptance must correspond exactly with the offer (mirror image rule). Any change makes it a counter-offer (*Hyde v Wrench*).

2. **Expressed in the usual and reasonable manner, or in the prescribed manner (section 7(2)):** if the proposer prescribes a manner and the acceptance is not made in that manner, the proposer may, within a reasonable time after the acceptance is communicated to him, insist that it be made in the prescribed manner. If he does not do so, he is taken to have accepted the acceptance.
3. **Communicated to the proposer:** a mental resolution is not enough. Communication must be made by the offeree or his authorised agent (*Powell v Lee*, 1908).
4. **Made by the person to whom the offer is made.**
5. **Made while the offer is still in force:** before it lapses or is revoked (section 6).
6. **Made within the prescribed or a reasonable time.**
7. **Silence is not acceptance:** generally, silence does not amount to acceptance unless there is a duty to speak or a previous course of dealing.
8. **Acceptance cannot precede the offer:** acceptance must follow knowledge of the offer.
9. **Acceptance of a counter-offer:** a counter-offer may itself be accepted by the original offeror, forming a new contract.

Element	Valid offer	Valid acceptance
Key requirement	Definite willingness with intention to be bound	Absolute and unqualified assent
Communication	Must reach the offeree (s.4)	Must be communicated to the offeror (s.4)
Silence	Offeror cannot impose silence as acceptance	Silence is generally not acceptance
Leading case	*Harvey v Facey*; *Carlill*	*Hyde v Wrench*; *Felthouse v Bindley*

Flowchart: Testing a valid acceptance



Examples

- A offers to sell 100 bags of rice at Rs. 2,000 per bag. B replies, "I accept, but delivery must be at my godown." This is a counter-offer, not acceptance, if delivery terms were not part of the offer.
- A tells B, "If I do not hear from you by Friday, I will assume you have bought my car." B says nothing. There is no contract.

Case Laws

Case Law: Harvey v Facey

Year: 1893 **Court:** Privy Council (on appeal from Jamaica)

Facts / Background: Harvey telegraphed Facey: "Will you sell us Bumper Hall Pen? Telegraph lowest cash price." Facey replied: "Lowest price for Bumper Hall Pen £900." Harvey telegraphed: "We agree to buy Bumper Hall Pen for £900 asked by you." Facey did not reply and refused to sell.

Legal Issue: Was Facey's statement of the lowest price an offer capable of acceptance?

Court's Decision / What the Court Held: The Privy Council held that there was no contract. Facey had answered only the second question (the price); he had not answered whether he would sell. A statement of the lowest price is merely information, not an offer. Harvey's last telegram was an offer, which Facey never accepted.

Relevance to the Topic: A quotation of price is not an offer. An offer must show a clear willingness to be bound.

Case Law: Felthouse v Bindley

Year: 1862 **Court:** Court of Common Pleas, England

Facts / Background: Felthouse wanted to buy his nephew's horse. He wrote saying: "If I hear no more about him, I consider the horse mine at £30 15s." The nephew did not reply but told the auctioneer (Bindley) not to sell the horse. The auctioneer sold it by mistake. Felthouse sued the auctioneer for conversion.

Legal Issue: Can silence be treated as acceptance when the offeror says so?

Court's Decision / What the Court Held: The court held that there was no contract because the nephew had not communicated his acceptance to the uncle. The offeror cannot impose a contract on the offeree by declaring that silence will be acceptance.

Relevance to the Topic: Silence is not acceptance, and acceptance must be communicated.

Case Law: Powell v Lee

Year: 1908 **Court:** King's Bench Division, England

Facts / Background: The managers of a school decided to appoint Powell as headmaster, but did not authorise anyone to tell him. One of the managers, without authority, informed Powell. The managers later rescinded their decision.

Legal Issue: Is acceptance communicated by an unauthorised person valid?

Court's Decision / What the Court Held: The court held that there was no contract, because the acceptance was not communicated by the managers or by a person authorised by them.

Relevance to the Topic: Acceptance must be communicated by the offeree or his authorised agent.

Important Points

- An offer must be definite, communicated, and made with intention to create legal relations.
- A quotation is not an offer (*Harvey v Facey*, 1893).
- Acceptance must be absolute and unqualified (section 7(1)) and in the prescribed or usual manner (section 7(2)).
- Silence is not acceptance (*Felthouse v Bindley*, 1862).
- Acceptance must be communicated by an authorised person (*Powell v Lee*, 1908).

Remember: Under section 7(2), if acceptance is not in the prescribed manner, the proposer must object within a reasonable time; otherwise he is bound.

Topic 1.9: Communication and Revocation of Offer and Acceptance

Introduction

An offer and an acceptance have legal effect only when they are communicated. Communication becomes important when the parties are at a distance and communicate by post, telegram, email or phone. The law must decide when exactly an offer, an acceptance or a revocation becomes effective. Sections 3 to 6 of the Indian Contract Act lay down these rules.

Definition

> **Section 3:** The communication of proposals, the acceptance of proposals, and the revocation of proposals and acceptances, respectively, are deemed to be made by any act or omission of the party proposing, accepting or revoking, by which he intends to communicate such proposal, acceptance or revocation, or which has the effect of communicating it.

> **Revocation** means the withdrawal or cancellation of an offer or an acceptance before it becomes binding.

Detailed Explanation

1. When Communication is Complete: Section 4

Communication of	Complete when
Proposal	It comes to the knowledge of the person to whom it is made
Acceptance (against the proposer)	It is put in a course of transmission to him, so as to be out of the power of the acceptor
Acceptance (against the acceptor)	It comes to the knowledge of the proposer
Revocation (against the person making it)	It is put into a course of transmission to the person to whom it is made, so as to be out of the power of the person who makes it
Revocation (against the person to whom it is made)	It comes to his knowledge

Illustration (simplified from section 4): A proposes by letter to sell a house to B. B accepts by a letter sent by post. The communication of acceptance is complete as against A when the letter is posted, and as against B when the letter is received by A.

2. The Postal Rule

In English law, the "postal rule" says that acceptance is complete when the letter of acceptance is posted, even if it is delayed or lost (*Adams v Lindsell*, 1818; *Household Fire Insurance Co.*

v Grant, 1879). The Indian Act adopts a modified version: the proposer is bound when the letter is posted, but the acceptor is bound only when the letter reaches the proposer. This gives the acceptor a short period within which he may revoke his acceptance.

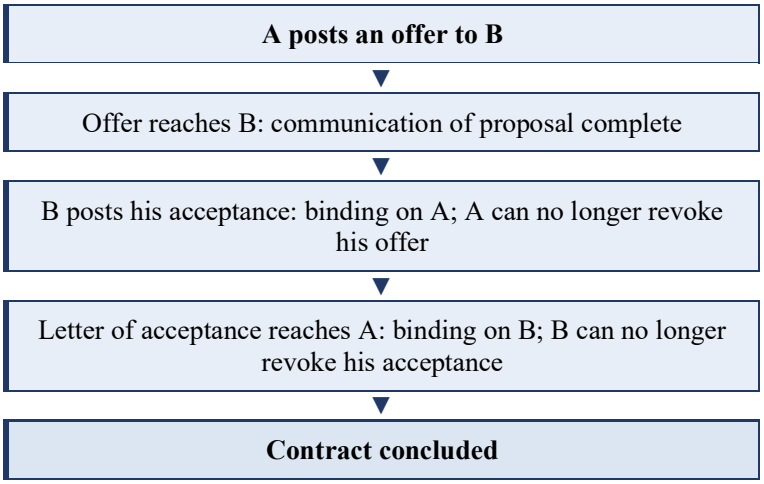
3. Instantaneous Communication

Where communication is instantaneous (telephone, video call, telex), the contract is complete when the acceptance is received by the proposer, and the place of contract is where the acceptance is heard (*Entores v Miles Far East Corp.*, 1955; *Bhagwandas Goverdhandas Kedia v Girdharilal Parshottamdas*, 1966). For emails, section 13 of the IT Act, 2000 lays down the time and place of dispatch and receipt of electronic records.

4. Revocation of Proposals and Acceptances: Section 5

1. A **proposal** may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.
2. An **acceptance** may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.

Flowchart: Timeline of offer, acceptance and revocation by post



The flowchart shows that the proposer can revoke his offer only until the acceptance is posted, while the acceptor can revoke his acceptance until it reaches the proposer.

5. Modes of Revocation of a Proposal: Section 6

A proposal is revoked:

1. **By notice of revocation** communicated by the proposer to the other party.
2. **By lapse of time:** at the end of the time prescribed for acceptance, or, if no time is prescribed, after a reasonable time.
3. **By failure of the acceptor to fulfil a condition precedent** to acceptance.
4. **By the death or insanity of the proposer**, if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance.

Other modes recognised by courts:

5. By rejection or counter-offer by the offeree (*Hyde v Wrench*).
6. By subsequent illegality or destruction of the subject matter.

6. Revocation in Auctions and Options

- At an auction, a bidder may withdraw his bid before the fall of the hammer (*Payne v Cave*, 1789; section 64 of the Sale of Goods Act, 1930).
- If the offeror has promised to keep the offer open for a time but receives no consideration for that promise, he may still revoke it before acceptance. If consideration is given (an "option contract"), the promise to keep it open is binding.

Examples

- A offers by post on 1 June to sell his car to B. B posts acceptance on 4 June, and it reaches A on 6 June. A can revoke his offer only before 4 June. B can revoke his acceptance before 6 June, for example by a telegram that reaches A before the letter.
- A offers to sell his house and says the offer is open for seven days. On the third day, B learns from a reliable person that A has sold it to C. The offer is revoked (*Dickinson v Dodds*).

Case Laws

Case Law: Bhagwandas Goverdhandas Kedia v Girdharilal Parshottamdas & Co.

Year: 1966 **Court:** Supreme Court of India

Facts / Background: The plaintiffs in Ahmedabad made an offer by telephone to the defendants at Khamgaon for the purchase of cotton seed cake, and the defendants accepted it over the phone. When a dispute arose, the plaintiffs sued in Ahmedabad. The defendants argued that the Ahmedabad court had no jurisdiction because the contract was made at Khamgaon, where the acceptance was spoken.

Legal Issue: Where is a contract made by telephone concluded: at the place where acceptance is spoken or where it is heard?

Court's Decision / What the Court Held: The majority of the Supreme Court held that in instantaneous communication, the contract is complete when the acceptance is heard by the proposer, and so the contract was made at Ahmedabad. The postal rule in section 4 does not apply to instantaneous communication.

Relevance to the Topic: The leading Indian case on communication of acceptance by telephone, deciding both the time and the place of the contract.

Case Law: Byrne & Co. v Van Tienhoven & Co.

Year: 1880 **Court:** Common Pleas Division, England

Facts / Background: On 1 October, the defendants in Cardiff posted an offer to sell tinplates to the plaintiffs in New York. On 8 October, they posted a letter revoking the offer. The offer reached the plaintiffs on 11 October and they accepted by telegram the same day. The revocation reached them on 20 October.

Legal Issue: Is a revocation effective when it is posted, or only when it is received?

Court's Decision / What the Court Held: The court held that a revocation is effective only when it is communicated to the offeree. Since the acceptance was made before the revocation reached the plaintiffs, a binding contract existed.

Relevance to the Topic: Revocation must be communicated; posting a revocation does not by itself revoke the offer (compare section 4, under which revocation is complete against the person to whom it is made only when it comes to his knowledge).

Case Law: Dickinson v Dodds

Year: 1876 **Court:** Court of Appeal, England

Facts / Background: Dodds offered to sell his house to Dickinson and said the offer would be left open until Friday 9 a.m. On Thursday, Dodds sold the house to another person. Dickinson learnt of this through a third person (Berry) and then tried to accept before Friday.

Legal Issue: Can an offer be revoked by information that reaches the offeree through a reliable third party?

Court's Decision / What the Court Held: The court held that the offer was revoked. Dickinson knew that Dodds was no longer willing to sell, so there was no meeting of minds when he tried to accept. The promise to keep the offer open was not binding because there was no consideration for it.

Relevance to the Topic: Revocation can be communicated by a reliable third party, and a bare promise to keep an offer open can be revoked.

Important Points

- Section 3: communication by act or omission.
- Section 4: when communication of a proposal, acceptance or revocation is complete.
- Section 5: revocation of proposals and acceptances.
- Section 6: modes of revocation of a proposal.
- Telephone acceptance is complete where it is heard (*Bhagwandas Kedia*, 1966).
- A revocation must be communicated (*Byrne v Van Tienhoven*, 1880).

Remember: Indian law allows revocation of acceptance (before it reaches the proposer); English law does not.

Topic 1.10: Invitation to Offer

Introduction

In daily life, many statements look like offers but are not. When a shop displays goods with price tags, when a company publishes a catalogue, or when an auctioneer invites bids, they are not making offers. They are inviting others to make offers. This is called an "invitation to offer" or "invitation to treat". The distinction matters because only an offer can be accepted to form a contract.

Definition

> An **invitation to offer** is a statement or act by which a person invites others to make offers to him, with a view to negotiation. It shows willingness to negotiate, not a final willingness to be bound. The person who responds makes the offer, which the inviter may accept or reject.

Detailed Explanation

1. Difference between Offer and Invitation to Offer

Basis	Offer	Invitation to offer
Meaning	Final willingness to be bound on acceptance	Willingness to negotiate; invites offers
Intention	To create legal relations on acceptance	To receive offers
Result of response	Acceptance creates a contract	The response is an offer
Example	"I will sell my car to you for Rs. 3 lakh"	A car dealer's newspaper advertisement with prices

2. Common Examples of Invitation to Offer

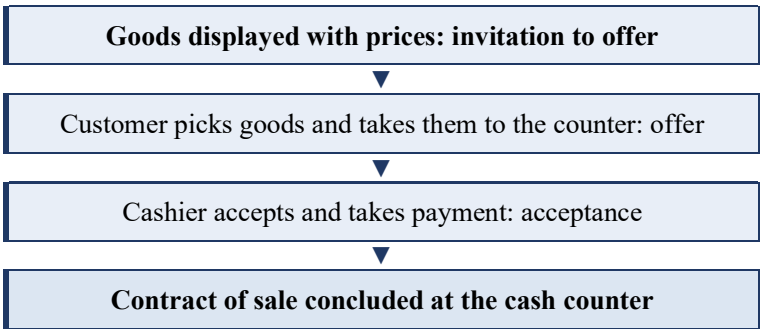
1. **Display of goods in a shop:** the shopkeeper invites customers to offer to buy. The customer makes the offer at the cash counter, and the cashier accepts it (*Pharmaceutical Society of Great Britain v Boots Cash Chemists*, 1953).
2. **Goods in a shop window with price tags:** also an invitation (*Fisher v Bell*, 1961).
3. **Price lists, catalogues and quotations:** these give information about prices (*Harvey v Facey*).
4. **Advertisements for the sale of goods:** usually invitations (*Partridge v Crittenden*, 1968), unless they are clearly offers, as in reward cases (*Carlill*).

5. **Auctions:** the auctioneer's request for bids is an invitation; each bid is an offer; the fall of the hammer is acceptance (section 64, Sale of Goods Act, 1930). An advertisement of an auction does not bind the auctioneer to hold it (*Harris v Nickerson*, 1873).
6. **Invitation of tenders:** a notice inviting tenders is an invitation. Each tender is an offer, and the acceptance of a tender forms the contract.
7. **Prospectus of a company:** an invitation to the public to offer to subscribe for shares.
8. **Railway timetables and menu cards:** generally invitations.

3. Why the Law Treats These as Invitations

1. A shopkeeper may have limited stock and cannot be forced to sell to everyone.
2. A seller must be free to choose the buyer, e.g. to refuse to sell medicines without a prescription.
3. Commercial practice and the intention of the parties are best served by this rule.

Flowchart: Shop and supermarket transaction



4. Online Shopping

On e-commerce websites, a product listing is usually treated as an invitation to offer. The customer places an order (the offer), and the seller accepts it by confirming the order or dispatching the goods. Website terms usually state this expressly, which allows sellers to cancel orders made at obviously wrong prices.

Examples

- A bookshop displays a book priced at Rs. 500. A customer takes it to the counter, but the shopkeeper refuses to sell. The customer cannot sue, since the display was only an invitation and the customer's offer was not accepted.
- A college invites applications for admission. Each application is an offer; the issue of an admission letter is the acceptance.

Case Laws

Case Law: Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd.

Year: 1953 **Court:** Court of Appeal, England

Facts / Background: Boots introduced a self-service system in its shop. Medicines listed in the Poisons List were displayed on shelves with prices. A customer selected goods and took them to the cash desk, where a registered pharmacist supervised the sale. The law required such sales to be made under the supervision of a pharmacist. The Pharmaceutical Society argued that the sale took place when the customer picked the goods from the shelf, which was not supervised.

Legal Issue: Is the display of goods in a self-service shop an offer or an invitation to offer?

Court's Decision / What the Court Held: The Court of Appeal held that the display was only an invitation to offer. The customer made the offer at the cash desk, and the sale was completed when the pharmacist accepted it there. So the sale was supervised and lawful.

Relevance to the Topic: The leading case establishing that display of goods with prices is an invitation to offer.

Case Law: Fisher v Bell

Year: 1961 **Court:** Divisional Court (Queen's Bench Division), England

Facts / Background: A shopkeeper displayed a flick knife in his shop window with a price tag. He was charged under a statute that made it an offence to "offer for sale" such knives.

Legal Issue: Did displaying the knife with a price tag amount to an "offer for sale"?

Court's Decision / What the Court Held: The court held that the display was an invitation to treat, not an offer in the sense of contract law, so the shopkeeper had not committed the offence as defined.

Relevance to the Topic: Displaying goods in a shop window is an invitation to offer, not an offer.

Case Law: Harris v Nickerson

Year: 1873 **Court:** Court of Queen's Bench, England

Facts / Background: An auctioneer advertised that certain furniture would be sold by auction on a certain day. The plaintiff travelled to the auction, but the furniture was withdrawn from sale. He sued for his expenses.

Legal Issue: Is an advertisement of an auction an offer that binds the auctioneer to hold the sale?

Court's Decision / What the Court Held: The court held that the advertisement was only a declaration of intention, not an offer, so no contract existed and the plaintiff could not recover his expenses.

Relevance to the Topic: Advertisements of auctions are invitations to offer, not offers.

Important Points

- An invitation to offer invites others to make offers; it is not itself an offer.
- Display of goods, price lists, catalogues, advertisements, auctions and tenders are generally invitations.
- *Pharmaceutical Society v Boots* (1953): self-service display is an invitation.
- *Fisher v Bell* (1961): shop window display is an invitation.
- *Harris v Nickerson* (1873): an auction advertisement is not an offer.
- In an auction, the bid is the offer and the fall of the hammer is the acceptance.

Remember: An advertisement of a reward is an offer (*Carlill*), but an advertisement for sale of goods is usually only an invitation.

Topic 1.11: Standing, Floating and Cross Offers; Tenders

Introduction

Apart from ordinary offers, the law recognises special types of offers that arise in business and public life. A **standing offer** remains open for acceptance over a period. A **floating offer** is a general offer made to the public. **Cross offers** are identical offers made by two persons to each other at the same time. **Tenders** are widely used by government and companies to procure goods and services. Each has special rules.

Definition

> **Standing (continuing) offer:** an offer that remains open for acceptance over a period of time and is accepted each time an order is placed.

> **Floating (general) offer:** an offer made to the public at large, which any person may accept by performing its conditions.

> **Cross offers:** two identical offers made by two persons to each other, each without knowledge of the other's offer.

> **Tender:** an offer made in response to an invitation (a notice inviting tenders) to supply goods or services, or to buy property, on stated terms.

Detailed Explanation

1. Standing Offer

A standing offer is a continuing offer. For example, a supplier submits a tender to supply goods "as and when required" during a year. Each order placed by the buyer is an acceptance that forms a separate contract for that quantity.

Key rules:

1. The buyer is not bound to order any goods unless he has promised to buy a definite quantity.
2. Each order creates a separate contract.
3. The supplier may revoke the standing offer for the future, but must supply goods already ordered.

2. Floating (General) Offer

A floating offer is made to the world at large, such as an offer of a reward. It is accepted by any person who performs the conditions with knowledge of the offer (section 8). A contract is formed with the person who performs the conditions (*Carlill v Carbolic Smoke Ball Co.*, 1893, explained in Topic 1.7). A general offer may be revoked by giving the same publicity as the offer.

3. Cross Offers

When two persons make identical offers to each other in ignorance of each other's offers, the offers are called cross offers. Neither offer is an acceptance of the other, because acceptance requires knowledge of the offer. So no contract arises unless one of them accepts the other's offer (*Tinn v Hoffman & Co.*, 1873).

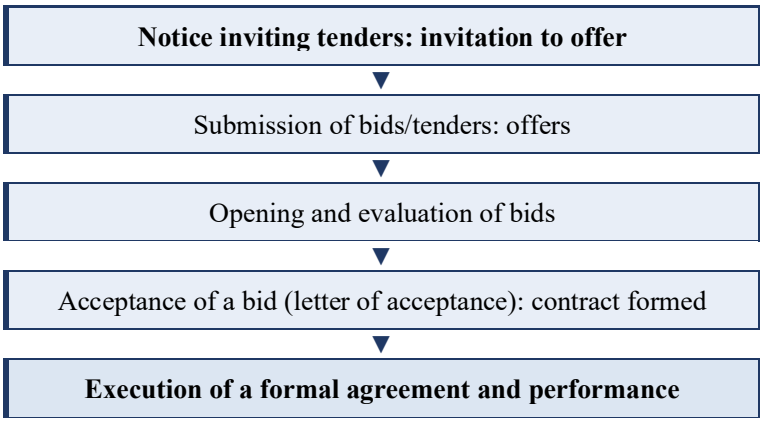
Example: A writes to B offering to sell his car for Rs. 2 lakh. On the same day, B, without knowing of A's letter, writes offering to buy A's car for Rs. 2 lakh. The letters cross in the post. There is no contract until one of them accepts.

4. Tenders

Meaning and Process

Government bodies and companies issue a "Notice Inviting Tenders" (NIT), which is an invitation to offer. Interested persons submit their bids (tenders), which are offers. The authority evaluates the bids and accepts one, usually the lowest acceptable bid for supply or the highest for sale. The acceptance creates a contract.

Flowchart: The tender process



Kinds of Tenders

Type	Meaning	Effect of acceptance
Definite (specific) tender	To supply a definite quantity of goods in a stated period	A single binding contract for the whole quantity
Standing tender (standing offer)	To supply goods "as and when required"	Each order is a separate acceptance and contract; the buyer need not order anything

Tenders by Government

When the State invites tenders, it must act fairly and without arbitrariness under Article 14 of the Constitution. However, courts give the State wide freedom in the contract and exercise only limited judicial review.

5. Comparison of Special Offers

Point	Standing offer	Floating offer	Cross offers
Made to	A particular person (usually)	The public at large	Each other
Acceptance	By each order placed	By performance of the conditions	Neither offer accepts the other
Contract	A series of contracts	A contract with the performer	No contract until a fresh acceptance
Example	Supply of stationery as required	A reward for finding a lost child	Letters crossing in the post

Examples

- A railway accepts a tender to supply coal "as and when required" for one year. In March it orders 100 tonnes; that order forms a contract for 100 tonnes. The supplier may withdraw his offer for future orders but must supply the 100 tonnes.
- A police department announces a reward for information about an absconding accused. This is a floating offer.

Case Laws

Case Law: Great Northern Railway Co. v Witham

Year: 1873 **Court:** Court of Common Pleas, England

Facts / Background: The railway company advertised for tenders to supply iron articles for a year. Witham submitted a tender agreeing to supply such quantities as the company might order. The company accepted the tender and placed orders. Witham refused to execute a later order.

Legal Issue: Is a supplier bound to supply goods ordered under a standing tender?

Court's Decision / What the Court Held: The court held that the tender was a standing offer, and each order placed was an acceptance that created a binding contract for that order. Witham had to supply the goods already ordered, although he could revoke the offer for the future.

Relevance to the Topic: The leading case on standing offers: each order is a separate acceptance.

Case Law: Percival Ltd. v London County Council Asylums and Mental Deficiency Committee

Year: 1918 **Court:** King's Bench Division, England

Facts / Background: Percival submitted a tender to supply goods to the Committee over a period, as and when demanded. The tender was accepted. The Committee later placed orders for far less than the estimated quantity, buying the rest elsewhere. Percival sued for breach of contract.

Legal Issue: Is a buyer who accepts a standing tender bound to order any particular quantity?

Court's Decision / What the Court Held: The court held that the acceptance of a tender to supply "as and when required" did not bind the Committee to order any goods. It was only a standing offer, and a contract arose only when, and to the extent that, orders were placed.

Relevance to the Topic: In a standing offer the buyer is not bound to place orders; only the orders actually placed are binding contracts.

Case Law: Tinn v Hoffman & Co.

Year: 1873 **Court:** Court of Exchequer Chamber, England

Facts / Background: Hoffman wrote to Tinn offering to sell 800 tons of iron. On the same day, Tinn wrote to Hoffman offering to buy 800 tons of iron on the same terms. The letters crossed in the post.

Legal Issue: Do identical cross offers create a contract?

Court's Decision / What the Court Held: The court held (by majority) that cross offers do not make a contract, because neither party had accepted the other's offer with knowledge of it.

Relevance to the Topic: Cross offers do not create a contract; there must be acceptance with knowledge of the offer.

Case Law: Tata Cellular v Union of India

Year: 1994 **Court:** Supreme Court of India

Facts / Background: The Department of Telecommunications invited tenders for licences to operate cellular mobile services in four metropolitan cities. Several bidders, including Tata Cellular, challenged the selection of successful bidders as arbitrary.

Legal Issue: How far can courts review the State's decision in awarding contracts through a tender process?

Court's Decision / What the Court Held: The Supreme Court held that courts can review the decision-making process (for illegality, irrationality, procedural impropriety and bias), but not the merits of the decision itself. The State has freedom of contract and must be allowed a "fair play in the joints", though it must act fairly and without arbitrariness under Article 14.

Relevance to the Topic: The leading Indian case on government tenders, explaining the limited scope of judicial review in the award of contracts.

Important Points

- A standing offer is accepted each time an order is placed (*Great Northern Railway v Witham*, 1873), and the buyer need not order anything (*Percival v LCC Asylums*, 1918).
- A floating offer is a general offer to the public (*Carlill*).
- Cross offers do not form a contract (*Tinn v Hoffman*, 1873).
- A notice inviting tenders is an invitation; each tender is an offer.
- Definite tenders are binding for the whole quantity; standing tenders only for orders placed.
- Government tenders are subject to limited judicial review (*Tata Cellular*, 1994).

Remember: In a standing offer, the buyer is not bound to order anything, but the seller must supply whatever is ordered while the offer stands.

UNIT II
Essential Elements of a Valid Contract

Topics in this Unit

2.1 Consideration (Nudum Pactum) – Meaning, Need and Kinds
2.2 Essential Elements of Consideration
2.3 Privity of Contract and Exceptions
2.4 Privity of Consideration
2.5 Adequacy of Consideration
2.6 Present, Past and Future Consideration
2.7 Unlawful Consideration and its Effect
2.8 Capacity to Contract
2.9 Minor's Agreements
2.10 Restitution and Affirmation
2.11 Ratification by Minor
2.12 Estoppel
2.13 Free Consent
2.14 Coercion
2.15 Undue Influence
2.16 Fraud
2.17 Misrepresentation
2.18 Mistake

Topic 2.1: Consideration (Nudum Pactum) – Meaning, Need and Kinds

Introduction

Consideration is often described as the "price of a promise". The law does not enforce a promise merely because it was made; it enforces it when the promisee has given something in return. This "something in return" is called consideration. An agreement without consideration is called *nudum pactum* (a bare or naked promise), and the maxim *ex nudo pacto non oritur actio* means "no action arises from a bare promise". Section 25 of the Indian Contract Act declares such agreements void, subject to exceptions.

Definition

> **Section 2(d) ICA:** "When, at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing, something, such act or abstinence or promise is called a consideration for the promise."

> **Currie v Misa (1875), Lush J.:** "A valuable consideration, in the sense of the law, may consist either in some right, interest, profit or benefit accruing to the one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other."

> **Pollock:** "Consideration is the price for which the promise of the other is bought, and the promise thus given for value is enforceable."

Detailed Explanation

1. Meaning of Consideration

Consideration means something of value given by one party in exchange for the promise of the other. It may be:

1. a positive act (paying money, delivering goods, rendering services);
2. an abstinence or forbearance (not filing a suit, not competing); or
3. a promise to do or abstain from doing something in future.

2. Meaning of Nudum Pactum

A *nudum pactum* is a promise without consideration. For example, "I promise to give you Rs. 10,000 next month" (with nothing in return) is a bare promise. Under section 25 ICA, "an agreement made without consideration is void", unless it falls within the exceptions in section 25(1), (2) and (3), or it is a gift actually made (Explanation 1), or the consideration is merely inadequate (Explanation 2).

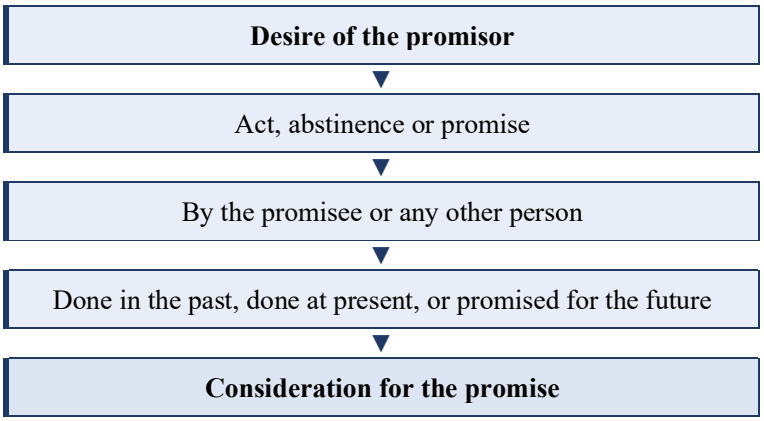
3. Need for Consideration: Why the Law Requires It

1. **Evidence of seriousness:** it shows that the parties intended a legal bargain, not a casual promise.
2. **Reciprocity:** a contract is a bargain; each party gives something and gets something.
3. **Protection against rash promises:** it prevents enforcement of hasty, gratuitous promises.
4. **Fairness:** a promisor who has received a benefit should not be allowed to escape his promise.
5. **Statutory requirement:** section 10 requires lawful consideration for a valid contract, and section 25 makes agreements without consideration void.

4. Kinds of Consideration

Kind	Meaning	Example
Past consideration	Act or abstinence done before the promise, at the desire of the promisor ("has done")	A saves B's child at B's request; later B promises to pay A Rs. 5,000
Present (executed) consideration	Act done simultaneously with the promise ("does")	A pays Rs. 500 and buys a book at the same time
Future (executory) consideration	A promise to do something in future ("promises to do")	A promises to deliver goods next month; B promises to pay on delivery
Positive consideration	A positive act or benefit	Payment of price
Negative consideration	An abstinence or forbearance	A promises not to sue B if B pays Rs. 1,000
Consideration from a third party	Moves from "any other person"	Topic 2.4 (*Chinnaya v Ramayya*)

Flowchart: How section 2(d) recognises consideration



5. Consideration in Indian and English Law Compared

Point	Indian law	English law
Past consideration	Valid, if done at the promisor's desire	Generally not valid (*Re McArdle*, 1951), subject to exceptions
Consideration from a third party	Valid ("promisee or any other person")	Must move from the promisee (*Tweddle v Atkinson*)
Promise without consideration	Void, except under section 25	Enforceable only if under seal (a deed)

Examples

- A agrees to sell his house to B for Rs. 40 lakh. B's promise to pay is consideration for A's promise to sell, and A's promise to sell is consideration for B's promise to pay.
- A promises to pay B Rs. 1,000 if B refrains from smoking for one year. B's abstinence is consideration (negative consideration).
- A promises to give B Rs. 50,000 as a birthday present. This is a bare promise (*nudum pactum*) and is void unless it falls under section 25.

Case Laws

Case Law: Durga Prasad v Baldeo

Year: 1880 **Court:** Allahabad High Court

Facts / Background: On the order of the Collector of the district, the plaintiff spent money on building shops in a market (a bazar). The defendant later occupied one of the shops and promised to pay the plaintiff a commission on articles sold through his agency, in consideration of the money the plaintiff had spent. He did not pay, and the plaintiff sued.

Legal Issue: Was the plaintiff's expenditure consideration for the defendant's promise when it was not done at the defendant's desire?

Court's Decision / What the Court Held: The court held that the promise was not enforceable. The plaintiff had built the shops at the desire of the Collector, not at the desire of the defendant. Under section 2(d), an act is consideration only if it is done "at the desire of the promisor".

Relevance to the Topic: The leading Indian case establishing that consideration must move at the desire of the promisor; an act done at the instance of a third person is not consideration.

Case Law: Currie v Misa

Year: 1875 **Court:** Court of Exchequer Chamber, England (affirmed by the House of Lords, 1876)

Facts / Background: The case arose out of a dispute about payment of a bill of exchange given in a banking transaction to discharge an existing debt.

Legal Issue: What constitutes "valuable consideration" in law?

Court's Decision / What the Court Held: Lush J. gave the classic definition of consideration as some right, interest, profit or benefit to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other. An existing debt was held to be good consideration for a negotiable instrument.

Relevance to the Topic: The case is cited for its definition of consideration as benefit to the promisor or detriment to the promisee.

Important Points

- Section 2(d) defines consideration; section 25 makes agreements without consideration void, subject to exceptions.
- *Nudum pactum* means a bare promise without consideration; *ex nudo pacto non oritur actio*.
- Consideration may be past, present or future, and positive or negative.
- Consideration must be given at the desire of the promisor (*Durga Prasad v Baldeo*, 1880).
- Indian law accepts past consideration and consideration from a third party, unlike English law.

Remember: "No consideration, no contract": this is the general rule, subject to the exceptions in section 25 and section 185 (guarantee).

Topic 2.2: Essential Elements of Consideration

Introduction

Not everything given in exchange for a promise counts as consideration. The definition in section 2(d) and the decisions of the courts lay down certain essential elements. If any of these is missing, the promise may fail for want of consideration. This topic examines each element carefully.

Definition

> Consideration is valid in law when it is given **at the desire of the promisor**, **by the promisee or any other person**, and consists of **an act, abstinence or promise** which is **real, lawful and of some value in the eye of the law**, although it **need not be adequate**.

Detailed Explanation

1. Consideration Must Move at the Desire of the Promisor

An act done voluntarily, or at the request of a third person, is not consideration (*Durga Prasad v Baldeo*, 1880). The promisor must have asked for the act, expressly or impliedly.

2. It May Move from the Promisee or Any Other Person

Indian law does not require that consideration be given by the promisee himself. A third person may provide it (*Chinnaya v Ramayya*, 1882), as explained in Topic 2.4.

3. It May be Past, Present or Future

The words "has done", "does" and "promises to do" in section 2(d) cover all three.

4. It Must be an Act, Abstinence or Promise

It may be a positive act, a forbearance (for example, giving up a legal claim) or a promise.

5. It Must be Real and Not Illusory

Consideration must have some value in the eye of the law. It must not be:

1. **Physically impossible:** e.g. a promise to make a dead person alive.
2. **Legally impossible:** e.g. a promise to pay a debt to the creditor's servant instead of the creditor.
3. **Uncertain:** e.g. "I will pay you something".
4. **Illusory:** e.g. a promise to do what one is already legally bound to do.

6. Performance of an Existing Duty is Not Consideration

1. **Existing public duty:** doing what one is already bound by law to do is not consideration (*Collins v Godefroy*, 1831).

2. **Existing contractual duty:** doing what one is already bound by contract to do is not consideration (*Stilk v Myrick*, 1809). Doing more than the existing duty is good consideration (*Hartley v Ponsonby*, 1857). English law now recognises a "practical benefit" to the promisor as consideration (*Williams v Roffey Bros*, 1990).
3. Under section 63 ICA, however, a promisee may accept a lesser amount in full satisfaction without fresh consideration (discussed in Unit IV).

7. It Need Not be Adequate

The law requires consideration, but not adequate consideration. Courts do not judge whether a bargain is a good one (Explanation 2 to section 25). See Topic 2.5.

8. It Must be Lawful

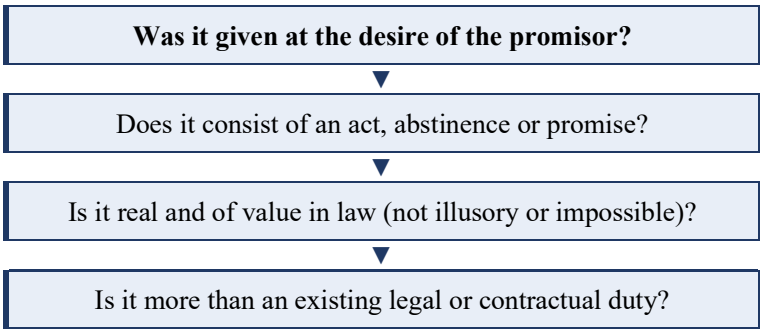
Under section 23, consideration must not be forbidden by law, fraudulent, injurious, immoral or opposed to public policy. See Topic 2.7.

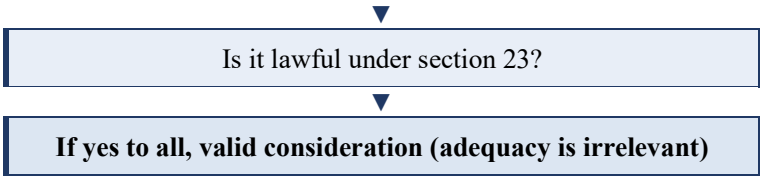
9. Forbearance to Sue as Consideration

Giving up a genuine claim, or promising not to file a suit, is good consideration, provided the claim is made honestly, even if it might have failed.

Element	Rule	Authority
Desire of the promisor	Act must be at the promisor's request	s.2(d); *Durga Prasad v Baldeo*
By promisee or another person	Third-party consideration is valid	s.2(d); *Chinnaya v Ramayya*
Past, present or future	All are valid	s.2(d)
Real, not illusory	Must have value in law	Judicial decisions
Not an existing duty	Pre-existing duty is not consideration	*Collins v Godefroy*; *Stilk v Myrick*
Need not be adequate	Courts do not weigh value	Explanation 2, s.25
Lawful	Must satisfy section 23	s.23

Flowchart: Test for valid consideration





Examples

- A police officer is promised a reward for arresting a thief he was already on duty to catch. His act is not consideration, as it is his public duty.
- A promises to pay B, a singer, extra money if B sings at a concert as already agreed. Under the strict rule there is no fresh consideration.
- Subscribers promise donations to a person who, relying on the promises, enters into a contract to build a town hall. The promisee's liability is consideration (*Kedarnath Bhattacharji*).

Case Laws

Case Law: Stilk v Myrick

Year: 1809 **Court:** Court of King's Bench, England

Facts / Background: During a voyage, two sailors deserted the ship. The captain promised the remaining crew that he would divide the wages of the deserters among them if they worked the ship back to London. On return, the promise was not kept, and a sailor sued.

Legal Issue: Is performance of an existing contractual duty consideration for a new promise?

Court's Decision / What the Court Held: The court held that the promise was not enforceable. The sailors were already bound by their contract to do everything in their power in the emergencies of the voyage, so they gave no fresh consideration.

Relevance to the Topic: Performance of an existing contractual duty is not consideration.

Case Law: Collins v Godefroy

Year: 1831 **Court:** Court of King's Bench, England

Facts / Background: The plaintiff was served with a subpoena (a court summons) to appear as a witness in a case. The defendant promised to pay him for his attendance. The plaintiff attended and sued for payment.

Legal Issue: Is performance of a duty imposed by law consideration for a promise?

Court's Decision / What the Court Held: The court held that there was no consideration, since the plaintiff was already under a legal duty to attend the court.

Relevance to the Topic: Performance of an existing public or legal duty is not consideration.

Case Law: Kedarnath Bhattacharji v Gorie Mahomed

Year: 1886 **Court:** Calcutta High Court

Facts / Background: The plaintiff was a commissioner of the Howrah Municipality. He undertook to build a town hall if sufficient subscriptions were raised. The defendant signed the subscription list for Rs. 100. Relying on the subscriptions, the plaintiff entered into a contract with a contractor for the building. The defendant refused to pay.

Legal Issue: Is a promise to subscribe to a charitable or public object supported by consideration?

Court's Decision / What the Court Held: The court held that the defendant was liable. The plaintiff, at the desire of the subscribers, had entered into a contract and incurred a liability on the faith of the subscriptions. This was sufficient consideration.

Relevance to the Topic: A detriment suffered by the promisee at the promisor's desire, such as incurring a liability, is valid consideration.

Important Points

- Consideration must be at the desire of the promisor, may move from any person, and may be past, present or future.
- It must be real, lawful and of some value in law.
- Performance of an existing legal or contractual duty is not consideration (*Collins v Godefroy*; *Stilk v Myrick*).
- Incurring a liability at the desire of the promisor is consideration (*Kedarnath Bhattacharji*, 1886).
- Consideration need not be adequate.

Remember: Doing something more than one's existing duty is good consideration.

Topic 2.3: Privity of Contract and Exceptions

Introduction

A contract creates rights and duties only between the parties to it. A person who is not a party (a stranger to the contract) generally cannot sue on it, even if the contract was made for his benefit. This rule is called the **doctrine of privity of contract**. It is a rule of English common law that Indian courts have generally followed, subject to several exceptions.

Definition

> **Privity of contract** means the relationship that exists between the parties to a contract. Only a party to a contract can sue or be sued on it; a stranger to the contract cannot enforce it, even if it is made for his benefit.

Detailed Explanation

1. Meaning and Rationale

1. A contract is a private arrangement between the parties, so only they should be bound and entitled.
2. A person who has not undertaken any obligation should not be able to claim rights under it.
3. Allowing strangers to sue would expose the parties to claims by many persons.

2. Privity of Contract versus Privity of Consideration

These are two different ideas:

- **Privity of contract:** who can sue on the contract? Only a party.
- **Privity of consideration:** who must give consideration? In India, consideration may move from any person (section 2(d)).

So in India, a person who did not give consideration can sue if he is a party, but a person who is not a party cannot sue even if he gave consideration (unless an exception applies).

3. Exceptions to the Doctrine of Privity

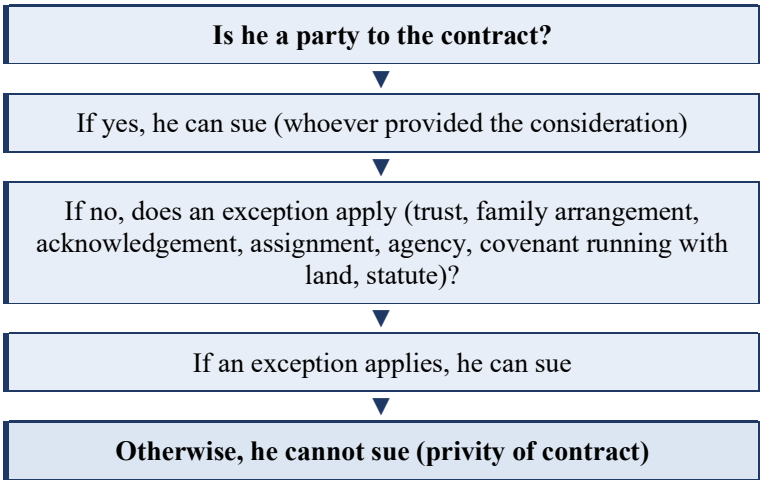
Exception	Explanation	Illustration or case
1. Trust or charge	Where a contract creates a trust or charge in favour of a third person, the beneficiary can enforce it	*Khwaja Muhammad Khan v Husaini Begum* (1910 PC)
2. Marriage settlements, partition and family arrangements	Where provision is made for a member of the family in such an arrangement, he can enforce it	Maintenance under a family settlement

Exception	Explanation	Illustration or case
3. Acknowledgement or estoppel	Where the promisor, by conduct or acknowledgement, recognises the third party's right, he is bound	A receives money for C from B and acknowledges to C that he holds it for him
4. Assignment	Rights under a contract (not liabilities) may be assigned, and the assignee can sue	Assignment of a debt or an insurance policy
5. Agency	A principal can sue and be sued on contracts made by his agent	Section 226 ICA
6. Covenants running with land	A purchaser of land with notice of a covenant is bound by it	*Tulk v Moxhay* (1848)
7. Statutory exceptions	Certain statutes allow third parties to sue	Beneficiaries under insurance policies (s.39, Insurance Act 1938); third-party motor accident claims (Motor Vehicles Act 1988)

4. Present Position in England

The Contracts (Rights of Third Parties) Act, 1999 in England allows a third party to enforce a contract term if the contract expressly allows it or the term purports to confer a benefit on him. India has no corresponding general statute, so the common law rule and its exceptions continue to apply.

Flowchart: Can a third party sue on a contract?



Examples

- A promises B that he will pay Rs. 1 lakh to C if B transfers his land to A. B transfers the land. C is not a party to the contract and cannot sue A (subject to exceptions), but B can.

- A father settles property on his son by a family arrangement, with a direction to maintain the son's sister. The sister can enforce the provision under the family arrangement exception.

Case Laws

Case Law: Tweddle v Atkinson

Year: 1861 **Court:** Court of Queen's Bench, England

Facts / Background: The fathers of a bride and bridegroom agreed with each other in writing that each would pay a sum of money to the bridegroom (Tweddle), and that he could sue for it. The bride's father died without paying, and the bridegroom sued his executor.

Legal Issue: Can a person who is not a party to the contract, and who has not given consideration, sue on it?

Court's Decision / What the Court Held: The court held that the bridegroom could not sue, because he was a stranger to the contract and no consideration had moved from him.

Relevance to the Topic: The foundational English case on privity of contract (and privity of consideration in English law).

Case Law: Dunlop Pneumatic Tyre Co. Ltd. v Selfridge & Co. Ltd.

Year: 1915 **Court:** House of Lords, England

Facts / Background: Dunlop sold tyres to Dew & Co. (dealers), who agreed not to sell them below Dunlop's list price and to obtain a similar undertaking from any retailer they sold to. Dew sold tyres to Selfridge, which agreed with Dew not to sell below the list price and to pay Dunlop £5 for each tyre sold in breach. Selfridge sold below the list price. Dunlop sued Selfridge.

Legal Issue: Can Dunlop, who was not a party to the contract between Dew and Selfridge, enforce it?

Court's Decision / What the Court Held: The House of Lords held that Dunlop could not sue, because it was not a party to the contract and had given no consideration to Selfridge. Viscount Haldane said that only a person who is a party to a contract can sue on it.

Relevance to the Topic: A leading authority affirming the doctrine of privity.

Case Law: Khwaja Muhammad Khan v Husaini Begum

Year: 1910 **Court:** Privy Council (on appeal from the Allahabad High Court)

Facts / Background: Khwaja Muhammad Khan agreed with the father of Husaini Begum, in consideration of her marriage to his son, that he would pay her a monthly allowance (kharch-i-pandan) for ever, and he charged certain property with the payment. The marriage took place when both were minors. Later, after disputes, she sued her father-in-law for the arrears.

Legal Issue: Can the wife, who was not a party to the agreement, enforce it?

Court's Decision / What the Court Held: The Privy Council held that she was entitled to enforce the agreement. The agreement created a charge on the property in her favour, and she was the beneficiary under it. The English rule of privity was not applied to such a case.

Relevance to the Topic: An important exception to privity: a beneficiary under a trust or charge (or a marriage settlement) can enforce the contract.

Case Law: M.C. Chacko v State Bank of Travancore

Year: 1969 **Court:** Supreme Court of India

Facts / Background: A bank had given an overdraft to a firm, and a guarantee was given by the father of M.C. Chacko. The father later executed a family settlement deed under which properties were given to his son (M.C. Chacko), who was to discharge the father's liability to the bank. The bank sued M.C. Chacko on the basis of the family settlement deed.

Legal Issue: Can a person who is not a party to a deed (the bank) enforce a covenant in it?

Court's Decision / What the Court Held: The Supreme Court held that the bank could not enforce the covenant in the deed, as it was not a party to it and no trust or charge had been created in its favour. A person not a party to a contract cannot enforce it, unless he is a beneficiary under a trust, family arrangement or similar arrangement.

Relevance to the Topic: The Supreme Court affirmed the doctrine of privity in India and its recognised exceptions.

Important Points

- Only a party to a contract can sue on it (*Tweddle v Atkinson*, 1861; *Dunlop v Selfridge*, 1915).
- In India, consideration may come from a third party, but a stranger to the contract still cannot sue.
- The main exceptions are: trust or charge, family arrangements and marriage settlements, acknowledgement or estoppel, assignment, agency, covenants running with land, and statutory exceptions.
- *Khwaja Muhammad Khan* (1910): beneficiary under a charge can sue.

- *M.C. Chacko* (1969): Supreme Court affirmed privity and its exceptions.

Remember: A stranger to consideration may sue in India; a stranger to the contract cannot.

Topic 2.4: Privity of Consideration

Introduction

In English law, a promisee can enforce a promise only if he himself has given consideration ("consideration must move from the promisee"). Indian law takes a different view. Under section 2(d), consideration may be provided "by the promisee or any other person". This topic explains the Indian position, which is called the rule that a "stranger to consideration" may sue.

Definition

> **Privity of consideration** refers to the rule (in English law) that consideration must move from the promisee. In Indian law, this requirement does not exist: consideration may move from the promisee **or any other person**, so a promisee who has not personally given consideration can still enforce the contract.

Detailed Explanation

1. English Rule

In English law, a person who is a party but has not given consideration cannot sue (*Tweddle v Atkinson*, 1861; *Dunlop v Selfridge*, 1915). This is often stated as "consideration must move from the promisee".

2. Indian Rule

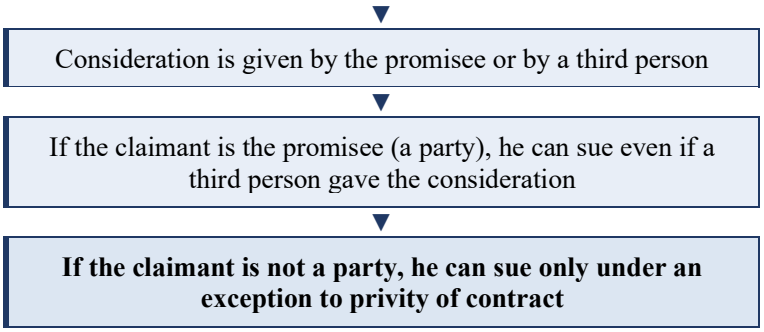
1. Section 2(d) uses the words "the promisee or any other person".
2. So consideration may be given by a third party, and the promisee can sue even though he gave nothing himself.
3. This is called the rule that a **stranger to consideration** can sue, provided he is a party to the contract.

3. Stranger to Consideration versus Stranger to Contract

Point	Stranger to consideration	Stranger to contract
Meaning	A party to the contract who did not give consideration	A person who is not a party to the contract at all
Can he sue in India?	Yes (section 2(d))	No, unless an exception applies
Leading case	*Chinnaya v Ramayya* (1882)	*M.C. Chacko v State Bank of Travancore* (1969)

Flowchart: Who can sue in India?

A promise is made to the promisee



4. Practical Importance

The Indian rule is particularly useful in family transactions, gifts with conditions, and arrangements in which a parent or relative provides consideration so that a promise is made to another family member.

Examples

- A gives property to his son B on condition that B pays Rs. 5,000 a month to A's sister C. B promises C to pay. C can sue B, because the consideration (the property) moved from A, a third person, which is allowed in India.
- A pays a shopkeeper Rs. 10,000 and the shopkeeper promises A's friend B to deliver a television to B. If B is a party to the promise, B can enforce it although he paid nothing.

Case Laws

Case Law: Chinnaya v Ramayya

Year: 1882 **Court:** Madras High Court

Facts / Background: An old lady gifted her landed property to her daughter (the defendant) by a deed, directing that the daughter should pay an annuity of Rs. 653 to the old lady's sister (the plaintiff). On the same day, the daughter executed a writing in favour of the plaintiff promising to pay the annuity. Later, the daughter refused to pay, arguing that the plaintiff had given no consideration.

Legal Issue: Can the plaintiff (the promisee) enforce the promise when the consideration was given by a third person (the old lady)?

Court's Decision / What the Court Held: The Madras High Court held that the plaintiff could sue. The consideration (the gift of property) had moved from the old lady to the daughter, and under section 2(d) consideration may move from "any other person". The plaintiff was the promisee and was entitled to enforce the promise.

Relevance to the Topic: The leading Indian case establishing that a stranger to consideration, who is a party to the contract, can sue.

Important Points

- English law: consideration must move from the promisee.
- Indian law: consideration may move from the promisee or any other person (section 2(d)).
- A stranger to consideration can sue in India (*Chinnaya v Ramayya*, 1882).
- A stranger to the contract cannot sue, except under the recognised exceptions.

Remember: Do not confuse privity of consideration (who gives consideration) with privity of contract (who can sue).

Topic 2.5: Adequacy of Consideration

Introduction

Must the consideration be equal in value to the promise? For example, can a person sell his house for Rs. 100? The law answers that consideration must exist, but it need not be adequate. Courts do not act as judges of whether a bargain is wise or fair. However, gross inadequacy may be evidence that consent was not freely given.

Definition

> **Explanation 2 to Section 25 ICA:** "An agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate; but the inadequacy of the consideration may be taken into account by the Court in determining the question whether the consent of the promisor was freely given."

Detailed Explanation

1. Meaning of the Rule

1. **Consideration must have some value in law:** it must be real, but its value need not match the value of the promise.
2. **The parties decide the value:** courts will not interfere with a bargain freely made, since what is valuable to one person may not be to another.
3. **Sufficiency versus adequacy:** consideration must be "sufficient" (recognised by law) but need not be "adequate" (equal in value).

2. Reasons for the Rule

1. Freedom of contract: adults are free to make their own bargains.
2. Courts cannot measure the subjective value parties place on things (sentimental value, urgency, business strategy).
3. Certainty: allowing challenges for inadequacy would unsettle many transactions.

3. Inadequacy as Evidence of Lack of Free Consent

Although inadequacy alone does not invalidate a contract, it is relevant when:

1. the promisor alleges coercion, undue influence, fraud or misrepresentation;
2. the parties are in a relationship of trust or dominance (section 16(3): unconscionable bargains);
3. the promisor is illiterate, old, poor or otherwise vulnerable.

Illustration (f) to section 25: A agrees to sell a horse worth Rs. 1,000 for Rs. 10. A's consent was freely given. The agreement is a contract notwithstanding the inadequacy of the

consideration. If A denies that his consent was freely given, the inadequacy of the consideration is a fact the court should take into account.

4. Specific Performance and Inadequacy

Under the Specific Relief Act, inadequacy of consideration was traditionally a factor courts weighed when exercising discretion in specific performance. Since the 2018 amendment, specific performance is no longer a discretionary remedy, but section 20 (old) and general equitable principles show that unfair bargains obtained by taking unfair advantage may still be refused.

Point	Rule
Is inadequate consideration valid?	Yes, if consent is free (Explanation 2, s.25)
Role of the court	Does not weigh the value of the bargain
Relevance of inadequacy	Evidence on the question of free consent
Exception	Unconscionable bargains where one party dominates the will of the other (s.16(3))

Examples

- A sells his car worth Rs. 5 lakh to his friend B for Rs. 50,000. If A's consent was free, the contract is valid.
- An elderly, illiterate farmer sells valuable land to a moneylender for a very low price. The inadequacy, together with other facts, may show undue influence or fraud.

Case Laws

Case Law: Chappell & Co. Ltd. v Nestlé Co. Ltd.

Year: 1960 **Court:** House of Lords, England

Facts / Background: Nestlé offered gramophone records to the public for 1s. 6d. plus three wrappers of its chocolate bars. The copyright owners of the music claimed royalties based on the "ordinary retail selling price". Nestlé argued that the price was only 1s. 6d., and that the wrappers (which were thrown away) were not part of the consideration.

Legal Issue: Can things of little or no economic value, such as chocolate wrappers, form part of the consideration?

Court's Decision / What the Court Held: The House of Lords held that the wrappers were part of the consideration. Lord Somervell said that a contracting party can stipulate for what consideration he chooses: a peppercorn does not cease to be good consideration if it is established that the promisee does not like pepper and will throw away the corn.

Relevance to the Topic: The case shows that consideration need not be adequate; even something of trivial value is good consideration if the parties choose it.

Case Law: Thomas v Thomas

Year: 1842 **Court:** Court of Queen's Bench, England

Facts / Background: Before his death, a husband expressed a wish that his widow should have the house for life. The executors agreed to let her live there for a rent of £1 per year and on condition that she keep the house in repair. They later tried to evict her.

Legal Issue: Was the nominal rent of £1 a year sufficient consideration?

Court's Decision / What the Court Held: The court held that the agreement was binding. The payment of £1 a year and the promise to keep the house in repair were good consideration, even though inadequate in value. The husband's wish (a motive) was not consideration, but the rent was.

Relevance to the Topic: Consideration must be sufficient but need not be adequate; motive is different from consideration.

Important Points

- Consideration must be real but need not be adequate (Explanation 2 to section 25).
- Courts do not weigh the value of the bargain (*Chappell v Nestlé*, 1960; *Thomas v Thomas*, 1842).
- Inadequacy is relevant as evidence on the question of free consent.
- Motive is not the same as consideration.

Remember: "A peppercorn is good consideration": trivial value is enough, if the parties freely chose it.

Topic 2.6: Present, Past and Future Consideration

Introduction

Section 2(d) refers to consideration that the promisee "has done", "does" or "promises to do". These words correspond to past, present and future consideration. Indian law recognises all three as valid, whereas English law does not generally recognise past consideration. Understanding the timing of consideration is therefore important for comparing the two systems.

Definition

> **Past consideration:** an act or abstinence done before the promise is made, at the desire of the promisor.

> **Present (executed) consideration:** an act done at the same time as the promise.

> **Future (executory) consideration:** a promise to do or abstain from doing something in the future.

Detailed Explanation

1. Present Consideration

In a present (executed) consideration, the act and the promise take place simultaneously. For example, in a cash sale, the buyer pays and the seller hands over the goods immediately.

2. Future Consideration

Future consideration is a promise exchanged for a promise: each party promises to do something later. Most commercial contracts, such as a contract to deliver goods next month on payment on delivery, are executory.

3. Past Consideration

English Law

In English law, past consideration is no consideration. If the act was done before the promise and without any request, a later promise to pay for it is unenforceable (*Re McArdle*, 1951; *Roscorla v Thomas*, 1842). Exceptions:

1. The act was done at the promisor's request, and both parties understood it would be paid for (*Lampleigh v Brathwait*, 1615; *Pao On v Lau Yiu Long*, 1980).
2. Negotiable instruments: an antecedent debt is valid consideration for a bill of exchange.

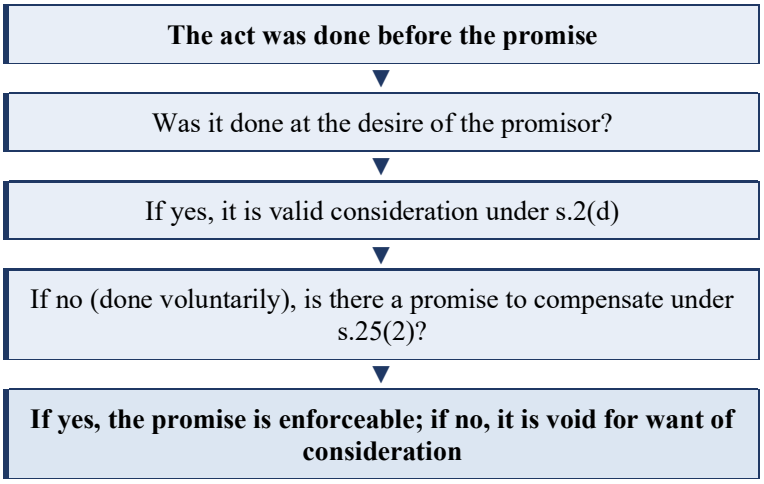
Indian Law

1. Section 2(d) expressly includes an act that the promisee "has done" at the desire of the promisor. So past consideration is valid in India, if the act was done at the desire of the promisor.
2. If the past act was done voluntarily, without the promisor's request, it is not consideration under section 2(d). However, section 25(2) makes a promise to compensate a person who has already voluntarily done something for the promisor enforceable.

4. Comparison

Type	Indian law	English law	Example
Past	Valid if at promisor's desire (s.2(d)); voluntary past acts covered by s.25(2)	Generally invalid, except where done at request	A saves B's goods at B's request; later B promises a reward
Present	Valid	Valid	Cash purchase
Future	Valid	Valid	Promise for promise

Flowchart: Is past consideration valid in India?



Examples

- A finds B's lost purse and returns it to B. Later B promises to pay A Rs. 500. A's act was voluntary, but B's promise to compensate is enforceable under section 25(2).
- At B's request, A teaches B's son for a year. Later B promises to pay A Rs. 20,000. This is past consideration at the desire of the promisor and is valid under section 2(d).

Case Laws

Case Law: Lampleigh v Brathwait

Year: 1615 **Court:** Court of King's Bench, England

Facts / Background: Brathwait had killed a man and asked Lampleigh to try to obtain a pardon for him from the King. Lampleigh made great efforts and travelled to get the pardon. Afterwards, Brathwait promised to pay him £100, but did not pay.

Legal Issue: Is an act done before a promise, at the promisor's request, good consideration for the later promise?

Court's Decision / What the Court Held: The court held that Lampleigh could recover the £100. Since the services had been rendered at Brathwait's request, the later promise was linked to the earlier request and was enforceable.

Relevance to the Topic: The case created the exception to the English rule against past consideration where the act was done at the promisor's request; this is similar to the Indian rule in section 2(d).

Case Law: Re McArdle

Year: 1951 **Court:** Court of Appeal, England

Facts / Background: A house was left to a mother for life and then to her children. One child's wife paid for improvements to the house. Later the children signed a document promising to repay her out of the estate. They then refused to pay.

Legal Issue: Is a promise made after the work was completed enforceable?

Court's Decision / What the Court Held: The Court of Appeal held that the promise was not enforceable, because the work had been done before the promise was made and not at the children's request. Past consideration is no consideration.

Relevance to the Topic: The leading English case on the rule that past consideration is not valid. In India, section 25(2) would apply to such voluntary services.

Important Points

- Section 2(d): "has done" (past), "does" (present), "promises to do" (future).
- Past consideration is valid in India if done at the promisor's desire.
- Voluntary past acts are covered by section 25(2).
- In English law, past consideration is no consideration (*Re McArdle*, 1951), except for acts done at request (*Lampleigh v Brathwait*, 1615).

Remember: In India, both "past at request" (s.2(d)) and "past voluntary" (s.25(2)) acts can support a promise.

Topic 2.7: Unlawful Consideration and its Effect

Introduction

Consideration must not only exist; it must also be lawful. An agreement whose consideration is unlawful is void. Section 23 lays down the tests of lawfulness, and section 24 explains what happens when only part of the consideration or object is unlawful. This topic deals with unlawful consideration and its effect; the detailed heads of illegality are studied in Unit III.

Definition

> **Section 23 ICA (in part):** "The consideration or object of an agreement is lawful, unless it is forbidden by law; or is of such a nature that, if permitted, it would defeat the provisions of any law; or is fraudulent; or involves or implies injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy. In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void."

Detailed Explanation

1. When Consideration is Unlawful: Section 23

1. **Forbidden by law:** prohibited by a statute or other law (e.g. paying a bribe).
2. **Defeats the provisions of any law:** although not directly forbidden, it would make a law ineffective.
3. **Fraudulent:** made to deceive others.
4. **Injurious to person or property:** involves harm to another.
5. **Immoral:** against accepted standards of morality, as decided by the court.
6. **Opposed to public policy:** harmful to the public good.

2. Effect of Unlawful Consideration

1. **The agreement is void:** it has no legal effect, and neither party can enforce it.
2. **No recovery of money paid:** the general rule is *in pari delicto potior est conditio defendentis* (where both parties are equally at fault, the defendant is in the stronger position). A party who has paid money under an illegal agreement usually cannot recover it.
3. **Exceptions to the no-recovery rule:**
   - the parties are not equally at fault (e.g. one was defrauded or coerced);
   - the plaintiff withdraws before the illegal purpose is carried out (*locus poenitentiae*);
   - the plaintiff can establish his claim without relying on the illegal agreement.

4. **Collateral transactions:** transactions that are connected with an illegal agreement may also be tainted.

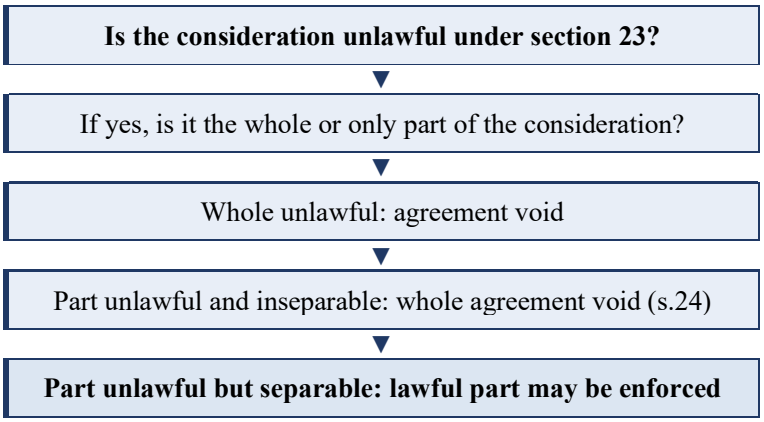
3. Partial Illegality: Section 24

> **Section 24:** "If any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object, is unlawful, the agreement is void."

- If the lawful and unlawful parts can be separated, the lawful part may be enforced (section 57, reciprocal promises).
- If they cannot be separated, the whole agreement is void.

Illustration to section 24: A promises to superintend, on behalf of B, a legal manufacture of indigo and an illegal traffic in other articles. B promises to pay A a salary of Rs. 10,000 a year. The agreement is void, because the object of A's promise and the consideration for B's promise are partly unlawful.

Flowchart: Effect of unlawful consideration



Examples

- A promises to pay B Rs. 50,000 if B gets him a government job by bribing an officer. The consideration is unlawful, and the agreement is void.
- A lets his house to B, knowing that B will use it as a gambling den in violation of law. A cannot recover the rent.

Case Laws

Case Law: Pearce v Brooks

> **Year:** 1866 **Court:** Court of Exchequer, England

Facts / Background: The plaintiffs, coachbuilders, hired out an ornamental carriage to the defendant, a prostitute, knowing that she would use it to attract clients in her trade. She did not pay the hire, and the plaintiffs sued.

Legal Issue: Can a person recover payment under a contract when he knows the subject matter will be used for an immoral purpose?

Court's Decision / What the Court Held: The court held that the plaintiffs could not recover the hire, because they knew the carriage was to be used for an immoral purpose. The contract was tainted with immorality.

Relevance to the Topic: The case shows the effect of an unlawful (immoral) object: the court refuses to help a party who knowingly participates.

Important Points

- Section 23 lists when consideration or object is unlawful.
- An agreement with unlawful consideration is void.
- Money paid under an illegal agreement generally cannot be recovered (*in pari delicto*), subject to exceptions.
- Section 24: partial illegality of an inseparable consideration makes the whole agreement void.
- *Pearce v Brooks* (1866): no recovery under a contract knowingly made for an immoral purpose.

Remember: Every unlawful agreement is void, but every void agreement is not unlawful (e.g. a wagering agreement is void but not illegal).

Topic 2.8: Capacity to Contract

Introduction

For a valid contract, the parties must be competent to contract. The law protects persons who cannot fully understand their own interests, such as minors and persons of unsound mind, by declaring them incompetent. Some other persons are disqualified by law. Sections 11 and 12 of the Indian Contract Act deal with this subject.

Definition

> **Section 11 ICA:** "Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind, and is not disqualified from contracting by any law to which he is subject."

> **Section 12 ICA:** "A person is said to be of sound mind for the purpose of making a contract if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests."

Detailed Explanation

1. Three Requirements of Competence

1. **Age of majority:** under section 3 of the Indian Majority Act, 1875, a person domiciled in India attains majority on completing **18 years** of age. (Under the earlier law, a minor whose guardian was appointed by a court attained majority at 21; this rule was removed by an amendment in 1999.)
2. **Sound mind:** the person must be capable of understanding the contract and forming a rational judgment about its effect on his interests, at the time of contracting.
3. **Not disqualified by law.**

2. Soundness of Mind: Section 12

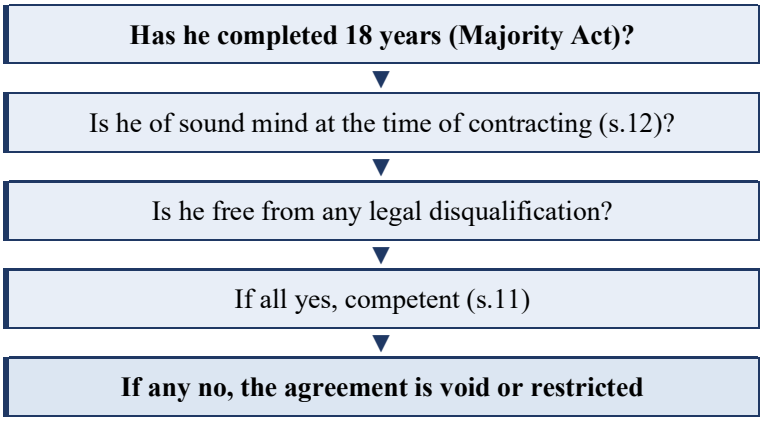
1. A person who is **usually of unsound mind** but occasionally of sound mind may make a contract when he is of sound mind (e.g. a patient in a mental hospital during a lucid interval).
2. A person who is **usually of sound mind** but occasionally of unsound mind may not make a contract when he is of unsound mind (e.g. a person who is delirious from fever or so drunk that he cannot understand the contract).
3. Unsoundness includes idiocy, lunacy, intoxication and similar conditions, provided the person cannot understand the contract.
4. **Effect:** an agreement made by a person of unsound mind is **void** in India. (In English law, it is voidable if the other party knew of the incapacity: *Imperial Loan Co. v Stone*, 1892.)

5. Under section 68, a person of unsound mind is liable to pay from his property for necessaries supplied to him or his dependants.

3. Persons Disqualified by Law

Category	Position
Alien enemies	An alien enemy (a national of a country at war with India) cannot contract without the permission of the Government during war
Foreign sovereigns and ambassadors	Cannot be sued in Indian courts without consent of the Central Government (s.86, Code of Civil Procedure); they can contract and sue
Insolvents	An undischarged insolvent's property vests in the official receiver; his capacity to deal with that property is restricted
Convicts	While undergoing sentence, a convict cannot contract (in English law); the position varies
Companies and corporations	Can contract only within the powers in their memorandum and the statute; ultra vires contracts are void (*Ashbury Railway Carriage Co. v Riche*, 1875)
Persons disqualified by personal or statutory law	Any person declared incompetent by a law applicable to him

Flowchart: Is a person competent to contract?



Examples

- A, aged 17, agrees to buy a motorcycle on credit. The agreement is void, since A is a minor.
- A patient in a mental hospital who is at intervals of sound mind may contract during those intervals.
- A sane man who is completely drunk, and cannot understand the terms or form a rational judgment, cannot contract while drunk.

Case Laws

Case Law: Imperial Loan Co. Ltd. v Stone

Year: 1892 **Court:** Court of Appeal, England

Facts / Background: The defendant signed a promissory note as surety. He later claimed that he was insane at the time and did not understand what he was doing. The jury found that he was insane, but could not agree whether the plaintiffs knew of his insanity.

Legal Issue: Is a contract made by a person of unsound mind void, or voidable, under English law?

Court's Decision / What the Court Held: The Court of Appeal held that a contract made by a person of unsound mind is binding unless it is proved that the other party knew of his insanity. If the other party knew, the contract is voidable at the option of the person of unsound mind.

Relevance to the Topic: The case sets out the English rule. The Indian position differs: under sections 11 and 12, an agreement by a person of unsound mind is void.

Important Points

- Section 11: competence requires majority, sound mind and absence of disqualification.
- Age of majority in India: 18 years (Indian Majority Act, 1875).
- Section 12: soundness of mind is judged at the time of contracting.
- Agreements by minors and persons of unsound mind are void in India.
- Section 68: liability for necessaries supplied to incompetent persons.

Remember: In India, an agreement with a person of unsound mind is void; in England, it may be voidable (*Imperial Loan Co. v Stone*, 1892).

Topic 2.9: Minor's Agreements

Introduction

A minor is a person who has not completed 18 years of age. The law regards minors as not mature enough to protect their own interests, so it gives them special protection. The most important rule, settled by the Privy Council in *Mohori Bibee v Dharmodas Ghose* (1903), is that an agreement with a minor is void *ab initio* (from the beginning). This topic explains this rule and its consequences.

Definition

> A **minor's agreement** is an agreement entered into by a person who has not attained the age of majority (18 years). Under sections 10 and 11 ICA, as interpreted in *Mohori Bibee v Dharmodas Ghose*, such an agreement is **absolutely void**.

Detailed Explanation

1. Rules Relating to Minor's Agreements

1. **Void ab initio:** an agreement with a minor is void from the beginning, and neither party can enforce it.
2. **No ratification:** a minor cannot ratify the agreement after attaining majority, because a void agreement cannot be ratified (Topic 2.11).
3. **No estoppel against a minor:** even if the minor misrepresented his age, he cannot be held liable on the contract (Topic 2.12).
4. **No restitution of benefits under sections 64 and 65:** these sections apply to voidable contracts and agreements discovered to be void, not to agreements void because of minority (*Mohori Bibee*). However, the court may order restitution under the Specific Relief Act in certain cases (Topic 2.10).
5. **No specific performance:** a minor's agreement cannot be specifically enforced, since it is void. (But an agreement made by a guardian on behalf of a minor, within his authority and for the minor's benefit, can be specifically enforced.)
6. **Liability for necessaries (section 68):** if necessaries suited to his condition in life are supplied to a minor, the supplier can claim reimbursement from the minor's property, but the minor is not personally liable.
7. **Minor as a beneficiary:** a minor can be a promisee or beneficiary, for example, a minor can enforce a promissory note in his favour or a contract under which he has fully performed his part.
8. **Minor as an agent:** a minor can act as an agent, but he is not personally liable to the principal (section 184).

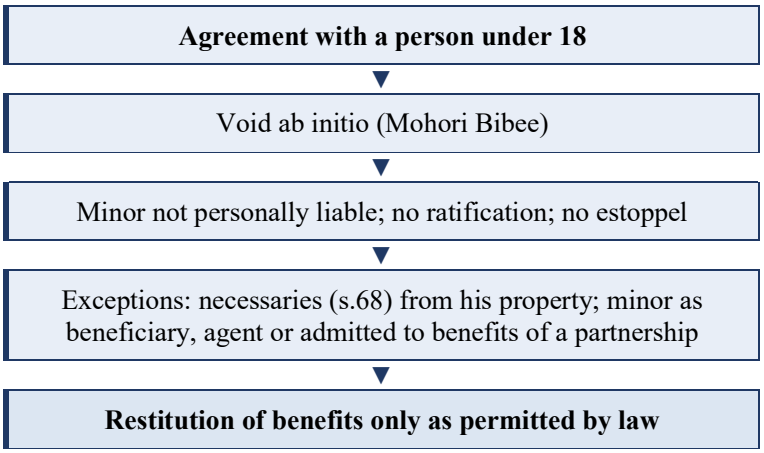
9. **Minor as a partner:** a minor cannot be a partner, but can be admitted to the benefits of a partnership with the consent of all partners (section 30, Indian Partnership Act, 1932).
10. **Minor and negotiable instruments:** a minor may draw, endorse or deliver a negotiable instrument so as to bind all parties except himself (section 26, Negotiable Instruments Act, 1881).
11. **Parents and guardians:** a parent is not liable for a minor's agreement unless the minor acted as the parent's agent.
12. **Minor and tort:** a minor is liable in tort, but a contract cannot be turned into a tort to make him liable indirectly.

2. Necessaries

"Necessaries" are goods and services suited to the minor's condition in life (his status) and his actual requirements at the time of supply. Food, clothing, shelter, education, medical aid and legal advice are typical necessaries. Luxury items are not necessaries. The supplier must prove that the goods were necessaries and that the minor did not already have a sufficient supply.

Rule	Position	Authority
Validity	Void ab initio	*Mohori Bibee v Dharmodas Ghose* (1903)
Ratification on majority	Not possible	*Suraj Narain Dube v Sukhu Aheer* (1928)
Estoppel	Not applicable against the minor	*Mohori Bibee*; *Sadiq Ali Khan v Jai Kishore* (1928)
Necessaries	Minor's property liable (s.68)	*Nash v Inman* (1908)
Restitution	At the court's discretion	s.33, Specific Relief Act 1963 (as amended)
Minor as agent	Allowed	s.184 ICA

Flowchart: Contracting with a minor



Examples

- A, aged 16, borrows Rs. 50,000 from a moneylender by mortgaging his property. The mortgage is void, and the moneylender cannot recover the loan from A.
- A, aged 17, a college student, buys necessary textbooks on credit. The bookseller can recover their price from A's property, but cannot sue A personally.

Case Laws

Case Law: Mohori Bibee v Dharmodas Ghose

Year: 1903 **Court:** Privy Council (on appeal from the Calcutta High Court)

Facts / Background: Dharmodas Ghose, a minor, mortgaged his house in favour of Brahmo Dutt, a moneylender, to secure a loan of Rs. 20,000. At the time of the mortgage, the moneylender's agent, Kedar Nath, knew that Dharmodas was a minor, because a notice had been given on behalf of his mother (his guardian) stating that he was a minor. Dharmodas, through his mother, sued to have the mortgage declared void. During the case Brahmo Dutt died, and his widow, Mohori Bibee, continued the appeal. She argued that the minor had misrepresented his age and that the loan should be repaid.

Legal Issue: (i) Is an agreement with a minor void or voidable? (ii) Is the minor estopped from pleading minority because he misrepresented his age? (iii) Must the minor return the money advanced under sections 64 and 65?

Court's Decision / What the Court Held: The Privy Council held that: (1) an agreement with a minor is **void ab initio**, as sections 10 and 11 make competence essential to a contract; (2) there was no estoppel, because the lender's agent knew the truth, and in any case, the rule of estoppel cannot override the statutory rule; (3) sections 64 and 65 did not apply, since they presuppose a contract between competent parties; so the minor was not required to repay the money.

Relevance to the Topic: The leading authority (a syllabus case) establishing that a minor's agreement is absolutely void and that a minor cannot be made liable on it.

Case Law: Nash v Inman

Year: 1908 **Court:** Court of Appeal, England

Facts / Background: A tailor supplied clothes, including eleven fancy waistcoats, worth about £145 to Inman, a minor and undergraduate at Cambridge. His father proved that the minor was already adequately supplied with clothes.

Legal Issue: Were the clothes "necessaries" for which the minor was liable?

Court's Decision / What the Court Held: The Court of Appeal held that the tailor could not recover the price. The clothes were not necessaries, because the minor already had a

sufficient supply. The burden was on the tailor to prove that the goods were necessaries both suited to his condition in life and to his actual requirements at the time.

Relevance to the Topic: The leading case on the meaning of necessaries; in India, it explains section 68.

Important Points

- An agreement with a minor is void ab initio (*Mohori Bibee*, 1903).
- It cannot be ratified, and the minor is not estopped by misrepresenting his age.
- Sections 64 and 65 do not apply to minor's agreements.
- The minor's property is liable for necessaries (s.68; *Nash v Inman*, 1908).
- A minor can be a beneficiary, an agent (s.184) and admitted to the benefits of partnership.

Remember: The minor is never personally liable; only his property is liable for necessaries.

Topic 2.10: Restitution and Affirmation

Introduction

Because a minor's agreement is void, a difficult question arises when the minor has received money or property under it. Should he be allowed to keep the benefit? The doctrine of **restitution** deals with the return of benefits received. The concept of **affirmation** deals with whether a minor, after attaining majority, can confirm (affirm) the agreement he made during minority. Both doctrines try to balance protection of the minor with fairness to the other party.

Definition

> **Restitution** means restoring to a party the benefit (money, goods or property) that the other party has received under a void or rescinded agreement, so as to prevent unjust enrichment.

> **Affirmation** means the confirmation by a party of a transaction, treating it as binding. In the case of a minor, it refers to his attempt, after attaining majority, to confirm an agreement made during minority.

Detailed Explanation

1. Restitution against a Minor: The Equitable Doctrine

Equity says that a minor who obtains property by misrepresenting his age can be compelled to restore it, as long as it is traceable in his possession. "Restitution stops where repayment begins." The minor can be made to return specific goods or property, but he cannot be made to repay money, because that would amount to enforcing the void contract indirectly.

2. Conflicting Indian Decisions before the Specific Relief Act

Case	Court and year	View
Leslie (R.) Ltd. v Sheill	Court of Appeal, England, 1914	A minor who borrowed money by misrepresenting his age cannot be made to repay it, either in contract or in tort; equity will not compel repayment of money
Khan Gul v Lakha Singh	Lahore High Court (Full Bench), 1928	Restitution can be ordered whether the minor is plaintiff or defendant, and it may extend to money, to prevent the minor from benefiting from his fraud
Ajudhia Prasad v Chandan Lal	Allahabad High Court (Full Bench), 1937	Where the minor is the defendant, the court cannot order him to repay money, because that would enforce the void agreement

3. Statutory Position: Section 33 of the Specific Relief Act, 1963

(Before the 2018 amendment, this was in sections 33 and 41.) Section 33 provides:

1. When a court refuses to enforce, or cancels, an instrument at the instance of a party, it may require him to restore to the other party any benefit he has received and to make compensation as justice requires.
2. Where a defendant successfully resists a suit on the ground that the agreement is void because he was not competent to contract (e.g. minority), the court may, if the defendant has received any benefit under the agreement, require him to restore it, **to the extent to which he or his estate has benefited**.

Section 33 thus allows the court to order restitution against a minor whether he is plaintiff or defendant, but only to the extent of the benefit actually received.

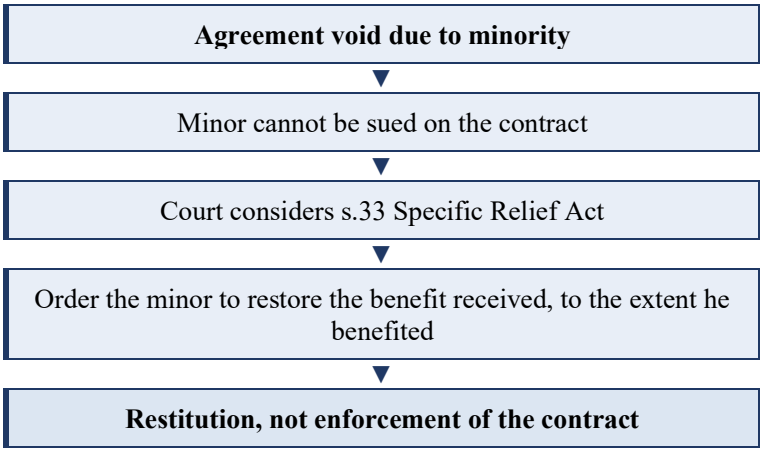
4. Restitution in Favour of a Minor

A minor may also claim return of money or property he gave under a void agreement. Courts decide this according to principles of equity, often requiring the minor to restore what he received in return.

5. Affirmation

1. **No affirmation after majority:** since a minor's agreement is void, it cannot be affirmed or ratified when the minor becomes a major (Topic 2.11).
2. **Fresh contract:** after attaining majority, the person may enter into a new contract with fresh consideration. Past consideration received during minority is not sufficient (*Suraj Narain Dube v Sukhu Aheer*, 1928).
3. **Affirmation in voidable contracts:** in contrast, a party entitled to rescind a voidable contract (e.g. for fraud) may affirm it expressly or impliedly, and once affirmed, the right to rescind is lost.

Flowchart: Restitution where a minor obtained a benefit



Examples

- A minor buys a motorcycle by falsely saying he is 19. When sued for the price, he pleads minority. The court may order him to return the motorcycle if it is still with him, but not to pay its price.
- A minor sells his land and receives Rs. 5 lakh. Later he sues to recover the land, pleading minority. The court may require him to return the money as a condition of getting back the land.

Case Laws

Case Law: Khan Gul v Lakha Singh

Year: 1928 **Court:** Lahore High Court (Full Bench)

Facts / Background: The defendant, a minor, falsely represented that he was of age and agreed to sell land to the plaintiff for Rs. 17,500, which he received. He did not transfer the land. When sued for possession of the land or refund of the money, he pleaded minority.

Legal Issue: Can a minor who obtained money by fraudulently misrepresenting his age be compelled to restore the money?

Court's Decision / What the Court Held: The Full Bench, speaking through Sir Shadi Lal C.J., held that the minor could not be held liable on the contract, but he could be required, as a matter of equity and on the principle of section 41 of the old Specific Relief Act, to restore the money he had obtained. The court did not accept the English rule in *Leslie v Sheill* that restitution stops where repayment begins.

Relevance to the Topic: The case widened the scope of restitution against minors in India. The present section 33 SRA reflects this approach, limited to the extent of the benefit.

Case Law: Leslie (R.) Ltd. v Sheill

Year: 1914 **Court:** Court of Appeal, England

Facts / Background: A minor obtained a loan of £400 by fraudulently misrepresenting that he was of full age. The lenders sued to recover the money in tort for deceit and in equity.

Legal Issue: Can the money lent to a minor who misrepresented his age be recovered from him?

Court's Decision / What the Court Held: The Court of Appeal held that the money could not be recovered. Allowing an action in deceit would indirectly enforce the void contract. Equity could compel restoration of specific property traceable in the minor's hands, but not repayment of money that had been spent.

Relevance to the Topic: The English rule that "restitution stops where repayment begins"; it contrasts with *Khan Gul*.

Important Points

- Restitution prevents a minor from keeping benefits obtained under a void agreement.
- English law: restitution of property, but not repayment of money (*Leslie v Sheill*, 1914).
- *Khan Gul v Lakha Singh* (1928) allowed restitution of money; *Ajudhia Prasad* (1937) took a narrower view.
- Section 33 SRA allows restitution to the extent of the benefit, whether the minor is plaintiff or defendant.
- A minor cannot affirm an agreement after majority; only a fresh contract with fresh consideration is binding.

Remember: Restitution is not enforcement of the contract; it only returns the benefit received.

Topic 2.11: Ratification by Minor

Introduction

Ratification means approving or confirming an act or agreement made earlier, so that it becomes binding from the date it was originally made. Many people assume that when a minor becomes an adult, he can simply confirm the agreements he made as a minor. The law does not allow this, because a minor's agreement is void, and a void agreement is a nullity that cannot be brought back to life.

Definition

> **Ratification** is the subsequent adoption or confirmation of an earlier act or agreement, which gives it validity from the time it was made. A **minor cannot ratify**, on attaining majority, an agreement made during his minority, because the agreement is void ab initio.

Detailed Explanation

1. The Rule

1. A minor's agreement is void ab initio (*Mohori Bibee*).
2. "Nothing" cannot be ratified; ratification can give life only to something that was capable of being valid.
3. So, after attaining majority, a person is not bound by a promise made during minority, even if he expressly ratifies it.

2. A Fresh Contract After Majority

1. The person may enter into a new contract after attaining majority.
2. The new contract needs fresh consideration. The benefit received during minority (e.g. a loan) is not valid consideration for the new promise, because it was received under a void agreement.
3. If fresh consideration is given (e.g. a further loan or extension of time with new benefits), the new contract is binding.

3. Ratification Compared with Other Situations

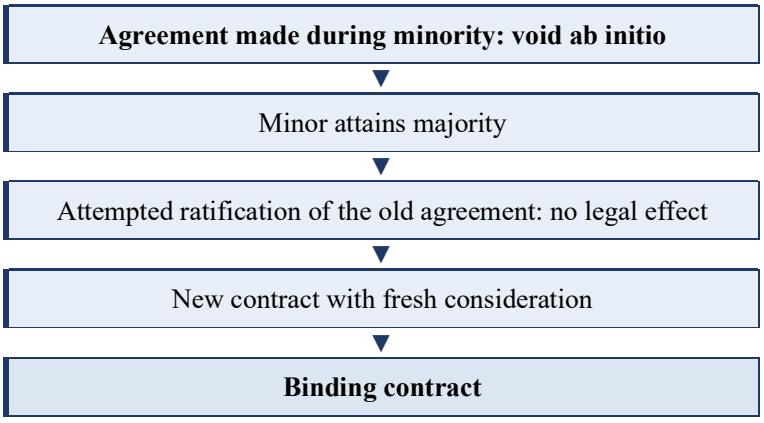
Situation	Ratification possible?	Reason
Minor's agreement	No	It is void ab initio
Voidable contract (e.g. fraud)	Yes, the aggrieved party may affirm it	It is valid until rescinded
Agent acting without authority	Yes, the principal may ratify (s.196 ICA)	The principal could have authorised the act

Situation	Ratification possible?	Reason
Contract by a guardian for a minor	Binding if within the guardian's authority and for the minor's benefit	Made by a competent person on the minor's behalf

4. Minor's Agreement and Mixed Transactions

Where a contract is entered into partly during minority and partly after majority, only the obligations undertaken after majority with fresh consideration are binding.

Flowchart: Can a minor's agreement become binding?



Examples

- A, at 17, borrows Rs. 10,000 from B. On attaining 18, A signs a fresh promissory note for Rs. 10,000 in favour of B, without any new consideration. The new note is not enforceable.
- If, at the time of signing the new note, B lends A a further Rs. 5,000, there is fresh consideration, and the new contract may be enforceable to that extent (and, depending on the facts, for the whole sum if the fresh consideration supports it).

Case Laws

Case Law: Suraj Narain Dube v Sukhu Aheer

Year: 1928 **Court:** Allahabad High Court

Facts / Background: The defendant borrowed money during his minority by executing a promissory note. After attaining majority, he executed a fresh bond for the amount of the earlier loan, including interest. The creditor sued on the fresh bond.

Legal Issue: Is a promise made after attaining majority to repay a loan taken during minority enforceable?

Court's Decision / What the Court Held: The court held that the fresh bond was not enforceable, since there was no fresh consideration. The loan received during minority

could not be consideration for the later promise, because the original agreement was void; this amounted to ratification of a void agreement, which the law does not permit.

Relevance to the Topic: The case establishes that a minor cannot ratify an agreement after attaining majority; a new promise requires fresh consideration.

Important Points

- A minor's agreement cannot be ratified on attaining majority.
- A void agreement is a nullity and cannot be validated.
- A fresh contract after majority requires fresh consideration (*Suraj Narain Dube v Sukhu Aheer*, 1928).
- Ratification is possible for voidable contracts and for acts of an agent (s.196).

Remember: Ratification relates back to the original date; that is exactly why it cannot apply to a void minor's agreement.

Topic 2.12: Estoppel

Introduction

Estoppel is a rule of evidence and equity which prevents a person from denying the truth of a statement he has made earlier, when another person has relied on it. In contract law, two questions arise: (1) can a minor who misrepresented his age be prevented (estopped) from pleading minority? and (2) can the doctrine of promissory estoppel make a promise binding even without consideration? Both questions are discussed in this topic.

Definition

> **Section 121 of the Bharatiya Sakshya Adhiniyam, 2023 (formerly section 115 of the Indian Evidence Act, 1872):** "When one person has, by his declaration, act or omission, intentionally caused or permitted another person to believe a thing to be true and to act upon such belief, neither he nor his representative shall be allowed, in any suit or proceeding between himself and such person or his representative, to deny the truth of that thing."

> **Promissory estoppel:** where a person makes a clear promise intending it to be acted upon, and the promisee acts on it to his detriment, the promisor is not allowed to go back on the promise, even though there is no consideration.

Detailed Explanation

1. Essentials of Estoppel

1. A representation by one person to another, by words or conduct.
2. The representation relates to an existing fact (for ordinary estoppel).
3. The other person believed it and acted on it.
4. He altered his position to his detriment.

2. No Estoppel against a Minor

1. The Privy Council in *Mohori Bibee* (1903) held that estoppel did not apply because the lender knew the truth.
2. Further, courts have held that there can be no estoppel against a statute. Since the Contract Act makes a minor incompetent, the minor cannot be estopped from pleading minority, even if he falsely represented that he was of age (*Sadiq Ali Khan v Jai Kishore*, 1928 PC).
3. The other party's remedy, if any, is restitution under section 33 of the Specific Relief Act.

3. Promissory Estoppel

Origin in English Law

In *Central London Property Trust Ltd. v High Trees House Ltd.* (1947), Denning J. held that a promise to accept a reduced rent during wartime, which was acted upon, was binding while the circumstances continued, even without consideration. The doctrine is used as a "shield, not a sword" in English law (*Combe v Combe*, 1951), i.e. as a defence, not as a cause of action.

Indian Law

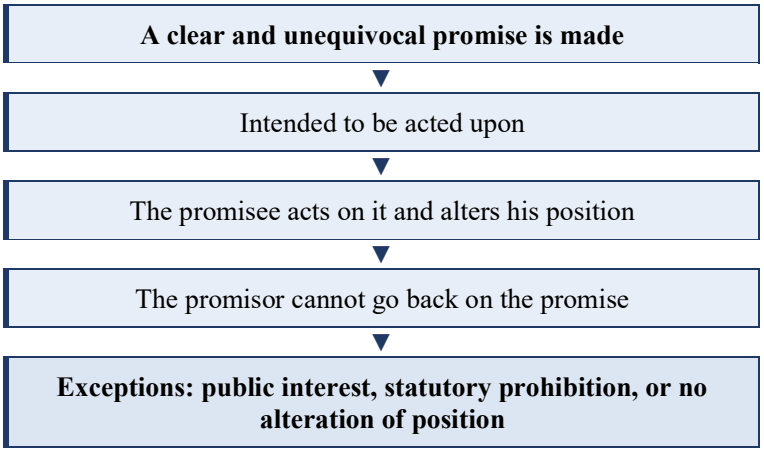
Indian courts have applied promissory estoppel more widely, including against the Government:

1. It can be used as a cause of action, not only as a defence.
2. It applies against the Government, except where it would be against public interest or the law.
3. It cannot override a statute, and it does not apply where the promisee has not acted on the promise.

4. Comparison

Point	Estoppel (s.121 BSA)	Promissory estoppel
Based on	Representation of an existing fact	Promise about future conduct
Nature	Rule of evidence	Equitable doctrine
Consideration	Not relevant	Not required
Application against a minor	Not applicable (no estoppel against statute)	Not applicable to make a minor liable
Leading case	*Sadiq Ali Khan v Jai Kishore* (1928)	*Motilal Padampat Sugar Mills v State of UP* (1979)

Flowchart: Promissory estoppel in India



Examples

- A, aged 17, tells a car dealer he is 21 and buys a car on instalments. When sued for the balance, he can plead minority; estoppel does not apply against him.

- The State announces a three-year tax holiday for new industries. A company sets up a factory relying on it. The State then withdraws the exemption. The company can invoke promissory estoppel.

Case Laws

Case Law: Sadiq Ali Khan v Jai Kishore

Year: 1928 **Court:** Privy Council

Facts / Background: A deed was executed by a minor, and the question arose whether the minor (or those claiming through him) could deny its validity on the ground of minority when he had represented otherwise.

Legal Issue: Can estoppel make a minor's deed valid?

Court's Decision / What the Court Held: The Privy Council held that a deed executed by a minor is a nullity and incapable of founding a plea of estoppel. Estoppel cannot override the statutory incapacity of a minor.

Relevance to the Topic: There is no estoppel against a minor; the statutory rule of incapacity prevails over estoppel.

Case Law: Motilal Padampat Sugar Mills Co. Ltd. v State of Uttar Pradesh

Year: 1979 **Court:** Supreme Court of India

Facts / Background: The State Government announced that new industrial units would be exempt from sales tax for three years. Relying on this assurance, the appellant company set up a vanaspati factory, spending a large amount. The Government later went back on its assurance and refused the exemption.

Legal Issue: Can the Government be bound by promissory estoppel to honour its promise, even without consideration or a formal contract?

Court's Decision / What the Court Held: The Supreme Court (Bhagwati J.) held that the doctrine of promissory estoppel applies against the Government. Where the Government makes a promise intending it to be acted on, and the promisee acts on it, the Government is bound, unless public interest requires otherwise. The doctrine is not limited to a defence and can found a cause of action in India.

Relevance to the Topic: The leading Indian authority on promissory estoppel, which operates even without consideration.

Case Law: Central London Property Trust Ltd. v High Trees House Ltd.

Year: 1947 **Court:** King's Bench Division, England

Facts / Background: In 1937, the plaintiffs leased a block of flats to the defendants. During the Second World War, many flats were empty, and the plaintiffs agreed to reduce the rent by half. After the war, the plaintiffs claimed the full rent.

Legal Issue: Was the promise to accept a reduced rent binding, although there was no consideration?

Court's Decision / What the Court Held: Denning J. held that the plaintiffs were entitled to the full rent only for the period after the war ended, when the flats were fully let. The promise to accept reduced rent was binding during the war period because the defendants had relied on it.

Relevance to the Topic: The case established the modern doctrine of promissory estoppel.

Important Points

- Estoppel (s.121 BSA 2023, formerly s.115 Evidence Act) prevents a person from denying a representation acted upon by another.
- There is no estoppel against a minor (*Sadiq Ali Khan v Jai Kishore*, 1928; *Mohori Bibee*, 1903).
- Promissory estoppel binds a promisor, including the Government, without consideration (*Motilal Padampat*, 1979).
- It originated in *High Trees* (1947).

Remember: There is no estoppel against a statute: the statutory incapacity of a minor cannot be overridden by his misrepresentation.

Topic 2.13: Free Consent

Introduction

Consent is the foundation of every contract, but it must be real and freely given. If a person agrees because of a threat, pressure, deception or mistake, his consent is not free, and the law gives him protection. Section 10 requires "free consent" for a valid contract, and sections 13 to 22 explain the meaning of consent and the factors that affect it.

Definition

> **Section 13 – Consent:** "Two or more persons are said to consent when they agree upon the same thing in the same sense."

> **Section 14 – Free consent:** "Consent is said to be free when it is not caused by (1) coercion, as defined in section 15, or (2) undue influence, as defined in section 16, or (3) fraud, as defined in section 17, or (4) misrepresentation, as defined in section 18, or (5) mistake, subject to the provisions of sections 20, 21 and 22. Consent is said to be so caused when it would not have been given but for the existence of such coercion, undue influence, fraud, misrepresentation or mistake."

Detailed Explanation

1. Consent (Section 13)

Consent requires *consensus ad idem*: both parties must agree on the same thing in the same sense. If there is no consensus (for example, the parties are thinking of different subject matter), there is no consent at all, and the agreement is void.

2. Free Consent (Section 14)

Consent may exist, but it may not be free. Consent is not free if it is caused by one of five factors:

1. Coercion (section 15).
2. Undue influence (section 16).
3. Fraud (section 17).
4. Misrepresentation (section 18).
5. Mistake (sections 20–22).

3. Causation: "But For" Test

Consent is caused by these factors if it would not have been given but for their existence. If the party would have agreed anyway, the contract is not affected.

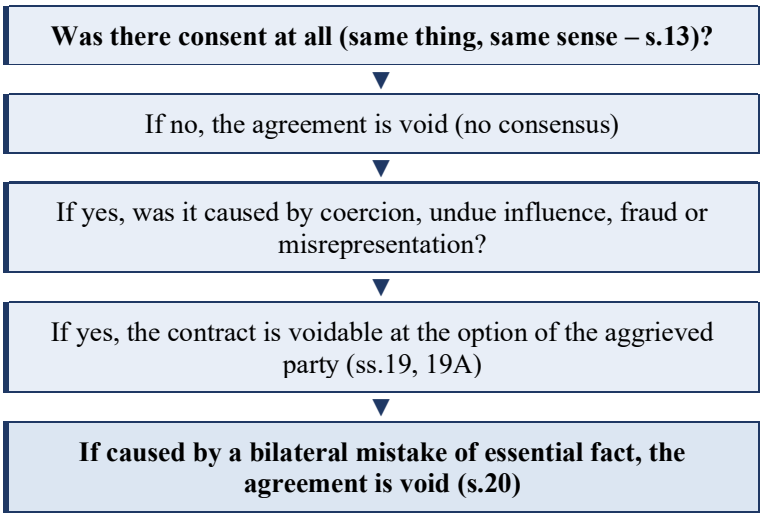
4. Effect of Absence of Free Consent

Factor	Section defining	Effect	Section on effect
Coercion	15	Voidable at the option of the party whose consent was caused	19
Undue influence	16	Voidable; the court may set it aside absolutely or on terms	19A
Fraud	17	Voidable; the aggrieved party may also insist on performance and being put in the position he would have been in	19
Misrepresentation	18	Voidable	19
Mistake of fact (bilateral)	20	Void	20
Mistake of law of India	21	Not voidable	21
Unilateral mistake	22	Not voidable	22

5. Absence of Consent versus Absence of Free Consent

1. **Absence of consent:** the person did not agree at all, e.g. he signed a document believing it to be something entirely different (fraud as to the character of a document). The agreement is void.
2. **Absence of free consent:** the person agreed, but his consent was obtained improperly. The contract is voidable.

Flowchart: Was consent free?



Examples

- A signs a sale deed at gunpoint. Consent exists, but it is not free. The contract is voidable at A's option.
- A agrees to buy a horse from B, believing it to be alive, but it had died before the agreement, which neither party knew. The agreement is void for mutual mistake.

Case Laws

Case Law: Ningawwa v Byrappa Shiddappa Hireknrabar

Year: 1968 **Court:** Supreme Court of India

Facts / Background: Ningawwa, an illiterate woman, executed a gift deed in favour of her husband's relatives. She was told that the deed concerned only certain lands, but the deed included two other lands as well. She later sued to set aside the deed.

Legal Issue: Is a document void or voidable when a party is deceived about its contents, as distinguished from its character?

Court's Decision / What the Court Held: The Supreme Court held that where a party is deceived about the contents of a document (but knows its general character, i.e. that it is a gift deed), the transaction is voidable, not void. Where a party is deceived about the very character of the document (e.g. told it is a power of attorney when it is a gift), it is void. In this case, the deed was voidable as to the lands fraudulently included, and since she had sued beyond the limitation period for setting aside a voidable transaction, the suit was barred to that extent.

Relevance to the Topic: The case illustrates the distinction between absence of consent (void) and absence of free consent (voidable).

Important Points

- Section 13: consent means agreement on the same thing in the same sense.
- Section 14: consent is free unless caused by coercion, undue influence, fraud, misrepresentation or mistake.
- Coercion, undue influence, fraud and misrepresentation make a contract voidable; a bilateral mistake of essential fact makes it void.
- Deception as to the character of a document makes it void; as to its contents, voidable (*Ningawwa*, 1968).

Remember: Absence of consent → void. Absence of free consent → voidable.

Topic 2.14: Coercion

Introduction

Coercion is the most serious way of obtaining consent improperly. It involves force or a threat of force. A person who agrees because of coercion does not really choose to enter the contract. The Indian Contract Act defines coercion widely, covering threats to anyone and even threats to commit acts forbidden by the Indian Penal Code (now the Bharatiya Nyaya Sanhita, 2023).

Definition

> **Section 15 ICA:** "Coercion is the committing, or threatening to commit, any act forbidden by the Indian Penal Code (45 of 1860), or the unlawful detaining, or threatening to detain, any property, to the prejudice of any person whatever, with the intention of causing any person to enter into an agreement."

> **Explanation:** It is immaterial whether the Indian Penal Code is or is not in force in the place where the coercion is employed.

(References to the IPC should now be read with the Bharatiya Nyaya Sanhita, 2023, which has replaced it; the Contract Act's text still refers to the IPC.)

Detailed Explanation

1. Essential Elements

1. **Committing or threatening to commit an act forbidden by the IPC/BNS** (e.g. assault, kidnapping, criminal intimidation, attempting to commit suicide as understood in the earlier IPC).
2. **Unlawful detention or threat to detain property.**
3. **To the prejudice of any person whatever:** the threat may be directed at the contracting party or any other person, even a stranger.
4. **With the intention of causing any person to enter into an agreement.**
5. **Coercion may be by any person**, not only the other party to the contract.
6. **Place is immaterial:** it does not matter whether the IPC/BNS is in force where the coercion occurs.

2. Effect of Coercion: Section 19

1. The contract is **voidable** at the option of the party whose consent was caused by coercion.
2. He may rescind it, or affirm it.
3. If he rescinds, he must restore any benefit received (section 64).

3. Money Paid under Coercion: Section 72

"A person to whom money has been paid, or anything delivered, by mistake or under coercion, must repay or return it."

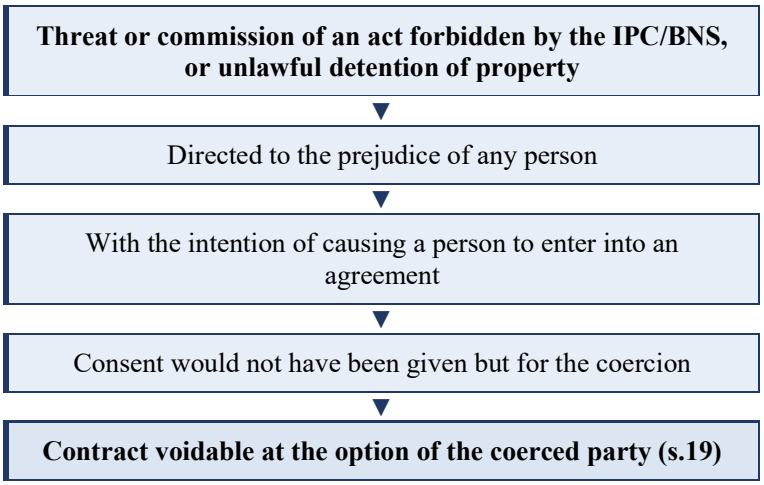
4. Coercion and Duress Compared

Point	Coercion (Indian law)	Duress (English law)
Scope	Any act forbidden by the IPC/BNS, or unlawful detention of property	Actual or threatened violence or imprisonment; now also economic duress
Against whom	Any person whatever	Originally the contracting party or near relatives
By whom	Any person	The other party or his agent
Property	Includes unlawful detention of property	Originally did not include goods

5. Threat to Commit Suicide

In *Chikkam Ammiraju v Chikkam Seshamma* (1917), a threat to commit suicide was held to be coercion, since attempt to commit suicide was punishable under the IPC (s.309). (Note: under the Bharatiya Nyaya Sanhita, 2023, attempt to commit suicide is no longer an offence as such, although section 226 BNS punishes attempting suicide to compel or restrain a public servant. Whether such a threat would still be "coercion" under section 15 must now be considered in the light of the new law; it would in any case be a strong ground of undue pressure.)

Flowchart: Is consent caused by coercion?



Examples

- A threatens to shoot B if B does not sign a sale deed. B signs. The contract is voidable at B's option.
- A, a transporter, refuses to return B's goods unless B agrees to pay an unlawful extra charge. B agrees. This is coercion by unlawful detention of property.

Case Laws

Case Law: Chikkam Ammiraju v Chikkam Seshamma

Year: 1917 **Court:** Madras High Court

Facts / Background: A man threatened his wife and son that he would commit suicide unless they executed a release deed in favour of his brother regarding certain properties. They executed the deed under this threat.

Legal Issue: Does a threat to commit suicide amount to coercion under section 15?

Court's Decision / What the Court Held: The majority held that the threat to commit suicide amounted to coercion. Since attempting suicide was punishable under the IPC, a threat to commit it was a threat to commit an act forbidden by the Code. The release deed was voidable and was set aside.

Relevance to the Topic: The case shows the wide scope of coercion under Indian law, which covers any act forbidden by penal law.

Case Law: Ranganayakamma v Alwar Setti

Year: 1889 **Court:** Madras High Court

Facts / Background: A young widow, aged 13, was prevented by the relatives of her deceased husband from removing his body for cremation until she adopted a boy chosen by them. She agreed to the adoption under this pressure.

Legal Issue: Was the widow's consent to the adoption obtained by coercion?

Court's Decision / What the Court Held: The court held that the adoption was not binding on her, because her consent was obtained by coercion: she was pressurised by the obstruction of the funeral, which amounted to an act forbidden by law.

Relevance to the Topic: The case is a classic illustration of coercion through unlawful pressure.

Case Law: Astley v Reynolds

Year: 1731 **Court:** Court of King's Bench, England

Facts / Background: The plaintiff had pawned plate (silverware) with the defendant. When he came to redeem it, the defendant refused to return it unless he paid much more interest than was lawful. The plaintiff paid under protest and then sued to recover the excess.

Legal Issue: Can money paid to recover goods unlawfully detained be recovered?

Court's Decision / What the Court Held: The court held that the plaintiff could recover the excess, because he had paid it under compulsion to get back his goods (duress of goods).

Relevance to the Topic: The case corresponds to the Indian rule that unlawful detention of property is coercion (s.15) and that money paid under coercion can be recovered (s.72).

Important Points

- Section 15 defines coercion: acts forbidden by the IPC (now BNS) or unlawful detention of property.
- It may be against any person and by any person; the place is immaterial.
- A contract caused by coercion is voidable (s.19).
- Money paid under coercion must be repaid (s.72).
- Threat of suicide was held to be coercion (*Chikkam Ammiraju*, 1917), though the law on attempted suicide has since changed.

Remember: Coercion in India is wider than duress in English law.

Topic 2.15: Undue Influence

Introduction

Undue influence is a subtle form of improper pressure. It arises where one person is in a position to dominate the will of another and uses that position to gain an unfair advantage. Unlike coercion, there is no threat of violence; instead, the stronger party misuses trust, authority or mental influence. Common examples include relationships between parent and child, guardian and ward, doctor and patient, spiritual adviser and disciple, and lawyer and client.

Definition

> **Section 16(1) ICA:** "A contract is said to be induced by 'undue influence' where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and uses that position to obtain an unfair advantage over the other."

Detailed Explanation

1. Essentials

1. **A relationship** in which one party can dominate the will of the other.
2. **Use of that position** by the dominant party.
3. **To obtain an unfair advantage** over the weaker party.

2. When a Person is Deemed to Dominate the Will of Another: Section 16(2)

1. Where he holds a **real or apparent authority** over the other (e.g. employer and employee, police officer and accused, income tax officer and assessee).
2. Where he stands in a **fiduciary relation** to the other (e.g. trustee and beneficiary, lawyer and client, guardian and ward, spiritual adviser and devotee).
3. Where he makes a contract with a person whose **mental capacity is temporarily or permanently affected** by reason of age, illness, or mental or bodily distress.

3. Burden of Proof: Section 16(3)

Where a person in a position to dominate the will of another enters into a transaction with him, and the transaction appears, on the face of it or on the evidence, to be **unconscionable**, the burden of proving that it was not induced by undue influence lies on the dominant person.

4. Pardanashin Women

Courts give special protection to *pardanashin* women (women who live in seclusion according to custom). A person dealing with such a woman must show that the document was explained to her and that she understood it and acted freely.

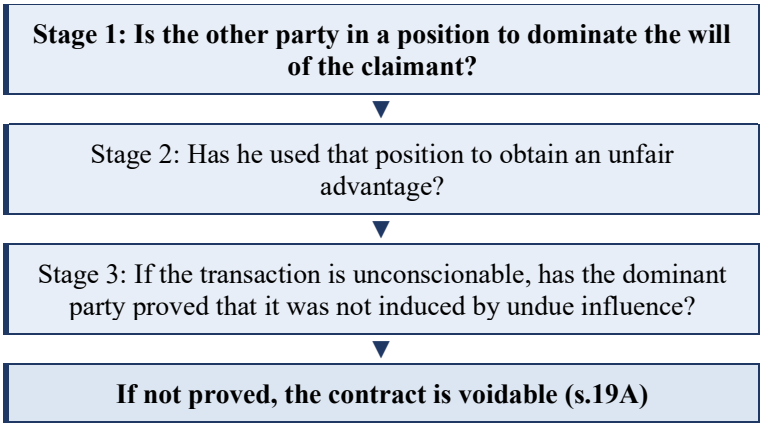
5. Effect of Undue Influence: Section 19A

1. The contract is voidable at the option of the party whose consent was so caused.
2. The court may set it aside absolutely or, if the party who was entitled to avoid it has received any benefit, on such terms as the court thinks just.

6. Coercion versus Undue Influence

Point	Coercion	Undue influence
Nature	Physical or criminal pressure	Mental or moral pressure
Relationship	Not required	Required: one party dominates
Criminal liability	May involve a crime	No crime as such
Who may use it	Any person	The dominant party
Effect	Voidable (s.19)	Voidable, set aside absolutely or on terms (s.19A)

Flowchart: Three-stage test for undue influence



Examples

- An elderly, ill man gifts his entire property to his doctor during treatment. The doctor may have to prove that the gift was not obtained by undue influence.
- A spiritual guru persuades a devotee to gift property in return for promised spiritual benefits. The gift may be set aside.

Case Laws

Case Law: Subhas Chandra Das Mushib v Ganga Prosad Das Mushib

Year: 1967 **Court:** Supreme Court of India

Facts / Background: An old man gifted a substantial part of his property to his grandsons (the children of his second wife). His son by the first wife challenged the gift, alleging undue influence by the donees' father.

Legal Issue: What must be proved to establish undue influence, and on whom does the burden lie?

Court's Decision / What the Court Held: The Supreme Court laid down a three-stage test: first, the court must consider whether the relations between the parties were such that one was in a position to dominate the will of the other; second, whether he used that position to obtain an unfair advantage; third, only if the transaction appears unconscionable does the burden shift to the dominant party under section 16(3). On the facts, the gift was not shown to be unconscionable, and the claim of undue influence failed.

Relevance to the Topic: The leading Supreme Court case on the stages of proof of undue influence.

Case Law: Mannu Singh v Umadat Pande

Year: 1890 **Court:** Allahabad High Court

Facts / Background: The plaintiff, an old man, was induced by his spiritual adviser (guru) to gift the whole of his property to him to secure benefits in the next world.

Legal Issue: Is a gift obtained by a spiritual adviser from his devotee voidable for undue influence?

Court's Decision / What the Court Held: The court held that the gift was obtained by undue influence. The guru was in a position to dominate the will of the devotee and used it to obtain an unfair advantage. The gift was set aside.

Relevance to the Topic: An example of undue influence arising from a fiduciary (spiritual) relationship.

Important Points

- Section 16(1): domination of will plus unfair advantage.
- Section 16(2): real or apparent authority, fiduciary relation, and impaired mental capacity.
- Section 16(3): burden on the dominant party if the transaction is unconscionable.
- Section 19A: contract voidable, set aside absolutely or on terms.

- Three-stage test: *Subhas Chandra Das Mushib* (1967).

Remember: Undue influence needs a relationship of domination; coercion does not.

Topic 2.16: Fraud

Introduction

Fraud means deliberate deception. A person who knowingly makes a false statement, conceals the truth or uses tricks to make another enter into a contract is guilty of fraud. Fraud is more serious than misrepresentation because of the dishonest intention behind it. The aggrieved party can avoid the contract and claim damages.

Definition

> **Section 17 ICA:** "'Fraud' means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, with intent to deceive another party thereto or his agent, or to induce him to enter into the contract: (1) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true; (2) the active concealment of a fact by one having knowledge or belief of the fact; (3) a promise made without any intention of performing it; (4) any other act fitted to deceive; (5) any such act or omission as the law specially declares to be fraudulent."

Detailed Explanation

1. Essential Elements of Fraud

1. **A false representation or one of the acts listed in section 17.**
2. **Made by a party to the contract, or with his connivance, or by his agent.**
3. **Knowledge of falsity:** the person making the statement does not believe it to be true.
4. **Intent to deceive** or to induce the other party to enter into the contract.
5. **The other party is actually deceived** and enters into the contract relying on it.
6. **The other party suffers loss** (in an action for damages).

2. Acts Amounting to Fraud

Act	Meaning	Example
False suggestion as a fact	A statement known to be false	A tells B a horse is sound when he knows it is lame
Active concealment	Deliberately hiding a fact	Painting over cracks in a wall before selling a house
Promise without intention to perform	A promise made with no intention of keeping it	Buying goods on credit with no intention to pay
Any other act fitted to deceive	Any trick	Forging documents
Acts declared fraudulent by law	Specific statutes	e.g. under the Transfer of Property Act

3. Silence is Not Fraud (Explanation to Section 17)

"Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak, or unless his silence is, in itself, equivalent to speech."

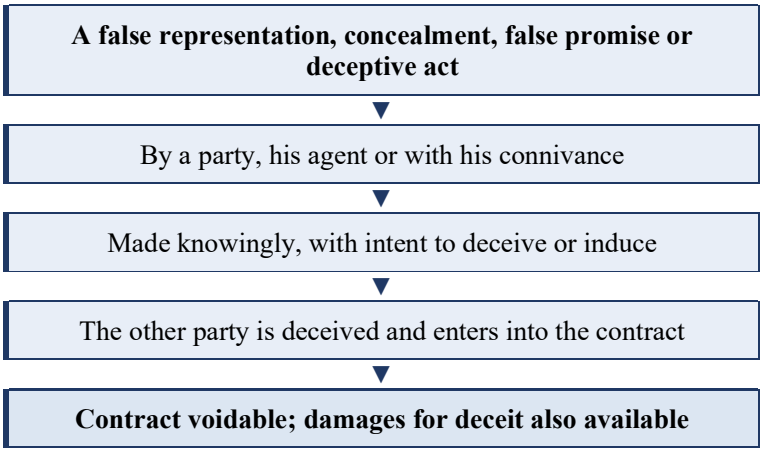
Exceptions (where silence may be fraud):

1. **Duty to speak:** in contracts *uberrimae fidei* (of utmost good faith) such as insurance, the party must disclose all material facts. A fiduciary must also disclose.
2. **Silence equivalent to speech:** where a question is asked and silence would mislead.
3. **Half-truths:** a statement that is true but misleading because it omits important facts.
4. **Change of circumstances:** a person who makes a true statement must correct it if it becomes false before the contract (*With v O'Flanagan*, 1936).

4. Effect of Fraud: Section 19

1. The contract is **voidable** at the option of the deceived party.
2. He may rescind it, or insist that it be performed and that he be put in the position he would have been in if the representation had been true.
3. He may also claim damages for the tort of deceit.
4. **Exception to section 19:** if the consent was caused by misrepresentation, or by silence that is fraudulent within the meaning of section 17, the contract is not voidable if the party whose consent was so caused had the means of discovering the truth with ordinary diligence. This exception does not protect a party who has committed active fraud, such as a deliberate false statement or active concealment.

Flowchart: Is there fraud?



Examples

- A sells a car to B, saying it has never been in an accident, knowing that it has. B buys it. This is fraud.
- A sells a horse to B without mentioning that it is unsound. B does not ask. This is mere silence, not fraud, unless A had a duty to speak.

Case Laws

Case Law: Derry v Peek

Year: 1889 **Court:** House of Lords, England

Facts / Background: The directors of a tramway company issued a prospectus stating that the company had the right to use steam power, when in fact this required the consent of the Board of Trade, which was later refused. The plaintiff bought shares relying on the prospectus and sued the directors for deceit. The directors honestly believed that consent would be given as a formality.

Legal Issue: Is a false statement made honestly, without knowledge of its falsity, fraud?

Court's Decision / What the Court Held: The House of Lords held that there was no fraud. Lord Herschell said fraud is proved when a false representation is made (i) knowingly, or (ii) without belief in its truth, or (iii) recklessly, careless whether it be true or false. An honest belief, even if unreasonable, is not fraud.

Relevance to the Topic: The leading definition of fraud: dishonesty (absence of honest belief) is the essence of fraud.

Case Law: Shri Krishan v Kurukshetra University

Year: 1976 **Court:** Supreme Court of India

Facts / Background: A student appeared for an examination although he had a shortage of attendance. He did not disclose the shortage in his application form. The university later withdrew his candidature, alleging fraud.

Legal Issue: Does a student's silence about shortage of attendance amount to fraud when the university had the means to discover the truth?

Court's Decision / What the Court Held: The Supreme Court held that there was no fraud. The university authorities had the means of discovering the shortage by checking their own records, and the student was under no duty to disclose it. Mere silence was not fraud in these circumstances.

Relevance to the Topic: The case illustrates the explanation to section 17: mere silence is not fraud unless there is a duty to speak, and the exception to section 19 where the truth could have been discovered with ordinary diligence.

Important Points

- Section 17 defines fraud; it requires an intent to deceive.
- Mere silence is not fraud, unless there is a duty to speak or silence is equivalent to speech.
- Fraud makes a contract voidable (s.19), with damages for deceit.
- *Derry v Peek* (1889): fraud requires absence of honest belief.
- *Shri Krishan v Kurukshetra University* (1976): silence is not fraud where the other party could discover the truth.

> **Remember:** Fraud = intentional deception; misrepresentation = innocent false statement.

Topic 2.17: Misrepresentation

Introduction

Misrepresentation is a false statement of fact made innocently, i.e. without an intention to deceive. The person making it honestly believes it to be true. Even so, the other party, who relied on it, is allowed to avoid the contract, because his consent was not truly free. However, unlike fraud, misrepresentation does not usually give a right to damages for deceit.

Definition

> **Section 18 ICA:** "'Misrepresentation' means and includes: (1) the positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true; (2) any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or anyone claiming under him, by misleading another to his prejudice or to the prejudice of anyone claiming under him; (3) causing, however innocently, a party to an agreement to make a mistake as to the substance of the thing which is the subject of the agreement."

Detailed Explanation

1. Kinds of Misrepresentation under Section 18

1. **Unwarranted positive assertion:** a false statement made with honest belief but without sufficient information to justify it.
2. **Breach of duty without intent to deceive:** an innocent breach of duty that misleads the other party and gains an advantage.
3. **Inducing a mistake as to the substance:** innocently causing the other party to make a mistake about the subject matter.

2. Essential Elements

1. A representation of **fact**, not of opinion, law, or a mere statement of intention.
2. It must be **false**.
3. It must be made **before or at the time** of the contract.
4. It must be made **innocently** (without intent to deceive).
5. It must **induce** the other party to enter into the contract.
6. The party must have **relied** on it.

3. Statement of Opinion

A statement of opinion is not a representation of fact, unless the person giving it has special knowledge or does not actually hold that opinion (*Bisset v Wilkinson*, 1927).

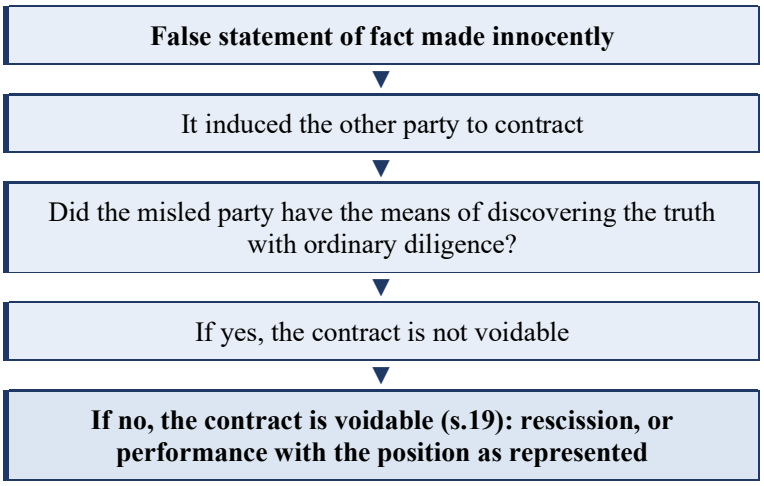
4. Effect of Misrepresentation: Section 19

1. The contract is voidable at the option of the misled party.
2. He may rescind the contract, or insist on performance and on being put in the position he would have been in if the representation had been true.
3. **Exception:** if the party whose consent was caused by misrepresentation had the means of discovering the truth with ordinary diligence, the contract is not voidable.

5. Fraud versus Misrepresentation

Point	Fraud	Misrepresentation
Intention	Intent to deceive	No intent to deceive
Belief	Maker knows the statement is false	Maker believes it is true
Remedy	Rescission and damages for deceit	Rescission; damages generally not available
Silence	May be fraud if there is a duty to speak	Generally not misrepresentation
Defence of "means of discovering the truth"	Not available for fraud by active concealment or deliberate lie	Available (Exception to s.19)

Flowchart: Remedies for misrepresentation



Examples

- A, believing in good faith that his land produces 50 quintals of rice per acre (without proper basis), tells B so. B buys the land. It produces only 20 quintals. B may rescind.
- A says, "In my opinion this painting is worth Rs. 1 lakh." This is an opinion, not misrepresentation.

Case Laws

Case Law: Bisset v Wilkinson

Year: 1927 **Court:** Privy Council (on appeal from New Zealand)

Facts / Background: Bisset sold land in New Zealand to Wilkinson, saying that in his judgment the land could carry 2,000 sheep. The land had never been used as a sheep farm, and both parties knew this. The land could not carry that many sheep. The buyer claimed rescission for misrepresentation.

Legal Issue: Was the statement about the land's capacity a statement of fact or of opinion?

Court's Decision / What the Court Held: The Privy Council held that it was an honest statement of opinion, not of fact, since both parties knew the seller had no special knowledge about sheep farming on that land. So there was no misrepresentation.

Relevance to the Topic: An honest statement of opinion is not misrepresentation.

Case Law: Redgrave v Hurd

Year: 1881 **Court:** Court of Appeal, England

Facts / Background: A solicitor, selling his practice, told the buyer that it brought in about £300 a year. He offered documents for inspection, which would have shown that the income was much less. The buyer did not examine them and bought the practice. On discovering the truth, he refused to complete the purchase.

Legal Issue: Is a buyer who could have discovered the truth, but did not, entitled to rescind?

Court's Decision / What the Court Held: The court held that the buyer could rescind. A person who makes a false statement cannot excuse himself by saying the other party could have discovered the truth by inquiry.

Relevance to the Topic: In English law, a misled party is not prevented from rescinding because he could have discovered the truth. In India, the Exception to section 19 provides otherwise for misrepresentation and fraud by silence, which students should note.

Important Points

- Section 18 defines three kinds of misrepresentation.
- It is an innocent false statement of fact; opinions are not misrepresentations (*Bisset v Wilkinson*, 1927).
- The contract is voidable (s.19); damages are generally not available.
- Exception to s.19: no relief if the truth could have been discovered with ordinary diligence.

- English law: *Redgrave v Hurd* (1881).

Remember: The key difference between fraud and misrepresentation is the intention to deceive.

Topic 2.18: Mistake

Introduction

A mistake is an erroneous belief about something. In contract law, a mistake may prevent the parties from reaching a real agreement. The Act distinguishes between a mistake of fact and a mistake of law, and between a mistake made by both parties (bilateral) and one made by one party only (unilateral). The legal effect depends on the type of mistake.

Definition

> **Section 20 ICA (Bilateral mistake of fact):** "Where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void."

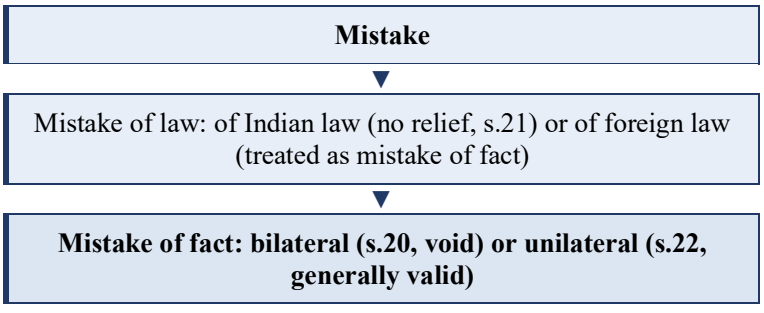
> **Section 21 (Mistake of law):** "A contract is not voidable because it was caused by a mistake as to any law in force in India; but a mistake as to a law not in force in India has the same effect as a mistake of fact."

> **Section 22 (Unilateral mistake):** "A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to a matter of fact."

Detailed Explanation

1. Classification of Mistake

Flowchart: Kinds of mistake



2. Bilateral Mistake of Fact (Section 20)

Essentials:

1. Both parties must be under a mistake.
2. The mistake must relate to a matter of fact (not law).
3. The fact must be essential to the agreement.

Types of bilateral mistake:

Type	Meaning	Example
As to existence of subject matter	The subject matter has ceased to exist when the agreement is made	*Couturier v Hastie* (1856): cargo already perished
As to identity of subject matter	The parties mean different things	*Raffles v Wichelhaus* (1864)
As to title	The buyer already owns the thing	A agrees to buy land that already belongs to him
As to quantity	A substantial mistake about quantity	Mistake about the number of units being sold
As to quality	A mistake about a quality that makes the thing essentially different	*Bell v Lever Bros* (1932): generally not enough
As to price	A substantial mistake about the price	Both believe the price is a different figure
As to possibility of performance	Performance is physically or legally impossible	Agreement to hire a room for a procession that has already been cancelled

Explanation to section 20: an erroneous opinion as to the value of the thing which forms the subject matter of the agreement is not to be deemed a mistake as to a matter of fact.

3. Mistake of Law (Section 21)

1. **Indian law:** ignorance of the law is no excuse (*ignorantia juris non excusat*). A mistake of Indian law does not make a contract voidable.
2. **Foreign law:** a mistake as to a law not in force in India is treated as a mistake of fact; if bilateral and essential, the agreement is void.

4. Unilateral Mistake (Section 22)

Generally, a contract is not affected if only one party is mistaken. Exceptions:

1. **Mistake as to the identity of the person contracted with,** where identity is material (*Cundy v Lindsay*, 1878). In face-to-face dealings, there is a presumption that the party intends to deal with the person present (*Phillips v Brooks*, 1919).
2. **Mistake as to the nature of the document (non est factum):** a person who signs a document under a fundamental mistake about its nature, without negligence, may plead that it is not his deed (*Foster v Mackinnon*, 1869).
3. **Mistake known to the other party:** if the other party knew of the mistake and took advantage of it, relief may be given.

5. Effect of Mistake

Type of mistake	Effect
Bilateral mistake of essential fact	Agreement void (s.20)
Mistake of Indian law	Contract not voidable (s.21)
Mistake of foreign law	Treated as mistake of fact (s.21)
Unilateral mistake	Contract not voidable (s.22), except in identity, nature of document, and known mistake cases
Money paid by mistake	Recoverable (s.72)

Examples

- A agrees to buy from B a certain horse. Unknown to both, the horse was dead at the time of the agreement. The agreement is void (illustration (b) to section 20).
- A buys a painting believing it to be by a famous artist, but B, the seller, makes no statement. It turns out to be a copy. This is a unilateral mistake; the contract is valid.

Case Laws

Case Law: Couturier v Hastie

Year: 1856 **Court:** House of Lords, England

Facts / Background: A cargo of corn was shipped from Greece to England. While it was in transit, it began to ferment and was sold by the ship's master at Tunis. Unaware of this, the parties later made a contract for its sale in London.

Legal Issue: Is there a valid contract for the sale of goods that, unknown to both parties, had ceased to exist at the time of the contract?

Court's Decision / What the Court Held: The House of Lords held that there was no contract, because the subject matter (the cargo) did not exist at the time of the agreement. The buyer was not liable to pay the price.

Relevance to the Topic: A bilateral mistake as to the existence of the subject matter makes the agreement void (cf. s.20 ICA).

Case Law: Cundy v Lindsay

Year: 1878 **Court:** House of Lords, England

Facts / Background: A fraudster named Blenkarn ordered goods from Lindsay & Co. by letter, signing his name so that it looked like "Blenkiron & Co.", a reputable firm that

Lindsay knew. Lindsay sent the goods to "Blenkiron & Co." at Blenkarn's address. Blenkarn sold them to Cundy, an innocent buyer. Lindsay sued Cundy for conversion.

Legal Issue: Was there a contract between Lindsay and Blenkarn, so that title passed to Blenkarn and then to Cundy?

Court's Decision / What the Court Held: The House of Lords held that there was no contract between Lindsay and Blenkarn, because Lindsay intended to deal only with Blenkiron & Co., and identity was material. No title passed to Blenkarn, and so Cundy got no title.

Relevance to the Topic: A unilateral mistake as to the identity of the other party, where identity is material, prevents the formation of a contract.

Case Law: Bell v Lever Brothers Ltd.

Year: 1932 **Court:** House of Lords, England

Facts / Background: Lever Bros paid Bell a large sum as compensation for terminating his service contract. Later, it discovered that Bell had committed breaches of duty that would have entitled it to dismiss him without compensation. Neither party had this in mind at the time of the agreement. Lever Bros claimed that the agreement was void for mistake.

Legal Issue: Does a mistake about the quality of the subject matter make an agreement void?

Court's Decision / What the Court Held: The House of Lords held that the agreement was not void. A mistake as to quality does not make an agreement void unless it makes the thing essentially and radically different from what it was believed to be.

Relevance to the Topic: The case shows the narrow scope of mistake as to quality.

Important Points

- Bilateral mistake of essential fact makes the agreement void (s.20; *Couturier v Hastie*, 1856).
- A mistake of Indian law gives no relief; a mistake of foreign law is treated as a mistake of fact (s.21).
- A unilateral mistake generally does not affect a contract (s.22), except mistake of identity (*Cundy v Lindsay*, 1878), non est factum, and known mistakes.
- An erroneous opinion about value is not a mistake of fact (Explanation to s.20).
- Mistake as to quality rarely makes an agreement void (*Bell v Lever Bros*, 1932).

Remember: Mistake (s.20) makes an agreement void; coercion, undue influence, fraud and misrepresentation make a contract voidable.

UNIT III
Legality of Objects and Void Agreements

Topics in this Unit

3.1 Lawful and Unlawful Consideration and Objects
3.2 Void, Voidable, Illegal and Unlawful Agreements
3.3 Agreements Forbidden by Law
3.4 Agreements Defeating the Provisions of Law
3.5 Fraudulent Agreements
3.6 Agreements Injurious to Person or Property
3.7 Immoral Agreements
3.8 Agreements Opposed to Public Policy
3.9 Void Agreements
3.10 Agreements without Consideration
3.11 Agreements in Restraint of Marriage
3.12 Agreements in Restraint of Trade and Exceptions
3.13 Agreements in Restraint of Legal Proceedings
3.14 Uncertain Agreements
3.15 Wagering Agreements and Exceptions

Topic 3.1: Lawful and Unlawful Consideration and Objects

Introduction

Unit II explained that consideration must be lawful. Unit III looks at legality more broadly, covering both the **consideration** and the **object** of an agreement. Section 23 is one of the most important sections of the Act, because it allows courts to refuse enforcement of agreements that are harmful to society, even if the parties have freely agreed. This topic introduces the meaning of "object" and the general scheme of section 23; the following topics examine each head of illegality in detail.

Definition

> **Section 23 ICA:** "The consideration or object of an agreement is lawful, unless: it is forbidden by law; or is of such a nature that, if permitted, it would defeat the provisions of any law; or is fraudulent; or involves or implies injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy. In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void."

Detailed Explanation

1. Meaning of "Object"

The **object** of an agreement means its **purpose** or design, i.e. what the parties want to achieve. It is different from consideration, which is the price of the promise. An agreement may have perfectly lawful consideration but an unlawful object.

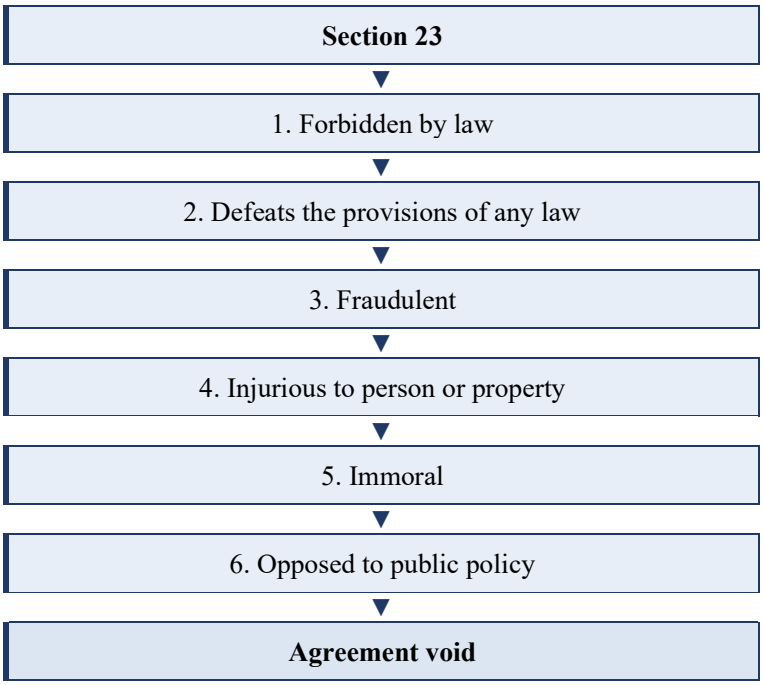
Example: A lends Rs. 1 lakh to B (lawful consideration) so that B can buy smuggled gold (unlawful object). The agreement is void, because its object is unlawful, if A knew of the purpose.

2. Consideration and Object Compared

Point	Consideration	Object
Meaning	The price for the promise (act, abstinence or promise)	The purpose or design of the agreement
Question asked	What does each party give?	What do the parties want to achieve?
Effect if unlawful	Agreement void (s.23)	Agreement void (s.23)
Example	Payment of a bribe	Lending money to finance a crime

3. The Six Heads of Unlawfulness under Section 23

Flowchart: When is consideration or object unlawful?



Each head is studied separately in Topics 3.3 to 3.8.

4. Knowledge of the Unlawful Purpose

1. If both parties know of and share the unlawful purpose, the agreement is void, and neither can enforce it.
2. If one party is innocent and does not know of the unlawful purpose of the other, he may be able to enforce the agreement or recover what he paid.
3. If a party merely knows that the other might use the subject matter unlawfully, but does not intend or participate in it, courts examine the facts closely (e.g. a seller of ordinary goods is not affected by a buyer's secret intention).

5. Consequences of Unlawfulness

1. The agreement is void.
2. Collateral agreements to an illegal agreement are also tainted (see Topic 3.2).
3. Money paid generally cannot be recovered, because of the maxims *ex turpi causa non oritur actio* (no action arises from a base cause) and *in pari delicto potior est conditio defendentis*.
4. Exceptions include parties not equally at fault, repentance before performance (*locus poenitentiae*), and claims that do not require reliance on the illegality.
5. Partial illegality: if the lawful part can be separated, it may be enforced (sections 24 and 57–58).

6. Section 24 and Severability

If any part of a single consideration or object is unlawful and cannot be separated, the whole agreement is void (section 24). If separable, only the unlawful part fails.

Examples

- A lets his house to B for use as a gambling den, which is illegal under local law. The object is unlawful, and A cannot recover rent.
- A lends money to B for buying a house; B secretly uses the money for an illegal business. If A did not know of the purpose, A can recover the loan.

Case Laws

Case Law: Alexander v Rayson

Year: 1936 **Court:** Court of Appeal, England

Facts / Background: A landlord let a flat to a tenant under two documents: a lease at a modest rent and a separate agreement for services at a further sum, which together made up the real rent. The purpose of splitting the payment was to show the local rating authority only the lease, so as to obtain a lower rating assessment. The tenant refused to pay, and the landlord sued.

Legal Issue: Can a party enforce an agreement that is lawful on its face but was made with the object of deceiving a public authority?

Court's Decision / What the Court Held: The Court of Appeal held that the landlord could not enforce the documents, because they were made with the unlawful object of defrauding the rating authority. An agreement lawful on its face may be unenforceable if the party intends to use it for an unlawful purpose.

Relevance to the Topic: The case shows that the object (purpose) of an agreement, and not merely its consideration, must be lawful; this is the principle in section 23.

Important Points

- Section 23 requires both consideration and object to be lawful.
- "Object" means the purpose of the agreement.
- There are six heads of unlawfulness: forbidden by law, defeating law, fraudulent, injurious, immoral, opposed to public policy.
- An agreement with an unlawful object or consideration is void.
- *Ex turpi causa non oritur actio*: courts do not help parties to illegal agreements.

Remember: An agreement can have lawful consideration and still be void because of an unlawful object (*Alexander v Rayson*, 1936).

Topic 3.2: Void, Voidable, Illegal and Unlawful Agreements

Introduction

Students often confuse the terms void, voidable, illegal and unlawful. Each has a precise legal meaning and different consequences. This topic explains the differences, especially between agreements that are merely void and those that are illegal, because illegality affects collateral transactions while mere voidness does not.

Definition

> **Void agreement – Section 2(g):** "An agreement not enforceable by law is said to be void."

> **Voidable contract – Section 2(i):** "An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract."

> **Illegal agreement:** an agreement whose object or consideration is forbidden by law or so opposed to public policy that the law punishes or prohibits it. Every illegal agreement is void, and transactions collateral to it are also tainted.

> **Unlawful agreement:** an agreement whose object or consideration is unlawful under section 23. The Act uses "unlawful" for all agreements falling under section 23.

Detailed Explanation

1. Void Agreements

A void agreement has no legal effect from the beginning. Examples: agreements with minors (ss.10–11), without consideration (s.25), in restraint of marriage (s.26), trade (s.27) or legal proceedings (s.28), uncertain agreements (s.29), wagering agreements (s.30), and agreements to do impossible acts (s.56).

2. Voidable Contracts

A voidable contract is valid until it is rescinded by the party entitled to do so. Examples: contracts induced by coercion, undue influence, fraud or misrepresentation (ss.19, 19A), and contracts where one party fails to perform within the time fixed when time is essential (s.55). The aggrieved party may rescind or affirm.

3. Illegal Agreements

An illegal agreement is one that the law prohibits or punishes, e.g. an agreement to commit a crime. Illegal agreements are void, and in addition:

1. **Collateral transactions are also void:** an agreement connected with the illegal one (e.g. a loan for an illegal purpose) is tainted.
2. **No recovery of money paid:** *in pari delicto potior est conditio defendentis*.
3. **Parties may be punished** under penal laws.

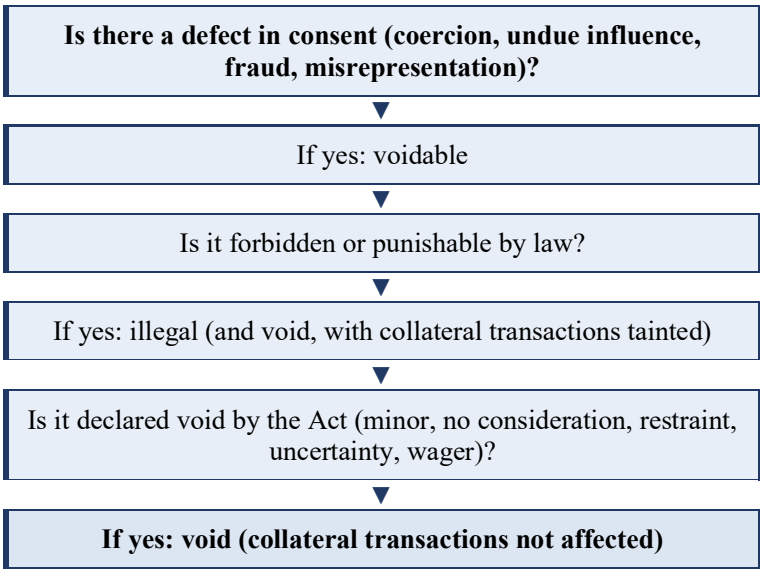
4. Unlawful Agreements

The Act uses "unlawful" (s.23) to cover all six heads: forbidden by law, defeating law, fraud, injury, immorality and public policy. Some unlawful agreements are also criminal (illegal); others are merely void (e.g. some agreements opposed to public policy).

5. Key Comparison

Point	Void	Voidable	Illegal
Validity at the beginning	Not valid	Valid until rescinded	Not valid
Who can enforce	No one	The aggrieved party has an option	No one
Collateral transactions	Not affected	Not affected	Also void
Punishment	No	No	May be punishable
Recovery of benefit	Under s.65 where it is discovered to be void	Restitution on rescission (s.64)	Generally not recoverable (in pari delicto)
Example	Wagering agreement	Contract obtained by fraud	Agreement to smuggle goods

Flowchart: Classifying a defective agreement



6. "All Illegal Agreements are Void, but All Void Agreements are not Illegal"

- An agreement to commit murder is illegal and void.
- A wagering agreement is void but not illegal (except in some States by local law), so a collateral agreement, such as a loan to pay a wagering debt, may be valid (*Gherulal Parakh*, 1959).

Examples

- A and B bet Rs. 10,000 on the result of a cricket match. The wager is void. C lends A money to pay the bet. Since a wager is not illegal, C's loan may be recoverable.
- A agrees with B to import banned drugs. C lends money to A knowing it is for this purpose. Both the main agreement and C's loan are illegal and void.

Case Laws

Case Law: Gherulal Parakh v Mahadeodas Maiya

Year: 1959 **Court:** Supreme Court of India

Facts / Background: Two parties entered into a partnership to carry on wagering transactions (speculative forward contracts) with two firms. Losses were incurred, and one partner paid them. He then sued the other partner for his share of the loss. The defence was that the partnership agreement was void and illegal because its object was wagering.

Legal Issue: Is an agreement collateral to a wagering agreement (here, a partnership to carry on wagering transactions) void or illegal under section 23?

Court's Decision / What the Court Held: The Supreme Court held that a wagering agreement is void under section 30 but is not illegal or forbidden by law (outside the special statutes of some States). So a collateral agreement such as a partnership to carry on wagering transactions is not void under section 23, and the partner could recover his share of the loss. The Court also explained that the heads of public policy should not be expanded lightly and that "immoral" in section 23 is generally confined to sexual immorality.

Relevance to the Topic: The leading authority for the principle that void agreements are not necessarily illegal, and that collateral transactions to merely void agreements are valid.

Important Points

- Void: no legal effect (s.2(g)).
- Voidable: valid until the aggrieved party rescinds (s.2(i)).
- Illegal: prohibited by law; void, and collateral transactions are also void.
- Unlawful: falls under any head of s.23.

- All illegal agreements are void, but not all void agreements are illegal (*Gherulal Parakh*, 1959).

Remember: Collateral transactions are affected by illegality, not by mere voidness.

Topic 3.3: Agreements Forbidden by Law

Introduction

The first head of section 23 makes an agreement void if its consideration or object is "forbidden by law". This covers agreements that are expressly or impliedly prohibited by a statute or by any other law, including rules and regulations having the force of law. The courts will not assist a party who has made an agreement to do something that the law forbids.

Definition

> An agreement is **forbidden by law** when its object or consideration is an act that is punishable by criminal law, or prohibited by a statute, rule, regulation or order having the force of law, whether expressly or by necessary implication.

Detailed Explanation

1. Meaning of "Law"

"Law" includes:

1. Acts of Parliament and State Legislatures.
2. Rules, regulations and notifications having statutory force.
3. Personal laws (Hindu and Muslim law) in so far as they apply.
4. Customs having the force of law.

2. Express and Implied Prohibition

1. **Express prohibition:** the statute directly forbids the act (e.g. selling liquor without a licence).
2. **Implied prohibition:** the statute imposes a penalty or requires a licence for a protective purpose, so that an agreement in breach of it is void by implication.

3. Statutes Imposing a Penalty

The courts ask: is the penalty intended merely to raise revenue (in which case the contract may still be valid), or to protect the public (in which case the contract is void)?

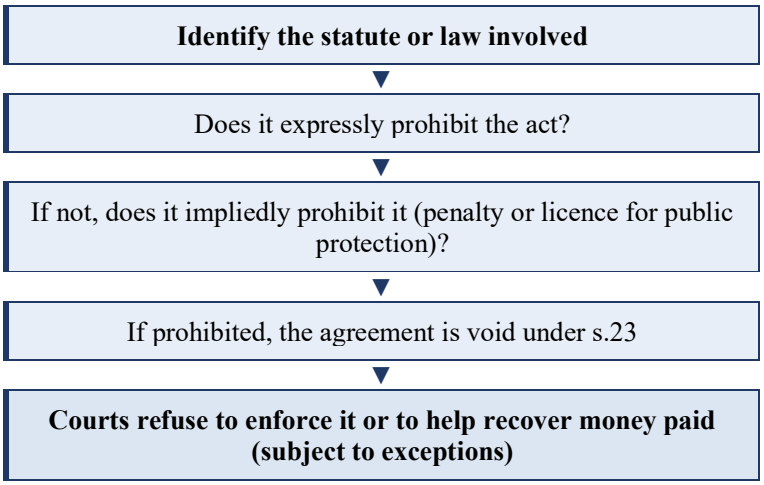
Purpose of the statute	Effect on contract
Protection of the public (e.g. licensing of chemists, food safety)	Contract in breach is void
Revenue only (e.g. a fine for not registering a business for tax)	Contract may still be valid

4. Common Examples

1. Agreements to commit crimes (e.g. to commit theft or assault).
2. Agreements to sell goods without the licence required by law.

3. Agreements to transfer land or property in breach of statutory restrictions (e.g. transfer of assigned land, land ceiling laws).
4. Agreements involving bribery or corruption (Prevention of Corruption Act, 1988).
5. Agreements to deal in prohibited goods (narcotics, banned arms, wildlife products).

Flowchart: Is the agreement forbidden by law?



Examples

- A agrees to sell B a quantity of rice without the licence required under an Essential Commodities control order. The agreement is void.
- A promises to obtain for B an employment in the public service, and B promises to pay A Rs. 1,000. The agreement is void, since the consideration is unlawful (illustration (f) to section 23, in substance).

Case Laws

Case Law: Re Mahmoud and Ispahani

Year: 1921 **Court:** Court of Appeal, England

Facts / Background: A wartime statutory order prohibited buying or selling linseed oil without a licence. The seller, who had a licence, agreed to sell linseed oil to the buyer, who falsely said he had a licence. The buyer later refused to accept the oil, and the seller sued for damages.

Legal Issue: Can a party enforce a contract that a statute forbids, even if he did not know the other party lacked a licence?

Court's Decision / What the Court Held: The Court of Appeal held that the contract was void because it was prohibited by the statutory order, which aimed to protect the public. The seller could not recover damages, even though he was innocent, since the statute prohibited the contract itself.

Relevance to the Topic: An agreement forbidden by statute (especially one aimed at protecting the public) cannot be enforced, even by an innocent party.

Important Points

- "Forbidden by law" covers statutes, rules, regulations and personal laws.
- Prohibition may be express or implied.
- If a penalty is imposed for public protection, the contract is void; if only for revenue, it may be valid.
- *Re Mahmoud and Ispahani* (1921): a contract prohibited by statute is void, even for an innocent party.

Remember: Ask why the statute imposes the penalty: protection of the public or only revenue.

Topic 3.4: Agreements Defeating the Provisions of Law

Introduction

Some agreements are not directly forbidden by law, but if they were enforced, they would make a law useless or ineffective. Section 23 declares such agreements void. This head prevents parties from using contracts to evade statutes such as rent control laws, labour laws, tax laws and laws protecting weaker parties.

Definition

> An agreement **defeats the provisions of law** when its object or consideration is of such a nature that, if permitted, it would make the provisions of any law ineffective or would evade the purpose of that law, even though the agreement is not expressly prohibited.

Detailed Explanation

1. Meaning

1. The agreement itself may look lawful, but its effect is to evade a law.
2. Courts look at the substance and purpose of the agreement, not its form.
3. Statutory rights given for the benefit of the public or a class of persons generally cannot be waived by private agreement.

2. Common Examples

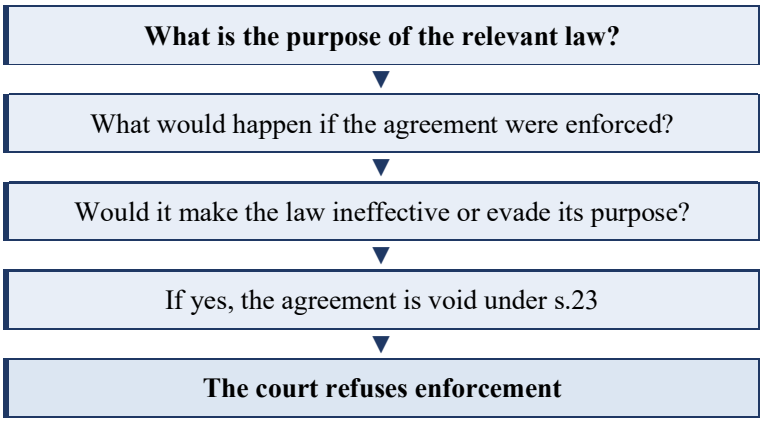
1. **Agreements to evade rent control laws:** e.g. a tenant agreeing to pay more than the standard rent, or subletting in breach of the Rent Act.
2. **Agreements waiving statutory protection:** e.g. a worker agreeing to accept wages below the minimum wage.
3. **Agreements against the rules of succession or personal law:** e.g. a Hindu agreeing to give up a right that law makes inalienable.
4. **Agreements to evade tax or stamp duty:** e.g. understating the price of property in a sale deed.
5. **Agreements not to plead limitation** (in general, a promise not to raise the bar of limitation would defeat the Limitation Act, although section 25(3) allows a written promise to pay a time-barred debt).
6. **Agreements to oust the jurisdiction of courts** (also covered by section 28).

3. Waiver of Statutory Rights

Type of right	Can it be waived by agreement?
Right conferred solely for the benefit of an individual	Generally yes

Type of right	Can it be waived by agreement?
Right conferred on public policy grounds, for a class or the public	No; waiver would defeat the law

Flowchart: Does the agreement defeat the law?



Examples

- A tenant agrees with his landlord that the tenant will not claim the protection of the Rent Control Act. The agreement defeats the law and is void.
- An employer and employee agree to wages lower than the statutory minimum. The agreement is void to that extent.

Case Laws

Case Law: Waman Shriniwas Kini v Ratilal Bhagwandas & Co.

Year: 1959 **Court:** Supreme Court of India

Facts / Background: A tenant of premises in Bombay had entered into an arrangement under which part of the premises was sublet, although the Bombay Rents, Hotel and Lodging House Rates Control Act, 1947 prohibited subletting by a tenant. A dispute arose between the parties about the rights claimed under this arrangement. (Facts summarised briefly; students should read the full judgment for the details.)

Legal Issue: Can a party claim rights under an agreement that contravenes a statutory prohibition on subletting?

Court's Decision / What the Court Held: The Supreme Court held that the sublease was in contravention of the statute and therefore unlawful. A court will not enforce a contract whose object is forbidden by law or which would defeat the provisions of law. The respondent could not claim any rights as a lawful subtenant under it.

Relevance to the Topic: The case shows that agreements that contravene or defeat statutory provisions, such as rent control laws, are void under section 23.

Important Points

- This head covers agreements that would make a law ineffective, even if not expressly prohibited.
- Courts look at the substance of the transaction.
- Statutory rights granted on public policy grounds cannot be waived by agreement.
- *Waman Shriniwas Kini* (1959): agreement contravening the Bombay Rent Act was unenforceable.

Remember: The test is the effect of enforcing the agreement on the law in question.

Topic 3.5: Fraudulent Agreements

Introduction

Section 23 makes an agreement void if its object or consideration is fraudulent. This is different from fraud under section 17. Under section 17, one party deceives the other to obtain his consent, and the contract is voidable. Under section 23, both parties together agree to defraud a third person, a group of persons or the public, and the agreement is void.

Definition

> A **fraudulent agreement** is one in which the parties agree to do something that defrauds, deceives or injures a third person, a class of persons, creditors, the Government or the public. Such an agreement is void under section 23.

Detailed Explanation

1. Fraud under Section 17 and Section 23 Compared

Point	Fraud under section 17	Fraudulent object under section 23
Who is deceived	The other party to the contract	A third person, creditors, Government or public
Who commits it	One party (or his agent)	Both parties jointly
Effect	Contract voidable at the option of the deceived party	Agreement void
Remedy	Rescission and damages	Courts refuse to enforce; in pari delicto applies

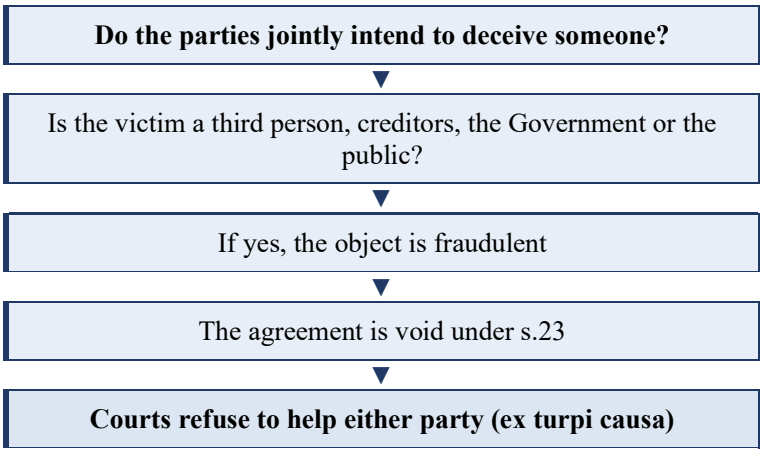
2. Common Examples of Fraudulent Agreements

1. **Agreements to defraud creditors:** e.g. a sham transfer of property to put it beyond the reach of creditors (also voidable under section 53 of the Transfer of Property Act, 1882).
2. **Agreements to deceive the Government:** e.g. to evade taxes, customs duty or regulations.
3. **Agreements to deceive the public:** e.g. rigging the share market, misleading advertisements, fixing tenders (bid-rigging).
4. **Secret agreements by an agent:** an agent who, without his principal's knowledge, agrees for money to give a benefit to a third person defrauds the principal.
5. **Agreements to divide gains obtained by fraud** (illustration (e) to section 23).

3. Illustrations from Section 23

1. "A, B and C enter into an agreement for the division among them of gains acquired, or to be acquired, by them by fraud. The agreement is void, as its object is unlawful."
2. "A, being agent for a landed proprietor, agrees for money, without the knowledge of his principal, to obtain for B a lease of land belonging to his principal. The agreement between A and B is void, as it implies a fraud by concealment by A on his principal."

Flowchart: Identifying a fraudulent agreement



Examples

- A transfers his house to his brother B by a sham sale deed to avoid paying his creditors, with an understanding that B will return it later. The agreement is fraudulent and void as between them, and creditors can challenge the transfer.
- Contractors agree among themselves to submit inflated tenders to a municipality so that each gets a contract in turn. The agreement defrauds the public and is void.

Case Laws

Case Law: Scott v Brown, Doering, McNab & Co.

Year: 1892 **Court:** Court of Appeal, England

Facts / Background: The plaintiff engaged stockbrokers to buy shares of a company at a premium, so as to create a false impression in the market that the shares were in demand and induce the public to buy them. The brokers did not carry out the instructions properly, and the plaintiff sued them.

Legal Issue: Can a party enforce an agreement whose object is to deceive the public by creating a false market?

Court's Decision / What the Court Held: The Court of Appeal held that the plaintiff could not sue, because the agreement was made to defraud the public by rigging the market. Lindley L.J. stated that no court ought to enforce an illegal contract or allow itself to be

made the instrument of enforcing obligations arising out of a contract that it knows to be illegal. (*Ex turpi causa non oritur actio.*)

Relevance to the Topic: An agreement whose object is to defraud the public is void, and the courts will not assist either party.

Important Points

- Under s.23, a fraudulent object makes an agreement void (fraud on third parties or the public).
- Under s.17, fraud on the other party makes a contract voidable.
- Agreements to defraud creditors, the Government or the public are void.
- *Scott v Brown* (1892): an agreement to rig the market cannot be enforced.

Remember: In s.23 fraud, both parties are wrongdoers; in s.17 fraud, one party is the victim.

Topic 3.6: Agreements Injurious to Person or Property

Introduction

An agreement is void under section 23 if its object or consideration "involves or implies injury to the person or property of another". The law protects the body, liberty, reputation and property of every person, so it will not enforce an agreement that requires a party to harm another person or his property, or that subjects a person to an oppressive, slavery-like condition.

Definition

> An agreement is **injurious to person or property** when its object or consideration requires or implies causing harm to the body, liberty, reputation or property of another person.

Detailed Explanation

1. Meaning of "Injury"

1. **Injury to person:** physical harm, restraint of liberty, forced labour, defamation.
2. **Injury to property:** damage to, destruction of, or wrongful interference with property, including infringement of property rights such as copyright.
3. "Another" may include a party to the agreement himself, where the agreement subjects him to slavery-like conditions.

2. Common Examples

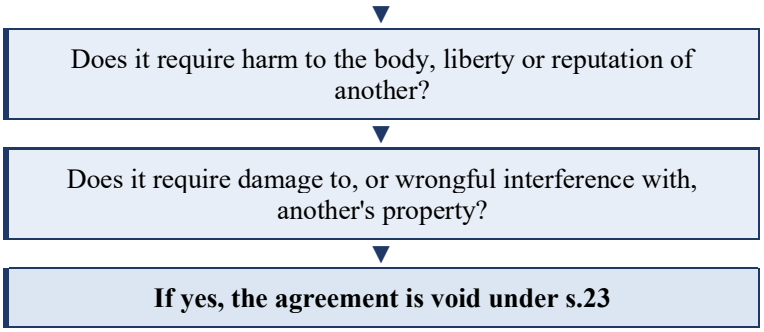
1. Agreements to assault or kill a person.
2. Agreements to publish defamatory material about someone.
3. Agreements to damage another's property or trespass on his land.
4. Agreements to infringe a copyright, patent or trade mark.
5. Agreements imposing **bonded labour** or **forced labour** (prohibited by Article 23 of the Constitution and the Bonded Labour System (Abolition) Act, 1976).
6. Agreements by which a debtor binds himself to serve a creditor without wages for a long period, until a loan is repaid.

3. Constitutional Background

Article 21 (life and personal liberty) and Article 23 (prohibition of traffic in human beings and forced labour) reinforce the principle that agreements injuring the person, especially by depriving someone of liberty, are void.

Flowchart: Testing for injury





Examples

- A promises to pay B Rs. 50,000 for beating up C. The agreement is void.
- A borrows Rs. 20,000 from B and agrees to work in B's house without wages until the loan is repaid, with interest making repayment practically impossible. The agreement is void as injurious to A's person and as bonded labour.

Case Laws

Case Law: Ram Sarup v Bansi Mandar

Year: 1915 **Court:** Calcutta High Court

Facts / Background: A person borrowed a small sum of money and agreed to work for the lender without wages until the loan was repaid, with high interest, so that he was bound to serve indefinitely. The lender sued to enforce the agreement.

Legal Issue: Is an agreement that binds a borrower to work without wages until repayment, in effect making him a bonded servant, valid?

Court's Decision / What the Court Held: The court held that the agreement was void, because it involved injury to the person of the borrower and was in the nature of slavery or forced labour. (This case is summarised as reported in standard Indian textbooks such as Avtar Singh; students should consult the full report for exact details.)

Relevance to the Topic: Agreements that deprive a person of liberty or subject him to forced labour involve injury to the person and are void under s.23.

Important Points

- Section 23 makes void agreements involving or implying injury to the person or property of another.
- Injury includes harm to the body, liberty, reputation and property, including intellectual property.
- Bonded and forced labour agreements are void (Art. 23; Bonded Labour System (Abolition) Act, 1976).

- *Ram Sarup v Bansi Mandar* (1915): servitude in repayment of a debt is void.

Remember: Agreements to infringe copyright or trade marks are also "injurious to property".

Topic 3.7: Immoral Agreements

Introduction

Section 23 declares void an agreement whose object or consideration the court regards as immoral. The question of what is "immoral" depends on the accepted moral standards of society at the time. Indian courts have interpreted this head narrowly, generally confining it to sexual immorality and matters against accepted family and social morals, so that the courts do not impose their personal moral views on contracts.

Definition

> An **immoral agreement** is an agreement whose object or consideration is regarded by the court as contrary to the accepted standards of morality in society, especially in relation to sexual morality and the institution of marriage and family.

Detailed Explanation

1. Meaning and Scope

1. The court decides what is immoral, based on contemporary social standards.
2. Indian courts have generally limited "immoral" in section 23 to **sexual immorality** (*Gherulal Parakh*, 1959). Other forms of wrongdoing are covered by other heads, such as public policy.
3. Standards change over time, so decisions must be read in the light of changing social and constitutional values.

2. Examples of Immoral Agreements

1. Agreements for prostitution or for sexual services.
2. Agreements to let a house to be used as a brothel.
3. Agreements to provide a woman for concubinage (illustration (j) to section 23: "A agrees to let her daughter to hire to B for concubinage. The agreement is void, because it is immoral, though the letting may not be punishable under the Indian Penal Code.").
4. Agreements to pay money for future illicit cohabitation.
5. Agreements to procure divorce or separation for money, which may also be opposed to public policy.

3. Past and Future Cohabitation

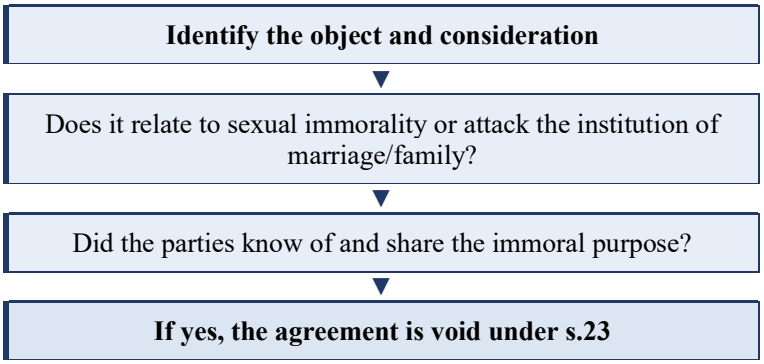
- An agreement to pay for **future** illicit cohabitation is void.
- In English law, a promise to compensate for **past** cohabitation is not enforceable for want of consideration (unless under seal). In India, the position under section 25 depends on the facts.

4. Knowledge of Immoral Purpose

A party who supplies goods or services, knowing they will be used for an immoral purpose, cannot recover payment (*Pearce v Brooks*, 1866, explained in Topic 2.7).

Example	Effect
Hire of a carriage to a prostitute for her trade, with knowledge	Void; no recovery (*Pearce v Brooks*)
Letting a house knowing it will be a brothel	Void; rent not recoverable
Agreement for future illicit cohabitation	Void
Ordinary sale of food to a person who happens to be a sex worker	Valid; no immoral purpose

Flowchart: Is the agreement immoral?



Examples

- A landlord lets a flat to B knowing it will be used as a brothel. He cannot sue for rent.
- A grocer sells provisions to a woman known to be a sex worker for her household use. The sale is valid.

Case Laws

Case Law: Gherulal Parakh v Mahadeodas Maiya (on the meaning of "immoral")

Year: 1959 **Court:** Supreme Court of India

Facts / Background: (The facts are given in Topic 3.2: a partnership to carry on wagering transactions, challenged as void under section 23.)

Legal Issue: What is the scope of the word "immoral" in section 23?

Court's Decision / What the Court Held: The Supreme Court observed that the concept of immorality in section 23 is narrow and has been generally confined to sexual immorality.

Wagering transactions, though unwise, were not "immoral" in this legal sense, and so a partnership for such transactions was not void as immoral.

Relevance to the Topic: The case sets out the limited meaning of "immoral" under section 23 in Indian law.

Case Law: Pearce v Brooks (on knowledge of immoral purpose)

Year: 1866 **Court:** Court of Exchequer, England

Facts / Background: Coachbuilders hired out a carriage to a prostitute, knowing she would use it in her trade (facts in Topic 2.7).

Legal Issue: Can a party who knowingly supplies goods for an immoral purpose recover payment?

Court's Decision / What the Court Held: The court held that the coachbuilders could not recover the hire charges, because they knew of the immoral purpose.

Relevance to the Topic: Knowledge of the immoral purpose prevents enforcement of the agreement.

Important Points

- The court decides what is immoral according to accepted social standards.
- Indian courts limit "immoral" mainly to sexual immorality (*Gherulal Parakh*, 1959).
- Agreements for prostitution, concubinage or brothels are void.
- A party who knowingly supplies goods for an immoral purpose cannot recover (*Pearce v Brooks*, 1866).

Remember: Not every "unethical" agreement is immoral in law; other heads like public policy may apply instead.

Topic 3.8: Agreements Opposed to Public Policy

Introduction

"Public policy" means the interest of the public or the public good. An agreement that is harmful to the public, even if it does not break any specific law, may be declared void as opposed to public policy. This head is flexible, because public interest changes with time. However, courts are cautious not to expand it unreasonably, since it is, in the famous words of Burrough J. in *Richardson v Mellish* (1824), "a very unruly horse, and when once you get astride it you never know where it will carry you".

Definition

> An agreement is **opposed to public policy** when it is injurious to the public good or against the public interest, i.e. when it tends to harm the State, the administration of justice, the economy or social welfare, as judged by the court.

Detailed Explanation

1. Nature of Public Policy

1. It is not defined in the Act; it is left to the courts.
2. It changes with changing social, economic and constitutional values.
3. Courts generally apply recognised heads of public policy and expand them only in clear cases (*Gherulal Parakh*, 1959). However, *Central Inland Water Transport Corp. v Brojo Nath Ganguly* (1986) shows that the Supreme Court will apply public policy to new situations where constitutional values (Articles 14 and 21) require it.

2. Recognised Heads of Agreements Opposed to Public Policy

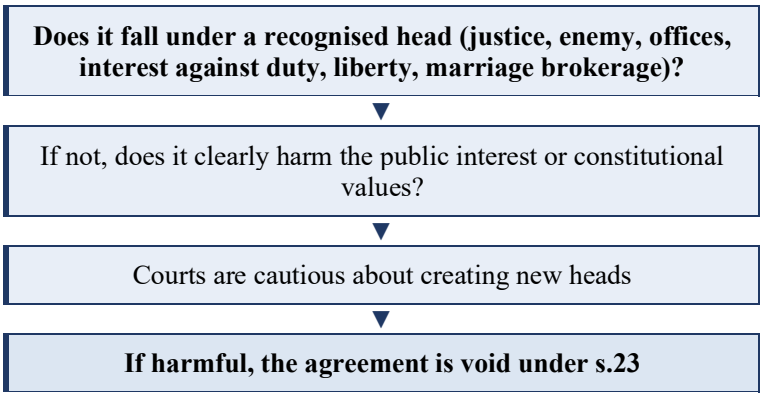
Head	Explanation and example
1. Trading with the enemy	Agreements with an alien enemy during war, without licence
2. Interference with the administration of justice	Agreements to stifle prosecution (e.g. not to prosecute for a non-compoundable offence in return for money), to influence judges or witnesses, or maintenance and champerty (in some forms)
3. Stifling prosecution	An agreement to withdraw a criminal case for a non-compoundable offence in return for consideration
4. Champerty and maintenance	Financing another's litigation for a share in the proceeds; not void per se in India, but void if extortionate, unconscionable or for an improper motive
5. Traffic in public offices and titles	Agreements to buy or sell public offices, honours or titles

Head	Explanation and example
6. Agreements tending to create interest against duty	e.g. a public servant agreeing to act for a private party in a matter where he has official duties
7. Agreements in restraint of personal liberty	Agreements that unduly restrict a person's freedom (bonded labour)
8. Marriage brokerage agreements	Agreements to procure a marriage for reward
9. Agreements in restraint of parental rights	e.g. a parent agreeing to give up custody of a child for money
10. Agreements to influence the legislature or administration by improper means	e.g. paying a person to use personal influence to secure a government contract or pass a bill
11. Unconscionable agreements between unequal parties	e.g. *Brojo Nath Ganguly* (1986)
12. Restraint of trade, marriage and legal proceedings	Covered expressly by ss.26–28

3. Public Policy in Arbitration

In the context of arbitration, the Supreme Court has also interpreted "public policy of India" when deciding whether to set aside arbitral awards (e.g. *ONGC Ltd. v Saw Pipes Ltd.*, 2003, which is a syllabus case and is explained in Unit IV under damages). Later amendments (2015) to the Arbitration and Conciliation Act, 1996 narrowed this ground.

Flowchart: Is the agreement opposed to public policy?



Examples

- A promises B Rs. 1 lakh if B, a witness, gives false evidence in court. The agreement is void.
- A pays B Rs. 50,000 to use his personal influence with a Minister to obtain a government licence for A. The agreement is void.
- A promises to withdraw a complaint of a non-compoundable offence against B if B pays him Rs. 10,000. The agreement is void as stifling prosecution.

Case Laws

Case Law: Rattan Chand Hira Chand v Askar Nawaz Jung

Year: 1991 **Court:** Supreme Court of India

Facts / Background: Money had been advanced to a claimant under an arrangement that included using efforts to secure the passing of a private legislative measure, relating to the claimant's property claims, in return for a share in the benefits that would follow. The arrangement was later sought to be enforced. (Facts summarised briefly; students should read the full judgment for the details.)

Legal Issue: Is an agreement to influence the legislature or Government in exchange for consideration opposed to public policy?

Court's Decision / What the Court Held: The Supreme Court held that such an agreement was opposed to public policy and void under section 23. Agreements that tend to corrupt or improperly influence the legislative or administrative process are harmful to the public interest. The Court also observed that public policy is not static and courts may apply it to new situations where the public interest so requires, but must do so with caution.

Relevance to the Topic: The case is an important modern authority on agreements opposed to public policy and on the evolving nature of public policy.

Case Law: Gherulal Parakh v Mahadeodas Maiya (on the limits of public policy)

Year: 1959 **Court:** Supreme Court of India

Facts / Background: A partnership to carry on wagering transactions was challenged as opposed to public policy (facts in Topic 3.2).

Legal Issue: Should courts create new heads of public policy?

Court's Decision / What the Court Held: The Supreme Court held that the doctrine of public policy should be applied only in clear and incontestable cases of harm to the public, and courts should be slow to expand its heads. A partnership to conduct wagering transactions was not opposed to public policy.

Relevance to the Topic: The case explains the caution with which courts apply public policy.

Important Points

- Public policy means the public good; it is decided by the courts.
- It is an "unruly horse" (*Richardson v Mellish*, 1824), so courts apply it cautiously (*Gherulal Parakh*, 1959).

- Recognised heads include interference with justice, stifling prosecution, trading with the enemy, traffic in offices, marriage brokerage and improper influence on the legislature or administration.
- *Rattan Chand Hira Chand* (1991): agreements to influence the legislature for reward are void.
- *Brojo Nath Ganguly* (1986): unconscionable terms between unequal parties are opposed to public policy.

Remember: Public policy is flexible, but it must be applied with caution.

Topic 3.9: Void Agreements

Introduction

Apart from agreements that are unlawful under section 23, the Indian Contract Act expressly declares certain other agreements to be void. These are listed in sections 24 to 30 and section 56. They are not necessarily illegal, but the law refuses to enforce them for reasons of policy, fairness or certainty. This topic gives an overview of all void agreements; the important ones are examined individually in the following topics.

Definition

> **Section 2(g):** "An agreement not enforceable by law is said to be void."

> A **void agreement** has no legal effect from the moment it is made. Neither party acquires any rights or incurs any obligations under it.

Detailed Explanation

1. Agreements Expressly Declared Void by the Act

Section	Agreement	Reason
11 (with *Mohori Bibee*)	Agreements by minors and persons of unsound mind	Lack of capacity
20	Agreements under a bilateral mistake of essential fact	No real consent
23	Agreements with unlawful consideration or object	Harmful to society
24	Agreements void if the considerations and objects are unlawful in part	Inseparable illegality
25	Agreements without consideration (subject to exceptions)	No bargain
26	Agreements in restraint of marriage	Freedom of marriage
27	Agreements in restraint of trade	Freedom of trade and profession
28	Agreements in restraint of legal proceedings	Access to justice
29	Uncertain agreements	No ascertainable terms
30	Wagering agreements	Policy against gambling
36	Contingent agreements on impossible events	Impossibility
56	Agreements to do impossible acts	Impossibility

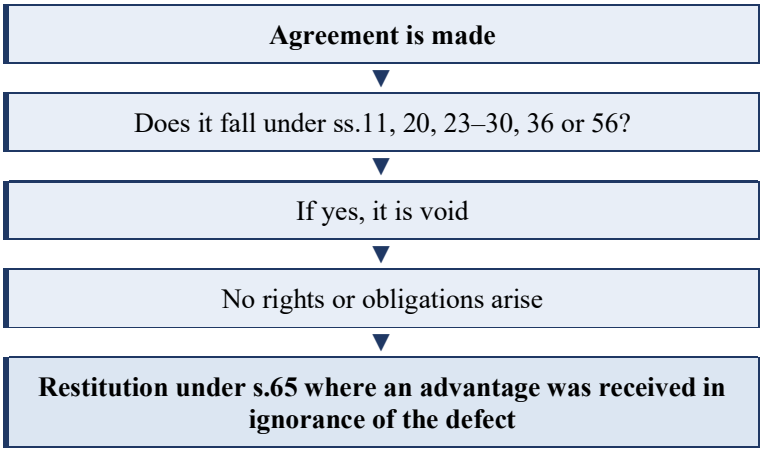
2. Effect of a Void Agreement

1. **No enforcement:** neither party can sue for performance or damages.
2. **No legal obligation** arises at any time.
3. **Restitution under section 65:** "When an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it, to the person from whom he received it." This applies where the parties did not know the agreement was void (it does not apply to minor's agreements, per *Mohori Bibee*, or generally where the parties knew of the illegality).
4. **Collateral transactions:** unaffected, unless the agreement is also illegal (*Gherulal Parakh*).

3. Void Agreement and Void Contract Distinguished

Point	Void agreement	Void contract
Validity when made	Void from the beginning	Valid when made
When it becomes void	Never valid	Becomes void later (e.g. supervening impossibility, s.56)
Definition	Section 2(g)	Section 2(j)
Example	Agreement with a minor	Contract to marry where one party dies before marriage

Flowchart: Overview of void agreements



Examples

- A agrees with B to discover a treasure by magic. The agreement is void, as the act is impossible (illustration to section 56).

- A promises B Rs. 5,000 if B does not marry anyone. The agreement is void under section 26.

Case Laws

No single landmark case covers all void agreements together. The leading cases are discussed under each specific category:

- *Mohori Bibee v Dharmodas Ghose* (1903): minor's agreement (Topic 2.9).
- *Gherulal Parakh v Mahadeodas Maiya* (1959): wagering and collateral transactions (Topics 3.2, 3.15).
- *Lowe v Peers* (1768): restraint of marriage (Topic 3.11).
- *Superintendence Co. of India v Krishan Murgai* (1980): restraint of trade (Topic 3.12).
- *Scammell v Ouston* (1941): uncertainty (Topic 3.14).

Important Points

- Void agreements are listed in ss.11, 20, 23–30, 36 and 56.
- A void agreement has no legal effect (s.2(g)).
- Section 65 requires restoration of advantages received under agreements discovered to be void.
- A void agreement is void from the start; a void contract becomes void later (s.2(j)).

Remember: Void does not always mean illegal: collateral transactions may survive.

Topic 3.10: Agreements without Consideration

Introduction

The general rule is "no consideration, no contract". Section 25 states that an agreement without consideration is void. However, the section also contains important exceptions, which recognise that certain promises deserve enforcement even without consideration, for reasons of natural affection, gratitude or justice. This topic explains the rule and its exceptions.

Definition

> **Section 25 ICA:** "An agreement made without consideration is void, unless (1) it is expressed in writing and registered, and is made on account of natural love and affection between parties standing in a near relation to each other; or (2) it is a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do; or (3) it is a promise, made in writing and signed by the person to be charged therewith, or by his agent, to pay wholly or in part a debt of which the creditor might have enforced payment but for the law for the limitation of suits."

Detailed Explanation

1. The General Rule

An agreement without consideration is void. This follows from sections 2(d), 10 and 25.

2. Exceptions under Section 25

Exception 1: Natural Love and Affection (s.25(1))

Requirements:

1. The agreement must be in writing.
2. It must be registered under the law for registration of documents.
3. It must be made on account of natural love and affection.
4. The parties must stand in a near relation to each other (e.g. parent and child, brothers, husband and wife).

Exception 2: Compensation for Past Voluntary Services (s.25(2))

Requirements:

1. The promisee must have done something voluntarily (not at the desire of the promisor).
2. It must have been done for the promisor, or must be something the promisor was legally compellable to do.
3. The promisor must have been in existence and competent to contract at the time the act was done.

4. The promise must be to compensate wholly or in part.

Exception 3: Promise to Pay a Time-Barred Debt (s.25(3))

Requirements:

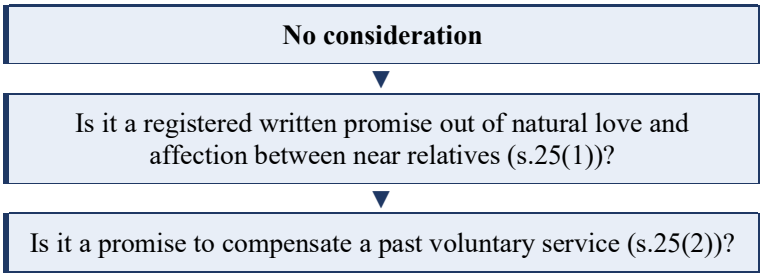
1. The promise must be in writing and signed by the debtor or his agent.
2. It must be to pay wholly or in part a debt.
3. The debt must be one that the creditor could have enforced but for the law of limitation.

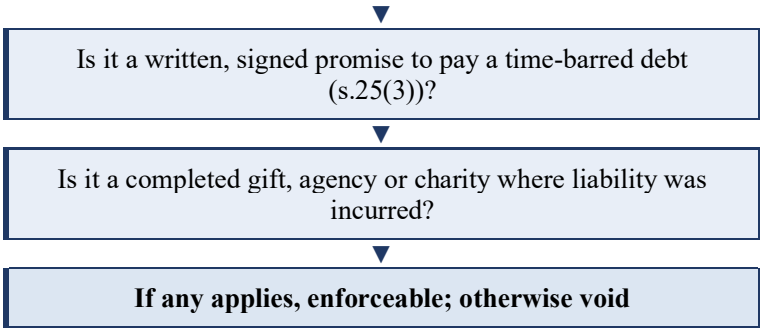
3. Other Exceptions

1. **Completed gifts (Explanation 1):** nothing in section 25 affects the validity of a gift actually made, as between donor and donee.
2. **Agency (section 185):** no consideration is necessary to create an agency.
3. **Contract of guarantee:** anything done or promise made for the benefit of the principal debtor may be sufficient consideration for the surety's promise (section 127).
4. **Bailment:** gratuitous bailment is valid.
5. **Charitable subscriptions:** enforceable where the promisee has incurred a liability on the faith of the promise (*Kedarnath Bhattacharji*, 1886), but not otherwise (*Abdul Aziz v Masum Ali*, 1914).

Exception	Requirements	Example
s.25(1) natural love and affection	Writing, registration, near relation, natural love and affection	A, out of affection, promises in a registered deed to give his son B Rs. 1 lakh
s.25(2) past voluntary service	Voluntary act for the promisor; promise to compensate	A finds B's purse and returns it; B promises A Rs. 500
s.25(3) time-barred debt	Written, signed promise to pay a time-barred debt	A owes B Rs. 10,000 barred by limitation; A signs a promise to pay Rs. 5,000
Explanation 1 – gift	Gift actually made	A gives his watch to B
s.185 – agency	No consideration needed	A appoints B as agent without remuneration

Flowchart: Is an agreement without consideration enforceable?





Examples

- A, out of natural love and affection, promises in writing to give his brother B Rs. 2 lakh. The writing is not registered. The promise is void, since registration is required.
- A supports B's infant son voluntarily. B promises to pay A's expenses. This is a valid contract under section 25(2) (illustration (c) to section 25).

Case Laws

Case Law: Rajlukhy Dabee v Bhootnath Mookerjee

Year: 1900 **Court:** Calcutta High Court

Facts / Background: A husband, after quarrels and disagreements with his wife, executed a registered agreement promising to pay her a certain sum for maintenance and to provide her with a residence. The wife sued to enforce the agreement, relying on section 25(1).

Legal Issue: Is a registered written promise between husband and wife enforceable under section 25(1) where it is not made out of natural love and affection?

Court's Decision / What the Court Held: The court held that the agreement was not enforceable. Although the parties stood in a near relation and the document was written and registered, the recitals showed that it was made in an atmosphere of quarrels, not out of natural love and affection. All the conditions of section 25(1) must be satisfied.

Relevance to the Topic: The case shows that natural love and affection is an essential condition of the exception in section 25(1).

Case Law: Abdul Aziz v Masum Ali

Year: 1914 **Court:** Allahabad High Court

Facts / Background: The defendant promised to subscribe Rs. 500 to a fund for the rebuilding of a mosque. No work had been started on the faith of this promise, and the committee had not incurred any liability on it. The committee sued to recover the promised sum.

Legal Issue: Is a promise to make a charitable subscription enforceable when the promisee has not incurred any liability on the faith of the promise?

Court's Decision / What the Court Held: The court held that the promise was not enforceable, because there was no consideration. The promisee had not done anything or incurred any liability at the promisor's desire.

Relevance to the Topic: Contrast with *Kedarnath Bhattacharji* (1886): a charitable subscription is enforceable only where the promisee acted on it and incurred a liability.

Important Points

- Section 25: an agreement without consideration is void.
- Exceptions: natural love and affection (writing, registration, near relation), past voluntary services, and time-barred debts.
- Completed gifts, agency (s.185) and certain guarantees do not require consideration.
- *Rajlukhy Dabee* (1900): natural love and affection must actually exist.
- *Abdul Aziz v Masum Ali* (1914): charitable subscription not enforceable without reliance.

Remember: All the conditions of each exception in section 25 must be satisfied together.

Topic 3.11: Agreements in Restraint of Marriage

Introduction

Marriage is a fundamental personal choice. The law does not allow a person to be restrained from marrying by an agreement made for money or any other consideration. Section 26 declares such agreements void. This topic explains the scope of the rule and its single exception.

Definition

> **Section 26 ICA:** "Every agreement in restraint of the marriage of any person, other than a minor, is void."

Detailed Explanation

1. Meaning of the Rule

1. Any agreement that prevents or restricts a person (other than a minor) from marrying is void.
2. The restraint may be **total** (not to marry at all) or **partial** (not to marry a particular class of persons, or within a certain period), and both are generally void under Indian law.
3. Indian law is stricter than English law, which allowed some partial restraints.

2. Reasons for the Rule

1. Marriage is a basic social institution, and the freedom to marry is part of personal liberty (Article 21 of the Constitution).
2. Agreements in restraint of marriage are contrary to public policy and the welfare of society.

3. Exception: Restraint of the Marriage of a Minor

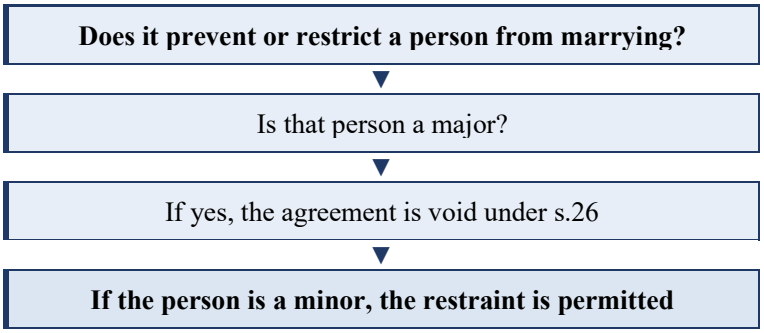
An agreement that restrains the marriage of a minor is not void. Such agreements may in fact promote social policy against child marriage (Prohibition of Child Marriage Act, 2006).

4. Related Agreements

1. **Marriage brokerage agreements** (agreements to procure a marriage for reward) are void as opposed to public policy (section 23).
2. **Conditions in wills and gifts:** conditions restraining marriage in transfers of property are governed by the Transfer of Property Act and succession laws.
3. **Agreements to marry a particular person** are not restraints on marriage.

Agreement	Valid or void	Reason
A promises not to marry anyone	Void	Total restraint (s.26)
A promises not to marry anyone except B	Void	Partial restraint (s.26)
A promises B not to marry before B's minor daughter reaches 18	Valid	Restraint of the marriage of a minor (exception)
A promises to marry B	Valid	Not a restraint
A pays a broker to arrange his marriage	Void	Marriage brokerage, opposed to public policy (s.23)

Flowchart: Is the agreement in restraint of marriage?



Examples

- A agrees with B that she will not marry for ten years, and B promises to pay her Rs. 1 lakh. The agreement is void.
- A promises to marry only B, and agrees to pay damages if he marries anyone else. The agreement restrains A's marriage to anyone other than B and is void to that extent.

Case Laws

Case Law: Lowe v Peers

Year: 1768 **Court:** Court of King's Bench, England

Facts / Background: The defendant promised the plaintiff that he would not marry anyone except her, and that if he married anyone else he would pay her £1,000. He married another woman, and she sued for the money.

Legal Issue: Is a promise not to marry anyone except the promisee enforceable?

Court's Decision / What the Court Held: The court held that the promise was void, because it was in restraint of marriage. It did not bind the defendant to marry the plaintiff, but only restrained him from marrying anyone else, which was against public policy.

Relevance to the Topic: The classic case on agreements in restraint of marriage; in India such agreements are void under section 26.

Important Points

- Section 26: every agreement in restraint of the marriage of a major is void.
- Both total and partial restraints are void in India.
- Exception: restraint of the marriage of a minor.
- Marriage brokerage agreements are void under s.23.
- *Lowe v Peers* (1768).

Remember: The exception in section 26 relates only to minors.

Topic 3.12: Agreements in Restraint of Trade and Exceptions

Introduction

Every person is free to carry on any lawful profession, trade or business. Agreements that prevent a person from doing so are harmful both to the person and to society. Section 27 of the Indian Contract Act declares such agreements void. Indian law on this point is stricter than English law: in India, even partial restraints are void, except as provided by the Act and other statutes.

Definition

> **Section 27 ICA:** "Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void."

> **Exception 1: Saving of agreement not to carry on business of which goodwill is sold.** "One who sells the goodwill of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer, or any person deriving title to the goodwill from him, carries on a like business therein, provided that such limits appear to the Court reasonable, regard being had to the nature of the business."

Detailed Explanation

1. Scope of Section 27

1. "To that extent void": only the restraint is void, not necessarily the whole agreement.
2. Section 27 applies to **total and partial** restraints. In India, partial restraint is also void, unless it falls within an exception (*Madhub Chunder v Rajcoomar Doss*, 1874).
3. **English law**, by contrast, allows a reasonable restraint that protects a legitimate interest (*Nordenfelt v Maxim Nordenfelt Guns and Ammunition Co.*, 1894).

2. Statutory Exceptions

1. **Sale of goodwill (Exception 1 to section 27):** the seller may agree not to carry on a similar business within reasonable local limits as long as the buyer carries on the business.
2. **Indian Partnership Act, 1932:**
   - Section 11(2): partners may agree not to carry on any business other than that of the firm during the partnership.
   - Section 36(2): an outgoing partner may agree not to carry on a similar business within a specified period or local limits.
   - Section 54: on dissolution, partners may agree not to carry on a similar business within reasonable limits.

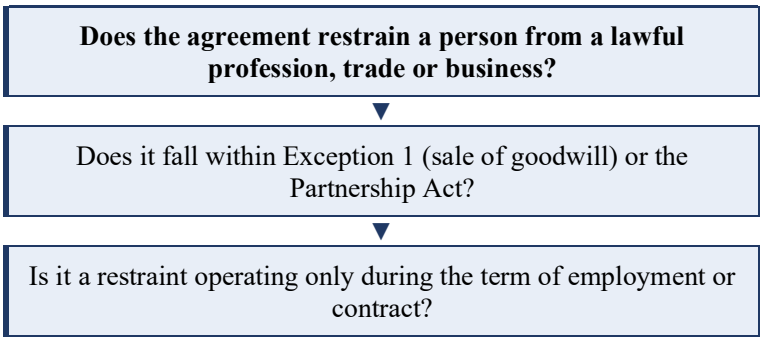
– Section 55(3): on sale of goodwill after dissolution.

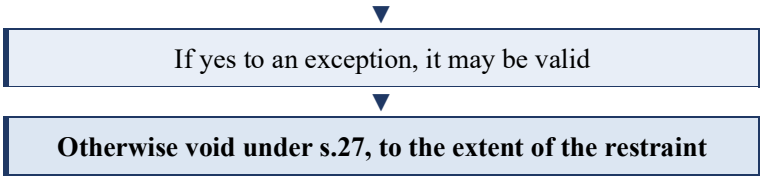
3. Judicially Recognised Situations

1. **Restraints during employment:** an agreement not to work for others during the period of employment is valid; it promotes the employment rather than restraining trade (*Niranjan Shankar Golikari v Century Spinning*, 1967).
2. **Post-employment restraints:** generally void (*Superintendence Co. of India v Krishan Murgai*, 1980), though an employer may protect trade secrets and confidential information through confidentiality agreements.
3. **Trade combinations and sole agency (solus) agreements:** agreements regulating business (e.g. exclusive dealing during the contract) are not necessarily restraints, if they promote trade and are reasonable (*Gujarat Bottling Co. v Coca Cola Co.*, 1995, where a negative covenant during the term of a franchise agreement was upheld).
4. **Negative covenants after the term of a contract:** void (*Percept D'Mark v Zaheer Khan*, 2006).

Situation	Position in India	Leading case
Total restraint	Void	*Madhub Chunder* (1874)
Partial restraint (outside exceptions)	Void	*Madhub Chunder* (1874)
Sale of goodwill	Valid within reasonable limits	Exception 1 to s.27
Partners' restraints	Valid as per the Partnership Act	ss.11, 36, 54, 55
Restraint during employment	Valid	*Niranjan Shankar Golikari* (1967)
Restraint after employment	Void	*Krishan Murgai* (1980)
Negative covenant after the contract term	Void	*Percept D'Mark v Zaheer Khan* (2006)

Flowchart: Is the restraint valid?





Examples

- A sells his bakery business with its goodwill to B, and agrees not to open a bakery within 2 km of the shop as long as B runs a bakery there. The restraint is valid.
- An employee agrees that after leaving the company he will not work for any competitor in India for five years. The restraint is void.

Case Laws

Case Law: Madhub Chunder v Rajcoomar Doss

Year: 1874 **Court:** Calcutta High Court

Facts / Background: The plaintiff and the defendant were rival traders in a particular locality of Calcutta. The defendant promised to pay certain sums (the plaintiff's outstanding liabilities) if the plaintiff closed his business in that locality. The plaintiff closed his business and then sued to recover the promised amount.

Legal Issue: Is a partial restraint of trade (limited to a locality) valid under section 27?

Court's Decision / What the Court Held: The court held that the agreement was void under section 27, so the plaintiff could not recover the money. Section 27 is not limited to total restraints; even a partial restraint (limited to a locality) is void unless it falls within the statutory exceptions.

Relevance to the Topic: The leading early Indian case holding that section 27 covers partial restraints, unlike English law.

Case Law: Niranjan Shankar Golikari v Century Spinning and Manufacturing Co. Ltd.

Year: 1967 **Court:** Supreme Court of India

Facts / Background: An employee agreed to work for the company for five years and not to serve any other employer during that period. He left before the end of the term and joined a competitor.

Legal Issue: Is a negative covenant operating during the term of employment void under section 27?

Court's Decision / What the Court Held: The Supreme Court held that a negative covenant operating during the period of employment is not a restraint of trade under section

27, because it is meant to ensure that the employee works for the employer during the contract. An injunction was granted restraining the employee from working for the competitor during the remaining period.

Relevance to the Topic: Restraints during employment are valid; they are not treated as restraints of trade.

Case Law: Superintendence Company of India (P) Ltd. v Krishan Murgai

Year: 1980 **Court:** Supreme Court of India

Facts / Background: An employee agreed that for two years after leaving the company, he would not serve any competitor or carry on a competing business in the area where he had last worked. After leaving, he started a competing business.

Legal Issue: Is a post-employment restraint in a contract of employment valid?

Court's Decision / What the Court Held: The Supreme Court held that the restraint, which operated after the termination of employment, was void under section 27. A covenant restraining an employee from carrying on his trade after the employment ends is a restraint of trade.

Relevance to the Topic: The leading case holding that post-employment restraints are void in India.

Case Law: Percept D'Mark (India) Pvt. Ltd. v Zaheer Khan

Year: 2006 **Court:** Supreme Court of India

Facts / Background: Percept was the manager of cricketer Zaheer Khan. Their agreement contained a "right of first refusal" clause allowing Percept to match any offer Zaheer received after the agreement ended, preventing him from contracting with another manager without first offering Percept the chance.

Legal Issue: Is a negative covenant operating after the expiry of the contract enforceable?

Court's Decision / What the Court Held: The Supreme Court held that the clause, operating after the term of the agreement, was a restraint of trade and void under section 27. The doctrine of restraint of trade applies to such post-contractual covenants.

Relevance to the Topic: Post-contractual negative covenants are void, unless covered by an exception.

Important Points

- Section 27: agreements in restraint of a lawful profession, trade or business are void to that extent.
- In India, partial restraints are also void (*Madhub Chunder*, 1874).
- Exceptions: sale of goodwill; partnership provisions (ss.11, 36, 54, 55).
- Restraints during employment are valid (*Niranjan Shankar Golikari*, 1967).
- Post-employment and post-contract restraints are void (*Krishan Murgai*, 1980; *Percept D'Mark v Zaheer Khan*, 2006).

Remember: English law tests reasonableness; Indian law voids all restraints outside the exceptions.

Topic 3.13: Agreements in Restraint of Legal Proceedings

Introduction

Every person has the right to approach a court for enforcing his rights. An agreement that prevents a person from going to court, or that unreasonably limits the time within which he may do so, is against public policy. Section 28 makes such agreements void, subject to important exceptions, such as arbitration agreements.

Definition

> **Section 28 ICA (as amended in 1997):** "Every agreement, (a) by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights; or (b) which extinguishes the rights of any party thereto, or discharges any party thereto, from any liability, under or in respect of any contract on the expiry of a specified period so as to restrict any party from enforcing his rights, is void to that extent."

Detailed Explanation

1. Agreements Covered

1. **Absolute restriction:** an agreement that a party will not go to court at all for enforcing his rights.
2. **Limitation of time:** an agreement that shortens the limitation period (e.g. "any claim must be filed within 3 months"), as that would defeat the Limitation Act.
3. **Extinction of rights (added in 1997):** a clause that extinguishes a party's rights or discharges liability after a specified period (often used in insurance policies and bank guarantees) is void. Before the 1997 amendment, courts had upheld such clauses, distinguishing between limiting time (void) and extinguishing the right (valid). The amendment removed this distinction.

2. Exceptions

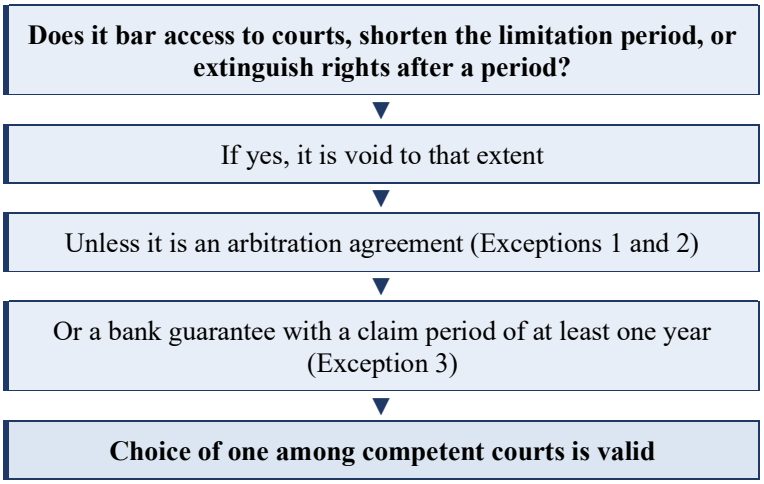
1. **Exception 1 – Arbitration of future disputes:** a contract by which two or more persons agree that any dispute that may arise between them in respect of any subject or class of subjects shall be referred to arbitration is not illegal.
2. **Exception 2 – Arbitration of existing disputes:** a contract in writing to refer to arbitration any question that has already arisen is not affected.
3. **Exception 3 (added in 2013, by the Banking Laws (Amendment) Act, 2012):** a contract of guarantee by a bank or financial institution that provides for extinguishment of rights or discharge of liability on the expiry of a specified period of not less than one year from the date of occurrence or non-occurrence of a specified event is valid.

3. Jurisdiction Clauses

Agreements selecting one of several competent courts are valid. Parties cannot confer jurisdiction on a court that has none, but where two or more courts have jurisdiction, they may agree to submit disputes to one of them (*Hakam Singh v Gammon (India) Ltd.*, 1971; *A.B.C. Laminart Pvt. Ltd. v A.P. Agencies*, 1989).

Clause	Valid or void	Basis
"Neither party shall go to any court"	Void	s.28(a)
"Suit to be filed within 1 month" (shorter than the limitation period)	Void	s.28(a)
"Insurer's liability ends if no claim is filed within 12 months"	Void (after 1997)	s.28(b)
Arbitration clause	Valid	Exception 1
Bank guarantee claim period of at least 1 year	Valid	Exception 3
Disputes subject only to Mumbai courts (where Mumbai courts are competent)	Valid	*A.B.C. Laminart*

Flowchart: Is the clause valid under s.28?



Examples

- An insurance policy states that the insurer will not be liable unless a suit is filed within six months of the loss. This shortens the time to enforce rights and is void.
- A contract provides that all disputes shall be referred to arbitration in Hyderabad. This is valid.

Case Laws

Case Law: A.B.C. Laminart Pvt. Ltd. v A.P. Agencies, Salem

Year: 1989 **Court:** Supreme Court of India

Facts / Background: The parties' contract stated that any dispute would be subject to the jurisdiction of the court at Salem. The respondent filed a suit in a different court (Kaira, Gujarat), where part of the cause of action had arisen. The question was whether the jurisdiction clause was valid.

Legal Issue: Is an agreement selecting one of several competent courts valid under section 28?

Court's Decision / What the Court Held: The Supreme Court held that where two or more courts have jurisdiction, an agreement to submit disputes to one of them is not contrary to public policy and does not violate section 28. Since the Salem court also had jurisdiction, the clause was valid. Words such as "alone", "only" or "exclusive" make the intention clearer, but even without them, the intention may be gathered from the clause.

Relevance to the Topic: Jurisdiction clauses choosing among competent courts are valid and are not restraints of legal proceedings.

Important Points

- Section 28 makes void agreements that bar legal proceedings, limit the time for enforcement, or extinguish rights after a period.
- The 1997 amendment made clauses extinguishing rights after a period void.
- Exceptions: arbitration (Exceptions 1 and 2) and bank guarantees (Exception 3, minimum one year).
- Choosing one of several competent courts is valid (*A.B.C. Laminart*, 1989).

Remember: Arbitration clauses do not oust justice; they provide an alternative forum, so they are valid.

Topic 3.14: Uncertain Agreements

Introduction

A contract must be certain, because courts cannot enforce terms that are vague or meaningless. If the parties have not made their obligations clear, there is nothing definite for the court to enforce. Section 29 declares such agreements void. However, an agreement is not uncertain if its meaning can be made certain from the circumstances or from a method agreed by the parties.

Definition

> **Section 29 ICA:** "Agreements, the meaning of which is not certain, or capable of being made certain, are void."

Detailed Explanation

1. Meaning of the Rule

1. An agreement is void if its terms are so vague or indefinite that their meaning cannot be ascertained.
2. If the meaning is capable of being made certain (for example, by reference to trade usage, a previous course of dealing, or a formula agreed by the parties), the agreement is valid.
3. The maxim *id certum est quod certum reddi potest* applies: that is certain which can be made certain.

2. Illustrations to Section 29

1. A agrees to sell to B "a hundred tons of oil". There is nothing to show what kind of oil was intended. The agreement is void for uncertainty.
2. A, who is a dealer in coconut oil only, agrees to sell "a hundred tons of oil". The nature of A's trade makes the meaning clear: he means coconut oil. The agreement is valid.
3. A agrees to sell to B "all the grain in my granary at Ramnagar". There is no uncertainty.
4. A agrees to sell to B "one thousand maunds of rice at a price to be fixed by C". The price is capable of being made certain, so the agreement is valid.
5. A agrees to sell to B "my white horse for rupees five hundred or rupees one thousand". There is nothing to show which price is to be given. The agreement is void.

3. Agreements to Agree

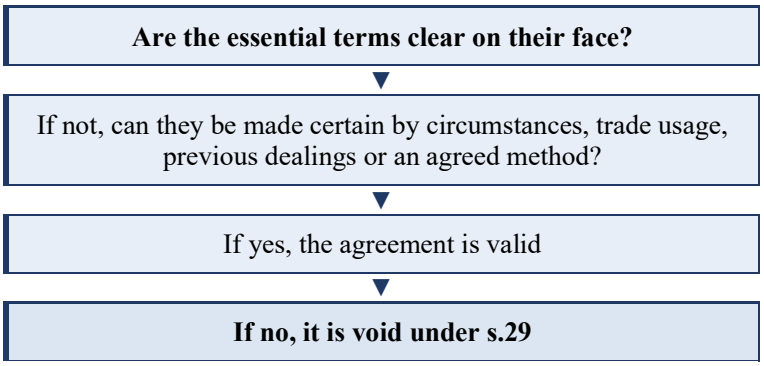
An agreement to negotiate or to agree on essential terms in future (e.g. "price to be agreed later") is generally void for uncertainty, unless a mechanism for fixing the terms exists.

4. Price Not Fixed

Under section 9 of the Sale of Goods Act, 1930, if the price is not fixed, the buyer must pay a reasonable price, so a sale of goods without a fixed price may still be valid.

Agreement	Valid or void	Reason
"100 tons of oil" (seller deals in many oils)	Void	Uncertain kind of oil
"100 tons of oil" (seller deals only in coconut oil)	Valid	Certainty from circumstances
Price "to be fixed by C"	Valid	Capable of being made certain
Price "Rs. 500 or Rs. 1,000"	Void	No way of choosing
"On hire-purchase terms" without details	Void	Terms not ascertainable (*Scammell v Ouston*)

Flowchart: Is the agreement certain?



Examples

- A promises to pay B "a fair share of the profits if business goes well". This is uncertain and void, unless there is a method to determine the share.
- A agrees to buy B's car "at the price shown in the next month's official valuation list". This is capable of being made certain.

Case Laws

Case Law: G. Scammell and Nephew Ltd. v H.C. and J.G. Ouston

Year: 1941 **Court:** House of Lords, England

Facts / Background: The respondents agreed to buy a van from the appellants, with the balance of the price payable "on hire-purchase terms" over two years. No details of the hire-purchase terms were agreed. When the appellants refused to deliver, the respondents sued.

Legal Issue: Was the agreement sufficiently certain to be enforced?

Court's Decision / What the Court Held: The House of Lords held that there was no binding contract. The phrase "on hire-purchase terms" was too vague, since hire-purchase agreements could be on many different terms, and there was no usual or standard form by which the terms could be made certain.

Relevance to the Topic: The leading case on the void nature of uncertain agreements; it corresponds to section 29 ICA.

Important Points

- Section 29: agreements whose meaning is not certain, or capable of being made certain, are void.
- That is certain which can be made certain (*id certum est quod certum reddi potest*).
- Certainty may come from circumstances, trade usage, previous dealings or an agreed method.
- *Scammell v Ouston* (1941): "on hire-purchase terms" was too vague.

Remember: An agreement is not void merely because it needs interpretation; it is void only if its meaning cannot be ascertained.

Topic 3.15: Wagering Agreements and Exceptions

Introduction

A wagering agreement is a bet: one party wins and the other loses depending on the outcome of an uncertain event. Indian law does not enforce such agreements. Section 30 declares wagering agreements void, but it does not make them illegal (except where special laws so provide). This distinction is important for collateral transactions. Certain transactions that look like wagers, such as insurance and genuine commercial transactions, are not wagers at all.

Definition

> **Section 30 ICA:** "Agreements by way of wager are void; and no suit shall be brought for recovering anything alleged to be won on any wager, or entrusted to any person to abide the result of any game or other uncertain event on which any wager is made."

> **Exception:** "This section shall not be deemed to render unlawful a subscription or contribution, or agreement to subscribe or contribute, made or entered into for or toward any plate, prize or sum of money, of the value or amount of five hundred rupees or upwards, to be rewarded to the winner or winners of any horse-race."

> **Hawkins J. in Carlill v Carbolic Smoke Ball Co. (1892, Queen's Bench Division):** a wagering contract is one by which two persons, professing to hold opposite views touching the issue of a future uncertain event, mutually agree that, dependent upon the determination of that event, one shall win from the other, and that other shall pay or hand over to him, a sum of money or other stake, neither of the contracting parties having any other interest in that contract than the sum or stake he will so win or lose.

Detailed Explanation

1. Essential Features of a Wager

1. **Uncertain event:** the result depends on an uncertain future event (or a past event unknown to the parties).
2. **Mutual chances of gain or loss:** each party must stand to win or lose.
3. **Neither party controls the event.**
4. **No other interest:** the parties have no interest in the event other than the stake (no insurable interest).
5. **Two parties, opposite views:** each party holds an opposite view about the outcome.

2. Effect of Section 30

1. Wagering agreements are **void**; no suit lies to recover money won on a wager.
2. No suit lies to recover money deposited with a stakeholder to abide the result.
3. Wagering agreements are **not illegal**, so collateral transactions are valid (*Gherulal Parakh*, 1959), except in States where local laws provide otherwise (for example, by local amendment in Maharashtra and Gujarat, transactions collateral to wagers are also void).
4. Under the Public Gambling Act, 1867 and State gaming laws, gambling in public places and running gaming houses are offences.

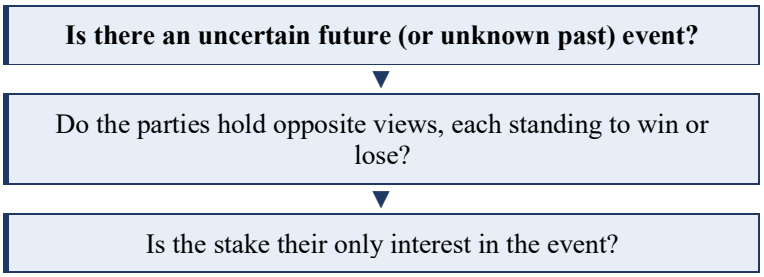
3. Transactions That Are Not Wagers

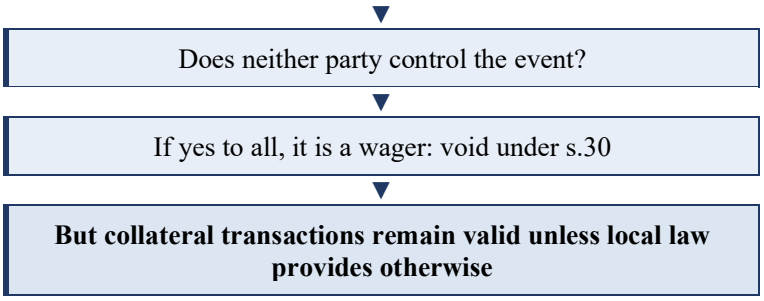
Transaction	Why not a wager
Contracts of insurance	The insured has an insurable interest; it is a contract of indemnity or assurance
Share market transactions with intention of delivery	Genuine commercial transactions, not mere bets on price differences
Games of skill (crossword, chess competitions)	The result depends on skill, not chance (*State of Bombay v R.M.D. Chamarbaugwala*, 1957)
Horse-race prizes of Rs. 500 or more	Expressly excepted by s.30
Lotteries authorised by the State	Governed by the Lotteries (Regulation) Act, 1998; otherwise lotteries are void/illegal
Commercial transactions with a genuine business interest	Parties have interests beyond the stake

4. Games of Skill and Games of Chance

1. **Games of chance:** the result depends mainly on luck (dice, roulette). Agreements on them are wagers.
2. **Games of skill:** the result depends mainly on skill (chess, crossword with skill). Competitions in such games are not wagers.
3. Horse racing has been held to be a game of skill (*K.R. Lakshmanan v State of Tamil Nadu*, 1996).

Flowchart: Is the agreement a wager?





Examples

- A and B agree that if India wins a cricket match, B will pay A Rs. 5,000, and if India loses, A will pay B Rs. 5,000. This is a wagering agreement and void.
- A insures his house against fire. This is not a wager, because A has an insurable interest in the house.

Case Laws

Case Law: Carlill v Carbolic Smoke Ball Co. (on the definition of wager)

Year: 1892 **Court:** Queen's Bench Division, England (affirmed by the Court of Appeal, 1893)

Facts / Background: The Carbolic Smoke Ball Company argued that its promise to pay £100 to anyone who caught influenza after using its smoke ball was a wagering contract, and therefore void under the Gaming Act.

Legal Issue: Was the promise a wager?

Court's Decision / What the Court Held: Hawkins J. (at first instance) gave the classic definition of a wagering contract and held that the company's promise was not a wager, because the company did not stand to win or lose on the event in the sense required, and Mrs. Carlill had no stake to lose. The Court of Appeal affirmed the decision for Mrs. Carlill.

Relevance to the Topic: The case gives the most widely cited definition of a wagering agreement.

Case Law: State of Bombay v R.M.D. Chamarbaugwala

Year: 1957 **Court:** Supreme Court of India

Facts / Background: The respondents ran prize competitions in which participants paid entry fees and attempted to solve puzzles, with prizes distributed largely on the basis of chance. The State taxed and regulated such competitions. The respondents argued that the competitions were a trade or business protected by Article 19(1)(g).

Legal Issue: Are prize competitions depending largely on chance gambling, and are they protected as trade?

Court's Decision / What the Court Held: The Supreme Court held that competitions in which success depends substantially on chance are gambling, which is not "trade" or "business" protected by Article 19(1)(g). The State could regulate or prohibit them. The Court distinguished such competitions from those involving substantial skill.

Relevance to the Topic: The case explains the distinction between games of chance and games of skill, which is central to the law on wagering.

Case Law: Gherulal Parakh v Mahadeodas Maiya (on collateral transactions)

Year: 1959 **Court:** Supreme Court of India

Facts / Background: A partnership for carrying on wagering transactions (see Topic 3.2) was challenged as void.

Legal Issue: Is a transaction collateral to a wagering agreement void?

Court's Decision / What the Court Held: The Supreme Court held that wagering agreements are void but not illegal, so collateral transactions (here, a partnership to carry on wagers) are valid and enforceable.

Relevance to the Topic: Collateral agreements to wagers are enforceable in India, except where special State laws provide otherwise.

Important Points

- Section 30: wagering agreements are void; no suit lies to recover winnings or stakes.
- Wager: an uncertain event, mutual chances of gain or loss, no other interest, opposite views (*Carlill*, Hawkins J., 1892).
- Wagering agreements are void but not illegal, so collateral transactions are valid (*Gherulal Parakh*, 1959).
- Exceptions and non-wagers: horse-race prizes of Rs. 500 or more, insurance, genuine commercial transactions, and games of skill.
- Games of chance are gambling (*R.M.D. Chamarbaugwala*, 1957); horse racing is a game of skill (*K.R. Lakshmanan*, 1996).

Remember: Insurance is not a wager because the insured has an insurable interest.

UNIT IV

Discharge of Contract, Quasi-Contracts and Remedies for Breach

Topics in this Unit

4.1 Discharge by Performance
4.2 Valid Tender of Performance
4.3 Reciprocal Promises
4.4 Time as the Essence of Contract
4.5 Discharge by Breach (Actual and Anticipatory)
4.6 Impossibility of Performance and Frustration
4.7 Effect of Frustration and Restitution
4.8 Discharge by Agreement
4.9 Rescission, Alteration, Remission, Waiver
4.10 Accord and Satisfaction
4.11 Limitation
4.12 Quasi-Contracts
4.13 Damages for Breach of Contract
4.14 Remoteness and Assessment of Damages
4.15 Injunction
4.16 Refund and Restitution
4.17 Specific Performance as a Remedy

Topic 4.1: Discharge by Performance

Introduction

A contract comes to an end, or is "discharged", when the rights and obligations created by it are extinguished. The most natural and common method of discharge is **performance**: each party does what he promised to do. When both parties perform their promises fully, the contract is discharged, and nothing more remains. Sections 37 to 67 of the Indian Contract Act deal with performance in detail.

Definition

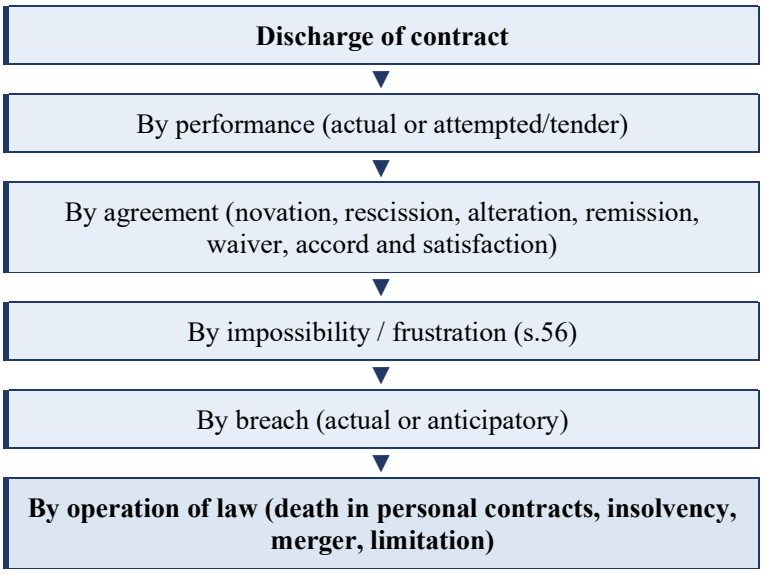
Section 37 ICA: "The parties to a contract must either perform, or offer to perform, their respective promises, unless such performance is dispensed with or excused under the provisions of this Act, or of any other law. Promises bind the representatives of the promisors in case of the death of such promisors before performance, unless a contrary intention appears from the contract."

Discharge by performance means the termination of a contract when the parties fulfil their obligations as promised.

Detailed Explanation

1. Modes of Discharge of Contract (Overview)

Flowchart: Modes of discharge of a contract



This topic deals with the first mode; the others are discussed in the following topics.

2. Kinds of Performance

1. **Actual performance:** the promisor does exactly what he promised, at the proper time and place and in the proper manner. The contract is discharged.
2. **Attempted performance (tender):** the promisor offers to perform, but the promisee refuses to accept. A valid tender discharges the promisor from further liability, and he may sue for breach (section 38; Topic 4.2).

3. Who Must Perform: Sections 40–45

Situation	Who must perform	Section
Personal contracts (skill, taste, confidence)	The promisor himself	40
Other contracts	The promisor, his agent or representative	40
Promisee accepts performance from a third person	He cannot afterwards enforce it against the promisor	41
Death of promisor (non-personal contract)	His legal representatives, to the extent of the estate	37
Joint promisors	All jointly; after death of one, the survivors with the representatives of the deceased	42
Any one of the joint promisors may be compelled to perform	Yes, with right of contribution among them	43

4. Time and Place of Performance: Sections 46–50

1. **No time specified (s.46):** performance within a reasonable time.
2. **Time specified, no application required (s.47):** performance on the day, during the usual hours of business, at the place where it ought to be performed.
3. **Time and place specified, application required (s.48):** the promisee must apply for performance at the proper place and within the usual hours of business.
4. **No place fixed, no application required (s.49):** the promisor must apply to the promisee to appoint a reasonable place.
5. **Manner and time prescribed by the promisee (s.50):** performance in that manner and at that time.

5. Entire and Divisible Contracts

1. **Entire contract:** performance must be complete before payment is due (*Cutter v Powell*, 1795).
2. **Divisible contract:** payment is due for each part as performed.
3. **Doctrine of substantial performance:** where a contract has been substantially performed with minor defects, the party can recover the price less a deduction for the defects (*Hoenig v Isaacs*, 1952).

6. Performance of Joint Promises

Under section 43, when two or more persons make a joint promise, the promisee may compel any one or more of them to perform the whole promise, unless a contrary intention appears.

Examples

- A agrees to deliver 100 bags of rice to B on 1 March, and B agrees to pay on delivery. Both perform on 1 March. The contract is discharged by performance.
- A engages a famous singer B to sing at his wedding. B cannot send another singer, because the contract is personal (section 40).

Case Laws

Case Law: Cutter v Powell

Year: 1795 **Court:** Court of King's Bench, England

Facts / Background: A sailor (Cutter) agreed to serve on a ship from Jamaica to Liverpool, for a lump sum of 30 guineas payable on arrival, provided he served throughout the voyage. He died during the voyage, about seven weeks before the ship reached Liverpool. His widow sued for a proportion of the wages.

Legal Issue: Is a party who has partly performed an entire contract entitled to payment for the part performed?

Court's Decision / What the Court Held: The court held that the widow could not recover anything, because the contract was entire: payment was due only on complete performance, which had not occurred.

Relevance to the Topic: The case illustrates the strict rule of complete performance in entire contracts.

Case Law: Hoenig v Isaacs

Year: 1952 **Court:** Court of Appeal, England

Facts / Background: A decorator agreed to decorate a flat and supply furniture for £750. The work was completed, but there were some defects that would cost about £55 to fix. The owner refused to pay the balance.

Legal Issue: Can a party who has substantially performed an entire contract recover the price?

Court's Decision / What the Court Held: The Court of Appeal held that the contract had been substantially performed, so the decorator was entitled to the price less the cost of remedying the defects.

Relevance to the Topic: The doctrine of substantial performance softens the strict rule in *Cutter v Powell*.

Important Points

- Section 37: parties must perform or offer to perform their promises.
- Performance may be actual or attempted (tender).
- Sections 40–45: who must perform; sections 46–50: time and place of performance.
- Entire contracts require complete performance (*Cutter v Powell*, 1795), subject to substantial performance (*Hoenig v Isaacs*, 1952).

Remember: Performance is the most common mode of discharge.

Topic 4.2: Valid Tender of Performance

Introduction

Sometimes a promisor is ready and willing to perform, and actually offers to perform, but the promisee refuses to accept. The law should not penalise the promisor in such a case. Section 38 provides that a valid offer of performance (called a "tender") which is refused discharges the promisor from further liability, and gives him a right to sue for breach. But to have this effect, the tender must satisfy certain conditions.

Definition

Section 38 ICA: "Where a promisor has made an offer of performance to the promisee, and the offer has not been accepted, the promisor is not responsible for non-performance, nor does he thereby lose his rights under the contract."

A **tender** is an offer of performance made by the promisor to the promisee in accordance with the terms of the contract.

Detailed Explanation

1. Conditions of a Valid Tender (Section 38)

1. **It must be unconditional.**
2. **It must be made at a proper time and place**, and under such circumstances that the promisee has a reasonable opportunity of ascertaining that the person making it is able and willing to do there and then the whole of what he is bound by his promise to do.
3. **If the offer is to deliver anything**, the promisee must have a reasonable opportunity of seeing that the thing offered is the thing the promisor is bound to deliver.
4. **An offer to one of several joint promisees** has the same legal consequences as an offer to all of them.
5. **It must be for the whole quantity:** a tender of part of the goods or money is not valid (unless the contract permits instalments).
6. **It must be made by a person who is able and willing to perform.**
7. **It must be made to the promisee or his authorised agent.**

2. Tender of Goods and Tender of Money

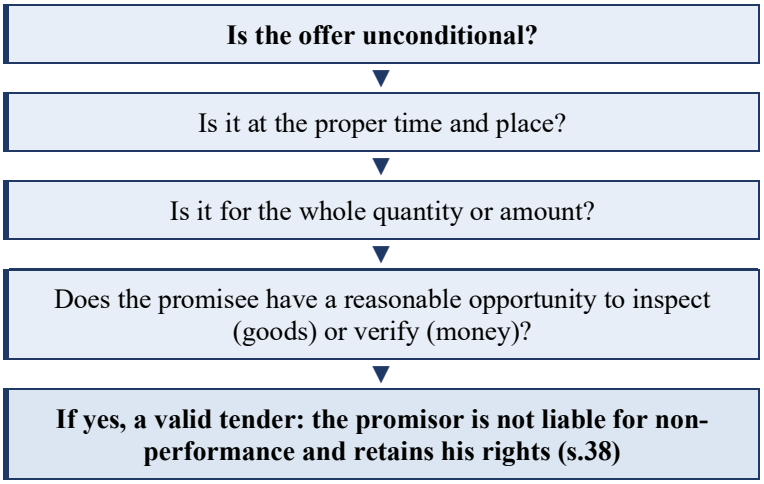
Point	Tender of goods	Tender of money
What must be tendered	The exact goods, in the agreed quantity and quality	The exact amount due, in legal tender

Point	Tender of goods	Tender of money
Effect of refusal	The promisor is discharged from liability for non-performance and may sue for breach	The debtor is not discharged from the debt, but is not liable for interest after tender, and may plead tender as a defence to costs
Need to tender again	Not necessary	The debtor must still be ready to pay if asked; the debt remains

3. Effects of a Valid Tender

1. The promisor is not responsible for non-performance.
2. He does not lose his rights under the contract; he may sue the promisee for breach.
3. In the case of goods, he is discharged from his obligation to deliver.
4. In the case of money, the debt is not discharged, but interest stops running from the date of tender.

Flowchart: Is the tender valid?



Examples

- A contracts to deliver 100 bales of cotton to B at B's warehouse on 1 March. A brings the cotton to the warehouse on that day during business hours, but B refuses to accept it. A's tender is valid, and he can sue B for breach.
- A owes B Rs. 10,000. On the due date, A offers B Rs. 9,000. This is not a valid tender, because it is not for the whole amount.

Case Laws

Case Law: Startup v Macdonald

Year: 1843 **Court:** Court of Exchequer Chamber, England

Facts / Background: The plaintiff agreed to sell ten tons of linseed oil to the defendant, to be delivered "within the last fourteen days of March". He delivered the oil at 8:30 p.m. on the last day (a Saturday). The defendant refused to accept it because of the late hour.

Legal Issue: Was the tender of delivery late in the evening a valid tender?

Court's Decision / What the Court Held: The court held that the tender was valid, because it was made within the time fixed by the contract, and there was still a reasonable opportunity for the buyer to examine and receive the goods before midnight. The seller was entitled to damages for non-acceptance.

Relevance to the Topic: The leading case on the requirements of a valid tender of goods; it illustrates the conditions of time, place and opportunity to inspect in section 38.

Important Points

- Section 38: a valid tender that is refused discharges the promisor from liability for non-performance.
- A tender must be unconditional, at the proper time and place, for the whole quantity, with an opportunity to inspect.
- A tender of money does not discharge the debt, but stops interest.
- *Startup v Macdonald* (1843): a tender made within the contract time, though late in the day, was valid.

Remember: Part tender is not a valid tender (unless the contract allows instalments).

Topic 4.3: Reciprocal Promises

Introduction

In most contracts, each party promises to do something for the other: the seller promises to deliver goods and the buyer promises to pay. Such promises are called "reciprocal promises". The question is: in what order must they be performed, and what happens if one party fails to perform? Sections 51 to 58 deal with the performance of reciprocal promises.

Definition

> **Section 2(f) ICA:** "Promises which form the consideration or part of the consideration for each other are called reciprocal promises."

Detailed Explanation

1. Kinds of Reciprocal Promises

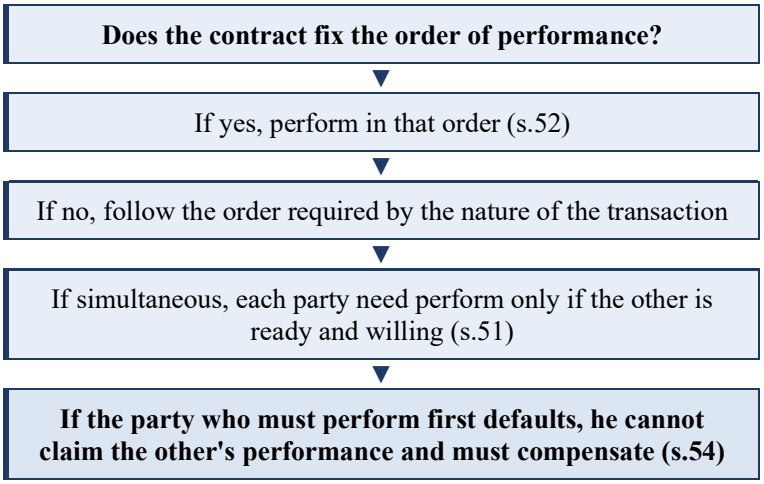
Kind	Meaning	Example
Mutual and independent	Each party must perform without waiting for the other	A promises to pay B Rs. 1 lakh on 1 May; B promises to deliver goods on 1 June, independently
Conditional and dependent	One party's performance depends on prior performance by the other	A promises to build a house; B promises to pay after completion
Mutual and concurrent	Both are to be performed simultaneously	Cash sale: delivery and payment at the same time

2. Rules for Performance (Sections 51–58)

1. **Section 51 – Promisor not bound to perform unless the reciprocal promisee is ready and willing:** when the promises are to be performed simultaneously, the promisor need not perform unless the promisee is ready and willing to perform his reciprocal promise.
2. **Section 52 – Order of performance:** where the order is expressly fixed by the contract, they must be performed in that order; where it is not fixed, in the order that the nature of the transaction requires.
3. **Section 53 – Liability of party preventing event on which contract is to take effect:** if one party prevents the other from performing, the contract becomes voidable at the option of the party so prevented, and he is entitled to compensation.
4. **Section 54 – Effect of default as to the promise to be performed first:** if the party who must perform first fails to do so, he cannot claim performance of the reciprocal promise, and must compensate the other party.

5. **Section 55 – Failure to perform at fixed time where time is essential:** the contract becomes voidable at the option of the promisee (Topic 4.4).
6. **Section 56 – Impossibility** (Topic 4.6).
7. **Section 57 – Reciprocal promise to do things legal and also other things illegal:** the first set is a contract; the second is void.
8. **Section 58 – Alternative promise, one branch being illegal:** only the legal branch can be enforced.

Flowchart: Order of performance of reciprocal promises (ss.51–52)



3. Readiness and Willingness

In suits for specific performance and for breach of reciprocal contracts, the plaintiff must show that he was ready and willing to perform his part. This principle comes from section 51 and is also reflected in section 16(c) of the Specific Relief Act.

Examples

- A and B agree that A shall build a house for B at a fixed price, with payment after completion. A must build first (s.52).
- A and B agree that A shall sell his car to B for cash on delivery. A need not deliver unless B is ready and willing to pay (s.51).
- A agrees to supply raw materials to B, who has to manufacture goods for A. A fails to supply. A cannot sue B for not manufacturing, and must compensate B (s.54).

Case Laws

Case Law: Kingston v Preston

Year: 1773 **Court:** Court of King's Bench, England (Lord Mansfield)

Facts / Background: The plaintiff agreed to serve the defendant, a silk merchant, as an apprentice, and the defendant agreed to transfer his business to the plaintiff after a period

of time, provided the plaintiff gave good security for payment. The plaintiff did not give the security, but sued the defendant for refusing to transfer the business.

Legal Issue: Can a party sue for performance of a dependent promise without first performing his own promise?

Court's Decision / What the Court Held: Lord Mansfield held that the promises were dependent. The giving of security was a condition precedent to the defendant's obligation to transfer the business, and the plaintiff, having failed to give it, could not sue.

Relevance to the Topic: The case classified covenants as mutual and independent, conditional and dependent, and concurrent, which is the basis of the rules in sections 51–54 ICA.

Important Points

- Section 2(f): reciprocal promises are promises that form consideration for each other.
- They may be mutual and independent, conditional and dependent, or concurrent.
- Section 51: a promisor need not perform unless the other is ready and willing.
- Section 52: order of performance as fixed, or as the nature of the transaction requires.
- Section 54: a party who defaults on a prior promise cannot claim the other's performance.
- *Kingston v Preston* (1773): classic classification of dependent promises.

Remember: In a suit on reciprocal promises, the plaintiff must prove readiness and willingness.

Topic 4.4: Time as the Essence of Contract

Introduction

Contracts often fix a date for performance. But is a delay of one day a breach that allows the other party to cancel the whole contract? The answer depends on whether "time is of the essence" of the contract. If it is, delay makes the contract voidable; if not, the other party can only claim compensation for the delay. Section 55 deals with this question.

Definition

> **Section 55 ICA:** "When a party to a contract promises to do a certain thing at or before a specified time, or certain things at or before specified times, and fails to do any such thing at or before the specified time, the contract, or so much of it as has not been performed, becomes voidable at the option of the promisee, if the intention of the parties was that time should be of the essence of the contract."

Detailed Explanation

1. Three Situations Covered by Section 55

1. **Time is of the essence:** if the promisor fails to perform in time, the contract becomes voidable at the option of the promisee.
2. **Time is not of the essence:** failure to perform in time does not make the contract voidable, but the promisee is entitled to compensation for any loss caused by the delay.
3. **Acceptance of late performance:** if, in the case of a contract voidable for delay, the promisee accepts performance at a time other than that agreed, he cannot claim compensation for the delay unless, at the time of acceptance, he gives notice to the promisor of his intention to do so.

2. When is Time of the Essence?

Whether time is of the essence depends on the **intention of the parties**, which is gathered from:

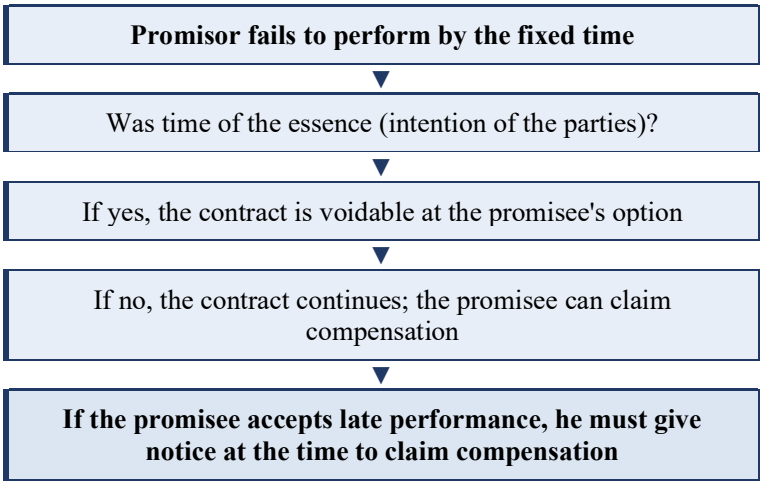
1. **Express words:** e.g. "time shall be of the essence of this contract".
2. **The nature of the contract:** commercial contracts (e.g. sale of goods, shipping) usually treat time as essential.
3. **Surrounding circumstances:** e.g. perishable goods or goods with fluctuating prices.
4. **Notice:** where time was not originally essential, a party may make it essential by giving a reasonable notice fixing a time for performance.

3. General Rules Developed by Courts

Type of contract	Is time of the essence?
Mercantile/commercial contracts	Generally yes

Type of contract	Is time of the essence?
Sale of immovable property	Generally no (presumption against), unless clearly intended
Building and construction contracts with extension of time and penalty clauses	Generally no
Contracts with express "time is of the essence" clause	Yes, unless other terms show otherwise

Flowchart: Effect of delay in performance (s.55)



Examples

- A agrees to supply Diwali crackers to B before Diwali. A delivers after Diwali. Time was of the essence, so B may refuse to accept and avoid the contract.
- A agrees to sell his house to B, with registration within three months. A delays by two weeks. In the absence of a clear intention, time is not of the essence, and B can only claim compensation (and A can still enforce the contract within a reasonable time).

Case Laws

Case Law: Chand Rani v Kamal Rani

Year: 1993 **Court:** Supreme Court of India (Constitution Bench)

Facts / Background: The parties entered into an agreement to sell immovable property. Part of the price was to be paid within a short, fixed time. The buyer did not pay within that time, and the seller claimed that time was of the essence and the agreement had ended.

Legal Issue: Is time of the essence in contracts for the sale of immovable property?

Court's Decision / What the Court Held: The Constitution Bench held that in contracts for the sale of immovable property, there is a presumption that time is not of the essence. But this presumption can be displaced by express stipulation or by the circumstances. Even

where time is not essential originally, the court may infer that performance was to be within a reasonable time. On the facts, the Court found that time was of the essence for the payment of the specified part of the price.

Relevance to the Topic: The leading case on time as the essence in sale of immovable property.

Case Law: Hind Construction Contractors v State of Maharashtra

Year: 1979 **Court:** Supreme Court of India

Facts / Background: The appellant contractor agreed to construct an aqueduct within twelve months. The contract provided for extension of time and penalties for delay. The work was delayed, and the State rescinded the contract, claiming time was essential.

Legal Issue: Was time of the essence in a construction contract containing provisions for extension of time and penalties for delay?

Court's Decision / What the Court Held: The Supreme Court held that time was not of the essence, because the contract itself provided for extension of time and compensation for delay. Such provisions show that the parties did not intend delay to end the contract. The rescission was wrongful.

Relevance to the Topic: In building and construction contracts with extension and penalty clauses, time is generally not of the essence.

Important Points

- Section 55: if time is essential, delay makes the contract voidable; otherwise, compensation only.
- Whether time is essential depends on the intention of the parties, express terms, nature of the contract and circumstances.
- Sale of immovable property: presumption that time is not essential (*Chand Rani v Kamal Rani*, 1993).
- Construction contracts with extension clauses: time not essential (*Hind Construction*, 1979).
- A party who accepts late performance must give notice to claim compensation.

Remember: Time can be made essential later by giving a reasonable notice.

Topic 4.5: Discharge by Breach (Actual and Anticipatory)

Introduction

A breach of contract occurs when a party fails or refuses to perform his promise. Breach discharges the innocent party from his own obligations (where the breach is serious), and gives him the right to claim remedies. Breach may be **actual** (failure to perform on the due date, or during performance) or **anticipatory** (a refusal to perform made before the due date).

Definition

> **Section 39 ICA:** "When a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance."

> **Actual breach** is a failure to perform on the due date or during performance. **Anticipatory breach** is a declaration or act by a party, before the time for performance, showing that he will not perform.

Detailed Explanation

1. Actual Breach

1. **On the due date:** the promisor fails to perform when performance is due (e.g. a seller fails to deliver on the agreed date).
2. **During performance:** the promisor fails to complete performance after starting (e.g. a contractor abandons the work halfway).
3. **Effect:** the innocent party may treat the contract as ended and claim damages (s.73), or claim specific performance where available.

2. Anticipatory Breach

Anticipatory breach occurs before the date of performance:

1. **Express repudiation:** the promisor expressly refuses to perform (e.g. writes saying he will not deliver).
2. **Implied repudiation:** the promisor, by his own act, makes performance impossible (e.g. sells the specific goods to someone else).

3. Options of the Innocent Party in Anticipatory Breach

1. **Accept the repudiation:** treat the contract as ended immediately, and sue for damages at once, without waiting for the date of performance (*Hochster v De la Tour*, 1853).
2. **Refuse to accept and keep the contract alive:** wait until the date of performance. But then the contract continues for the benefit of both parties: the repudiating party may

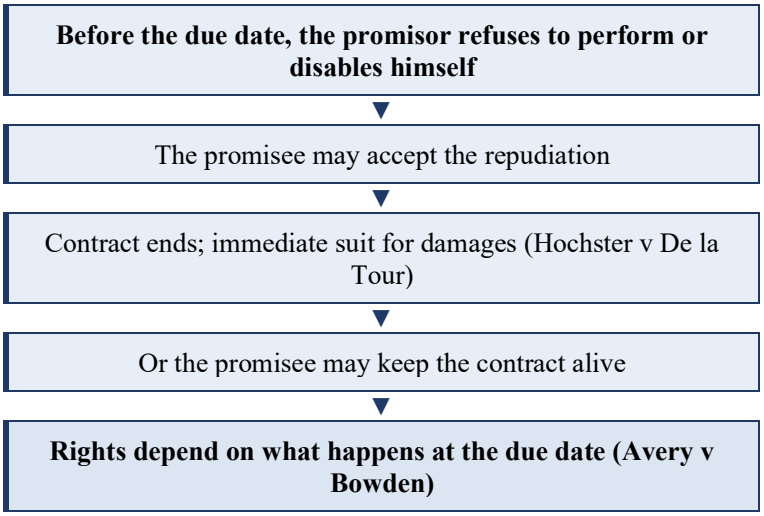
change his mind and perform, and if the contract is frustrated in the meantime, the innocent party loses his right to sue (*Avery v Bowden*, 1855).

4. Measure of Damages in Anticipatory Breach

If the innocent party accepts the repudiation, damages are generally calculated by reference to the market price at the date fixed for performance (and he must mitigate his loss).

Point	Actual breach	Anticipatory breach
Time	On or after the due date	Before the due date
Form	Non-performance or incomplete performance	Express refusal or self-induced disability
Options	Treat the contract as ended; claim damages	Accept repudiation and sue at once, or keep the contract alive
Risk of keeping alive	Not applicable	The innocent party may lose remedies if the contract is frustrated later
Section	s.39, s.73	s.39

Flowchart: Options on anticipatory breach



Examples

- On 1 January, A agrees to supply 100 tonnes of steel to B on 1 June. On 1 March, A informs B that he will not supply. This is an anticipatory breach. B can sue immediately.
- On 1 June, A fails to supply the steel. This is an actual breach.

Case Laws

Case Law: Hochster v De la Tour

Year: 1853 **Court:** Court of Queen's Bench, England

Facts / Background: In April, the defendant engaged the plaintiff as a courier to accompany him on a tour of Europe, starting on 1 June. In May, the defendant wrote to the plaintiff saying he no longer needed his services. The plaintiff sued for breach before 1 June.

Legal Issue: Can a party sue for breach before the date fixed for performance when the other party has repudiated the contract in advance?

Court's Decision / What the Court Held: The court held that the plaintiff could sue immediately. A renunciation of the contract before the time for performance is an anticipatory breach, and the innocent party may treat it as a breach and sue without waiting for the date of performance.

Relevance to the Topic: The leading case establishing the doctrine of anticipatory breach.

Case Law: Avery v Bowden

Year: 1855 **Court:** Court of Queen's Bench, England

Facts / Background: The defendant chartered the plaintiff's ship to load cargo at Odessa within 45 days. When the ship arrived, the defendant's agent told the captain that no cargo was available and that he should leave. The captain stayed on, hoping the defendant would perform. Before the 45 days expired, the Crimean War broke out, making performance illegal.

Legal Issue: Can the innocent party who did not accept the anticipatory repudiation sue for breach after the contract became frustrated?

Court's Decision / What the Court Held: The court held that the plaintiff could not recover damages. By not accepting the repudiation and keeping the contract alive, he took the risk of subsequent events. The outbreak of war frustrated the contract and discharged both parties.

Relevance to the Topic: The case shows the risk to the innocent party in keeping a contract alive after anticipatory breach.

Important Points

- Section 39: a refusal or self-induced disability entitles the promisee to end the contract.
- Actual breach is on or after the due date; anticipatory breach is before it.
- On anticipatory breach, the innocent party may sue at once (*Hochster v De la Tour*, 1853) or keep the contract alive.
- If he keeps the contract alive, he bears the risk of later events (*Avery v Bowden*, 1855).

Remember: Anticipatory breach gives the innocent party an option, not an obligation, to end the contract.

Topic 4.6: Impossibility of Performance and Frustration

Introduction

Sometimes, after a contract is made, an unexpected event makes performance impossible or utterly different from what the parties had in mind: a theatre burns down, a war breaks out, or a law prohibits the agreed act. Should the parties still be held to the contract? The doctrine of frustration answers this question. In India, it is contained in section 56 of the Act, which deals with impossibility of performance.

Definition

Section 56 ICA: "(1) An agreement to do an act impossible in itself is void. (2) A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful. (3) Where one person has promised to do something which he knew, or, with reasonable diligence, might have known, and which the promisee did not know, to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise."

Frustration is the discharge of a contract when, without the fault of either party, a supervening event makes its performance impossible, illegal, or radically different from what was contemplated.

Detailed Explanation

1. Initial and Supervening Impossibility

1. **Initial impossibility (s.56 para 1):** an agreement to do an act that is impossible from the start is void ab initio (e.g. an agreement to discover treasure by magic).
2. **Supervening impossibility (s.56 para 2):** a contract that becomes impossible or unlawful after it is made becomes void at that time. This is the doctrine of frustration.
3. **Known impossibility (s.56 para 3):** a promisor who knew or should have known of the impossibility must compensate the promisee.

2. Meaning of "Impossible": Not Only Literal Impossibility

In *Satyabrata Ghose v Mugneeram Bangur* (1954), the Supreme Court held that "impossible" in section 56 is not used in the sense of physical or literal impossibility. Performance may become impracticable and useless from the point of view of the object and purpose of the parties, and in that case it is "impossible" within section 56.

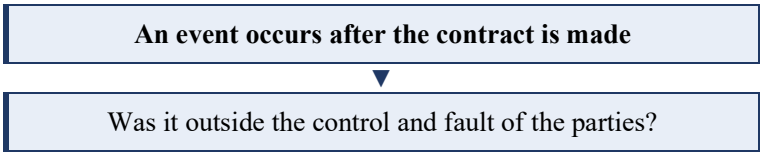
3. Grounds of Frustration

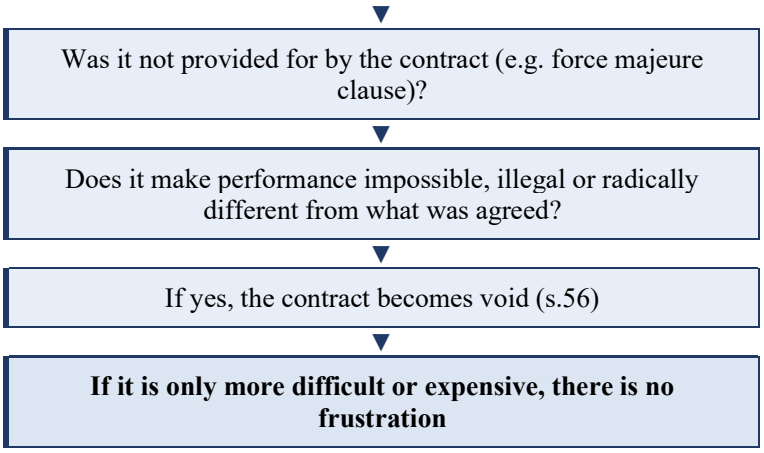
Ground	Example	Case
Destruction of the subject matter	A music hall burns down before the concerts	*Taylor v Caldwell* (1863)
Non-occurrence of a contemplated event	Coronation procession cancelled	*Krell v Henry* (1903)
Death or personal incapacity (personal contracts)	A singer falls seriously ill before the performance	*Robinson v Davison* (1871)
Change of law or supervening illegality	A law prohibits the export agreed upon	s.56 para 2
Outbreak of war	Trading with the enemy becomes illegal	*Avery v Bowden* (1855)
Government or administrative intervention	Requisition of land or goods by Government	Depends on the extent and duration
Radical change in circumstances	The foundation of the contract disappears	*Satyabrata Ghose* (1954)

4. Situations Where Frustration Does Not Apply

1. **Mere difficulty or increased cost:** a rise in prices, labour problems or unprofitability do not frustrate a contract (*Energy Watchdog*, 2017).
2. **Self-induced frustration:** a party cannot rely on frustration caused by his own act or choice.
3. **Foreseeable events provided for in the contract:** if the contract provides for the event (e.g. a force majeure clause), the contract clause governs. In *Energy Watchdog*, the Supreme Court explained that force majeure clauses are governed by section 32 (contingent contracts) when they are express, and section 56 applies when the event is outside the contract.
4. **Commercial impossibility:** inconvenience is not impossibility.
5. **Strikes, lockouts and civil disturbances:** generally do not frustrate, unless they make performance impossible for a long period.
6. **Failure of one of several objects:** does not frustrate if the main object can still be achieved.

Flowchart: Is the contract frustrated?





Examples

- A contracts to marry B. Before the marriage, A becomes insane. The contract becomes void (illustration (c) to section 56).
- A contracts to supply 1,000 tonnes of a commodity, and its price rises sharply. The contract is not frustrated.

Case Laws

Case Law: Taylor v Caldwell

Year: 1863 **Court:** Court of Queen's Bench, England

Facts / Background: Caldwell agreed to let the Surrey Gardens and Music Hall to Taylor for four concerts on certain dates. Before the first concert, the music hall was destroyed by fire, without the fault of either party. Taylor sued for damages for the expenses incurred in advertising.

Legal Issue: Is a party liable for failure to perform when the subject matter of the contract is destroyed without his fault?

Court's Decision / What the Court Held: The court held that the contract was discharged. Blackburn J. held that where the performance of a contract depends on the continued existence of a particular thing, there is an implied condition that impossibility arising from the destruction of that thing, without default, excuses performance. Neither party was liable.

Relevance to the Topic: The foundational case on the doctrine of frustration (a syllabus case); in India, the same result follows under section 56.

Case Law: Satyabrata Ghose v Mugneeram Bangur & Co.

Year: 1954 **Court:** Supreme Court of India

Facts / Background: The respondent company had undertaken a scheme to develop land into building plots in Calcutta, and agreed to sell a plot to the appellant's predecessor, with roads and drains to be constructed. During the Second World War, part of the land was requisitioned by the Government for military purposes. The company claimed that the contract was frustrated.

Legal Issue: (i) Does the English doctrine of frustration apply in India, or is section 56 exhaustive? (ii) Was the contract frustrated by the requisition?

Court's Decision / What the Court Held: The Supreme Court (B.K. Mukherjea J.) held that section 56 is exhaustive on the subject in India; the doctrine of frustration is part of section 56, and the word "impossible" is used in the sense of impracticability or uselessness of performance from the point of view of the object of the parties, not only literal impossibility. On the facts, the requisition was temporary, the contract had no time limit for completing the work, and performance was not rendered impossible. So the contract was not frustrated.

Relevance to the Topic: The leading Indian case (a syllabus case) on frustration, explaining the scope of section 56.

Case Law: Krell v Henry

Year: 1903 **Court:** Court of Appeal, England

Facts / Background: Henry agreed to rent Krell's flat in Pall Mall for two days to watch the coronation procession of King Edward VII. The procession was cancelled due to the King's illness. Henry refused to pay the balance of the rent.

Legal Issue: Is a contract frustrated when the event that formed the foundation of the contract does not take place?

Court's Decision / What the Court Held: The Court of Appeal held that the contract was frustrated, because the coronation procession was the foundation of the contract, as both parties knew, and its cancellation defeated the purpose of the contract.

Relevance to the Topic: Frustration applies not only where the subject matter is destroyed but also where the basic purpose of the contract fails.

Important Points

- Section 56: initial impossibility (void), supervening impossibility or illegality (void when it occurs), and known impossibility (compensation).
- "Impossible" includes impracticability and uselessness of performance (*Satyabrata Ghose*, 1954).
- Section 56 is exhaustive in India on frustration (*Satyabrata Ghose*).

- Destruction of subject matter (*Taylor v Caldwell*, 1863); failure of purpose (*Krell v Henry*, 1903).
- Increased cost or difficulty does not frustrate (*Energy Watchdog*, 2017).

Remember: Frustration is not available where the event was self-induced or provided for in the contract.

Topic 4.7: Effect of Frustration and Restitution

Introduction

When a contract is frustrated, it becomes void, and the parties are discharged from further performance. But what about money already paid or benefits already received before the frustrating event? It would be unjust if one party kept an advance payment while the other got nothing. The law therefore provides for **restitution** (restoration of benefits) after frustration. In India, section 65 is the main provision; English law developed the rules through case law and later the Law Reform (Frustrated Contracts) Act, 1943.

Definition

> **Section 65 ICA:** "When an agreement is discovered to be void, or when a contract becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it, to the person from whom he received it."

> **Restitution** means restoring to a party the money, property or value of benefits he gave under a contract that has become void, to prevent unjust enrichment.

Detailed Explanation

1. Effects of Frustration

1. **Automatic discharge:** the contract becomes void automatically when the frustrating event occurs (s.56); no notice or election is required.
2. **Future obligations end:** neither party is bound to perform obligations falling due after the event.
3. **No damages for non-performance:** since neither party is at fault, neither can sue for breach (except under s.56 para 3 for known impossibility).
4. **Restitution of benefits:** under section 65, any advantage received must be restored or compensated.

2. Restitution under Section 65

1. It applies when a contract "becomes void", which includes frustration.
2. The party who received money or a benefit must return it or pay compensation for it.
3. It also applies when an agreement is "discovered to be void" (e.g. mutual mistake), but not to agreements known to be void from the start, such as illegal agreements where the parties knew of the illegality, or minor's agreements (*Mohori Bibee*).

3. Compensation for Known Impossibility: Section 56 Para 3

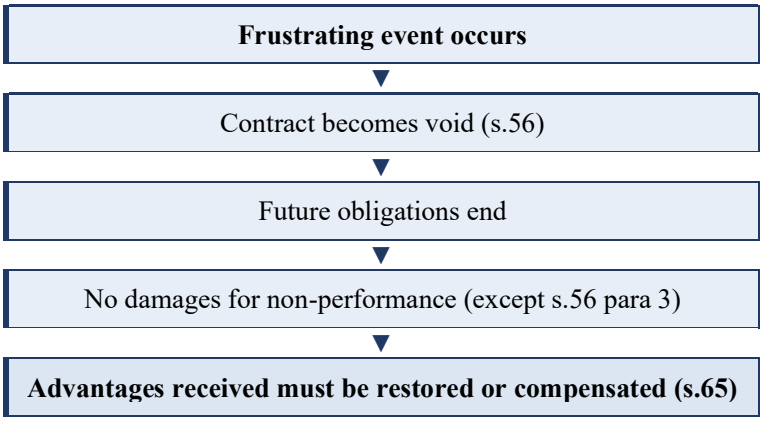
A promisor who knew or should have known of the impossibility, which the promisee did not know, must compensate the promisee for the loss caused by non-performance.

4. English Law Development

Stage	Rule	Case
Early rule	"The loss lies where it falls": money paid before frustration could not be recovered	*Chandler v Webster* (1904)
Change by House of Lords	Money paid can be recovered if there is a total failure of consideration	*Fibrosa* (1943)
Statute	Law Reform (Frustrated Contracts) Act, 1943: money paid is recoverable, and money payable ceases to be payable; the court may allow the payee to retain expenses; a party who conferred a valuable benefit may be awarded a just sum	1943 Act

In India, section 65 already gave a broad remedy, so the English difficulty did not arise to the same extent.

Flowchart: Consequences of frustration



Examples

- A pays B Rs. 50,000 in advance for a hall to hold a function. The hall is destroyed by fire before the function. B must return the Rs. 50,000 under section 65.
- A contracts with B, a painter, to paint his portrait for Rs. 20,000 and pays Rs. 5,000 in advance. B dies before starting the painting. B's legal representatives must return Rs. 5,000.

Case Laws

Case Law: Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd.

Year: 1943 **Court:** House of Lords, England

Facts / Background: A Polish company (Fibrosa) contracted to buy machinery from an English company, to be delivered in Poland, and paid £1,000 in advance. The Second World War broke out and Germany occupied Poland, frustrating the contract. Fibrosa claimed the return of the advance.

Legal Issue: Can money paid in advance be recovered when the contract is frustrated before any performance?

Court's Decision / What the Court Held: The House of Lords held that Fibrosa could recover the £1,000, because there had been a total failure of consideration. *Chandler v Webster* (1904), which had held that the loss lies where it falls, was overruled on this point.

Relevance to the Topic: The case established the right to restitution of advance payments after frustration (where consideration has totally failed); in India, section 65 gives a similar remedy.

Important Points

- Frustration discharges the contract automatically and prospectively.
- Section 65: advantages received under a contract that becomes void must be restored.
- Section 56 para 3: compensation where the promisor knew of the impossibility.
- English law: *Fibrosa* (1943) and the Law Reform (Frustrated Contracts) Act, 1943.

Remember: Restitution after frustration is based on preventing unjust enrichment, not on breach.

Topic 4.8: Discharge by Agreement

Introduction

Just as a contract is made by agreement, it can also be ended or changed by agreement. The parties may agree to replace the contract with a new one, to cancel it, to change its terms, or to accept less than what is due. Sections 62 to 67 of the Act deal with these situations. This topic gives an overview of discharge by agreement and explains novation in detail; rescission, alteration, remission and waiver are explained in Topic 4.9, and accord and satisfaction in Topic 4.10.

Definition

> **Section 62 ICA:** "If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed."

> **Novation** is the substitution of a new contract for an existing one, either between the same parties or between different parties, with the consent of all, so that the original contract is extinguished.

Detailed Explanation

1. Modes of Discharge by Agreement

Mode	Section	Meaning
Novation	62	A new contract is substituted for the old one
Rescission	62	The contract is cancelled by mutual agreement
Alteration	62	The terms of the contract are changed by mutual agreement
Remission	63	The promisee accepts less than what was promised, or extends time
Waiver	63	The promisee gives up his rights under the contract
Accord and satisfaction	63 (principle)	Settlement by accepting something different in satisfaction
Merger	(general law)	An inferior right merges into a superior right held by the same person

2. Novation

Essentials

1. There must be an existing valid contract.
2. A new contract must be substituted for it.

3. All the parties must consent.
4. The new contract must be valid and enforceable.
5. The substitution must take place before the time for performance of the original contract expires (after breach, the parties may still compromise, but that is accord and satisfaction).

Forms of Novation

1. **Change of parties:** A owes B Rs. 10,000; B owes C Rs. 10,000. By agreement among all three, A pays C directly, and the original debts are discharged.
2. **Change of terms between the same parties:** A owes B money under a contract; they agree that B will accept a mortgage of A's property instead, in place of the original debt (illustration (c) to section 62).

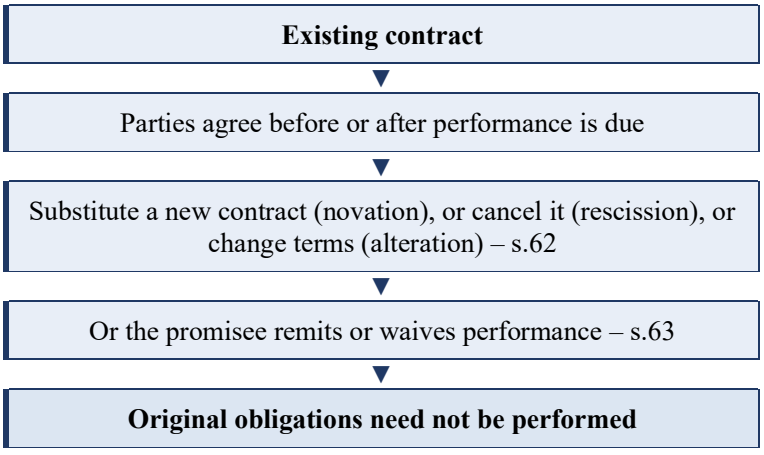
Effect of Novation

The original contract is extinguished, and only the new contract can be enforced. Any arbitration clause in the original contract also perishes with it.

3. Difference between Novation and Alteration

Point	Novation	Alteration
Nature	A new contract replaces the old	The old contract continues with changed terms
Parties	May change	Remain the same
Old contract	Extinguished	Continues in modified form

Flowchart: Discharge by agreement



Examples

- A owes B Rs. 50,000. A, B and C agree that B will accept C as his debtor instead of A. This is novation with a change of parties (illustration (a) to section 62).

- A owes B Rs. 10,000 under a contract. B owes C Rs. 10,000. B orders A to pay C, and A and C agree to this. A's and B's debts are discharged, and a new contract arises between A and C (illustration (b) to section 62).

Case Laws

Case Law: Union of India v Kishorilal Gupta & Bros.

Year: 1959 **Court:** Supreme Court of India

Facts / Background: The respondents had three contracts with the Government for the supply of goods, each containing an arbitration clause. Disputes arose, and the parties entered into a settlement contract under which the respondents agreed to pay a sum in full settlement of all claims under the original contracts. Later, the respondents sought arbitration under the arbitration clauses of the original contracts.

Legal Issue: Does an arbitration clause in the original contracts survive after the contracts are superseded by a new settlement contract?

Court's Decision / What the Court Held: The Supreme Court held that the original contracts were substituted by a new contract (novation), and the arbitration clauses, which were part of the original contracts, perished with them. The disputes could not be referred to arbitration under the old clauses.

Relevance to the Topic: Novation extinguishes the original contract along with its terms, including the arbitration clause.

Important Points

- Section 62: novation, rescission and alteration discharge the original contract.
- Novation substitutes a new contract, with the consent of all parties.
- Alteration changes terms of the same contract; novation replaces it.
- *Kishorilal Gupta* (1959): novation extinguishes the original contract and its arbitration clause.

Remember: Novation requires the consent of all parties; one party cannot unilaterally substitute a new contract.

Topic 4.9: Rescission, Alteration, Remission, Waiver

Introduction

Besides novation, the parties to a contract can end or modify their obligations in several other ways. They may cancel the contract (rescission), change its terms (alteration), accept a lesser performance (remission), or give up rights (waiver). The Indian Act is more liberal than English law in allowing a promisee to remit performance without fresh consideration. This topic explains each of these modes.

Definition

> **Rescission:** cancellation of a contract by mutual agreement, or by the aggrieved party where the law allows him to rescind (e.g. a voidable contract).

> **Alteration:** a change in one or more terms of a contract, made with the consent of all parties.

> **Remission (section 63):** "Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him, or may extend the time for such performance, or may accept instead of it any satisfaction which he thinks fit."

> **Waiver:** the intentional relinquishment of a known right.

Detailed Explanation

1. Rescission

1. **By mutual agreement (s.62):** both parties agree to cancel the contract; the original contract need not be performed.
2. **By the aggrieved party:** e.g. a voidable contract (ss.19, 19A, 39, 53, 55) may be rescinded by the party entitled to do so.
3. **Section 64 – Consequences of rescission of a voidable contract:** when a person at whose option a contract is voidable rescinds it, the other party need not perform, and the rescinding party must restore any benefit he received under it.
4. **Section 66 – Mode of communicating or revoking rescission:** in the same manner as a proposal.
5. **Section 75:** a person who rightfully rescinds a contract is entitled to compensation for any damage he has suffered through the non-fulfilment of the contract.

2. Alteration

1. Alteration requires the consent of all parties (s.62).
2. A **material alteration** made by one party without the other's consent (e.g. changing the amount in a document) may discharge the other party or render the document void as against the party making the alteration (see also the Negotiable Instruments Act, s.87).

3. Remission (Section 63)

1. The promisee may accept less than what was promised, or extend the time, without any fresh consideration.
2. This is an important difference from English law, where under the rule in *Pinnel's Case* (1602) and *Foakes v Beer* (1884), payment of a lesser sum on the due date is not satisfaction of the whole debt (unless supported by consideration or promissory estoppel).

Illustrations to section 63:

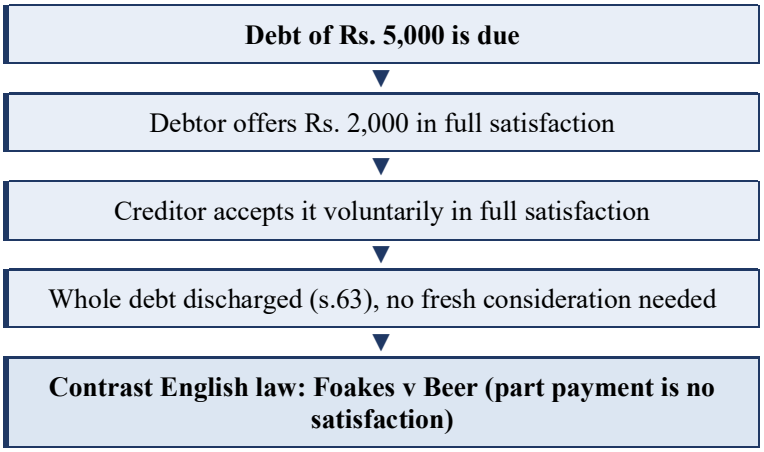
1. A promises to paint a picture for B. B afterwards forbids him to do so. A is no longer bound to perform.
2. A owes B Rs. 5,000. A pays to B, and B accepts, in satisfaction of the whole debt, Rs. 2,000 paid at the time and place at which the Rs. 5,000 were payable. The whole debt is discharged.
3. A owes B Rs. 5,000. C pays to B Rs. 1,000, and B accepts it in satisfaction of his claim on A. This payment is a discharge of the whole claim.

4. Waiver

1. Waiver is the intentional giving up of a right by a party who knows about it.
2. It may be express or implied from conduct.
3. Under section 63, waiver does not need consideration.
4. Once waived, a right cannot ordinarily be reclaimed, unless the waiver was obtained by fraud or coercion.

Mode	Requires mutual consent?	Consideration needed?	Effect
Rescission by agreement	Yes	No	Contract cancelled
Rescission by the aggrieved party	No (option of the aggrieved party)	No	Voidable contract ended; benefits restored (s.64)
Alteration	Yes	No (s.62)	Terms changed; contract continues
Remission	Only the promisee's acceptance	No (s.63)	Lesser performance accepted
Waiver	Only the promisee	No (s.63)	Right given up

Flowchart: Using section 63 to settle a debt



Examples

- A and B agree to cancel their contract for the supply of goods before delivery. This is rescission by agreement.
- A owes B Rs. 1 lakh due on 1 June. B agrees to extend the time to 1 September. This is a valid extension under section 63, even without consideration.

Case Laws

Case Law: Kapur Chand Godha v Mir Nawab Himayatali Khan Azamjah

Year: 1963 **Court:** Supreme Court of India

Facts / Background: The appellant had a claim for money against the respondent. In accordance with the procedure set up by the Government, the claim was considered by a committee, and the appellant accepted a smaller amount in full satisfaction of his claim. Later, he sued for the balance.

Legal Issue: Is a creditor who accepts a lesser amount in full satisfaction of a debt entitled to recover the balance?

Court's Decision / What the Court Held: The Supreme Court held that under section 63, a promisee may accept any satisfaction he thinks fit in place of the promised performance. Having accepted the lesser amount in full satisfaction, the appellant could not recover the balance. Unlike English law, no consideration is required for such remission in India.

Relevance to the Topic: The case confirms that section 63 allows remission of performance without fresh consideration.

Case Law: Foakes v Beer

Year: 1884 **Court:** House of Lords, England

Facts / Background: Dr. Foakes owed Mrs. Beer a judgment debt. They agreed that he would pay it in instalments and that she would not take proceedings on the judgment. He paid the whole debt but she claimed interest on it.

Legal Issue: Is a promise to accept payment of a lesser sum (without interest) in full satisfaction of a debt binding without consideration?

Court's Decision / What the Court Held: The House of Lords held that Mrs. Beer could claim the interest. Payment of a smaller sum (or of the principal only) does not discharge the whole debt, because there is no consideration for the creditor's promise to forgo the remainder.

Relevance to the Topic: The case shows the English rule, which differs from section 63 ICA.

Important Points

- Rescission: cancellation by agreement (s.62) or by the aggrieved party (s.64, s.75).
- Alteration: change of terms with consent (s.62).
- Remission and waiver: s.63 allows them without consideration.
- *Kapur Chand Godha* (1963): acceptance of a lesser sum in full satisfaction discharges the debt in India.
- English law requires consideration (*Foakes v Beer*, 1884).

Remember: Section 63 is a major difference between Indian and English law on part payment of debts.

Topic 4.10: Accord and Satisfaction

Introduction

"Accord and satisfaction" is a method of settling a claim, especially after a breach. The parties agree (the "accord") that the injured party will accept something different from what was originally due, and that something is then actually given (the "satisfaction"). Once this happens, the original claim is extinguished. In India, this principle is closely linked with section 63 and is often applied in commercial settlements and arbitration.

Definition

> **Accord** is an agreement by which the obligation under a contract (or a claim for breach) is to be discharged by something different from what was originally agreed. **Satisfaction** is the actual performance of that agreement. Together, **accord and satisfaction** discharge the original obligation.

Detailed Explanation

1. Elements

1. **An existing obligation or claim**, usually after a breach.
2. **An accord:** an agreement to accept something different in place of the original performance.
3. **Satisfaction:** the actual performance of the accord (payment, delivery of goods, a new promise, etc.).
4. **Free consent:** the accord must not be obtained by coercion, fraud or undue influence.

2. Accord without Satisfaction

If the accord is not performed (no satisfaction), the original obligation is not discharged, unless the parties intended the accord itself (the new promise) to be the satisfaction.

3. Relationship with Section 63

Section 63 allows a promisee to "accept instead of it any satisfaction which he thinks fit". Accord and satisfaction is an application of this principle. Since section 63 does not require consideration, Indian law accepts accord and satisfaction more easily than English law.

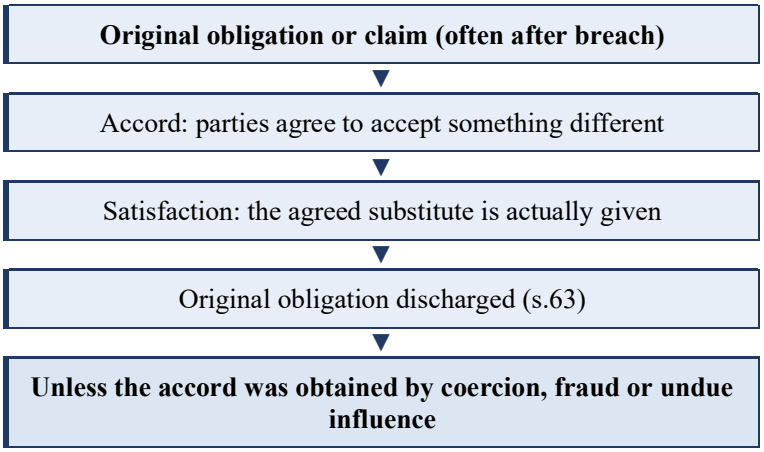
4. Accord and Satisfaction in Arbitration and Insurance Claims

1. When a party gives a "full and final settlement" receipt or a "discharge voucher", the claim is normally discharged by accord and satisfaction.
2. But if the discharge voucher was obtained by coercion, fraud, undue influence or economic pressure, the claimant can still raise the dispute, including in arbitration (*National Insurance Co. v Boghara Polyfab*, 2009).

5. Comparison with Novation

Point	Accord and satisfaction	Novation
When	Usually after breach	Usually before breach
Nature	Settlement of a claim	Substitution of a contract
Requirement	Agreement plus actual performance	New valid contract

Flowchart: Settlement by accord and satisfaction



Examples

- A owes B Rs. 1 lakh. B agrees to accept A's car worth Rs. 80,000 in full satisfaction. A delivers the car. The debt is discharged.
- An insurer pays a claimant a smaller amount, and the claimant signs a voucher accepting it in "full and final settlement". The claim is discharged, unless the voucher was obtained by coercion or undue pressure.

Case Laws

Case Law: Payana Reena Saminathan v Pana Lana Palaniappa

Year: 1914 **Court:** Privy Council

Facts / Background: The appellants gave the respondent a receipt acknowledging that a certain sum had been received in full settlement of his claims. The respondent later sought to reopen the account and claim more. (Facts summarised briefly; students should read the full judgment for the details.)

Legal Issue: Is a claim discharged when the creditor accepts a payment in full settlement and gives a receipt to that effect?

Court's Decision / What the Court Held: The Privy Council held that the receipt, given and accepted in full settlement, operated as accord and satisfaction, and the claim was

discharged, applying section 63. The Board observed that a receipt given voluntarily in full satisfaction binds the creditor.

Relevance to the Topic: The case applies accord and satisfaction and section 63 in Indian law.

Case Law: National Insurance Co. Ltd. v Boghara Polyfab Pvt. Ltd.

Year: 2009 **Court:** Supreme Court of India

Facts / Background: The insured made a claim for loss under a policy. The insurer offered a lower amount, and the insured signed a discharge voucher acknowledging receipt "in full and final settlement". The insured then invoked arbitration, alleging that the voucher was signed under financial pressure and coercion.

Legal Issue: Does a "full and final settlement" voucher bar arbitration where the claimant alleges it was obtained by coercion?

Court's Decision / What the Court Held: The Supreme Court held that where a party alleges that the discharge voucher was obtained by fraud, coercion, undue influence or economic duress, the dispute about whether there was a genuine accord and satisfaction is itself arbitrable. A settlement is binding only if it is voluntary.

Relevance to the Topic: Accord and satisfaction requires free consent; involuntary "settlements" do not discharge the claim.

Important Points

- Accord (agreement to accept something different) + satisfaction (actual performance) = discharge.
- It applies section 63, which does not require consideration.
- An accord without satisfaction generally does not discharge the original obligation.
- A settlement obtained by coercion does not bind (*Boghara Polyfab*, 2009).
- *Payana Reena Saminathan* (1914): a receipt in full settlement operates as accord and satisfaction.

Remember: Accord and satisfaction usually happens after breach; novation before breach.

Topic 4.11: Limitation

Introduction

The law expects people to enforce their rights within a reasonable time. If a creditor waits too long, evidence may be lost and the debtor may be unfairly troubled by stale claims. The Limitation Act, 1963 fixes the time within which suits must be filed. When the period expires, the remedy is barred. This is one way in which a contract is said to be "discharged by operation of law".

Definition

> **Limitation** means the period of time prescribed by the Limitation Act, 1963, within which a suit, appeal or application must be filed. After this period, the remedy (the right to sue) is barred, though the underlying right or debt is not extinguished (except in certain cases relating to property under section 27).

Detailed Explanation

1. Main Provisions of the Limitation Act, 1963

Section	Rule
Section 3	Every suit filed after the prescribed period shall be dismissed, even if limitation is not set up as a defence
Section 5	Extension of time for appeals and applications on sufficient cause (not for suits)
Section 6–8	Legal disability (minority, insanity, idiocy)
Section 9	Once time begins to run, no subsequent disability stops it
Section 14	Exclusion of time spent in good-faith proceedings in a wrong court
Section 17	Effect of fraud or mistake: time runs from when the fraud or mistake is discovered
Section 18	Acknowledgement in writing before expiry gives a fresh period
Section 19	Part payment of debt or interest before expiry gives a fresh period
Section 27	Extinguishment of right to property after the period for possession

2. Important Periods for Contract Claims (Schedule)

Nature of suit	Period	Time begins to run
Money lent (Article 19)	3 years	When the loan is made
Price of goods sold (Article 14)	3 years	Date of delivery
Compensation for breach of contract (Article 55)	3 years	When the contract is broken

Nature of suit	Period	Time begins to run
Specific performance (Article 54)	3 years	The date fixed for performance, or if none, when the plaintiff has notice of refusal
Money paid under mistake (Article 24)	3 years	When the mistake becomes known

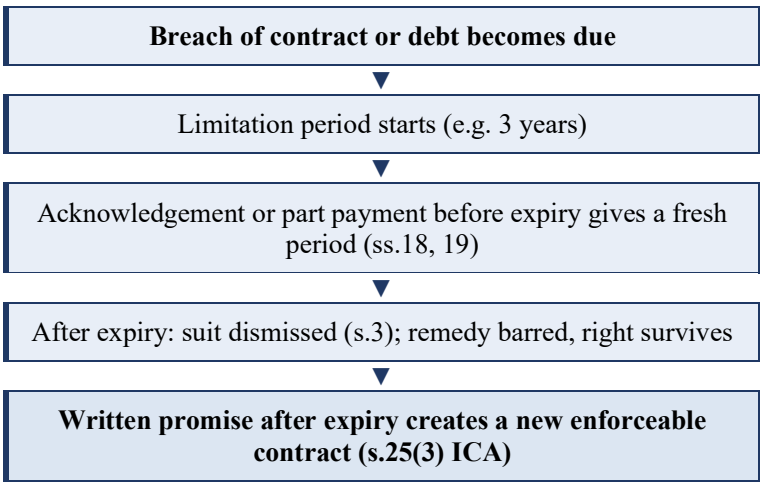
3. Limitation Bars the Remedy, Not the Right

1. A time-barred debt is still a debt; only the right to sue is lost.
2. The debtor may still pay it voluntarily, and it can be the subject of a written promise under section 25(3) ICA.
3. A creditor may adjust a time-barred debt against funds in his hands in certain circumstances (e.g. general lien), subject to the law.
4. Under section 27, the right to property itself is extinguished after the period for recovering possession.

4. Revival of Time-Barred Debts

1. **Acknowledgement (s.18 Limitation Act):** must be made before the expiry of the period.
2. **Promise to pay a time-barred debt (s.25(3) ICA):** made after expiry, in writing and signed; creates a new contract.

Flowchart: Effect of limitation on a contract claim



Examples

- A lends B Rs. 50,000 on 1 January 2020, repayable on demand. Limitation expires on 1 January 2023. If A sues in 2024 without any acknowledgement, the suit will be dismissed.
- In 2024, B writes and signs a promise to pay A Rs. 30,000 towards the time-barred debt. A can sue on this new promise under section 25(3).

Case Laws

Case Law: Bombay Dyeing & Manufacturing Co. Ltd. v State of Bombay

Year: 1958 **Court:** Supreme Court of India

Facts / Background: Under a labour welfare law, unpaid wages and similar sums held by employers were required to be transferred to a welfare fund. The employer argued that the claims of workers had become time-barred, so the employer no longer owed the sums and they could not be transferred. (Facts summarised briefly; students should read the full judgment for the details.)

Legal Issue: Does the expiry of limitation extinguish the debt itself, or only bar the remedy?

Court's Decision / What the Court Held: The Supreme Court held that the law of limitation only bars the remedy; it does not extinguish the right or the debt (except where the statute expressly extinguishes the right, as in section 27 for property). The debts remained due even though suits to recover them were time-barred, so they could be transferred to the fund.

Relevance to the Topic: The case is authority for the principle that limitation bars the remedy but not the right.

Important Points

- The Limitation Act, 1963 fixes the time limits for suits; section 3 requires dismissal of time-barred suits.
- Most contract claims have a 3-year limitation period.
- Limitation bars the remedy, not the right (*Bombay Dyeing*, 1958), except for property under section 27.
- Acknowledgement or part payment before expiry extends limitation (ss.18, 19).
- A written promise to pay a time-barred debt is enforceable (s.25(3) ICA).

Remember: Section 5 (condonation of delay) applies to appeals and applications, not to suits.

Topic 4.12: Quasi-Contracts

Introduction

Sometimes the law imposes an obligation on a person to pay for a benefit he has received, even though he never agreed to pay. This is done to prevent "unjust enrichment": a person should not be allowed to keep a benefit at another's expense when it would be unfair to do so. Such obligations are called quasi-contracts (or "certain relations resembling those created by contract"), and are dealt with in sections 68 to 72 of the Act.

Definition

Quasi-contract: an obligation imposed by law, not by agreement, on a person to pay for or return a benefit received, in circumstances where it would be unjust for him to retain it. Chapter V of the Act calls these "Of certain relations resembling those created by contract".

Lord Mansfield in Moses v Macferlan (1760): the gist of this kind of action is that the defendant, upon the circumstances of the case, is obliged by the ties of natural justice and equity to refund the money.

Detailed Explanation

1. Basis: Unjust Enrichment

1. A quasi-contract is not a real contract, because there is no agreement.
2. It rests on the principle that no one should be unjustly enriched at the expense of another.
3. Remedies are usually restitution (return of money or benefit) or reasonable compensation.

2. Quasi-Contracts under the Indian Contract Act

Section	Situation	Rule
68	Necessaries supplied to a person incapable of contracting (minor, unsound mind) or his dependants	The supplier is entitled to be reimbursed from the property of the incapable person
69	Payment by an interested person of money that another is bound by law to pay	The person who pays, being interested, is entitled to be reimbursed
70	A person lawfully does something for another (or delivers anything), not intending to do so gratuitously, and the other enjoys the benefit	The other must compensate or restore it
71	Finder of goods	The finder has the responsibilities of a bailee

Section	Situation	Rule
72	Money paid or anything delivered by mistake or under coercion	It must be repaid or returned

3. Section 70 in Detail

Conditions:

1. The person must have lawfully done something for another, or delivered something to him.
2. He must not have intended to act gratuitously.
3. The other person must have enjoyed the benefit.

This section is often used against the Government where work is done or goods are supplied without a formal contract under Article 299 of the Constitution.

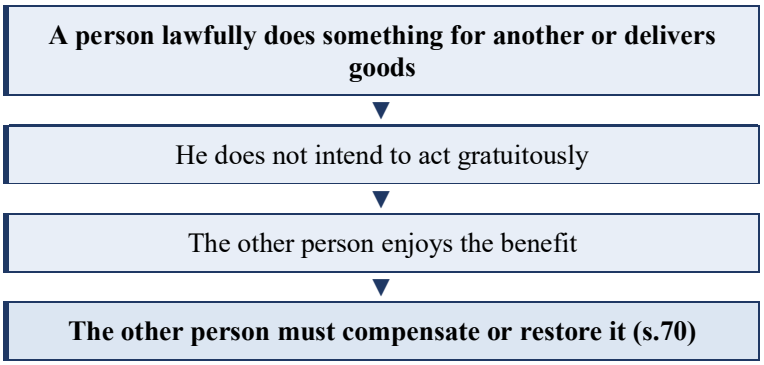
4. Section 72 in Detail

Money paid by mistake (of fact or law) or under coercion must be repaid. The Supreme Court has held that "mistake" in section 72 includes a mistake of law, so taxes paid under a mistaken belief that they were due can be recovered (*Kanhaiya Lal Mukundlal Saraf*, 1959), subject to the principle of unjust enrichment (if the burden was passed on to consumers, refund may be denied: *Mafatlal Industries v Union of India*, 1997).

5. Quasi-Contract Compared with Contract

Point	Contract	Quasi-contract
Basis	Agreement of the parties	Imposed by law
Consent	Necessary	Not necessary
Purpose	Enforce bargains	Prevent unjust enrichment
Remedy	Damages, specific performance	Restitution or compensation

Flowchart: Section 70 claim



Examples

- A, a tradesman, leaves goods at B's house by mistake. B treats the goods as his own. B is bound to pay A for them (illustration (a) to section 70).
- A pays B Rs. 10,000 by mistake, believing he owed him money. B must repay it (s.72).
- A finds a lost mobile phone. He must take reasonable care of it and try to find the owner (s.71).

Case Laws

Case Law: State of West Bengal v B.K. Mondal & Sons

Year: 1962 **Court:** Supreme Court of India

Facts / Background: The respondents constructed certain buildings for the State Government at the request of a government officer, but no formal contract was executed as required by Article 299 of the Constitution (then s.175(3) of the Government of India Act, 1935). The State used the buildings but refused to pay, arguing that there was no valid contract.

Legal Issue: Can a person who has done work for the Government, without a valid contract, claim compensation under section 70?

Court's Decision / What the Court Held: The Supreme Court held that the respondents were entitled to compensation under section 70. They had lawfully done the work, they had not intended to do it gratuitously, and the State had accepted and enjoyed the benefit. The absence of a valid contract under Article 299 did not prevent a claim under section 70.

Relevance to the Topic: The leading case explaining the conditions of section 70 and its application against the Government.

Case Law: Sales Tax Officer, Banaras v Kanhaiya Lal Mukundlal Saraf

Year: 1959 **Court:** Supreme Court of India

Facts / Background: The respondent firm paid sales tax on forward transactions in silver under the belief that it was liable. Later, the Allahabad High Court held in another case that such a tax was beyond the legislature's power. The firm sued to recover the tax paid.

Legal Issue: Can money paid under a mistake of law be recovered under section 72?

Court's Decision / What the Court Held: The Supreme Court held that the word "mistake" in section 72 includes both mistake of fact and mistake of law. The tax paid under a mistake of law was recoverable.

Relevance to the Topic: The case extends section 72 to mistakes of law, which is important for recovery of taxes paid without authority (subject to the later doctrine of unjust enrichment).

Important Points

- Quasi-contracts are obligations imposed by law to prevent unjust enrichment (ss.68–72).
- Section 68: necessaries; s.69: payment by an interested person; s.70: non-gratuitous acts; s.71: finder of goods; s.72: mistake or coercion.
- *B.K. Mondal* (1962): s.70 applies even against the Government without a formal contract.
- *Kanhaiya Lal* (1959): "mistake" in s.72 includes mistake of law.

Remember: A quasi-contract is not a contract; it is called "contract" only because the remedy resembles a contractual remedy.

Topic 4.13: Damages for Breach of Contract

Introduction

When a contract is broken, the most common remedy for the injured party is **damages**: a sum of money to compensate him for the loss caused by the breach. The purpose is to put the injured party, as far as money can do it, in the same position as if the contract had been performed. Sections 73 to 75 of the Indian Contract Act govern damages.

Definition

Section 73 ICA: "When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it. Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach."

Section 74 ICA (in part): "When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damage or loss is proved to have been caused thereby, to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named or, as the case may be, the penalty stipulated for."

Detailed Explanation

1. Kinds of Damages

Kind	Meaning	Example
Ordinary (general) damages	Loss that arises naturally in the usual course of things (s.73, first limb)	Difference between the contract price and the market price
Special damages	Loss arising from special circumstances known to both parties at the time of contracting (s.73, second limb)	Loss of profit from a mill's stoppage, where the special circumstances were communicated
Exemplary (punitive) damages	Damages to punish the defendant; generally not awarded in contract, except in cases like dishonour of a cheque by a bank or breach of promise to marry	Bank wrongfully dishonours a trader's cheque
Nominal damages	A small sum to recognise a legal right where no real loss is proved	Rs. 1 for a technical breach

Kind	Meaning	Example
Liquidated damages	A genuine pre-estimate of loss fixed in the contract (s.74)	Rs. 10,000 per week of delay
Penalty	A sum fixed in terrorem (to frighten) the other party into performance, not a genuine pre-estimate	Rs. 10 lakh for a one-day delay in a small contract

2. Liquidated Damages and Penalty under Section 74

1. **English law** distinguishes between liquidated damages (enforceable) and penalties (unenforceable).
2. **Indian law** does not make this distinction for enforcement. Under section 74, the injured party gets **reasonable compensation not exceeding the amount stipulated**, whether it is called liquidated damages or a penalty (*Fateh Chand v Balkishan Dass*, 1963).
3. Where the sum named is a genuine pre-estimate, and loss is difficult to prove, the court may award it without proof of actual loss (*ONGC v Saw Pipes*, 2003).
4. But the court must be satisfied that some legal injury or loss has resulted; if no loss at all is caused, the sum cannot be claimed (*Kailash Nath Associates v DDA*, 2015).

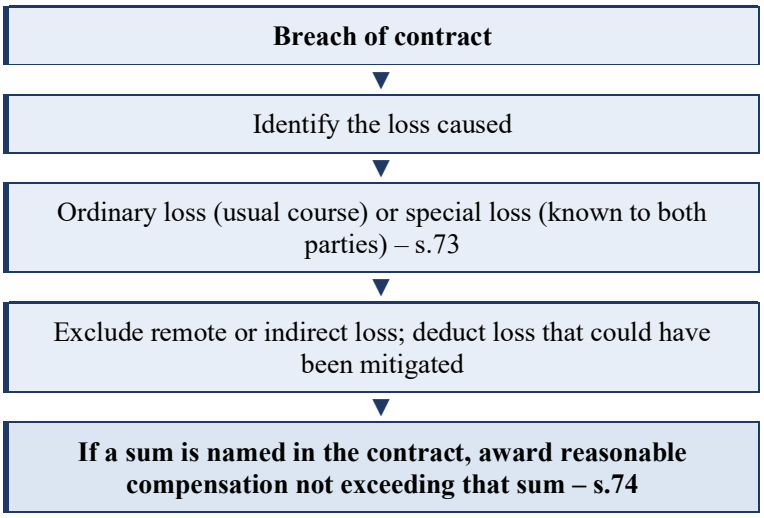
3. Mitigation of Damages

The Explanation to section 73 states that in estimating the loss, the means that existed of remedying the inconvenience caused by the non-performance must be taken into account. The injured party must take reasonable steps to reduce (mitigate) his loss and cannot recover damages for loss he could reasonably have avoided.

4. Section 75: Compensation on Rescission

A person who rightfully rescinds a contract is entitled to compensation for any damage he has sustained through the non-fulfilment of the contract.

Flowchart: Claiming damages for breach



Examples

- A contracts to sell 100 bags of sugar to B at Rs. 4,000 per bag. A fails to deliver, and the market price on the date of delivery is Rs. 4,500. B can claim Rs. 50,000 (Rs. 500 × 100) as ordinary damages.
- A contract states that the builder will pay Rs. 5,000 per day of delay. The builder delays by 10 days. The owner may claim reasonable compensation up to Rs. 50,000.

Case Laws

Case Law: Fateh Chand v Balkishan Dass

Year: 1963 **Court:** Supreme Court of India

Facts / Background: The plaintiff agreed to buy property from the defendant and paid Rs. 1,000 as earnest money and Rs. 24,000 as part of the price. The contract provided that if the buyer failed to complete the purchase, the money would be forfeited. The buyer defaulted, and the seller claimed to forfeit the whole Rs. 25,000.

Legal Issue: Can the seller forfeit the whole amount under a forfeiture clause without proving loss?

Court's Decision / What the Court Held: The Supreme Court held that section 74 applies to forfeiture clauses. The seller was entitled to forfeit the earnest money of Rs. 1,000, but the Rs. 24,000 was in the nature of a penalty; he could retain only reasonable compensation for the loss actually suffered, and he had proved no loss. Section 74 dispenses with proof of actual loss only in the sense that the court can award reasonable compensation; it does not justify a windfall.

Relevance to the Topic: The leading case explaining section 74 and the Indian approach to penalties and liquidated damages.

Case Law: ONGC Ltd. v Saw Pipes Ltd.

Year: 2003 **Court:** Supreme Court of India

Facts / Background: Saw Pipes agreed to supply pipes to ONGC by a certain date. The contract stated that time was of the essence and provided for liquidated damages for delay. Saw Pipes delayed delivery, and ONGC deducted liquidated damages from the payment. The arbitral tribunal held that ONGC had not proved actual loss and ordered refund. ONGC challenged the award.

Legal Issue: Is a party entitled to liquidated damages under section 74 without proving actual loss, and can an arbitral award be set aside on the ground of patent illegality?

Court's Decision / What the Court Held: The Supreme Court held that where the parties have agreed on a genuine pre-estimate of damages, and it is difficult to prove the exact loss, the injured party is entitled to the stipulated amount without proving actual loss, unless the other party shows that the stipulation was unreasonable. The arbitral award was set aside as being contrary to section 74 and against the "public policy of India" (patently illegal).

Relevance to the Topic: A syllabus case on liquidated damages under section 74 (and on public policy in arbitration).

Case Law: Kailash Nath Associates v Delhi Development Authority

Year: 2015 **Court:** Supreme Court of India

Facts / Background: Kailash Nath Associates was the highest bidder in an auction for a plot of land and paid earnest money. Due to delays and disputes, DDA cancelled the allotment and forfeited the earnest money. The plot was later re-auctioned at a higher price, so DDA suffered no loss.

Legal Issue: Can earnest money be forfeited under section 74 when no loss has been caused to the party forfeiting it?

Court's Decision / What the Court Held: The Supreme Court held that section 74 requires "reasonable compensation" for breach. Where no loss or legal injury results from the breach, nothing can be awarded. Forfeiture of earnest money is governed by section 74, and since DDA suffered no loss (it got a higher price on re-auction), the forfeiture was not justified. The Court summarised the principles of section 74: (i) compensation is reasonable compensation not exceeding the stipulated amount; (ii) proof of actual loss is not necessary where loss is difficult to prove and the sum is a genuine pre-estimate; (iii) but where no loss is caused, nothing can be claimed.

Relevance to the Topic: A syllabus case explaining the limits of section 74 and forfeiture of earnest money.

Important Points

- Section 73: ordinary and special damages; no damages for remote or indirect loss.
- Section 74: reasonable compensation not exceeding the stipulated amount (liquidated damages or penalty).
- *Fateh Chand* (1963): s.74 applies to forfeiture clauses; no windfall.
- *ONGC v Saw Pipes* (2003): genuine pre-estimates recoverable without proof of actual loss.
- *Kailash Nath* (2015): if no loss at all, nothing can be recovered.

- Mitigation: the injured party must take reasonable steps to reduce loss (Explanation to s.73).

Remember: In India, the distinction between liquidated damages and penalty does not matter for enforcement: in both cases, only reasonable compensation up to the stated sum is allowed.

Topic 4.14: Remoteness and Assessment of Damages

Introduction

A breach of contract can cause a chain of losses, some direct and some far removed. The law does not make a party liable for every loss that follows a breach. Damages are limited to losses that are not too "remote". The rule on remoteness was laid down in *Hadley v Baxendale* (1854), and it is embodied in section 73. Once the losses that can be claimed are identified, the court must assess (calculate) the amount of damages.

Definition

> **Remoteness of damage** refers to the rule that a party in breach is liable only for losses that arise naturally in the usual course of things from the breach, or that both parties contemplated, at the time of making the contract, as likely to result from its breach.

> **Assessment of damages** is the process of calculating the monetary amount of compensation for the losses that are recoverable.

Detailed Explanation

1. The Rule in Hadley v Baxendale: Two Limbs

1. **First limb (natural damages):** loss arising naturally, i.e. according to the usual course of things, from the breach itself.
2. **Second limb (special damages):** loss that may reasonably be supposed to have been in the contemplation of both parties, at the time they made the contract, as the probable result of the breach, because of special circumstances communicated to the defendant.

Section 73 ICA adopts both limbs: "which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it".

2. Later Developments

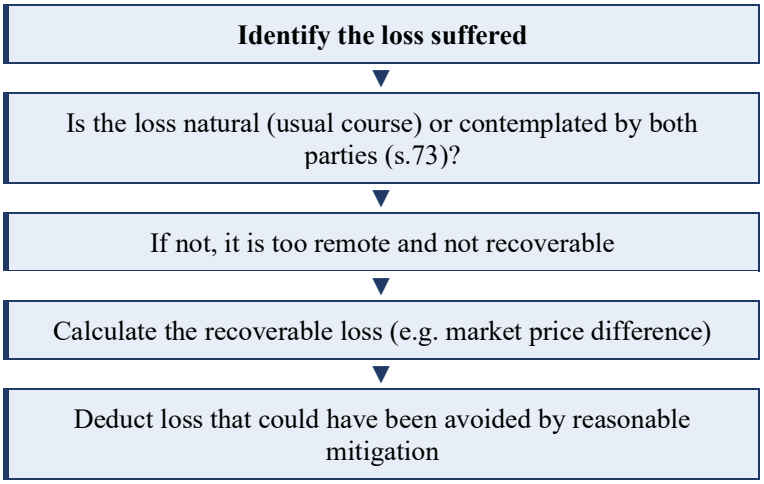
1. **Victoria Laundry v Newman Industries** (1949): the test is what was reasonably foreseeable as liable to result from the breach, given the knowledge of the parties. Ordinary profits were recoverable; exceptionally profitable government contracts were not, as the defendants did not know of them.
2. **The Heron II (Koufos v C. Czarnikow Ltd.)** (1969): the loss must be "not unlikely" or a "real danger" in the contemplation of the parties, which is a stricter standard than the tort test of reasonable foreseeability.

3. Assessment of Damages: Principles

1. **Compensatory principle:** put the injured party in the position he would have been in if the contract had been performed (expectation interest).
2. **Market price rule:** in contracts for sale of goods, damages are usually the difference between the contract price and the market price on the date of breach (ss.56–57 of the Sale of Goods Act; illustrations to s.73).
3. **Mitigation:** the injured party must take reasonable steps to minimise the loss (Explanation to s.73; *British Westinghouse Electric v Underground Electric Railways*, 1912).
4. **Reliance damages:** where expectation losses are uncertain, the claimant may recover expenses incurred in reliance on the contract.
5. **No damages for mental distress** in ordinary commercial contracts, but they may be awarded in contracts for pleasure or peace of mind (e.g. holiday contracts: *Jarvis v Swans Tours*, 1973).
6. **Interest:** may be awarded under the Interest Act, 1978 and section 34 of the Code of Civil Procedure.
7. **Date of assessment:** usually the date of breach.

Situation	Damages
Seller fails to deliver goods	Market price minus contract price on the date of delivery
Buyer refuses to accept goods	Contract price minus market price on the date of acceptance
Delay in delivery of goods for resale	Difference in market value at the due date and actual date of delivery
Breach of a contract to lend money	Usually nominal damages, unless special loss is known
Wrongful dismissal	Salary for the notice period, less what the employee could earn elsewhere (mitigation)

Flowchart: Assessing damages for breach



▼

Add interest where appropriate

Examples

- A carrier delays delivering a machine part. The owner's factory stops. If the carrier knew that the factory would stop without the part, loss of profit is recoverable; otherwise it is too remote.
- A buyer refuses to take delivery of goods. The seller must try to sell them in the market and can claim only the loss after resale at the market price.

Case Laws

Case Law: Hadley v Baxendale

Year: 1854 **Court:** Court of Exchequer, England

Facts / Background: The plaintiffs owned a flour mill in Gloucester. The crankshaft of their mill's steam engine broke, and they engaged the defendants, carriers, to take it to engineers in Greenwich as a pattern for a new one. The defendants delayed delivery, and the mill remained closed for several more days. The plaintiffs claimed loss of profits. The carriers had not been told that the mill could not work without the shaft.

Legal Issue: Is the carrier liable for the loss of profits caused by the delay?

Court's Decision / What the Court Held: The court held that the carriers were not liable for the loss of profits, because it did not arise naturally from the delay (millers often keep a spare shaft) and the special circumstances were not communicated to them. Alderson B. laid down the two-limb rule of remoteness.

Relevance to the Topic: The leading case (a syllabus case) on remoteness of damages, embodied in section 73 ICA.

Case Law: Victoria Laundry (Windsor) Ltd. v Newman Industries Ltd.

Year: 1949 **Court:** Court of Appeal, England

Facts / Background: The defendants agreed to sell a large boiler to the plaintiffs, a laundry and dyeing company, knowing that it was needed for immediate use in their business. Delivery was delayed by five months. The plaintiffs claimed (i) loss of ordinary profits during the delay and (ii) loss of very profitable dyeing contracts with the Ministry of Supply.

Legal Issue: Which losses are recoverable for delay in delivery?

Court's Decision / What the Court Held: The Court of Appeal held that the plaintiffs could recover the loss of ordinary profits, since the defendants knew the boiler was needed

for immediate use, but not the loss of the exceptionally profitable government contracts, which were not within the defendants' contemplation.

Relevance to the Topic: The case refines the rule in *Hadley v Baxendale*, focusing on what was reasonably foreseeable given the knowledge of the parties.

Important Points

- *Hadley v Baxendale* (1854): two limbs of remoteness (natural loss and contemplated loss).
- Section 73 adopts both limbs; remote and indirect loss is not recoverable.
- *Victoria Laundry* (1949): ordinary profits recoverable; exceptional, unknown profits not.
- *The Heron II* (1969): "not unlikely" test in contract.
- Assessment: compensatory principle, market price rule, mitigation, reliance damages, interest.

Remember: The time to judge contemplation of loss is the time of making the contract, not the time of breach.

Topic 4.15: Injunction

Introduction

Damages are not always an adequate remedy. Sometimes the injured party wants the court to stop the other party from doing something in breach of the contract. An **injunction** is an order of the court directing a party to do, or not to do, a particular act. In the context of breach of contract, injunctions are mainly used to enforce **negative covenants**, i.e. promises not to do something. The detailed law of injunctions under the Specific Relief Act is studied in Unit V; this topic explains the injunction as a remedy for breach of contract.

Definition

> An **injunction** is a judicial order by which a person is restrained from doing, or is directed to do, a particular act. A **prohibitory injunction** restrains an act; a **mandatory injunction** compels an act.

> **Section 42 SRA, 1963 (Injunction to perform negative agreement):** "Notwithstanding anything contained in clause (e) of section 41, where a contract comprises an affirmative agreement to do a certain act, coupled with a negative agreement, express or implied, not to do a certain act, the circumstance that the court is unable to compel specific performance of the affirmative agreement shall not preclude it from granting an injunction to perform the negative agreement: Provided that the plaintiff has not failed to perform the contract so far as it is binding on him."

Detailed Explanation

1. Injunction as a Contractual Remedy

1. It is an **equitable remedy**, granted where damages are inadequate.
2. It is used mainly to restrain the breach of negative stipulations, such as promises not to compete during the contract, not to disclose confidential information, or not to work for anyone else during a term of exclusive service.
3. Courts will not use an injunction to indirectly force a person to perform a contract of personal service, which cannot be specifically enforced.

2. Negative Covenants in Service Contracts

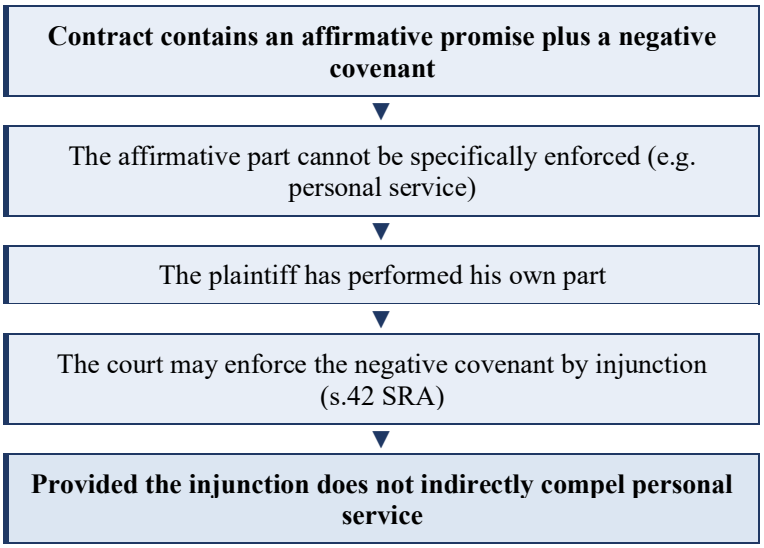
1. Where a person agrees to work exclusively for one employer and not to work for others during the term, the court may restrain him from working for others during the term (*Lumley v Wagner*, 1852).

2. But the injunction must not leave the employee with no option except to work for the employer or starve (*Warner Bros. v Nelson*, 1937, where the injunction was limited to similar work).
3. In India, negative covenants operating during the term of employment are valid (*Niranjan Shankar Golikari*, 1967), but those operating after it are void under section 27 (*Krishan Murgai*, 1980).

3. Types of Injunction

Type	Purpose	Section (SRA)
Temporary (interim) injunction	Preserve the status quo until the suit is decided	s.37(1); Order XXXIX CPC
Perpetual injunction	Final order after hearing, restraining breach permanently	ss.37(2), 38
Mandatory injunction	Compels the defendant to undo a wrongful act	s.39
Injunction to perform a negative agreement	Enforces a negative covenant	s.42

Flowchart: Injunction for breach of a negative covenant



Examples

- A famous actor agrees to act in B's films for two years and not to act for any other producer during that period. If he starts acting for C during the period, B may obtain an injunction to restrain him from acting for C.
- A supplier agrees to sell its entire output to B during the contract and not to sell to anyone else. An injunction may restrain it from selling to others during the term.

Case Laws

Case Law: Lumley v Wagner

Year: 1852 **Court:** Court of Chancery, England

Facts / Background: Miss Wagner, an opera singer, agreed to sing at Lumley's theatre for three months, and also agreed not to sing at any other theatre during that period. She later contracted with another theatre owner (Gye) to sing for him and refused to perform for Lumley.

Legal Issue: Can the court enforce the negative promise by injunction when it cannot compel the singer to perform the positive promise to sing?

Court's Decision / What the Court Held: The court held that, although it could not compel her to sing for Lumley, it could restrain her by injunction from singing for anyone else during the period, thus enforcing the negative covenant.

Relevance to the Topic: The leading case on enforcing negative covenants by injunction; it is reflected in section 42 SRA.

Case Law: Warner Brothers Pictures Inc. v Nelson

Year: 1937 **Court:** King's Bench Division, England

Facts / Background: The film actress Bette Davis (Mrs. Nelson) agreed to act exclusively for Warner Brothers for a fixed period and not to act for any other film company or engage in any other occupation during that time. She left and agreed to act for another company in England.

Legal Issue: Can the court grant an injunction enforcing a negative covenant when this may effectively compel the actress to work for the plaintiff?

Court's Decision / What the Court Held: The court granted an injunction restraining her from acting in films for any other company during the period, but not from engaging in other occupations. The injunction did not compel her to work for Warner Brothers, as she could earn a living in other ways, though perhaps less profitably.

Relevance to the Topic: Injunctions enforcing negative covenants must not indirectly force specific performance of personal service.

Important Points

- An injunction restrains (or compels) a particular act; it is an equitable remedy.
- In contract, it is mainly used to enforce negative covenants (s.42 SRA).
- *Lumley v Wagner* (1852) and *Warner Bros v Nelson* (1937).

- In India, negative covenants during employment are enforceable; those after employment are void under s.27.
- Temporary, perpetual and mandatory injunctions are dealt with in Unit V.

Remember: An injunction cannot be used to indirectly force a person to perform personal services.

Topic 4.16: Refund and Restitution

Introduction

When a contract is rescinded, becomes void, or is broken, one party may have already paid money or delivered goods or services. The law provides for refund of money and restitution of benefits, so that no one is unjustly enriched. This topic brings together the provisions relating to refund and restitution in the Contract Act and the principle of *quantum meruit*.

Definition

Refund means the return of money paid under a contract that has been rescinded, has become void, or has failed.

Restitution means restoring a party to the position he was in before the contract, by returning the benefits received or paying their value.

Quantum meruit ("as much as he has earned") is a claim for reasonable payment for work done or goods supplied, where the contract has been discharged or is void and the other party has accepted the benefit.

Detailed Explanation

1. Statutory Provisions on Restitution

Section	Situation	Rule
64	Rescission of a voidable contract	The rescinding party must restore benefits received
65	Agreement discovered to be void, or contract becomes void	The person who received an advantage must restore it or pay compensation
70	Non-gratuitous act enjoyed by another	Compensation or restoration
72	Money paid by mistake or coercion	Repayment
75	Rightful rescission	Compensation for damage caused by non-fulfilment

2. Quantum Meruit

A claim for quantum meruit arises:

1. **When a contract is discharged by breach after part performance:** the innocent party may claim reasonable payment for the work done (*Planche v Colburn*, 1831).

2. **When a contract is void and the work has been accepted:** e.g. work done under a contract discovered to be void (s.65).
3. **When there is no agreement as to price:** e.g. goods supplied and accepted without a fixed price.
4. **Under a divisible contract** for the part performed.
5. **Where a contract is substantially performed but not fully.**

Not available:

1. Where the claimant himself is in breach of an entire contract (*Cutter v Powell*), though the court may allow recovery for benefits accepted in some cases.
2. Where the contract is illegal (in pari delicto).

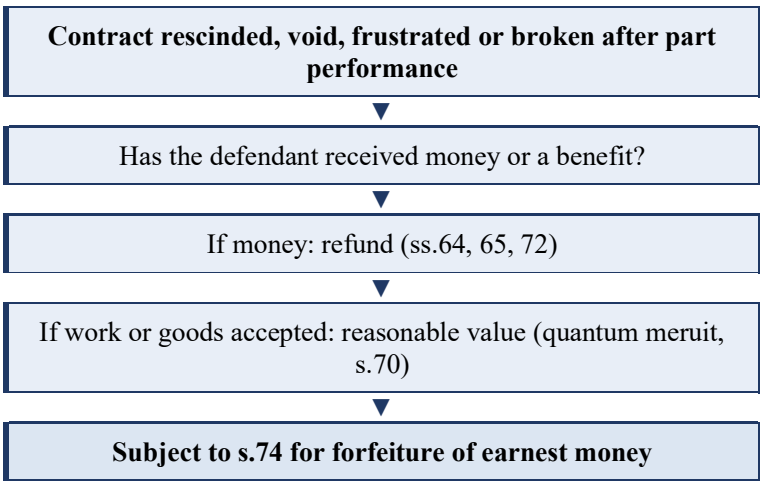
3. Refund of Advances and Earnest Money

1. **Advance payment:** generally refundable if the contract is frustrated (s.65), rescinded (s.64), or not performed by the payee.
2. **Earnest money:** paid to bind the bargain and as security for performance. It may be forfeited on the buyer's default, but forfeiture is subject to section 74 (reasonable compensation; *Fateh Chand*, 1963; *Kailash Nath*, 2015).

4. Restitution and Damages Compared

Point	Damages	Restitution
Purpose	Compensate loss caused by breach	Return benefit to prevent unjust enrichment
Measure	Loss to the claimant	Gain to the defendant
Requires breach?	Yes	Not always (e.g. frustration, void agreement)

Flowchart: Claiming restitution or quantum meruit



Examples

- A agrees to write a series of articles for B's magazine for Rs. 50,000. After A has written half, B stops publishing the magazine. A can claim reasonable payment for the work done.
- A pays B Rs. 1 lakh as an advance for supplying machinery. The contract becomes void due to a government ban on its import. B must refund the advance under section 65.

Case Laws

Case Law: Planche v Colburn

Year: 1831 **Court:** Court of Common Pleas, England

Facts / Background: The plaintiff agreed to write a book on ancient armour for a series called "The Juvenile Library", published by the defendants, for £100. After he had done research and written part of the book, the defendants abandoned the series.

Legal Issue: Can a party who is prevented from completing the work by the other party's breach recover reasonable remuneration for the work done?

Court's Decision / What the Court Held: The court held that the plaintiff could recover 50 guineas on a quantum meruit basis for the work he had done, since the defendants had prevented him from completing it by abandoning the series.

Relevance to the Topic: The leading case on quantum meruit when a contract is discharged by the other party's breach.

Important Points

- Restitution prevents unjust enrichment (ss.64, 65, 70, 72, 75).
- Quantum meruit allows recovery of reasonable value for work done when the contract is discharged or void (*Planche v Colburn*, 1831).
- Advances are generally refundable; forfeiture of earnest money is subject to s.74.
- Damages compensate loss; restitution returns gains.

Remember: Quantum meruit is not available to a party who has himself broken an entire contract, as a rule.

Topic 4.17: Specific Performance as a Remedy

Introduction

Damages give the injured party money in place of performance. But sometimes money is not an adequate substitute, for example, when the subject matter is a unique house, land or rare painting. In such cases, the court may order the party in breach to perform the contract as agreed. This remedy is called **specific performance**. It was traditionally discretionary, but after the Specific Relief (Amendment) Act, 2018, it has become the normal remedy for most contracts, subject to specified exceptions. This topic explains specific performance as a remedy for breach of contract; the detailed provisions of the Specific Relief Act are discussed in Unit V (Topic 5.3).

Definition

> **Specific performance** is an order of the court directing a party to a contract to perform his obligations according to its terms, instead of paying damages.

Detailed Explanation

1. Why Specific Performance?

1. **Inadequacy of damages:** some subject matters are unique (land, buildings, rare articles, shares in a private company).
2. **Difficulty of assessing damages:** where the loss is uncertain.
3. **Fairness:** the injured party gets exactly what he bargained for.

2. Before and After the 2018 Amendment

Point	Before 2018	After the Specific Relief (Amendment) Act, 2018
Nature of remedy	Discretionary (old s.20)	The court shall enforce specific performance, subject to ss.11(2), 14 and 16 (new s.10)
Adequacy of damages	Specific performance refused where damages were adequate (old s.14(1)(a))	Adequacy of damages is no longer a bar
Substituted performance	Not provided	New s.20: the injured party may get the contract performed by a third party at the defaulting party's cost
Infrastructure contracts	No special provision	Courts cannot grant injunctions that impede infrastructure projects (s.20A); special courts (s.20B)

3. When Specific Performance Cannot Be Granted (Section 14, as amended)

1. Where a party has obtained substituted performance under section 20.
2. Contracts involving a continuous duty that the court cannot supervise.
3. Contracts so dependent on the personal qualifications of the parties that the court cannot enforce specific performance of their material terms.
4. Contracts that are in their nature determinable.

4. Personal Bars (Section 16)

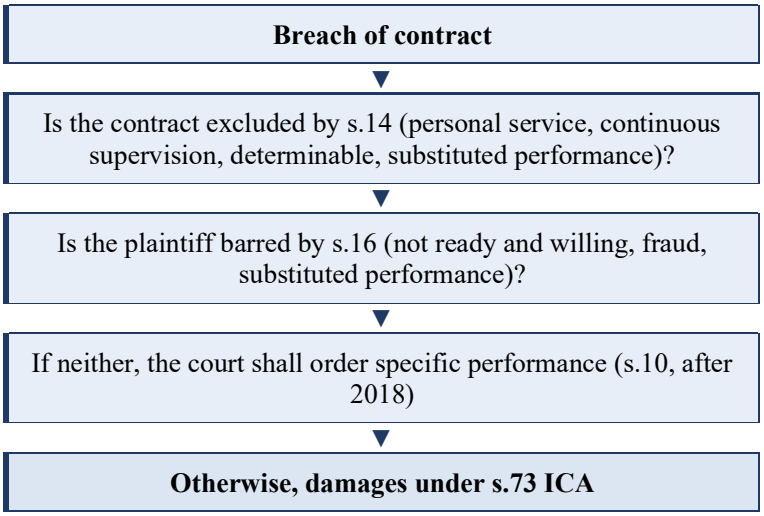
Specific performance cannot be enforced in favour of a person:

1. who has obtained substituted performance under section 20; or
2. who has become incapable of performing, or violates any essential term of the contract, or acts in fraud of the contract; or
3. who fails to prove that he has performed or has always been ready and willing to perform the essential terms of the contract (as amended, the plaintiff must "prove" readiness and willingness).

5. Specific Performance and Damages Compared

Point	Damages	Specific performance
Nature	Monetary compensation	Order to perform the contract
Availability	In every breach	Contracts other than those excluded by ss.14 and 16
Basis	Section 73 ICA	Specific Relief Act, 1963
Purpose	Compensate loss	Give the actual performance bargained for

Flowchart: Choosing between damages and specific performance



Examples

- A agrees to sell his ancestral house to B for Rs. 80 lakh, and B pays an advance. A then refuses to execute the sale deed. B can obtain specific performance, as he is ready and willing to pay the balance.
- A agrees to sing at B's wedding. A refuses. B cannot get specific performance, because the contract depends on A's personal qualifications; B can claim damages.

Case Laws

Case Law: Katta Sujatha Reddy v Siddamsetty Infra Projects Pvt. Ltd.

Year: 2022 **Court:** Supreme Court of India

Facts / Background: An agreement to sell land was executed before the 2018 amendment to the Specific Relief Act. The buyer sought specific performance, and a question arose whether the amended provisions, which make specific performance a normal remedy rather than a discretionary one, applied to contracts made before the amendment.

Legal Issue: Is the 2018 amendment to the Specific Relief Act retrospective, so as to apply to transactions entered into before it came into force?

Court's Decision / What the Court Held: The Supreme Court held that the 2018 amendment is substantive in nature and prospective, not retrospective. It does not apply to transactions that were entered into before it came into force on 1 October 2018; those are governed by the pre-amendment law, under which specific performance was discretionary.

Relevance to the Topic: The case explains the change in the nature of specific performance as a remedy and its temporal application.

Case Law: Beswick v Beswick

Year: 1968 **Court:** House of Lords, England

Facts / Background: Peter Beswick transferred his coal business to his nephew in return for the nephew's promise to pay him a weekly sum during his life and, after his death, to pay a weekly annuity to his widow. After Peter's death, the nephew paid the widow once and then stopped. The widow sued as administratrix of her husband's estate and in her personal capacity.

Legal Issue: Can the promise to pay the widow be specifically enforced?

Court's Decision / What the Court Held: The House of Lords held that the widow could not sue in her personal capacity (privity of contract), but as administratrix of the estate she could obtain specific performance. Damages to the estate would have been nominal and therefore an inadequate remedy, so specific performance was ordered.

Relevance to the Topic: The case shows that specific performance is granted where damages are inadequate; it also illustrates the interaction between privity and remedies.

Important Points

- Specific performance orders a party to perform the contract itself.
- After 2018, it is the normal remedy (s.10 SRA), subject to ss.11(2), 14 and 16.
- The 2018 amendment is prospective (*Katta Sujatha Reddy*, 2022).
- Personal service and contracts requiring constant supervision are not specifically enforceable.
- The plaintiff must prove readiness and willingness (s.16(c)).
- *Beswick v Beswick* (1968): specific performance where damages are inadequate.

Remember: Adequacy of damages is no longer a ground for refusing specific performance after 2018.

UNIT V
Specific Relief Act, 1963

Topics in this Unit

5.1 Nature, Scope and Object of the Specific Relief Act

5.2 Recovery of Possession of Property

5.3 Specific Performance of Contracts

5.4 Rectification of Instruments

5.5 Rescission of Contracts

5.6 Cancellation of Instruments

5.7 Declaratory Decrees

5.8 Preventive Relief (Temporary and Perpetual Injunctions)

Topic 5.1: Nature, Scope and Object of the Specific Relief Act

Introduction

The law of contract tells us when a promise is binding; the law of remedies tells us what the court will do when it is broken. The ordinary remedy is damages, but in many situations the injured person wants the very thing he was promised, or wants the court to prevent a wrong before it happens. The **Specific Relief Act, 1963** (SRA) provides such remedies: recovery of possession, specific performance, rectification, rescission, cancellation, declaration and injunctions. These remedies developed from the principles of equity in English law and were codified in India first by the Specific Relief Act, 1877, which was replaced by the 1963 Act. The Act was substantially amended in 2018.

Definition

> **Specific relief** means relief in specie, i.e. a remedy by which the court compels a party to do exactly what he is bound to do (e.g. perform the contract, deliver possession), or restrains him from doing what he is bound not to do, instead of awarding monetary compensation.

> **Section 4 SRA:** "Specific relief can be granted only for the purpose of enforcing individual civil rights and not for the mere purpose of enforcing a penal law."

Detailed Explanation

1. Nature of the Act

1. **Remedial and procedural law:** it does not create new rights; it provides remedies for enforcing existing civil rights.
2. **Based on equity:** most remedies (specific performance, injunction, rectification, rescission, cancellation) come from the English Court of Chancery.
3. **Supplements the Contract Act:** while the Contract Act provides for damages (ss.73–75), the SRA provides specific relief.
4. **Discretion and its reduction:** traditionally, specific relief was discretionary. After the 2018 amendment, specific performance has become a statutory right (subject to exceptions), while injunctions and declarations remain largely discretionary.
5. **Applies to civil rights only:** not to the enforcement of penal law (s.4).

2. Scope: Structure of the Act

Part / Chapter	Sections	Relief
Part I – Preliminary	1–4	Title, definitions, savings, specific relief only for civil rights

Part / Chapter	Sections	Relief
Part II, Ch. I	5–8	Recovery of possession of property
Part II, Ch. II	9–25	Specific performance of contracts (including substituted performance, s.20; infrastructure contracts, ss.20A–20C)
Part II, Ch. III	26	Rectification of instruments
Part II, Ch. IV	27–30	Rescission of contracts
Part II, Ch. V	31–33	Cancellation of instruments
Part II, Ch. VI	34–35	Declaratory decrees
Part III – Preventive relief	36–42	Temporary, perpetual and mandatory injunctions; injunction to perform a negative agreement

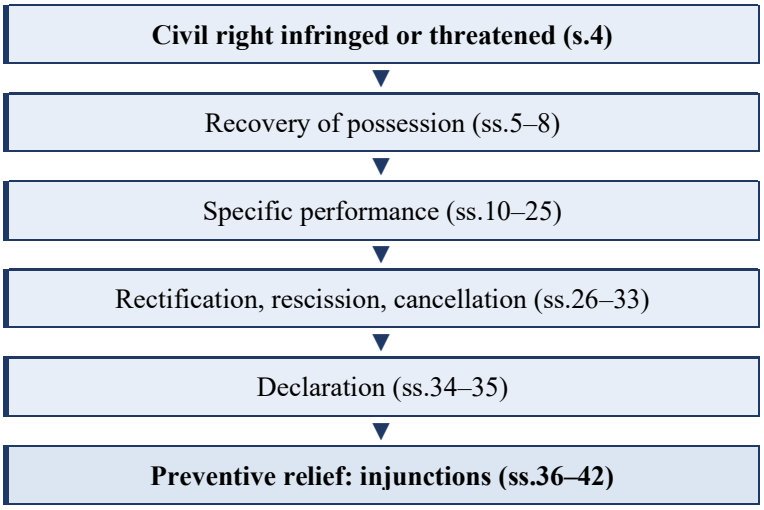
3. Object of the Act

1. To provide remedies where damages are inadequate, by giving the injured party the actual performance or protection he needs.
2. To prevent wrongs before they occur (preventive relief).
3. To correct documents that do not reflect the true agreement (rectification), and to remove instruments that may cause injury (cancellation).
4. To settle disputes about legal status or title (declaration).
5. After 2018: to promote **certainty and ease of doing business**, by making specific performance the rule, introducing substituted performance, and protecting infrastructure projects from injunctions.

4. The 2018 Amendment: Key Changes

1. **Section 10:** specific performance "shall be enforced by the court" subject to sections 11(2), 14 and 16; discretion under old section 20 removed.
2. **Section 14:** narrower list of contracts not specifically enforceable; adequacy of damages no longer a bar.
3. **Section 20:** substituted performance: the injured party may get the contract performed by a third party or his own agency and recover the costs from the defaulting party, after 30 days' written notice.
4. **Section 20A:** no injunction in suits relating to infrastructure projects where it would impede or delay the project.
5. **Section 20B:** special courts for infrastructure contract suits.
6. **Section 20C:** suits to be disposed of within 12 months (extendable by 6 months).
7. **Section 14A:** power to engage experts.
8. **Section 41(ha):** no injunction where it would impede or delay an infrastructure project.

Flowchart: Specific reliefs under the SRA, 1963



Examples

- A agrees to sell his house to B and refuses to execute the sale deed. B may sue under the SRA for specific performance.
- A forcibly dispossesses B from his house without due process. B may sue under section 6 for recovery of possession within six months.

Case Laws

The detailed case laws for each type of specific relief are discussed under the respective topics (5.2 to 5.8). On the nature of the 2018 change:

Case Law: Katta Sujatha Reddy v Siddamsetty Infra Projects Pvt. Ltd. (on the nature of the 2018 amendment)

Year: 2022 **Court:** Supreme Court of India

Facts / Background: The question arose whether the amended SRA, which makes specific performance a general rule, applied to an agreement to sell made before the amendment (facts in Topic 4.17).

Legal Issue: Is the 2018 amendment a procedural change applying to pending matters, or a substantive change applying prospectively?

Court's Decision / What the Court Held: The Supreme Court held that the 2018 amendment brought about a substantive change in the nature of the remedy (from discretionary to a general rule) and is prospective, applying to transactions entered into after 1 October 2018.

Relevance to the Topic: The case explains the changed nature and object of the Specific Relief Act after 2018.

Important Points

- The SRA, 1963 replaced the Specific Relief Act, 1877 and is based on equity.
- Section 4: specific relief only for individual civil rights, not penal law.
- It provides recovery of possession, specific performance, rectification, rescission, cancellation, declaration and injunctions.
- The 2018 amendment made specific performance the rule and introduced substituted performance and special provisions for infrastructure contracts.

Remember: The SRA does not create rights; it provides remedies for existing civil rights.

Topic 5.2: Recovery of Possession of Property

Introduction

A person may be wrongfully deprived of his land, house or goods. Sections 5 to 8 of the Specific Relief Act provide remedies for recovering possession of immovable and movable property. One important provision, section 6, gives a quick (summary) remedy to a person who is dispossessed without his consent and otherwise than in due course of law, so that people do not take the law into their own hands.

Definition

> **Section 5:** "A person entitled to the possession of specific immovable property may recover it in the manner provided by the Code of Civil Procedure, 1908."

> **Section 6(1):** "If any person is dispossessed without his consent of immovable property otherwise than in due course of law, he or any person claiming through him may, by suit, recover possession thereof, notwithstanding any other title that may be set up in such suit."

> **Section 7:** "A person entitled to the possession of specific movable property may recover it in the manner provided by the Code of Civil Procedure, 1908."

Detailed Explanation

1. Recovery of Immovable Property

Section 5: Suit Based on Title

1. A person entitled to possession (usually the owner) may sue under the CPC to recover possession.
2. The suit is based on title, and the limitation period is generally 12 years (Articles 64 and 65, Limitation Act).

Section 6: Summary Suit Based on Possession

1. **Who can sue:** a person who was in possession and was dispossessed without his consent and otherwise than in due course of law (or a person claiming through him).
2. **Question of title not relevant:** the court only examines whether the plaintiff was in possession and was unlawfully dispossessed. Even the true owner cannot use force to dispossess a person in settled possession.
3. **Time limit:** the suit must be filed within **six months** from the date of dispossession (s.6(2)(a)).

4. **Not against the Government:** no suit lies under section 6 against the Government (s.6(2)(b)).
5. **No appeal or review:** no appeal lies from an order or decree under section 6, and no review is allowed (s.6(3)), though a revision may lie.
6. **Title suit still open:** the person against whom the decree is passed may still file a regular suit to establish title and recover possession (s.6(4)).

2. Recovery of Movable Property

Section 7

A person entitled to possession of specific movable property may recover it under the CPC. The plaintiff may be the owner or any person with a special or temporary right to possession (e.g. a bailee).

Section 8: Liability to Deliver to the Person Entitled

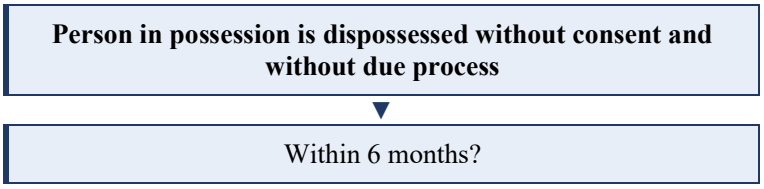
A person having possession or control of a particular article of movable property, of which he is not the owner, may be compelled specifically to deliver it to the person entitled to its immediate possession in any of the following cases:

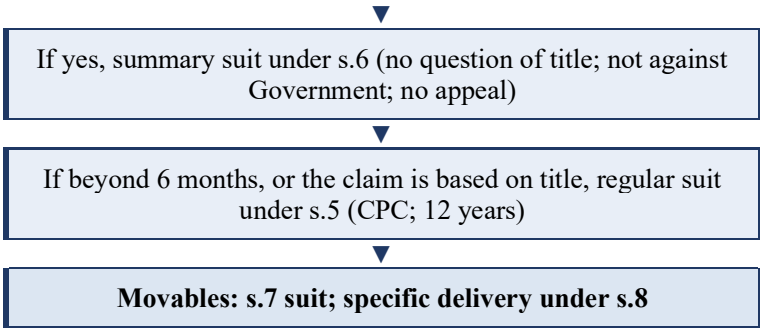
1. when the thing claimed is held by the defendant as the agent or trustee of the plaintiff;
2. when compensation in money would not afford the plaintiff adequate relief for the loss of the thing claimed;
3. when it would be extremely difficult to ascertain the actual damage caused by its loss;
4. when the possession of the thing claimed has been wrongfully transferred from the plaintiff.

3. Comparison of Sections 5 and 6

Point	Section 5	Section 6
Basis	Title	Previous possession
Limitation	Generally 12 years	6 months from dispossession
Against Government	Lies	Does not lie
Appeal	Lies	No appeal; no review
Title can be raised	Yes	No (notwithstanding any other title)

Flowchart: Remedy for unlawful dispossession





Examples

- A, the owner of a house, has a tenant B. Instead of going to court, A changes the locks and throws B out. B can sue A under section 6 within six months, and A cannot defend by saying he is the owner.
- A pledges a family heirloom with B. B refuses to return it when A repays. A can sue for specific delivery under section 8, since money would not be adequate compensation.

Case Laws

Case Law: Krishna Ram Mahale v Shobha Venkat Rao

Year: 1989 **Court:** Supreme Court of India

Facts / Background: The respondent was running a restaurant under an agreement with the owner, who was the appellant's predecessor. After the agreement period ended, the owner's side forcibly took possession of the restaurant in the respondent's absence, without any court proceedings. The respondent sued.

Legal Issue: Can an owner forcibly dispossess a person in settled possession without due process of law?

Court's Decision / What the Court Held: The Supreme Court held that where a person is in settled possession of property, even on the basis of a licence or a lapsed agreement, he cannot be dispossessed by the owner except by recourse to law. The forcible dispossession was illegal, and the respondent was entitled to relief (damages were awarded).

Relevance to the Topic: The case reinforces the principle of section 6 that even the owner must follow due process to recover possession.

Case Law: Rame Gowda v M. Varadappa Naidu

Year: 2004 **Court:** Supreme Court of India

Facts / Background: The plaintiff was in possession of a piece of land. The defendant, who claimed to be the true owner, tried to dispossess him by force. The plaintiff sued for an injunction to protect his possession.

Legal Issue: Can a person in settled possession, even without title, be protected against the true owner who tries to dispossess him by force?

Court's Decision / What the Court Held: The Supreme Court held that a person in settled possession is entitled to protection against everyone, including the true owner, until he is evicted by due process of law. The true owner cannot take the law into his own hands. The settled possession must be effective, undisturbed and to the knowledge of the owner.

Relevance to the Topic: The case confirms the policy behind section 6: possession is protected against forcible dispossession.

Important Points

- Section 5: recovery of immovable property on the basis of title, under the CPC.
- Section 6: summary remedy for dispossession without consent and due process; within 6 months; title irrelevant; not against the Government; no appeal.
- Sections 7 and 8: recovery and specific delivery of movable property.
- Even the true owner must use due process (*Krishna Ram Mahale*, 1989; *Rame Gowda*, 2004).

Remember: Section 6 protects possession, not title: "possession is nine points of the law" until due process is followed.

Topic 5.3: Specific Performance of Contracts

Introduction

Topic 4.17 introduced specific performance as a remedy for breach. This topic examines the detailed statutory provisions of Chapter II of the Specific Relief Act (sections 9 to 25), as amended in 2018. These provisions decide which contracts can be specifically enforced, who may sue, against whom, the defences available, and the new remedy of substituted performance.

Definition

> **Section 10 SRA (as amended in 2018):** "The specific performance of a contract shall be enforced by the court subject to the provisions contained in sub-section (2) of section 11, section 14 and section 16."

Detailed Explanation

1. Key Sections

Section	Subject	Rule (simplified)
9	Defences	The defendant may plead any defence available under the law of contract
10	Specific performance in respect of contracts	Shall be enforced, subject to ss.11(2), 14 and 16
11	Contracts connected with trusts	Specific performance of a contract by a trustee in breach of trust cannot be enforced (s.11(2))
12	Specific performance of part of a contract	Generally no part performance; but allowed in certain cases where the unperformed part is small or the plaintiff relinquishes claims
13	Purchaser against vendor with imperfect title	The purchaser can compel the vendor to make good the title if he later acquires an interest
14	Contracts not specifically enforceable	Substituted performance obtained; continuous duty; personal qualifications; determinable contracts
14A	Power of court to engage experts	Expert opinion on specific issues
15	Who may obtain specific performance	Parties, representatives, principals, beneficiaries, etc.
16	Personal bars to relief	Substituted performance obtained; incapacity, violation, fraud; failure to prove readiness and willingness
19	Against whom specific performance may be enforced	Parties and persons claiming under them, except bona fide transferees for value without notice

Section	Subject	Rule (simplified)
20	Substituted performance	Injured party may get the contract performed by a third party after 30 days' notice, and recover the costs
20A–20C	Infrastructure projects	No injunctions impeding projects; special courts; disposal within 12 months
21	Power to award compensation	Compensation in addition to or in substitution of specific performance
22	Possession, partition, refund of earnest money	These must be specifically claimed
23	Liquidation of damages not a bar	A stipulated sum does not prevent specific performance
24	Bar of suit for compensation after dismissal	A dismissed suit for specific performance bars a later suit for compensation for the breach

2. Readiness and Willingness: Section 16(c)

1. The plaintiff must **prove** (after 2018; previously "aver and prove") that he has performed, or has always been ready and willing to perform, the essential terms of the contract.
2. Readiness means financial capacity; willingness means the intention to perform.
3. It must be shown continuously from the date of the contract until the decree.
4. Where the contract involves payment of money, the plaintiff need not actually tender the money, but must show readiness and willingness to pay.

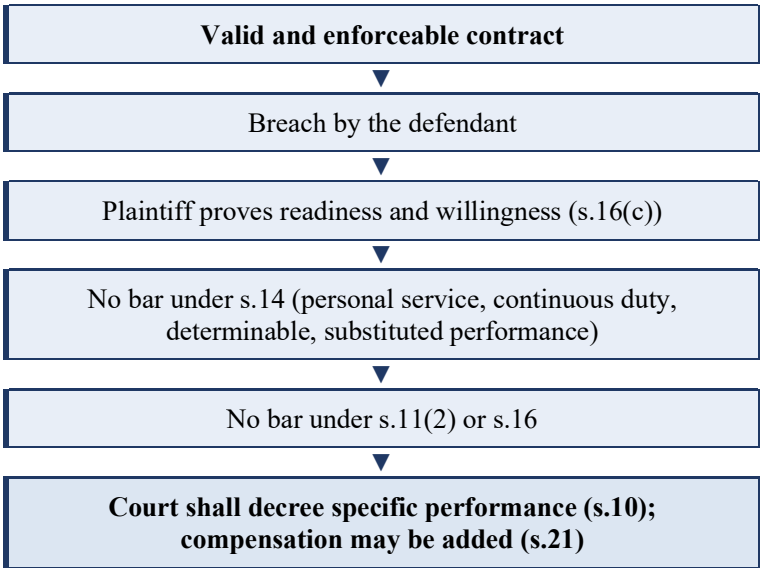
3. Substituted Performance: Section 20

1. Where the contract is broken due to non-performance of promise by a party, the injured party may have the contract performed by a third party or by his own agency, and recover the expenses and costs from the defaulting party.
2. He must give at least 30 days' written notice to the defaulting party.
3. Once he obtains substituted performance, he cannot claim specific performance (ss.14(a), 16(a)), but he can still claim compensation.

4. Who Can Sue and Against Whom

1. **Who may sue (s.15):** a party; his representative or principal; a beneficiary under a family settlement or marriage settlement; a company that has adopted pre-incorporation contracts; a remainderman or reversioner in certain cases.
2. **Against whom (s.19):** the party, persons claiming under him by a subsequent title (except a bona fide transferee for value without notice of the original contract), a new or amalgamated company, etc.

Flowchart: Suit for specific performance after 2018



Examples

- A agrees to sell land to B for Rs. 50 lakh. B has always been ready and willing to pay. A refuses to execute the sale deed and sells to C, who knew of the earlier agreement. B can obtain specific performance against both A and C (s.19).
- A, a builder, abandons construction of B's house. B gives 30 days' notice and gets the house completed by another contractor. B can recover the extra cost from A under section 20.

Case Laws

Case Law: N.P. Thirugnanam v Dr. R. Jagan Mohan Rao

Year: 1995 **Court:** Supreme Court of India

Facts / Background: The plaintiff sued for specific performance of an agreement to sell property. The evidence showed that he did not have the means to pay the balance of the price during the relevant period and that his conduct showed lack of readiness to perform his part.

Legal Issue: Must a plaintiff prove continuous readiness and willingness to perform his part of the contract to obtain specific performance?

Court's Decision / What the Court Held: The Supreme Court held that the plaintiff must prove continuous readiness and willingness from the date of the contract until the hearing of the suit. The court must consider his conduct throughout, including his financial capacity. Since the plaintiff failed to prove readiness and willingness, specific performance was refused.

Relevance to the Topic: The leading case on the requirement of readiness and willingness under section 16(c).

Important Points

- Section 10 (as amended): specific performance shall be enforced, subject to ss.11(2), 14 and 16.
- Section 14: substituted performance, continuous duty, personal qualifications and determinable contracts are excluded.
- Section 16(c): the plaintiff must prove continuous readiness and willingness (*N.P. Thirugnanam*, 1995).
- Section 19: enforceable against subsequent transferees with notice.
- Section 20: substituted performance after 30 days' notice.
- Sections 20A–20C: special provisions for infrastructure contracts.

Remember: After 2018, the plaintiff need only "prove" (not "aver and prove") readiness and willingness, but proof is still essential.

Topic 5.4: Rectification of Instruments

Introduction

Sometimes the parties reach a clear agreement, but the written document that is meant to record it contains an error. For example, the deed may describe the wrong survey number, or omit a clause that the parties had agreed upon. Because of fraud or a mutual mistake, the document does not express the real intention of the parties. Section 26 of the Specific Relief Act allows the court to **rectify** (correct) such an instrument, so that it reflects the true agreement.

Definition

> **Section 26(1) SRA:** "When, through fraud or a mutual mistake of the parties, a contract or other instrument in writing (not being the articles of association of a company to which the Companies Act, 1956 applies) does not express their real intention, then (a) either party or his representative in interest may institute a suit to have the instrument rectified; or (b) the plaintiff may, in any suit in which any right arising under the instrument is in issue, claim in his pleading that the instrument be rectified; or (c) a defendant in any such suit as is referred to in clause (b), may, in addition to any other defence open to him, ask for rectification of the instrument."

Detailed Explanation

1. Essentials of Rectification

1. **An instrument in writing** (a contract or other document, other than articles of association of a company).
2. **It does not express the real intention of the parties.**
3. **This is due to fraud or mutual mistake.** A unilateral mistake is not ordinarily enough, unless the other party knew of it and acted fraudulently.
4. **The real intention must be clearly proved,** by strong evidence.
5. **Rights of third parties:** rectification will not prejudice the rights acquired in good faith and for value by third persons.

2. Who May Claim

1. Either party or his representative may file a suit for rectification.
2. A plaintiff in a suit on the instrument may claim rectification in his pleadings.
3. A defendant may seek rectification as a defence.

Note: under section 26(4), rectification cannot be granted unless it has been specifically claimed (the court may allow amendment of pleadings for this purpose).

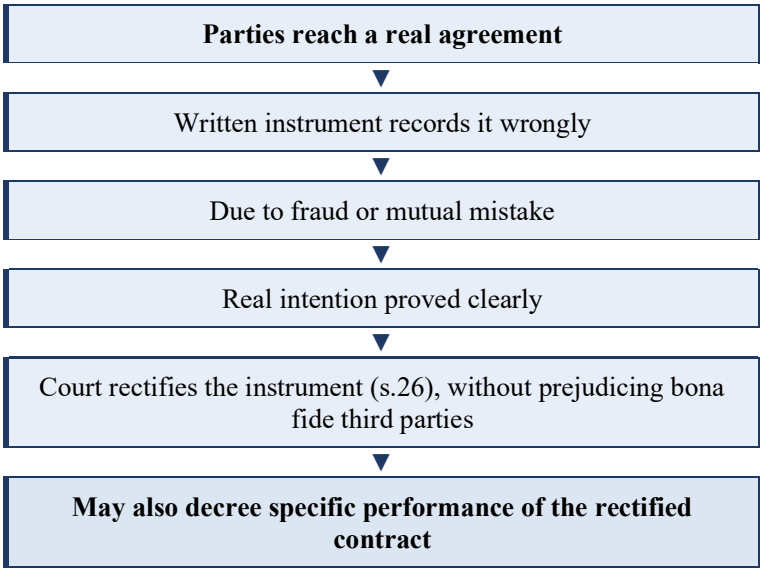
3. Rectification and Specific Performance

Under section 26(3), a party may, in the same suit, ask for rectification and also for specific performance of the contract as rectified, if the court thinks fit.

4. Rectification Compared with Other Remedies

Point	Rectification	Cancellation	Rescission
Instrument	Valid but wrongly drafted	Void or voidable	Contract voidable or terminable
Purpose	Correct the instrument to express true intention	Remove the instrument entirely	End the contract
Ground	Fraud or mutual mistake in drafting	Instrument is void/voidable and may cause injury	Voidable contract or breach
Section	26	31–33	27–30

Flowchart: Suit for rectification



Examples

- A agrees to sell 2 acres in survey no. 45 to B. The sale deed, by a typing mistake common to both parties, records survey no. 54. Either party may sue for rectification.
- A agrees to lease his shop to B for 5 years at Rs. 20,000 per month. B fraudulently gets the lease deed drafted for 10 years. A can seek rectification.

Case Laws

Case Law: Joscelyne v Nissen

Year: 1970 **Court:** Court of Appeal, England

Facts / Background: A father and daughter agreed orally that the daughter would take over his car-hire business, and in return she would pay certain household expenses of the father (gas, electricity and coal bills). The formal written agreement did not mention the payment of these expenses. The daughter stopped paying, relying on the written document.

Legal Issue: Can a written instrument be rectified to include a term that the parties had commonly intended, even though there was no binding prior contract containing it?

Court's Decision / What the Court Held: The Court of Appeal held that rectification could be granted. It is not necessary to show a concluded antecedent contract; it is enough to show a continuing common intention of the parties, expressed outwardly, which the written document failed to record by mistake. The agreement was rectified to include the term about household expenses.

Relevance to the Topic: The leading case on the requirements for rectification for mutual mistake: proof of a common continuing intention that the document fails to record.

Important Points

- Section 26: rectification when an instrument does not express the real intention due to fraud or mutual mistake.
- Either party, or a plaintiff or defendant in a suit, may claim it, but it must be specifically claimed.
- The real intention must be proved by clear evidence.
- Bona fide third parties for value are protected.
- *Joscelyne v Nissen* (1970): a continuing common intention is enough.

Remember: Rectification corrects the document, not the bargain: the court does not make a new contract for the parties.

Topic 5.5: Rescission of Contracts

Introduction

Rescission means setting aside or cancelling a contract, so that the parties are restored, as far as possible, to their original positions. Under the Contract Act, a voidable contract may be rescinded by the aggrieved party (ss.19, 19A, 64). Sections 27 to 30 of the Specific Relief Act deal with suits in which a party asks the court to declare the contract rescinded, and also explain the conditions under which the court may refuse rescission.

Definition

Rescission of a contract is the cancellation of a contract by the court at the instance of a party entitled to it, so that the contract ceases to have effect and the parties are restored to their original positions.

Section 27(1) SRA: "Any person interested in a contract may sue to have it rescinded, and such rescission may be adjudged by the court in any of the following cases, namely: (a) where the contract is voidable or terminable by the plaintiff; (b) where the contract is unlawful for causes not apparent on its face and the defendant is more to blame than the plaintiff."

Detailed Explanation

1. Grounds for Rescission (Section 27(1))

1. **The contract is voidable or terminable by the plaintiff:** e.g. a contract induced by coercion, undue influence, fraud or misrepresentation, or where the other party has committed a breach that entitles the plaintiff to terminate.
2. **The contract is unlawful for causes not apparent on its face, and the defendant is more to blame than the plaintiff:** the court may help the less guilty party.

2. When Rescission May be Refused (Section 27(2))

1. **Ratification:** the plaintiff has expressly or impliedly ratified the contract.
2. **Change of circumstances:** owing to change of circumstances since the contract (not due to the defendant's act), the parties cannot be substantially restored to their original positions.
3. **Third-party rights:** third parties have, during the subsistence of the contract, acquired rights in good faith, without notice and for value.
4. **Severability:** only a part of the contract is sought to be rescinded, and that part is not severable from the rest.

3. Rescission of Contracts for Sale or Lease of Immovable Property (Section 28)

Where a decree for specific performance of a contract of sale or lease of immovable property has been made, and the purchaser or lessee does not pay the purchase money or other sum ordered within the period allowed, the vendor or lessor may apply in the same suit to have the contract rescinded. The court may then rescind the contract and order restitution.

4. Alternative Prayer (Section 29)

A plaintiff suing for specific performance may pray in the alternative that, if the contract cannot be specifically enforced, it may be rescinded and delivered up to be cancelled.

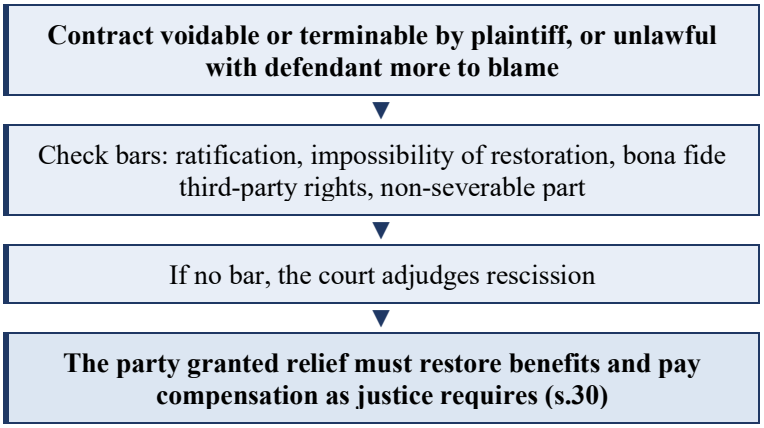
5. Restoration of Benefits (Section 30)

When the court adjudges rescission, it may require the party to whom the relief is granted to restore any benefit he has received from the other party and to make any compensation that justice may require.

6. Rescission by the Party (without Court)

Under the Contract Act, a party may rescind a voidable contract by communicating his decision (s.66) or by conduct. Where communication to the other party is impossible (e.g. a fraudster disappears), a clear act showing the intention to rescind may be sufficient (*Car and Universal Finance Co. v Caldwell*, 1965).

Flowchart: Suit for rescission (ss.27–30 SRA)



Examples

- A sells his land to B because of B's fraudulent misrepresentation about its potential. A can sue to rescind the sale, provided the land has not been sold to a bona fide purchaser.
- A obtains a decree for specific performance of a contract to sell land, but does not pay the balance within the time allowed. The vendor can apply under section 28 for rescission.

Case Laws

Case Law: Car and Universal Finance Co. Ltd. v Caldwell

Year: 1965 **Court:** Court of Appeal, England

Facts / Background: Caldwell sold his car to a buyer who paid by a cheque that bounced. On discovering the fraud the next day, Caldwell immediately informed the police and the Automobile Association, asking them to recover the car. He could not contact the fraudster, who had disappeared. The fraudster later sold the car, and it passed to a finance company.

Legal Issue: Can a voidable contract be rescinded without communicating the rescission to the other party, when that party has deliberately disappeared?

Court's Decision / What the Court Held: The Court of Appeal held that Caldwell had effectively rescinded the contract by informing the police and the AA, as this clearly showed his intention to rescind, and the fraudster had made communication impossible. Since rescission occurred before the car was sold to a third party, title revested in Caldwell, and he could recover the car.

Relevance to the Topic: The case shows the methods and timing of rescission of a voidable contract, and the importance of acting before third parties acquire rights (cf. s.27(2)(c) SRA).

Important Points

- Section 27: rescission where the contract is voidable or terminable by the plaintiff, or unlawful with the defendant more to blame.
- Bars: ratification, impossibility of restoration, bona fide third-party rights, non-severable parts.
- Section 28: rescission after a decree for specific performance where the buyer or lessee defaults.
- Section 29: alternative prayer; s.30: restoration of benefits.
- *Car and Universal Finance v Caldwell* (1965): rescission by conduct where the fraudster disappears.

Remember: Rescission must be sought before an innocent third party acquires rights for value.

Topic 5.6: Cancellation of Instruments

Introduction

A void or voidable document, such as a forged sale deed or a gift deed obtained by fraud, can cause serious harm to a person if it is left outstanding, because someone may later use it to claim his property. Sections 31 to 33 of the Specific Relief Act allow such a person to ask the court to declare the instrument void and order it to be delivered up and cancelled.

Definition

> **Section 31(1) SRA:** "Any person against whom a written instrument is void or voidable, and who has reasonable apprehension that such instrument, if left outstanding, may cause him serious injury, may sue to have it adjudged void or voidable; and the court may, in its discretion, so adjudge it and order it to be delivered up and cancelled."

> **Section 31(2):** "If the instrument has been registered under the Indian Registration Act, 1908, the court shall also send a copy of its decree to the officer in whose office the instrument has been so registered; and such officer shall note on the copy of the instrument contained in his books the fact of its cancellation."

Detailed Explanation

1. Essentials of Cancellation

1. **A written instrument** (deed, agreement, will, promissory note, etc.).
2. **The instrument is void or voidable against the plaintiff** (e.g. forged, obtained by fraud, coercion or undue influence, or executed by a minor).
3. **Reasonable apprehension of serious injury** if it is left outstanding.
4. **The court's discretion:** relief is discretionary.

2. Partial Cancellation: Section 32

Where an instrument is evidence of different rights or obligations, the court may, in a proper case, cancel it in part and allow it to stand for the residue.

3. Restoration of Benefits: Section 33

1. On cancellation, the court may require the party to whom relief is granted to restore any benefit received and to make compensation.
2. Where a defendant successfully resists a suit on the ground that the instrument is voidable, he may be required to restore benefits; where the instrument is void due to the defendant's incompetence (e.g. minority), he may be required to restore benefits to the extent he or his estate has benefited (Topic 2.10).

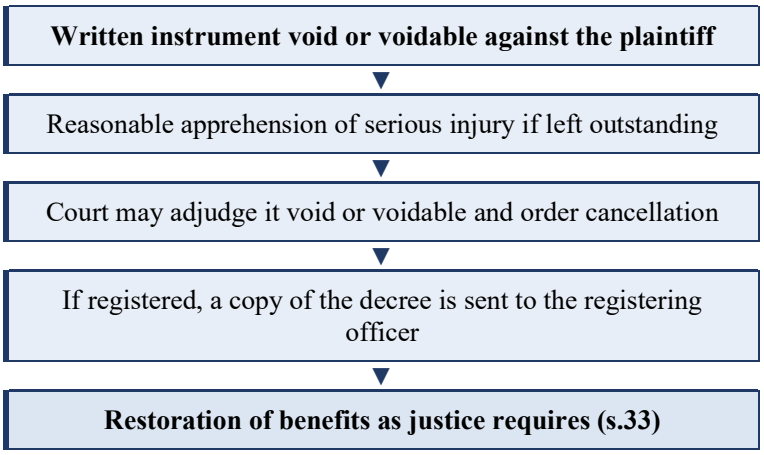
4. Who May Sue

1. Generally, a party to the instrument (the executant) who claims it is void or voidable must seek cancellation.
2. A person who is not a party to the instrument (a non-executant) need not sue for cancellation; he may sue for a declaration that the instrument is void and not binding on him (*Suhrid Singh v Randhir Singh*, 2010).

5. Cancellation and Rectification Compared

Point	Cancellation (ss.31–33)	Rectification (s.26)
Defect	Instrument void or voidable	Instrument fails to express the true intention
Relief	Instrument adjudged void and cancelled	Instrument corrected
Third parties	Registration office is informed of cancellation	Bona fide third parties protected
Requirement	Reasonable apprehension of serious injury	Fraud or mutual mistake

Flowchart: Suit for cancellation (s.31)



Examples

- A's signature is forged on a sale deed transferring his land to B. The deed is registered. A can sue for its cancellation, and the decree will be noted in the registration records.
- A, an illiterate woman, is made to sign a gift deed by fraud. She can sue to cancel the gift deed as voidable.

Case Laws

Case Law: Suhrid Singh @ Sardool Singh v Randhir Singh

Year: 2010 **Court:** Supreme Court of India

Facts / Background: The plaintiff's father had executed sale deeds of joint family property. The plaintiff, who was not a party to the sale deeds, filed a suit for a declaration that the sale deeds were void and not binding on him. A question arose about the nature of the relief and the court fee payable.

Legal Issue: Must a person who is not a party to an instrument sue for its cancellation, or can he sue for a declaration that it is not binding on him?

Court's Decision / What the Court Held: The Supreme Court held that where the executant of a deed wants it annulled, he must seek cancellation of the deed. But where a non-executant seeks annulment, he need only seek a declaration that the deed is invalid, non-est, or not binding on him. The court fee depends on the nature of the relief claimed.

Relevance to the Topic: The case clarifies when cancellation under section 31 is necessary, and the distinction between cancellation and declaration.

Important Points

- Section 31: cancellation of void or voidable instruments where there is a reasonable apprehension of serious injury.
- Registered instruments: the decree is sent to the registering officer.
- Section 32: partial cancellation; s.33: restoration of benefits.
- An executant seeks cancellation; a non-executant may seek a declaration (*Suhrid Singh*, 2010).

Remember: The relief of cancellation is discretionary.

Topic 5.7: Declaratory Decrees

Introduction

Sometimes a person's legal status or right to property is denied or doubted by others, even though no physical harm has yet been done. Uncertainty can itself be harmful: it may prevent the person from selling the property or establishing his status. Sections 34 and 35 of the Specific Relief Act allow the court to declare the rights or legal character of a person. Such a declaration settles the dispute authoritatively between the parties.

Definition

> **Section 34 SRA:** "Any person entitled to any legal character, or to any right as to any property, may institute a suit against any person denying, or interested to deny, his title to such character or right, and the court may in its discretion make therein a declaration that he is so entitled, and the plaintiff need not in such suit ask for any further relief: Provided that no court shall make any such declaration where the plaintiff, being able to seek further relief than a mere declaration of title, omits to do so."

> **Section 35:** "A declaration made under this Chapter is binding only on the parties to the suit, persons claiming through them respectively, and, where any of the parties are trustees, on the persons for whom, if in existence at the date of the declaration, such parties would be trustees."

Detailed Explanation

1. Essentials of a Suit for Declaration

1. **The plaintiff must be entitled to a legal character or a right as to property.**
   - **Legal character:** a status recognised by law, e.g. being a legitimate son, an adopted child, a member of a caste, a spouse, a citizen, or a holder of an office.
   - **Right as to property:** ownership, possession, easements, rights of a tenant, etc.
2. **The defendant must deny, or be interested in denying, the plaintiff's title** to that character or right.
3. **The declaration must be one the court in its discretion thinks fit to grant.**
4. **The plaintiff must ask for further relief if he is able to:** the proviso bars a mere declaration where the plaintiff could ask for consequential relief, e.g. possession or injunction, but does not.

2. Discretion of the Court

The court may refuse a declaration where:

1. it would be useless or merely academic;
2. the plaintiff has not come with clean hands;
3. the plaintiff could have sought further relief and did not (proviso);
4. it would not give the plaintiff any real benefit.

3. Effect of a Declaration: Section 35

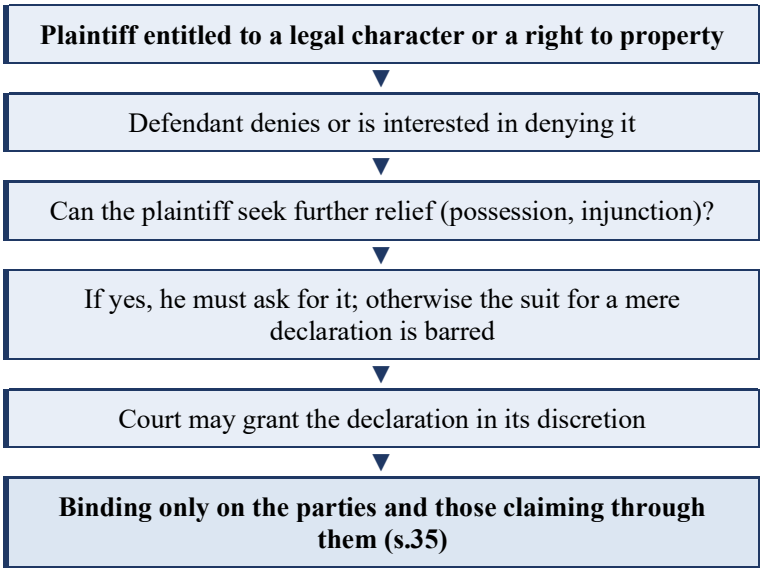
A declaration binds only the parties to the suit and persons claiming through them (and beneficiaries of trustee-parties). It is not binding on the whole world (it is not a judgment *in rem*).

4. Suits for Declaration and Injunction

In property disputes, the plaintiff often combines a prayer for declaration of title with a prayer for injunction or possession. Where the plaintiff's title is in dispute or under a cloud, a suit for a mere injunction is not sufficient; a declaration must also be sought (*Anathula Sudhakar v P. Buchi Reddy*, 2008).

Situation	Appropriate suit
Plaintiff in possession; only possession is threatened	Suit for injunction alone
Plaintiff in possession; title is disputed or under a cloud	Suit for declaration of title and injunction
Plaintiff not in possession; title disputed	Suit for declaration and possession (mere declaration barred by the proviso to s.34)

Flowchart: Suit for declaration (s.34)



Examples

- A claims to be the adopted son of B, but B's relatives deny the adoption. A can sue for a declaration that he is B's adopted son.
- A owns land but is not in possession; C is occupying it and denies A's title. A must sue for declaration and recovery of possession, not for a mere declaration.

Case Laws

Case Law: Anathula Sudhakar v P. Buchi Reddy

Year: 2008 **Court:** Supreme Court of India

Facts / Background: The plaintiffs filed a suit for a permanent injunction to restrain the defendants from interfering with their possession of a property. The defendants disputed the plaintiffs' title. The question arose whether a mere suit for injunction was maintainable when title was in dispute.

Legal Issue: When must a plaintiff seek a declaration of title along with an injunction, and when is a suit for injunction alone sufficient?

Court's Decision / What the Court Held: The Supreme Court held that: (a) where the plaintiff is in possession and only his possession is threatened, a suit for injunction alone is maintainable; (b) where the plaintiff's title is under a cloud or in dispute, he must sue for declaration of title and consequential injunction; (c) where he is not in possession, he must sue for declaration and possession. Issues of title cannot be decided in a mere injunction suit except incidentally.

Relevance to the Topic: The leading case on the relationship between declaratory relief and further relief under section 34.

Important Points

- Section 34: a declaration of legal character or right to property may be granted against a person denying it.
- Proviso: no mere declaration where the plaintiff can ask for further relief but omits to.
- The relief is discretionary.
- Section 35: binding only on parties and persons claiming through them.
- *Anathula Sudhakar* (2008): when to seek declaration, injunction and possession.

Remember: A declaratory decree is not a judgment in rem; it binds only the parties.

Topic 5.8: Preventive Relief (Temporary and Perpetual Injunctions)

Introduction

Preventive relief aims to stop a wrong before it happens or prevent it from continuing. It is granted by **injunctions**: orders of the court directing a person to refrain from doing something (prohibitory injunction) or to do something (mandatory injunction). Part III of the Specific Relief Act (sections 36 to 42) deals with preventive relief, and temporary injunctions are further governed by the Code of Civil Procedure, 1908 (Order XXXIX). Topic 4.15 explained injunctions as a remedy for breach of contract; this topic explains the full statutory scheme.

Definition

> **Section 36 SRA:** "Preventive relief is granted at the discretion of the court by injunction, temporary or perpetual."

> **Section 37:** "(1) Temporary injunctions are such as are to continue until a specified time, or until the further order of the court, and they may be granted at any stage of a suit, and are regulated by the Code of Civil Procedure, 1908. (2) A perpetual injunction can only be granted by the decree made at the hearing and upon the merits of the suit; the defendant is thereby perpetually enjoined from the assertion of a right, or from the commission of an act, which would be contrary to the rights of the plaintiff."

Detailed Explanation

1. Temporary (Interim) Injunction

1. Granted during the pendency of a suit to preserve the status quo, under Order XXXIX, Rules 1 and 2 of the CPC.
2. **Three tests:**
   - **Prima facie case:** the plaintiff has a serious question to be tried and a probability of success.
   - **Balance of convenience:** the plaintiff would suffer more inconvenience if the injunction is refused than the defendant would if it is granted.
   - **Irreparable injury:** the plaintiff would suffer injury that cannot be adequately compensated in money.
3. It is discretionary, and the plaintiff must come with clean hands.

2. Perpetual Injunction: Section 38

A perpetual injunction may be granted to prevent the breach of an obligation existing in favour of the plaintiff, whether expressly or by implication. Where the defendant invades or threatens

to invade the plaintiff's right to, or enjoyment of, property, the court may grant a perpetual injunction in the following cases:

1. where the defendant is a trustee of the property for the plaintiff;
2. where there exists no standard for ascertaining the actual damage caused, or likely to be caused, by the invasion;
3. where the invasion is such that compensation in money would not afford adequate relief;
4. where the injunction is necessary to prevent a multiplicity of judicial proceedings.

3. Mandatory Injunction: Section 39

"When, to prevent the breach of an obligation, it is necessary to compel the performance of certain acts which the court is capable of enforcing, the court may in its discretion grant an injunction to prevent the breach complained of, and also to compel performance of the requisite acts." Example: an order to demolish an unauthorised structure that blocks the plaintiff's light and air.

4. Damages in Lieu of or in Addition to Injunction: Section 40

The plaintiff may claim damages either in addition to or in substitution for an injunction. The court may award damages if it thinks fit, but damages must be claimed in the plaint.

5. When Injunction is Refused: Section 41

An injunction cannot be granted, among other cases:

1. to restrain a person from prosecuting a judicial proceeding pending at the institution of the suit (unless to prevent multiplicity of proceedings);
2. to restrain a person from instituting or prosecuting proceedings in a court not subordinate to the court granting the injunction;
3. to restrain a person from applying to a legislative body;
4. to restrain a person from instituting or prosecuting a criminal matter;
5. to prevent the breach of a contract the performance of which would not be specifically enforced (subject to s.42);
6. to prevent an act that is not reasonably clear to be a nuisance;
7. to prevent a continuing breach in which the plaintiff has acquiesced;
8. when an equally efficacious relief can certainly be obtained by any other usual mode of proceeding (except in the case of breach of trust);
9. **(ha) if it would impede or delay the progress or completion of any infrastructure project** or interfere with the continued provision of a related facility or service (added in 2018);
10. when the conduct of the plaintiff or his agents has been such as to disentitle him to the assistance of the court;

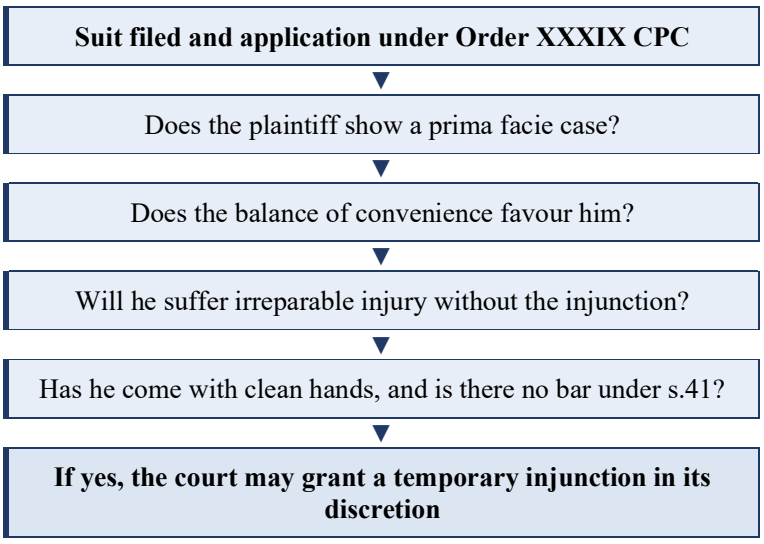
11. when the plaintiff has no personal interest in the matter.

6. Injunction to Perform a Negative Agreement: Section 42

Where a contract has an affirmative agreement coupled with a negative one, the court may enforce the negative agreement by injunction, even if it cannot compel specific performance of the affirmative part, provided the plaintiff has performed his own part (Topic 4.15).

Type	Stage	Purpose	Law
Temporary injunction	During the suit	Preserve the status quo	s.37(1) SRA; Order XXXIX CPC
Perpetual injunction	At final decree	Permanently restrain breach of an obligation	ss.37(2), 38
Mandatory injunction	At decree (interim mandatory in rare cases)	Compel performance of acts to undo a breach	s.39
Damages	In addition or substitution	Compensation	s.40
Negative agreement	Final or interim	Enforce a negative covenant	s.42

Flowchart: Grant of a temporary injunction



Examples

- A is building a wall on his land that will block the only access road to B's house. B files a suit and seeks a temporary injunction to stop the construction until the suit is decided.
- A has already built a structure on B's land. B may seek a mandatory injunction directing A to remove it.

Case Laws

Case Law: Dalpat Kumar v Prahlad Singh

Year: 1992 **Court:** Supreme Court of India

Facts / Background: In a dispute regarding the sale of property, the plaintiff sought a temporary injunction to restrain the defendants from dealing with the property during the pendency of the suit. The question arose as to the principles governing the grant of temporary injunctions.

Legal Issue: What are the principles for granting a temporary injunction? (Facts summarised briefly; students should read the full judgment for the details.)

Court's Decision / What the Court Held: The Supreme Court explained that the court must be satisfied that (i) there is a prima facie case (a bona fide dispute raised by the plaintiff, with a fair question to be tried); (ii) the plaintiff will suffer irreparable injury if the injunction is refused, i.e. injury that cannot be adequately compensated by damages; and (iii) the balance of convenience lies in favour of the plaintiff. The grant is discretionary and the court must exercise its discretion judicially.

Relevance to the Topic: The leading Indian authority on the three tests for temporary injunctions.

Case Law: Wander Ltd. v Antox India Pvt. Ltd.

Year: 1990 **Court:** Supreme Court of India

Facts / Background: In a dispute over the use of a trade mark, the trial court refused a temporary injunction, and the appellate court reversed this and granted the injunction. The matter reached the Supreme Court.

Legal Issue: What is the scope of interference by an appellate court with the discretion exercised by the trial court in granting or refusing a temporary injunction?

Court's Decision / What the Court Held: The Supreme Court held that an appellate court should not interfere with the trial court's exercise of discretion unless the discretion has been exercised arbitrarily, capriciously, perversely, or the court has ignored settled principles of law. The appellate court cannot substitute its own discretion merely because it would have reached a different conclusion.

Relevance to the Topic: The case explains the discretionary nature of interim injunctions and the limited scope of appellate interference.

Important Points

- Section 36: preventive relief by temporary or perpetual injunctions, at the court's discretion.
- Section 37: temporary (regulated by the CPC) and perpetual (by decree after hearing).
- Section 38: perpetual injunctions; s.39: mandatory injunctions; s.40: damages; s.41: when refused; s.42: negative agreements.
- Temporary injunction tests: prima facie case, balance of convenience, irreparable injury (*Dalpat Kumar*, 1992).
- Appellate courts interfere only if discretion is exercised arbitrarily (*Wander v Antox*, 1990).
- Section 41(ha): no injunctions impeding infrastructure projects (2018).

Remember: Injunctions are discretionary, and a plaintiff who does not come with clean hands may be refused relief.

References / Bibliography

Bare Acts

- The Indian Contract Act, 1872.
- The Specific Relief Act, 1963 (as amended by the Specific Relief (Amendment) Act, 2018).
- The Limitation Act, 1963 (for the topic of Limitation).

Text Books (as prescribed in the syllabus)

- Avtar Singh, Law of Contract and Specific Relief, Eastern Book Company.
- Pollock & Mulla, Indian Contract and Specific Relief Acts, LexisNexis.
- R.K. Bangia, Law of Contract, Allahabad Law Agency.
- G.C.V. Subba Rao, Law of Contract.
- Anson, Principles of the Law of Contract, Oxford University Press.
- Cheshire, Fifoot & Furmston, Law of Contract, Oxford University Press.
- M.C. Kuchhal & Vivek Kuchhal, Business Law, Vikas Publishing.

Note on Case Laws

- Case citations are given with the court and year of judgment. Where a detail of a case is not certain, the notes say so instead of guessing. Students should read the full judgments of the syllabus cases: Carlill v Carbolic Smoke Ball Co., Balfour v Balfour, Mohori Bibee v Dharmodas Ghose, Lalman Shukla v Gauri Dutt, Hadley v Baxendale, Taylor v Caldwell, Satyabrata Ghose v Mugneeram Bangur & Co., Kailash Nath Associates v DDA, and ONGC Ltd. v Saw Pipes Ltd.